

**GREEN
CLIMATE
FUND**

Meeting of the Board
10 - 13 July 2023
Incheon, Republic of Korea
Provisional Agenda Item 12

GCF/B.36/02/Add.05

19 June 2023

Consideration of funding proposals – Addendum V

Funding proposal package for FP210

Summary

This addendum contains the following six parts:

- a) A funding proposal summary titled “KawiSafi II” submitted by Acumen Fund. Inc.;
- b) No-objection letters issued by the national designated authorities or focal point(s);
- c) Environmental and Social report(s) disclosure;
- d) Independent Technical Advisory Panel’s assessment;
- e) Response from the accredited entity to the independent Technical Advisory Panel’s assessment; and
- f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled “KawiSafi II” submitted by Acumen Fund. Inc. is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged or commercially sensitive information of the entity.

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Funding Proposal

PUBLIC VERSION

Project/Programme title:	KawiSafi II
Country(ies):	Cote d'Ivoire, DR Congo, Kenya, Nigeria, Rwanda, Uganda, Zambia_
Accredited Entity:	Acumen Fund
Date of first submission:	<u>2022/11/09</u>
Date of current submission	<u>2023/06/15</u>
Version number	<u>V.007</u>



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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

“FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]”

A. PROJECT/PROGRAMME SUMMARY				
A.1. Project or programme	Programme	A.2. Public or private sector	Private	
A.3. Request for Proposals (RFP)	If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+. <u>Not applicable</u>			
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of GCF and Co-financers' contribution devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.			
		GCF contribution	Co-financers' contribution¹	
	Mitigation total	80 %	80 %	
	☒ Energy generation and access	33 %	33 %	
	☒ Low-emission transport	33 %	33 %	
	☒ Buildings, cities, industries and appliances	14 %	14 %	
	☐ Forestry and land use	0 %	0 %	
	Adaptation total	20 %	20 %	
	☒ Most vulnerable people and communities	7 %	7 %	
	☒ Health and well-being, and food and water security	13 %	13 %	
	☐ Infrastructure and built environment	0 %	0 %	
☐ Ecosystems and ecosystem services	0 %	0 %		
A.5. Expected mitigation outcome	20,933,186 tCO ₂ eq ²	A.6. Expected adaptation outcome	3,523,808	
(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)			direct and indirect adaptation beneficiaries	
			885,835 direct beneficiaries	2,637,973 indirect beneficiaries
			25%	75%
		(Core indicator 2: direct and indirect beneficiaries reached)		

¹ Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e., GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

² Mitigation impact is expected to be generated over the life of the fund (12-year maximum fund life). The logic here is that 12 years is the maximum length that the Fund will remain active i.e., the maximum length that an investment could feasibly be held by the Fund and generate impacts. While 12 years is the maximum possible length, we estimate that the holding period of each investment is 6 years, which is the assumption used for calculating the mitigation impact

A.7. Total financing (GCF + co-finance³)	USD 210 million	A.9. Project size	Medium (Up to USD 250 million)
A.8. Total GCF funding requested	<u>USD 52.5 million</u>		

A.10. Financial instrument(s) requested for the GCF funding	Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.			
	☒ Grant	<u>USD 2.5M</u>	☒ Equity	<u>USD 50M</u>
	☐ Loan	<u>Enter number</u>	☐ Results-based payment	<u>Enter number</u>
	☐ Guarantee	<u>Enter number</u>		

³ Refer to the Policy of Co-financing of the GCF.

A.11. Implementation period	12 years (10 years plus two 1-year extensions) Investment period – five years from initial close	A.12. Total lifespan	Indicate the maximum number of years over which the outcomes of the investment are expected to be effective, i.e. to lead to adaptation and/or mitigation results. 12 years maximum fund life, with average holding period for each investment of 6 years
A.13. Expected date of AE internal approval	Approved 01/10/2022	A.14. ESS category	Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category. I-2
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	A.18. Is this FP included in the country programme?	Yes ☐ No ☒
A.19. Complementarity and coherence	Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1. Yes ☒ No ☐		
A.20. Executing Entity information	There are two Executing Entities for the project: General Partner (GP): KawiSafi II Capital Investments LLC (GP), a Delaware (US) company 100% owned by Acumen Capital Partners LLC, a Delaware (US) company 100% owned by Acumen, the Accredited Entity. Manager: Marula Partners LLC, a Delaware (US) company, is the Investment Manager of KawiSafi Fund II. The Manager is wholly owned by the investment team that built and continues to manage KawiSafi Fund I. KawiSafi Fund II will benefit from the experience and expertise of the team that led to the successful deployment of KawiSafi Fund I. Marula Partners LLC is led by three investment principals, Amar Inamdar, Michelle Osorio, and Marcus Watson, who together bring over 40 years of deep and diverse combined experience in executing climate investments in emerging markets, especially Africa.		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			
Climate Change Problem Climate change is the most important challenge facing humanity. While Africa only contributes 3% to global GHG emissions, the impacts of climate change are predicted to be more severe on the continent highlighting critical need for adaptation investments. According to the Intergovernmental Panel on Climate Change (IPCC), temperature increases in Sub-Saharan Africa are expected to be higher than the global mean temperature increase, impacting health, agriculture, and food security⁴. Africa faces exponential collateral damage, posing systemic risks to its economies, infrastructure investments, water and food systems, public health, agriculture, and livelihoods, threatening to undo its development gains⁵. Assessments of the impact of			

⁴ IPCC, Impact of 1.5°C of global warming on Natural and Human systems. Accessible [here](#)

⁵ IPCC Climate Change 2022: Mitigation of Climate Change. Accessible [here](#)

climate change, considering ecosystems, biodiversity, and human communities at global and regional levels, indicate that adaptation action is most urgent in Africa – requiring significant efforts to avoid rapid impact on lives and livelihoods; loss of biodiversity; as well as infrastructure. According to the World Resources Institute, failure to meet the UN's Climate targets agreed in Paris likely means that 118 million people in Africa will be pushed into extreme poverty by 2030⁶. The African Union expects that 15% of Africa's hard-earned GDP growth will be wiped out if climate change continues unabated.

2. While Africa has historically low emissions, this statistic is misleading given Africa's lack of energy access and its corresponding low rate of consumption. The AfDB estimates that the per capita consumption of energy in sub-Saharan Africa (excluding South Africa) is 180 kWh, compared to 13,000 kWh per capita in the United States and 6,500 kWh in Europe. The average Ethiopian family uses less than one hundredth of the power of one American. Approximately 550 million people in Sub-Saharan Africa do not have access to electricity and must rely on kerosene and diesel generators for lighting, while another 900 million lack access to clean cooking fuels and technologies, causing rapid deforestation and dangerous levels of indoor air pollution. 78% of businesses across the continent experience disruptions to energy causing them to resort to dirty and polluting diesel generators. Africa's energy consumption and manufacturing output needs to triple over the next two decades to create the economic opportunities and jobs that can lift its people out of poverty. In a business-as-usual scenario, with both increasing energy use and energy intensity, Africa's emissions would double by 2050, derailing the Paris Agreement climate targets.
3. Africa has the opportunity and challenge of needing to build much of its infrastructure, manufacturing capacity, and economy. This requires accelerated financial support to enhance mitigation and adaptation action and address inequities in access to climate finance. It is now estimated that the conservative \$100B per year financing pledged for developing countries at the 2009 Copenhagen climate talks will only be achieved in 2023 despite ongoing commitments made including at COP-26 in Glasgow in 2021. Private sector financing complementing this critical financing gap is required to mobilize targeted capital to meet the energy challenge facing the Continent.
4. KawiSafi Fund I achieved significant impact in its two focus countries Kenya and Rwanda – with combined 23.4M direct and 19.9M indirect lives impacted and over 20M tonnes of CO₂e as of 30 June 2022. While we continue to be committed to supporting Kenya and Rwanda achieve their NDC's, we are planning to expand our impact beyond these two countries given the significant need highlighted above. KawiSafi Fund II intends to focus on priority counties where it has NOLs. As of June 15, 2023, we received 6 compliant NOLs from Cote d'Ivoire, Democratic Republic of Congo (DRC), Kenya, Nigeria, Rwanda, Uganda, and Zambia. The Accredited Entity is in advanced discussions with several other countries, including (without limitation) Ghana,⁷ Senegal,⁸ South Africa.⁹ These countries all expressed significant interest in the project, but haven't been able to complete their internal sign-off processes to submit compliant NOLs for various reasons. Additional countries may be added to the programme after initial Board approval, provided they submit a compliant NOL and the addition is approved by the Board.
5. To arrive at the focus countries, the team conducted a rigorous market evaluation and selection exercise considering (i) market gaps and need for climate financing to meet NDC targets; (ii) investment ecosystem; (iii) Acumen's prior experience and reach; and (iv) country alignment to KawiSafi Fund II's target sectors to identify where the Fund's investments can address climate change mitigation priorities of each particular country and increase adaptive capacity to climate risks. Taken together, interventions in these countries have the potential to improve the resilience of approximately 3.5 million people and avert 20.9 million tonnes of CO₂e.

Proposed interventions

⁶ World Resources Institute Climate Analysis Indicators Tool (WRI CAIT 4.0, 2017). GHG emissions are reported in units of carbon dioxide equivalents.

⁷ Where Ghana is mentioned in the Funding Proposal, its inclusion is pending the receipt of a compliant NOL and approval of the Board of GCF.

⁸ Where Senegal is mentioned in the Funding Proposal, its inclusion is pending the receipt of a compliant NOL and approval of the Board of GCF.

⁹ Where South Africa is mentioned in the Funding Proposal, its inclusion is pending the receipt of a compliant NOL and approval of the Board of GCF.

6. The KawiSafi Fund II is an ambitious \$200 million venture equity Fund intending to utilize a blended finance structure to unlock private sector climate investment into the African region. The Fund expects to continue the success demonstrated in the deployment of KawiSafi Fund I and target firms with business models that deploy low-carbon technologies in an inclusive and sustainable way and that enable people to participate and flourish in a green economy and growth out of poverty. As at the date of submission of this proposal, the project has received six (6) No-Objection Letters (NOLs) from the Governments of Cote d'Ivoire, Democratic Republic of Congo (DRC), Nigeria, Rwanda, Uganda and Zambia.¹⁰
7. The KawiSafi team has developed an indicative advanced pipeline of over 40 investment opportunities with an aggregate deal value of \$500 million across our focus verticals highlighted below. This is out of a larger pipeline pool of ~200 companies, with an estimated deal value of just under \$2B across the ten countries of focus.
8. Building on the KawiSafi Fund I experience that identified and supported the emerging energy access ecosystem, KawiSafi Fund II has identified three thematic verticals that represent the new landscape for off-grid innovation, with proximity to its existing portfolio and universe of investment activity. These are:
 - 1) **Energy Transition:** Firms delivering on global and national energy transition strategies through rapid deployment of low-carbon renewable power generation in renewable and commercial and industrial ("C&I") markets, residential mini- and metro grids, financial services for renewables, and waste-to-energy circular economy models;
 - 2) **Productivity:** firms focusing on low-carbon productivity and efficiency markets including low-cost internet access, "smart" green manufacturing, recycling / circular economy, clean cooling, and agro-processing technology; and,
 - 3) **Mobility & Logistics:** firms involved in the rapidly evolving mobility & logistics markets where unique electric vehicle battery business models and artificial intelligence are driving rapid innovation in fragmented markets and creating new opportunities for climate-resilient public and private transportation systems.
9. KawiSafi II will focus on late-venture / early-growth stage companies with ticket sizes of \$1-\$10 million and on its core expertise of scaling businesses. The Management team sees the company-building role of KawiSafi II to be particularly important as markets recover and restructure in the context of a post-COVID 19 world. The larger fund and ticket size reflect the evolution of the investment landscape in Africa since Fund I was launched, with more investable businesses, sharper growth curves, and greater need for capital deployment. There remains a significant gap in equity funding at this stage of growth across African markets, where a company has launched and started to gain traction, but still needs capital to reach commercial scale. KawiSafi Fund I's ticket sizes were \$500k-\$6M and investments were at late venture / early growth stage; KawiSafi II intends to invest across the same stages but will have the ability to invest slightly larger tickets, which our experience and research shows is required by the market.
10. **KawiSafi Fund II builds on the track record and experience of Acumen as an Accredited Entity ("AE") with two GCF-supported funds under management – the KawiSafi Ventures Fund and the Acumen Resilient Agriculture Fund (ARAF).** The KawiSafi Ventures Fund (approved in 2015 and launched in 2016) ("KawiSafi Fund I" or "KawiSafi I") was one of GCF's first investments: a \$67M venture fund focused on renewable off-grid energy access in Kenya and Rwanda. Key achievements of KawiSafi Fund I as at 30/06/2022 have been:
 - Deployment of over \$44M in 10 investments representing residential solar, biogas, PAYGO technology, consumer financing and C&I energy.
 - A portfolio that has impacted over 43M people in Kenya and Rwanda with ~50% of households being below the poverty line. KawiSafi Fund I's portfolio has pro-actively promoted gender diversity and inclusion, with our portfolio companies employing ~870 women and training over 4,900 women in the larger ecosystem.
 - KawiSafi Fund I has cumulatively averted 17.8MtCO₂e in Kenya and 2.4MtCO₂e in Rwanda

¹⁰ The AE is in advanced discussions with several other countries, including (without limitation) Ghana, Senegal, South Africa. These countries, amongst others, all expressed significant interest in the FP but haven't been able to complete their internal sign-off processes due to COVID-19 and other reasons. Nevertheless, we expect to receive NOLs from most, if not all, of these countries before the publication deadline. Additional countries may be added to the programme after initial Board approval, provided they submit an NOL and the addition is approved by the Board.

- Leveraging public with private capital: KawiSafi Fund I has leveraged approximately \$580M additional debt and equity capital to its portfolio (14x its investment; 47x GCF capital).
- As of 31/12/2022 KawiSafi Fund I has received one partial distribution from a portfolio company and is working with the companies to support subsequent equity raises and/or exit planning.

KawiSafi I has a robust data and impact tracking framework which reports on impact metrics to its shareholders and other stakeholders on a quarterly basis. For KawiSafi I, the team has worked extensively with the GCF portfolio management team on the APRs and ensuring that methodologies and impact processes are robust. The team works with a third party impact monitoring and evaluation firm, 60decibels, to develop and improve its impact processes on an ongoing basis. An independent evaluation is due in October 2023 under the terms of the KawiSafi Fund I project implementation plan.

Climate results /benefits

11. KawiSafi Fund II focuses its efforts on private investment pathways identified in priority NDC's to achieve both mitigation and adaptation impacts and benefits in the highest-impact countries listed above. The focus of KawiSafi Fund II is on supporting country climate action plans to avoid business as usual emissions (BAU) and support lower income communities to adapt and become more resilient to climate impacts. The Fund intends to focus on venture-backed companies that can deliver the highest CO2 mitigation and population resilience outcomes per \$ invested.

The Fund is targeting an aversion of **20.9 million tCO₂eq** through its investments in energy, productivity, and mobility. Further, the Fund's interventions seek to drive increased MW of low-emission energy capacity installed across the identified countries. Finally, the scaling of companies rolling out two, three and four-wheeler electric vehicles ("EVs") across various markets on the continent aims to increase the use of low-carbon transport and significantly reducing carbon dioxide equivalent (t CO₂ eq) in urban and peri-urban areas.

The Fund is also targeting **reduced vulnerability and strengthened resilience of approximately 3.5 million people directly and indirectly** to effects of climate change. This is expected to be achieved through enhancing their resilience and adaptive capacity by 1) reducing reliance on climate vulnerable generation such as hydropower, fossil fuels, and vulnerable grids; 2) increase the use of climate information in decision-making and climate-response planning through expansion of internet connectivity and supply chains in rural populations; 3) strengthening food-systems which support agricultural communities to adapt to the changing realities of climate change. Specifically, investments in innovations in the agriculture-energy nexus such as solar powered irrigation and cold storage are expected to increase farm communities' resilience to changes in precipitation as well as enhance food security through reducing post-harvest losses helping lower food loss.

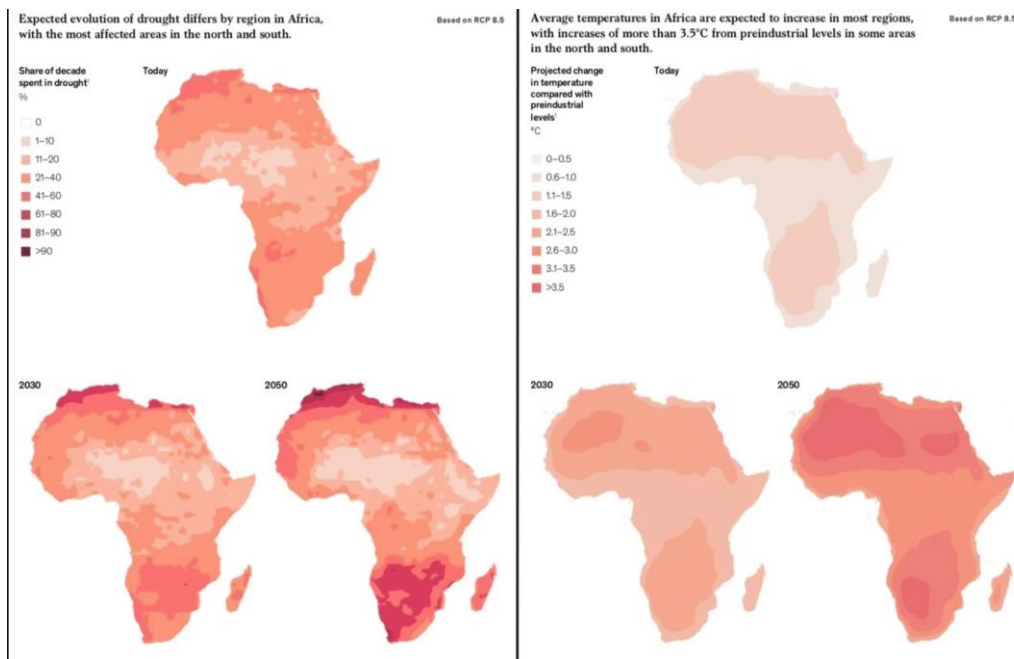
B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

I. Climate Context by region

1. Africa is the most vulnerable continent to climate change impacts under all climate scenarios above 1.5 degrees Celsius. Despite having contributed the least to global warming and having the lowest emissions, Africa faces exponential collateral damage, posing systemic risks to its economies, infrastructure investments, water and food systems, public health, agriculture, and livelihoods, threatening to undo its development gains. Much of the continent is reported to have already seen increases of approximately 0.7°C. According to the IPCC, temperature increases in sub-Saharan Africa are projected to be higher than the global mean temperature increases (at global warming of 1.5°C and at 2°C). Even if the mean global temperature anomaly is kept below 1.5°C, regions between 15°S and 15°N are projected to experience an increase of hot nights, as well as longer and more frequent heatwaves. Increases would be even larger if the global mean temperatures were to reach 2°C of global warming, with significant changes in the occurrence and intensity of temperatures in all sub-Saharan regions¹¹. The African Development Bank expects that 15% of Africa's hard-earned GDP growth will be wiped out if climate change continues unabated.¹² Failure to meet the Paris Agreement goals will likely push over 100 million people into extreme poverty by 2030, with Sub-Saharan Africa facing the highest increase in the poverty rate.¹³ Warming in Sub-Saharan Africa, which has 95% of rainfed agriculture, is expected to be higher than the global average, and many regions of the continent are expected to get less rainfall. With Africa's rate of population growth, it is unlikely that food supply will keep up with demand.¹⁴ Africa's reliance on agriculture for GDP growth and employment adds to the continent's vulnerability to the effects of climate change, as does other weather-sensitive activities, such as herding and fishing, leading to income loss and increased food insecurity.

Evolution of precipitation patterns (left) and temperature patterns (right) in Africa



McKinsey predicts that by 2050, nearly the entire African continent will be experiencing at least a 2.6-3.0°C temperature increase, and some regions in Northern and Southern Africa are projected to exceed increases of 3.5°C. McKinsey also projects that drought severity will evolve to be more pervasive by 2050.

Source: "How will African farmers adjust to changing patterns of precipitation?" McKinsey Global Institute, 2020.

Note: Climate projections based on RCP 8.5 CO₂ concentration—a high emissions scenario that reflects no further

decarbonization.

¹¹ IPCC, Impact of 1.5°C of global warming on Natural and Human systems. Accessible [here](#)

¹² African Development Bank (2022): African Economic Outlook 2022: Supporting Climate Resilience and a Just Energy Transition in Africa. Accessible [here](#)

¹³ Hallegatte, Stephane, Mook Bangalore, Laura Bonzanigo, Marianne Fay, Tamaro Kane, Ulf Narloch, Julie Rozenberg, David Treguer, and Adrien Vogt-Schilb. 2016. Shock Waves: Managing the Impacts of Climate Change on Poverty. Climate Change and Development Series. Washington, DC: World Bank. doi:10.1596/978-1-4648-0673-5. Accessible [here](#)

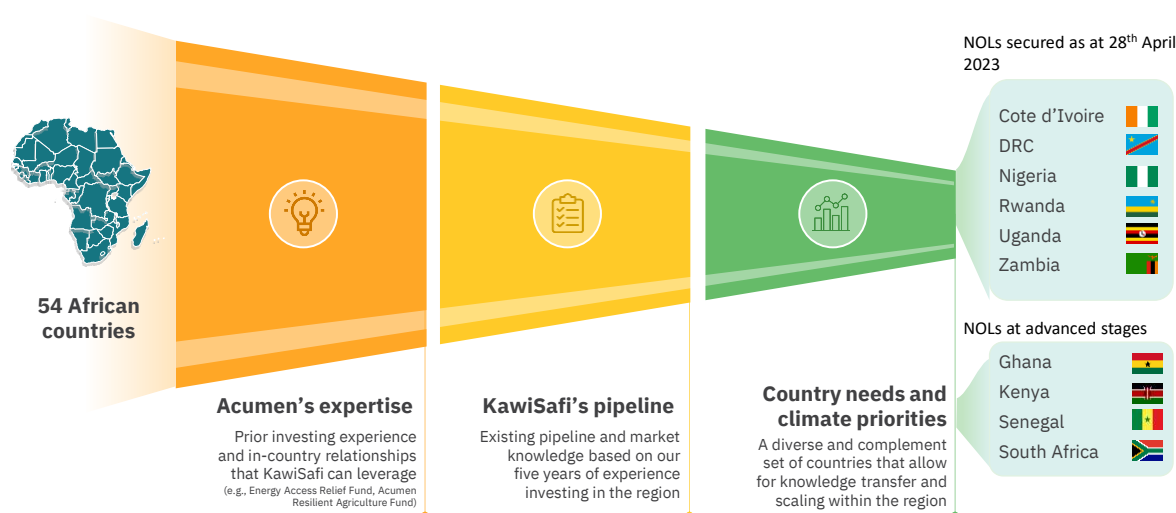
¹⁴ Foreign Policy Research Institute (FPRI, 2021): Impact of Climate Change on Africa's Economies, Accessible [here](#)

2. In selecting focus countries, the KawiSafi team conducted a rigorous research and analysis exercise considering in particular:
 - I. Accredited Entity's expertise and prior experience across different markets in Africa;
 - II. KawiSafi II's pipeline of investable opportunities; and
 - III. Country needs and climate priorities.

This exercise led to the identification of priority countries for KawiSafi II: Cote d'Ivoire, Democratic Republic of Congo (DRC), Kenya, Nigeria, Rwanda, Uganda, and Zambia (NOLs obtained as at 15 June 2023); Ghana, Senegal, South Africa (NOLs at advanced stages). KawiSafi II has further segmented these countries into three "archetypes", which have different levels of market maturity and investment needs. KawiSafi II intends to pursue a differentiated investment strategy to have mitigation and adaptation impact across each of these different archetypes. The types of investment in each country will vary depending on the archetype and accompanying market conditions.

Country selection framework

We selected and prioritized the focus countries based on three criteria



3. In East Africa, which contributes approx. 1.43% of global GHG emissions¹⁵, climate variability will likely have significant impacts on the region. Increasing temperatures and shifting rainfall patterns are already affecting economic growth, livelihoods, food security, health, and ecosystems.^{16,17} With a population of over 460 million, the region is one of the world's most rapidly urbanizing areas; however, 70% of the population still live in rural areas where people rely heavily on rainfed agriculture. Projections indicate that reduced crop productivity in much of the region is expected to increase poverty and food insecurity. Warming temperatures and changing precipitation patterns are expected to decrease subsistence and cash crop production, which remain a critical source of livelihood and economic activity across the region. Increasingly severe flooding and drought, in addition to rising evaporation rates and shifting rainfall patterns, will likely diminish East

¹⁵ USAID, GHG Emissions Factsheet East Africa. Of the ten countries included in the East Africa Regional mission, GHG emissions data are available for eight countries. Excluding Somalia and South Sudan, for which GHG emissions data are not available, the Democratic Republic of Congo (DRC) has the highest total greenhouse gas (GHG) emissions, followed by Tanzania, Ethiopia, Kenya and Central African Republic. Note that the data was reported in 2011 and this is expected to have increased since.

¹⁶ WMO (2020), State of Climate in Africa. Report Accessible [here](#)

¹⁷ Global Alert and Coordination System, orange alert Accessible [here](#)

Africa's water quality and reduce water availability, impacting sanitation and human health as well.¹⁸ The region, whose GHG emissions grew faster than the world average (42% compared to 38%) between 1990 and 2011³, is expected to continue increasing its emissions as population and energy demand increase if low carbon pathways are not developed and intensified. In East Africa, KawiSafi Fund II intends to focus on DRC, Kenya, Rwanda, and Uganda (NOLs secured). Examples of how some of these countries needs align with the KawiSafi Fund II mandate are highlighted below.

- **Kenya:** Droughts and floods are the main climate hazards in Kenya, whereas variable rainfall is threatening the stability of hydropower, the country's major electricity source. The economy is highly dependent on climate sensitive sectors such as agriculture, energy, manufacturing, and tourism. Climate change impact has caused considerable losses across the country's different sectors over recent years; economic losses resulting from droughts and floods are estimated at 3% of Kenya's Gross Domestic Product (GDP)¹⁹. Kenya's total GHG emissions in 2017 were 49.7 MtCO₂e with the energy sector accounting for 63% of emissions. In its updated Nationally Determined Contributions (NDC), submitted in December 2020, the country increased its ambition to abate emissions by 32% (up from 30%) by 2030 relative to the business as usual (BAU) scenario. Kenya has committed to bear 21% of the mitigation costs (US\$3.7B) and 10% of the adaptation cost (US\$4.4B) and would require international support for the remaining \$53.9B implementation costs. Among the priority mitigation activities include use of clean, efficient, and sustainable energy technologies to reduce over reliance on fossil and non-sustainable biomass fuels, enhancing energy efficiency, achieving a tree cover of 10% of land area and clean transport. Adaptation focus includes promotion of climate smart agriculture. In Kenya, the agriculture sector in particular is highly susceptible to the vagaries of weather, including temperature increase, precipitation changes, and extreme events. Dry weather conditions in 2017 led to a decline in the production of most agricultural commodities, and an increase in the number of livestock slaughtered as farmers and pastoralists tried to cushion their losses. Recurring droughts have forced an estimated 30% of livestock owners out of pastoralism in the past 20 years. Fisher communities report that fish are moving from in-shore to deeper waters and artisanal fisher communities lack the technologies to safely fish in deeper waters. Adaptation actions become a priority, to maintain or increase production and enhanced resilience of the agriculture systems. KawiSafi II intends to invest in resilient technologies such as solar irrigation, that support increased agricultural productivity, increased water harvesting & storage.
- **Uganda:** Uganda submitted its interim NDC in 2021 with an increased ambition in its emission reduction goals. Uganda emits ~ 4.9 million tons (or 0.2 tons per capita) of carbon dioxide per year. Combined, the transport and agriculture sectors were projected to represent 70% of emissions by 2030 under a 'Business as Usual (BAU)' scenario.²⁰ The country's low adaptive capacity means that it continues to suffer from climate variability, which is estimated to cost 2-4% of GDP between 2010-2050 which might reverse progress to achieve Vision 2040. In 2019, the reported national energy access rate was 41% (26M people without access to electricity). Urban and rural areas reported 71% and 32% connectivity respectively.²¹ By end of 2022, the Government targets to increase off grid connections by approximately 140,000 (with 95% of these systems expected to be residential solar connections and 5% from mini grids). Uganda also relies significantly on biomass energy. Currently only 5.9% of the population has access to clean cooking energy sources, which has led to a significant rate of deforestation in the last decade.²² From 2002 to 2020, it is estimated that Uganda lost 7.6% of its total tree cover.²³ Two-wheeler motorcycles or "*boda-bodas*" have a high prevalence in cities such as Kampala (estimated to have over 200,000 riders). Motorcycles are both most prevalent vehicle type and the fastest growing vehicle category according to estimates from the Ministry of Transport and Works.²⁴ Urbanization is expected to exponentially increase motorcycle usage leading to increased CO₂

¹⁸ USAID, Climate links database: Climate Risk Profile, East Africa. Accessible [here](#)

¹⁹ Kenya (2015) Government of Kenya's Intended Nationally Determined Contribution (INDC)', UNFCCC, Accessible [here](#)

²⁰ LEDS Global Partnership (2018) Country briefing Uganda's National Transport Master Plan

²¹ <https://trackingsdg7.esmap.org/country/uganda> Accessed February 2022

²² Uganda has signed up to the [Bonn challenge](#) on reforestation

²³ Global forest watch statistics 2022; Uganda

²⁴ Ministry of Works and Transport (2016) Annual Sector Performance Review 2015-16. Kampala: Ministry of Works and Transport. P17.

emissions and lower city air quality in the next decade.²⁵ In terms of the program's responsiveness to Uganda's adaptation needs, there is strong alignment with Uganda's final (2022) NDC, which states that priority adaptation actions for the energy sector include promoting renewable energy and energy efficiency technologies, and improving access to and utilization of electricity from sustainable sources.²⁶ Furthermore, Uganda's NDC highlights a commitment to promoting efficient mobility within cities in their priority adaptation actions for cities and the built environment.²⁷ Looking at resilience to climate change, Uganda is vulnerable to rising temperatures and more infrequent and unpredictable rainfall patterns. Changing rainfall patterns in Uganda are expected to increase the incidence and severity of both droughts and floods. Uganda scores 6.3 in the 2022 INFORM Risk Index which puts it in the 15% of countries most at risk due to drought. The incidence of droughts in Uganda has increased over the last 20 years. The districts in the cattle corridor from Western and Central to mid-Norther and Eastern Uganda are most vulnerable to droughts. Approximately 75% of the population lives in rural areas and are engaged in some form of agricultural activity, the vast majority relying on rainfed agriculture, with access to modern irrigation equipment standing at below 5% of all farmers. KawiSafi looks to invest in climate resilient technologies in agriculture such as low-carbon irrigation technologies that address lack of water access, that impacting both crop yields and dairy production, improving this sector's adaptive capacity to adverse effects of climate change.

- **Democratic Republic of Congo:** Despite efforts in the last decade that improved energy access rates from 11% in 2009 to 19% in 2017, the DRC's 68 million people is the second largest population without access to electricity in Africa (behind only Nigeria). The investment needs of the power sector exceed the government's fiscal capacity, and private capital is needed to meet the funding gap, especially after the COVID-19 pandemic. If electrification efforts follow the same pace as during the last decade - Business As Usual (BAU) scenario, it is estimated that over 100 million people – or 80% of total population in the DRC will still live without electricity by 2030²⁸ and the country will sharply miss its ambitious target of universal access by 2030.²⁹ 97% of the total energy consumption in DRC comes from renewable energy, 82% of this relates to traditional use of biomass – specifically wood and charcoal with disastrous consequences to the country's forest. It is estimated that DRC has lost approximately 15.9Mha, equivalent to an 8.0% decrease in forest cover since 2000, leading to 9.71Gt of CO₂e emissions.³⁰ Furthermore, the high degree of the country's fragility – weak governance, conflict and security issues and poor transport infrastructure – has led to underinvestment in the national grid thereby increasing the urgency of alternative decentralized solutions. The KawiSafi Fund II programme is also responsive to the DRC's adaptation needs, as it aligns with the NDC's prioritization of energy access as a key adaptation commitment.³¹ Climate projections for the coming decade predict an increase in temperatures of 3 to 5 degrees, a decrease in precipitation, and an increase in its variability, as well as an increase in extreme events. The country's adaptation plan identified the sectors of water resources, forestry, agriculture and the coastal zones as the most vulnerable to the effects of climate change. In the agriculture sector, for example, climate change will likely lead to a reduction in the overall productivity yield due to degradation of conditions needed for optimal plant growth, e.g., increased evaporation due to higher temperatures, reduced rainfall³². Given the sectors dependence on rainfall, this creates a food security risk. KawiSafi II plans to invest in climate smart agriculture technologies that leverage low-carbon technologies such as solar irrigation to improve resilience to the sector.

²⁵ Uganda National Climate Change Policy April 2015; The Uganda Green Growth Development Strategy 2017/18 – 2030/31

²⁶ The Republic of Uganda, Ministry of Water and Development, Updated NDC (September 2022). https://unfccc.int/sites/default/files/NDC/2022-09/Updated%20NDC%20_Uganda_2022%20Final.pdf

²⁷ The Republic of Uganda, Ministry of Water and Development, Updated NDC (September 2022). https://unfccc.int/sites/default/files/NDC/2022-09/Updated%20NDC%20_Uganda_2022%20Final.pdf

²⁸ IEA, DRC Energy Outlook 2019: <https://www.iea.org/articles/democratic-republic-of-the-congo-energy-outlook>

²⁹ [GOGLA 1H sales and impact report 2021](#) Lighting Africa DRC summary, 2022 Accessed [here](#)

³⁰ Global forest watch, DRC profile, February 2022, Accessed [here](#)

³² DRC, National Adaptation Plan

- **Rwanda:** While the Country is targeting universal electrification by 2024, it is estimated that over 80%³³ of the country still rely on biomass for cooking leading to significant deforestation in the Country. KawiSafi Fund II intends to respond to this need by supporting businesses offering cost-competitive scalable clean cooking solutions in the country. Climate assessments project that the mean annual temperature in Rwanda will increase by 1.4–2.3°C. The duration of heat waves is projected to increase by 7–22 days. The prevalence and intensity of flooding is also expected to increase, causing higher numbers of landslides. Over the past 30 years, the frequency and intensity of extreme events such as floods and droughts have increased in Rwanda. Floods and landslides were increasingly reported in the high altitude western and northern provinces. These increase vulnerability of key social-economic sectors such as transport given the current state of transport infrastructure. This increased risks in other key sectors such as agriculture (food losses due to lack of access to markets). KawiSafi's investment in Climate smart technologies such as transport data analytics that inform key transport network investments, will likely lead to the development of sustainable transport networks and systems that are resilient to adverse climate change effects. Further, underground transmission cables and transmission infrastructure are prone to damage and undermining from flooding, whilst increased wind speeds can damage transmission lines and pylons. Elevated temperatures and extreme weather events can damage control systems, leading to lack of service. Around 50% of Rwanda's electrical power generation comes from small-scale hydropower projects. Central and Southern regions are projected to see a decrease in annual rainfall which will likely result in a decrease in river recharge and reservoir storage. KawiSafi Fund II intends to increase Rwanda's adaptive capacity to any of these events by supporting the development of climate proof infrastructure as highlighted in the Country's Climate Programme launched in 2021.
4. Across West Africa's 17 countries, climate change has been referred to as a "threat multiplier" as intensifying heat is expected to contribute to more prolonged droughts and rainfall, which in turn will likely affect land-use patterns for farmers, herders, and their livestock. The World Bank believes a situation of deteriorating environmental conditions and weak governance could tip some fragile countries into conflict. The region contributes approx. 2.03% of global GHG emissions, dominated by emissions from Nigeria. In West Africa, KawiSafi Fund II intends to focus on – Cote d'Ivoire, Nigeria (NOLs secured) and, if able to obtain an NOL, Ghana, Senegal. Details of how these countries needs align with the KawiSafi Fund II mandate are highlighted below:
- **Nigeria:** is Africa's largest economy and is projected to become the world's third most populous country by 2050 with over 400 million people. GHG emissions of Nigeria were driven by land-use change and forestry sector (loss of forest land) as well as the energy sector which accounted for ~62% of the country's total emissions. Despite being the largest emitter in the region, less than half of Nigeria's population has access to grid-connected electricity, and power supply only meets an estimated third of demand creating strong opportunities for off grid solutions. Climate change is estimated to cost between 6-30% of Nigeria's GDP by 2050, amounting to between US\$100-460 billion, as climate hazards like flooding cause internal displacement and casualties. The country's climate change vision is set out in its National Climate Change Policy (2021-2030), where it aims to prioritize low-carbon, carbon-resilient, and high-growth circular economy. The Nigerian government has set various goals including converting 61% of households to using LPG or improved cookstoves, ensuring 30% of on-grid electricity from renewables and increasing/restoring forest cover, among others. The national policy includes the energy sector as a key target for adaptation as well, articulating a commitment to climate change resilience through the promotion of a diverse energy mix with an increasing proportion of renewables and clean technologies, plus the enhancement of energy efficiency.³⁴ KawiSafi intends to increase adaptative capacity of the agriculture sector in Nigeria which is one of the sectors most sensitive to climate change. Under a BAU scenario, agricultural productivity could decline between 10 and 15% by 2080. In some parts of the North, the decline in yield in rain-fed agriculture could be as much as 50%. This in turn, would impact GDP, reducing it by as much as 4.5% by 2050, this will likely be coupled by a decline in agriculture's

³³ MECS, Endev (2022) Rwanda e-cooking market assessment

³⁴ Federal Ministry of Environment, Nigeria, National Policy on Climate Change (2020). <https://climatechange.gov.ng/wp-content/uploads/2020/09/national-climate-change-policy-1-1.pdf>

contribution to GDP from 40 to 15%.³⁵ KawiSafi will invest in low-carbon technologies such as solar irrigation to improve and maintain crop yields, and other rain dependent farming practices that build resilience to climate change's adverse effects on the sector.

- **Senegal:** is the second fastest growing economy in West Africa. In 2015, the country published the “Plan for an Emerging Senegal” (PSE), with sustainable development as one of its key strategic axes. PSE is targeting a reduction of 3.5M tons of Co2e in the next 25 years. The Senegalese Government’s “National Rural Electrification Program” aims to achieve 100% and 90% energy access in urban and rural areas, respectively, by 2025. The need for clean energy is important, as emissions in the energy sector more than doubled since 2010, overtaking the agricultural sector as the largest emitting sector. Meanwhile, Senegal is vulnerable to climate hazards, specifically extreme drought, and extreme wet events. Given its special geology (sediment deficits, natural instability of slopes, and surface runoff), rising temperature is a major threat, which could put ~75% of households living in coastal areas at risk. Current predictions indicate that the average temperatures in Senegal are likely to increase by up to 1.8 degrees Celsius by 2035, while annual precipitation will likely decrease and sea levels will likely continue rising. These changes are already affecting the availability of freshwater. Climate change risks, including desertification, are predicted to have adverse effects on food security, access to drinking water, public health and livelihoods. An overall decrease in the amount of rainfall, combined with increased variability and intensity, is expected to reduce agricultural yields by 30%³⁶. KawiSafi will invest in low-carbon technologies such as improved irrigation to improve and maintain crop yields, and other rain dependent farming practices that build resilience to climate change's adverse effects on the sector.
- **Ghana:** is one of Africa's fastest growing economies and has made significant strides in poverty reduction, but climate variability and change pose a threat to future growth and development. Rising sea levels, drought, higher temperatures, and erratic rainfall negatively impact infrastructure, hydropower production, food security and coastal and agricultural livelihoods. Increased risk of flooding and soil erosion caused by heavy rainfall events is likely to result in increased repair and maintenance costs for infrastructure. A report by GCA³⁷ estimates that by 2050 climate risks could cause damage worth \$3.9 billion to Ghana's infrastructure with the greatest risks to water, energy, and transport. KawiSafi Fund II intends to invest private capital to deploy decentralized renewable energy solutions; as well as increase adaptive capacity of communication and mobility assets that could be critical in disaster management. Focusing on Agriculture which is the largest employer within the Ghanaian economy suffers the most from climate change. The distribution of rainfall is the single most important affecting the sector. The increased variability of rainfall increases the risks associated with farming as farming becomes almost impossible. It is projected that rainfall patterns will experience greater variability which will impact crop production and the livelihoods of many in rural areas. In Ghana, Agriculture is predominantly rain-fed, and any changes in rainfall pattern would have serious impact on productivity. Current projections on climate indicate that rising temperatures and frequent droughts will increase the incidences of bushfires and environmental degradation. The changes in the climatic conditions in the past have deepened rural vulnerability to poverty and enhanced the process of land degradation and desertification. Investments in agriculture are becoming expensive, risky and less profitable.³⁸ KawiSafi will invest in low-carbon technologies such as improved irrigation to improve and maintain crop yields, and other rain dependent farming practices that build resilience to climate change's adverse effects on the sector
- **Cote d'Ivoire:** Côte d'Ivoire continues to be the leading economic power in the West African Economic and Monetary Union (WAEMU). In its updated NDC, Côte d'Ivoire has raised its goals and accelerated forest, land and energy reforms to contribute effectively to the fight against poverty. Coal expansion is abandoned in favor of an energy mix that includes renewable energy (45%) and natural gas power plants. Its ambitious mitigation goal calls for carbon neutrality in 2030 achieved through 38 proposed mitigation measures, of which 27 are unconditional. This is reinforced in its 2021-25 National Development Plan (NDP), where sustainable development is highlighted as the key to maintaining high growth. Mitigation

³⁵ Nigeria, 2021 NDC Update.

³⁶ UNDP, National Adaptation Plans in Focus: Lessons from Senegal

³⁷ Global Centre for Adaptation, 2022: Ghana: Roadmap for Resilient Infrastructure in a Changing Climate

³⁸ UNEP, Ghana National Climate change Adaptation Strategy (NCCAS)

priorities include improving affordable electricity access, increasing the use of renewable energy sources, improving energy efficiency, renewing vehicle fleet, and promoting mass transportation. In terms of adaptation, climate change threatens to push almost a million additional Ivorians into extreme poverty and increase the risk of water stress. Cote d'Ivoire has ambitious mitigation targets, aiming for 98.9% reduction in total GHG emissions compared to the BAU in 2030 (68.5% conditional and 30.4% unconditional), which equates to a mitigation level of up to 650 Mt CO₂. The estimated total cost to achieve this is \$22 billion. The future climate projections of Cote d'Ivoire by 2050 show temperature increase in the range of +1.3 to 2.3 degrees, rainfall changes from -2 to +7% with increased frequency and intensity of heavy rainfall events, change in length of dry spells from -8 to +1 days and sea level rise from +18 to 45 cm. Climate risks are recognized in several important sectors of the Côte d'Ivoire economy: coastal fisheries could see a 26 percent reduction by 2050, substantial loss in surface area suitable for cocoa cultivation due to rising air temperatures, water vulnerability or stress, increased coastal erosion and loss of forest cover due to the use of woods for fire and dependence on charcoal. The estimates from the World Bank suggest that Côte d'Ivoire could incur losses of CFAF 380 to 770 billion due to climate change between 2040-2100³⁹. With the agriculture sector, human capital, and infrastructure being impacted the most.¹⁵ The agricultural sector is mainly rain-fed and hence particularly vulnerable, with projected reductions in vegetation and decreased ecosystem productivity due to soil degradation, reduction of water availability and droughts between 2015-2100. As a key sector in Ghana, KawiSafi will invest in low-carbon technologies such as improved irrigation to improve and maintain crop yields, and other rain dependent farming practices that build resilience to climate change's adverse effects on the agriculture sector.

5. Southern Africa contributes approx. 2.19% to global GHG emissions – 63% of which are driven by South Africa and Angola. Energy is the largest emitting sector due to South Africa's high coal dependence. Across the region, climate change is expected to drive changes in temperatures and rainfall patterns leading to increased water scarcity, pest infestations, increased frequency and intensity of droughts and floods. Extreme weather events associated with climate change are already affecting livelihoods, economies, and the environment, in turn exacerbating existing vulnerabilities in the region. The region faced its worst drought in 35 years during the 2016 El Nino period. In Southern Africa, KawiSafi Fund II intends to focus on Zambia (NOL secured) and, if able to obtain an NOL, South Africa. Examples of how these countries needs align with the KawiSafi Fund II mandate are highlighted below.
 - Zambia has experienced a series of climatic extremes since 2000, floods and droughts have impacted millions to date. Climate change impacts could slow the development process of the country and could cost Zambia up to US\$13.8 billion loss in GDP. Supporting low carbon development pathways that mitigate greenhouse gas (GHG) emissions and promote climate- resiliency in the most vulnerable sectors of the economy has been a priority for Zambia leading to implementation of various plans and policies such as the National Climate Change policy. Agriculture constitutes 9% of the GDP of Zambia and is the primary source of livelihood of the predominantly rural population. Reduced productivity of arable and pastoral farming, caused by drought, heat-stress of livestock, and increased disease is likely to reduce the revenues that can be made from agriculture. Based on the current climate conditions, drought has a severe impact on Zambia, directly affecting approximately 3.26 million people every year. The number of people directly affected by droughts annually is projected to increase from 3.2 million to 6.9 million by 2050 (UNDRR, 2019). Under downside case scenarios, Zambia's mean annual precipitation in the period 2020 – 2039 is projected to decrease by a median value of up to 30.2 mm from the historical reference period of 1995 – 2014 (World Bank). As a result of these rainfall trends, crop yields are under pressure year on year, thereby threatening food security in the country. Zambia is projected to be among the countries most affected by climate change and weather variability due to the high dependence on rain-fed agriculture as only about 3% of the total planted area is irrigated (Hamududu and Ngoma [2019](#)). KawiSafi's investments in low-carbon technologies (such as irrigation) that create resilience in the agriculture sector to adverse climate change effects become very important. The country planned a total emission reduction of 38,000GgCO₂eq which translates to 47% against 2010 as a base year. The total cost of these programmes is estimated at \$50 billion across mitigation

³⁹ UNDP, National Adaptation Plans in focus: Lessons from Cote d'Ivoire

and adaptation actions with ~70% expected to come from external sources.⁴⁰ In the updated NDC proposal submitted in July 2021, Zambia added transport and liquid waste to its overall mitigation strategy in addition to energy and energy efficiency⁴¹. This is in recognition of the increased contribution of these sectors to the emissions profile of the country. Zambia has one of the lowest rural electrification rates on the continent, estimated at ~6% compared to an urban connectivity rate of 76% in 2019. The country has made various efforts to achieve 100% urban electrification and 50% rural electrification by 2030 as per its commitment under the SDG7 National Energy Compact.⁴² The Country also targets deploying 900,000 cooking stoves by 2025 supporting the sustainable management of forests and reversal of deforestation currently estimated at 276,021 hectares per annum due to high reliance on charcoal and fuel wood. In terms of Zambia's adaptation priorities, the country's commitment to increasing agricultural productivity (as reflected in its Third National Communication to the UNFCCC) could be supported by KawiSafi Fund II's energy-productivity investments, targeting the agriculture sector.⁴³

- **South Africa:** The country is facing the impact of climate change, with the national average temperature increasing more than twice the rate of global temperature increase since 1990. Additionally, the country's energy system is one of the most coal-dependent in the world (61% in 2017) with a large stock of high-carbon infrastructure. The Integrated Resource Plan in 2019 aims to decommission over 35 GW (of 42 GW currently operating) of coal-fired power capacity by 2050. South Africa's Low Emission Development Strategy 2050, built upon its National Development Plan 2030, outlines its goal to achieve peak emission in 2020-2025 then plateau for up to ten years till 2035, before declining from 2036. Other goals include establishing an economy-wide carbon price and implementing zero emission buildings by 2030. In addition to reduction of GHG emissions, the country is looking to prioritize innovations that enhance water security; deploy flood protection and monitoring; develop early warning systems for smallholder farmers and implement climate-smart agriculture as part of its Adaptation Plan. The adaptation component of South Africa's NDC mirrors its national climate change adaptation strategy, and reaffirms the national priority of early warning systems and a multi-hazard warning system for its agricultural sector, particularly for small-scale farmers.⁴⁴ Climate-smart agriculture is also highlighted in the NDC.⁴⁵ given the vulnerability of the agriculture sector to increase in temperatures (increased frequency of extremes such as heat waves) and changing rainfall patterns affecting agriculture productivity support KawiSafi's interventions in investing in low-carbon climate-smart agriculture technologies that reduce the risk from adverse climate change effects on agriculture.

II. Climate Finance Context

1. The above climate contexts indicate the significant climate finance needs in Africa. It is estimated that African countries need ~\$2.8 trillion by 2030 to successfully implement their NDCs. Collectively, this represents more than 93% of Africa's GDP. While African governments have committed \$264 billion of domestic public resources, about 10% of the total cost, \$2.5 trillion must come from international public sources and the domestic and international private sectors.⁴⁶ Private sector investment has been hampered by the cost of capital being up to seven times higher in emerging markets and real and perceived risks being too high for commercial investors.
2. On the adaptation side, adaptation funding to African countries was significantly insufficient when compared to the needs over the previous decade. According to research by Stockholm Environment Institute (SEI),

⁴⁰ <https://www.greenclimate.fund/sites/default/files/document/zambia-country-programme.pdf>

⁴¹ Zambia Revised and Updated NDC 2021, [Accessed here](#)

⁴² SDG7 Energy Compact of Zambia [Accessed here](#)

⁴³ See Annex II (Market Study).

⁴⁴ Republic of South Africa, First Nationally Determined Contribution under the Paris Agreement (September 2021). <https://unfccc.int/sites/default/files/NDC/2022-06/South%20Africa%20updated%20first%20NDC%20September%202021.pdf>

⁴⁵ Republic of South Africa, First Nationally Determined Contribution under the Paris Agreement (September 2021).

<https://unfccc.int/sites/default/files/NDC/2022-06/South%20Africa%20updated%20first%20NDC%20September%202021.pdf>⁴⁶ The State of Climate Finance in Africa: Climate Finance Needs of African Countries

⁴⁶ The State of Climate Finance in Africa: Climate Finance Needs of African Countries

while adaptation cost in the region was estimated to be 7-15 billion USD per year by 2020, actual funding towards adaptation initiatives was only 16.5 billion USD from 2014 to 2018, translating to merely 5.5 billion USD per year.⁴⁷ SEI research also estimates that only 46% of committed adaptation finance to Africa was actually disbursed. On the mitigation side, developing, and emerging economies are projected to account for the up to 5 gigatons in new CO₂e emissions in the next 20 years, representing the vast majority of expected emissions growth. Energy demand in Africa is forecast to more than double by 2040 to over 1,600 TWh. As a result, a key focus area to a just path to zero emission is increasing energy consumption while preventing increased emissions, which requires significant investment in clean energy.⁴⁸

A summary of climate financing gaps by country is highlighted below⁴⁹:

Country	2020 GDP NDC Goal (\$Mn)		Reduction compared to baseline 2030 (MtCO ₂ e)	Total Cost	
				Total estimated cost (\$mn)	Annual cost as % of GDP
DRC	49,870	21% reduction in total GHG emissions compared to the BAU in 2030 (19% conditional and 2% unconditional)	650	66,100	17%
Uganda	37,370	22% reduction in total GHG emissions compared to the BAU in 2030	17	5,500	2%
Zambia	19,320	47% reduction in total GHG emissions compared to the BAU in 2030 (22% conditional and 25% unconditional)	58	23,700	15%
Ghana	72,350	Total GHG reduction of 64MtCO ₂ e by 2030, including 24.6Mt of unconditional (38%) and 39.4Mt of conditional reductions (62%)	64	9,260	2%
Kenya	98,840	32% reduction in total GHG emissions compared to the BAU in 2030 (25% conditional and 7% unconditional)	46	61,600	8%
Nigeria	432,300	47% reduction in total GHG emissions compared to the BAU in 2030 (27% conditional and 20% unconditional)	209	177,000	5%
Rwanda	10,330	38% reduction in total GHG emissions compared to the BAU in 2030 (22% conditional and 16% unconditional)	5	11,000	13%
Senegal	24,910	29.5% reduction in total GHG emissions compared to the BAU in 2030 (22.5% conditional and 7% unconditional)	11	13,100	7%
South Africa	301,900	Annual GHG emissions will be in a range of 398-510 MtCO ₂ e in 2021-2025 and 350-420MtCO ₂ e in 2026-2030	Not available	120,000	5%

III. The Proposed Solution: KawiSafi Fund II

1. Finding ways to drive a step-change in investment through blended finance structures is critical to achieve climate goals. **KawiSafi Fund II intends to allocate \$200 million in climate-focused venture capital targeted at supporting inclusive green growth across Africa.** The Fund itself will have a blended structure and include a concessional first loss layer to crowd in commercial investors who have historically perceived the region and industry as high-risk. This structure is designed to expand the pool of climate investors into the continent and increase private sector climate financing beyond the traditional multilateral and bilateral development donors. Investing at an inflection point for company growth and scale, KawiSafi Fund II will seek to crowd in equity co-investors in company financing rounds, as well as provide the critical equity layer that allows for additional debt leveraging. KawiSafi Fund I has to date leveraged approximately \$580M of additional debt and equity capital to its portfolio companies (13x its investment). Should the success of KawiSafi I be replicated, the new KawiSafi Fund II could unlock over \$2B in funding for the continent.
2. Building on KawiSafi Fund I experience supporting the evolution of the off-grid energy ecosystem, KawiSafi Fund II intends to invest in three core sectors namely: (1) **Energy Transition**; (2) **Energy Productivity and** (3) **Mobility & Logistics**. These are highlighted below (and further detail is included in Section B.3 of this document):

⁴⁷ Stockholm Environment Initiative (2021). Five ways in which finance for climate adaptation in Africa falls short, Accessible [here](#)

⁴⁸ Globally, clean energy investments in emerging and developing economies need to increase from \$150 billion in 2020 to over \$1 trillion by 2030 to be on track for a net-zero scenario by 2050

⁴⁹ Sources: Country NDC's

3. **Energy Transition:** The Fund will seek to continue investing in opportunities captured in the first Fund (residential and C&I markets, mini- and metro- renewables grids, solar PV hardware, waste-to-energy, clean cooking, energy fintech) and additionally look for opportunities in firms that deploy battery storage systems at scale through financing/leasing/energy-as-a-service models. This is expected to have significant mitigation and adaptation impacts across East and West Africa, specifically:

- Increase energy access through investment in decentralized renewable energy for residential use, including standalone renewables, mini- and metro- grids, and battery storage (Mitigation and Adaptation)
- Increase access for reliable, low carbon energy for industrial growth in Africa (Mitigation)
- Support reduction in changes in land use – especially deforestation (Mitigation)
- Support development of climate-resilient infrastructure (Adaptation)

Adaptation impact being targeted: A look at rural electrification in West Africa (Nigeria and Senegal).

- a. Direct and indirect impact on the most vulnerable people and communities through climate-resilient technologies
- b. Direct and indirect impacts on infrastructure and build environments through adoption of decentralized energy systems.

Climate risk vulnerability: Energy Transition in rural electrification

Access to energy is still a major gap, for example in Nigeria and Senegal. Providing access for off-grid households to a clean, modern, self-contained energy source extends significant adaptation benefits to those that are otherwise dependent on traditional, “dirty” fuels. Use of traditional fuels contributes to deforestation and can also result in reliance on volatile prices and supply chain disruptions. Grid infrastructure in certain regions is vulnerable to climate shocks such as floods and other weather events, and therefore more localized, climate-proof generation and distribution infrastructure has an important role to play in securing energy supply to vulnerable communities, as well as improving energy systems recovery. Finally, clean modern energy (such as standalone solar) reduces the health burden on households due to indoor air pollution and respiratory illnesses. Improved health increases resilience in the face of worsening climatic conditions.

Adaptation Impact thesis: Energy Transition in rural electrification

An investment in climate-resilient energy systems addresses the vulnerability in a climate change context. We anticipate the following impacts from our investment in these technologies:

- a. Improved recovery and/or resilience of energy system post extreme weather events
- b. Individuals who benefit from expanded energy access in other ways, for example through access to the internet which facilitates the use of climate information services and
- c. The adaptation co-benefits of more resilient health and education infrastructure, through their improved power supply
- d. The adaptation benefits of businesses receiving a more reliable power supply, notably the enhanced resilience of their service and the improved reliability of their employment
- e. The improved resilience of the energy network through the use of more energy-efficient appliances.

4. **Energy Productivity:** Firms providing innovative solutions that leverage renewable energy, energy-efficiency technology, smart devices / IoT, software-as-a-service, and fintech / asset financing to unlock productive use of energy across African economies. This includes use of energy in sectors such as agriculture and food value chains; cooling and other supply chain efficiencies, green manufacturing and Information and Communication Technologies (“ICT”) among others. Mitigation and adaptation impacts expected from this segment include:

- Increased energy efficiency of manufacturing and other energy intensive industries in Africa (Mitigation)
- Support for development of low-carbon urban infrastructure (Mitigation)
- Increased adaptive capacity of populations to climate events or hazards – through energy efficient cooling; waste to energy innovations and provision of climate related information (Adaptation)
- Support increased climate data collection and dissemination for climate-resilient agriculture; expected to increase capacity of agriculture dependent rural populations to water availability, changes in temperatures and rainfall variability (Adaptation)

- Support the adoption of improved and/or new climate-resilient livelihood options (Adaptation)

Adaptation impact being targeted: A look at the agriculture sector

- a. Direct and indirect impact on the most vulnerable people and communities through resilient agriculture technologies that achieve food security as well as health, well-being and water security outcomes

Climate risk vulnerability: Agriculture sector

Agriculture is one of the sectors most vulnerable to changes in the climate. Across the continent, yields are expected to decline most severely in countries at lower altitudes. Projected losses in production threaten national economies, not to mention threatening food security. In Africa, major grains including wheat, maize and sorghum are projected to suffer mean yield losses of 8% by 2050, with some crops, notably wheat, expected to experience a yield loss of 17%. There is a major need for innovative solutions to offer productive use equipment for small-scale farmers such as solar-powered irrigation systems.

Adaptation Impact thesis: Agriculture sector

An investment in climate smart agriculture technologies addresses the vulnerability in a climate change context. We anticipate the following impacts from our investment in these productive technologies:

- a. Increased crop output (yields per hectare) and dairy productivity (liters per cattle head) compared to baseline scenario despite worsening climatic conditions. Additionally, improved ability for farmers to do multiple crop cycles within a year, given year-round access to water source.
- b. Reduction in operating costs, vs. diesel fuel, for those farmers already using diesel powered water pumps. Customer spend is approximately 40% less weekly than for traditional water pumps.
- c. Increased income and take-home pay for farmers and their households, by increasing the volume of marketable produce as well as improving quality.
- d. Increased produce available in the local market for consumption within vulnerable communities. Enhanced food security and strengthened resilience in the face of drought, hunger, and loss of output.

5. **Mobility and Logistics:** Companies involved in the rapidly evolving electric mobility and logistics markets across Africa. Mitigation and adaptation impacts expected from this segment include:

- Increased deployment of low-emissions transport infrastructure (Mitigation)
- Support increased data collection and efficiency in urban transport and logistics systems – through electrification and investment in innovative shared public mobility business models (Mitigation and Adaptation)

Adaptation impact being targeted: Transport Sector – Transport network technologies

- a. Direct and indirect impact on the most vulnerable people and communities through climate-resilient technologies
- b. Direct and indirect impacts on infrastructure and build environments through adoption of sustainable climate-smart mobility technologies.

Climate risk vulnerability: Transport sector

African urban and intercity transport systems are vulnerable to multiple types of climate impact: sea level rise and storm surge, higher frequency and intensity of extreme wind and storm events, increased precipitation intensity, extreme heat and fire hazard, overall warming, and change in average precipitation patterns. The increased frequency and intensity of extreme climate event challenges the year-round availability of critical transport services: roads are damaged more often or are more costly to maintain; expensive infrastructure assets such as ports, railways or airports can be damaged by storms and storm surges, resulting in a short-life cycle and capacity than they were originally designed for. Critical infrastructure such as bridges continue to be built based on data and disaster risk patterns from decades ago, ignoring the current trend of increased climate risk. For Sub-Saharan Africa alone, it is estimated that climate change will threaten to increase road maintenance costs by 270% if no action is taken. The transport data gap in sub-Saharan Africa is massive. In many developing countries, even the largest cities may not have the capacity to collect any transport data or provide basic information to users, such as public transit maps or schedules. This makes it difficult for residents to optimize their journeys and makes it even harder for local authorities to plan and operate efficient transit networks.

Transport infrastructure is more climate-proof and urban communities are better equipped to respond to early warning systems and coordinated emergency response to extreme weather events.

Adaptation Impact thesis: Transport Sector

An investment in climate smart mobility technologies addresses the vulnerability in a climate change context. We anticipate the following impacts from our investment in these productive technologies:

- a. Vulnerable populations will have better access to early warning systems and emergency response measures as they pertain to the transport network (e.g., not to travel by certain modes of transport, districts/boroughs to avoid, where evacuation channels are most congested, etc.)
- b. Urban populations will have access to real-time information about optimal transport routes and transport networks. The optimization of the transport infrastructure will improve its affordability and efficiency, thereby improving its accessibility for users from vulnerable populations.
- c. Public service providers will have better ability to offer emergency healthcare and other critical public services as through the technologies they will be able to identify routes of high-demand and to serve them efficiently.
- d. Municipal and local governments will be better able to monitor transport infrastructure in real-time, responding to maintenance needs quickly and ensuring infrastructure is climate-proof. Data-driven approaches to transport maintenance enable preventative maintenance and more cost-effective maintenance to limit the damage caused by extreme weather events.
- e. Municipal and local governments are able to plan transport networks more efficiently to reduce congestion and ensure good access to exit and evacuation routes – critical in the face of higher probability of extreme weather events.

The expected impacts are further highlighted in the table below:

Climate Related Gaps and Vulnerabilities	Region(s) affected	KawiSafi Fund II Segment	Potential Interventions/Investments	Expected Impact
Climate funding gap in Africa	Pan African	Energy Transition Energy Productivity Mobility	Target: \$200M Fund Size Blended structure to leverage concessional funding to attract commercial investors	Reduction in climate funding gap in Africa Demonstration of a scalable, replicable model to drive low carbon development in Africa
Mitigation:	Region(s) affected	KawiSafi Fund II Segme	Potential Interventions/Investments	Potential Mitigation Impact Theme
Lack of access to energy for households in Sub Saharan Africa	East Africa, West Africa, Southern Africa	Energy Transition	Investment in off-grid residential solar; Commercial & Industrial (C&I) solar systems; green mini/micro grids; domestic clean cooking solutions.	Increase in sustainable household energy access
High-carbon and unreliable energy for industrial growth	West Africa, Southern Africa	Energy Transition Energy Productivity: Green Manufacturing	Investment in C&I solutions; and technologies that enhance energy efficiency in manufacturing.	Tonnes of carbon dioxide equivalent (t CO ₂ eq) reduced or avoided Development of low-emission/low carbon energy infrastructure in Africa Expected decrease in energy intensity of buildings, cities, industries and appliances
High-carbon, inefficient transport systems	East Africa, West Africa	Mobility	Investment in electric mobility ecosystem - manufacturers of electric vehicles, charging infrastructure, financing and BaaS opportunities.	Tonnes of carbon dioxide equivalent (t CO ₂ eq) reduced or avoided Development of low-emission/low carbon energy infrastructure in Africa Expected decrease in energy intensity of cities
Land use shifts due to socioeconomic processes affected by climate change may result in increased deforestation.	West Africa, East Africa	Energy Transition	Investment in biogas solutions in agricultural communities Investment in improved biomass cook-stoves	Expected improvement in the management of land or forest areas contributing to emission reductions. Improved well-being of rural, low income populations - particularly women who are disproportionately affected by highly polluting residential cooking solutions
Undeveloped low-emission, climate resilient urbanization across the continent	West Africa, East Africa	Energy Transition Mobility	Investment in decentralized renewable energy solutions with IOT capability; Sustainable mobility - low emission with enhanced data collection for improved planning and efficiency	Development of low carbon pathways for urban eco-systems
Adaptation:	Region(s) affected	KawiSafi Fund II Segme	Potential Interventions/Investments	Potential Adaptation Impact Theme
Potential decline in reliability of hydropower and the quantity of hydropower-generated electricity	East Africa, Southern Africa	Energy Transition	Investment in off-grid, decentralized, residential solar; C&I solar systems; green mini/micro grids.	Expected increased adaptive capacity of energy generation in regions dependent on hydropower as the key renewable source of energy. Provides an alternative to long-lived, climate vulnerable infrastructure.
Increased exposure of urban infrastructure to climate hazards and events	West Africa, East Africa, Southern Africa	Energy Transition Energy Productivity: Connectivity; Waste-to-Energy; Cooling	Investment in decentralized renewable energy solutions with IOT capability. Support of circular economy initiatives - such as recycling, waste to energy. Energy efficient cooling and appliances.	Expected increased adaptive capacity of urban infrastructure and populations to risk of climate hazards and events. Development of low carbon pathways for urban eco-systems.
Lack of climate information required for early warning systems; to mobilize responses to climate events; and to improve climate considerations in agricultural management	East Africa, West Africa, Southern Africa	Energy Productivity: Connectivity Mobility	Investment in increased renewable energy powered internet and cellular connectivity. Sustainable shared public mobility.	Increased resilience of populations to climate hazards and events - through early warning systems; as well as increased availability of climate related information for urban planning and climate-smart agricultural practices. Expected increase in generation and use of climate information in decision-making.
Adverse changes to quantity and quality of surface water and groundwater due to projected trends in temperature and precipitation.	East Africa, West Africa, Southern Africa	Energy Productivity: Agriculture/Energy nexus	Promote climate-smart agriculture. Enhance technological advancement for water use - such as solar irrigation.	Expected increased adaptive capacity of agricultural populations (especially small holder farmers) to water availability.
Reduced agricultural productivity due to higher temperatures, high inter-seasonal rainfall variability threatening livelihoods and reducing food security.	East Africa, West Africa, Southern Africa	Energy Productivity: Agriculture/Energy nexus, Cooling	Investment in businesses that deploy low-emission resilient inputs, practices and technologies. Investment in cooling technologies to reduce post harvest losses.	Expected increased adaptive capacity of agricultural populations (especially small holder farmers) to rainfall variability, and higher temperatures. Increased food security reducing vulnerability of these communities to other climate hazards or events.

IV. How KawiSafi II complements existing projects

1. KawiSafi Fund II intends to build on the track record of KawiSafi Fund I which as of 30 September 2022, had deployed over \$44M in 10 investments and impacted over 43M people directly and indirectly while averting more than 20 million tons of CO₂eq in Kenya and Rwanda. The Fund's investments represent companies in residential solar, biogas, PAYGO technology, consumer financing and C&I energy – which are all expected to be core segments of focus in the second Fund. KawiSafi Fund I was formed at a crucial moment in the development of the energy access ecosystem and its investments supported the evolution of the sector to its current state. Today, the sector's needs are distinct and Fund II responds to the need for early growth stage capital in the highest priority investments to deepen energy and climate solutions for households and businesses. KawiSafi Fund I activities led to the tracking of over 200 private firms in Africa over the investment period and the development of a rich pipeline of investable opportunities which supported the

definition of Fund II's strategy in terms of segments and ticket size as well as formed key criteria considered in the prioritization of the countries of focus across Africa.

2. KawiSafi Fund I's ticket sizes were \$500k-\$6M and investments were at late venture / early growth stage; whereas KawiSafi Fund II's ticket sizes aims to be \$1M-\$10M but investments will still be at late venture / early growth stage. In other words, KawiSafi II intends to invest across the same stages but will have the ability to invest slightly larger tickets, which our experience and research shows is required by the market. With respect to the Energy Transition vertical, KawiSafi II seeks to continue to invest in renewable energy businesses, including residential solar, commercial & industrial solar, battery storage, and other businesses as referenced in the Eligibility Criteria below.

3. **KawiSafi II through its themes, structure and investment instruments is designed to complement existing climate financing projects, as follows:**

Private sector led: KawiSafi II differentiates itself from existing interventions such as the Global Environment Facility and the Climate Investment Fund as it is a private sector Fund complementing Public Sector energy transition efforts by meeting the dual challenge of 1) leveraging catalytic capital to unlock private and institutional capital towards the development of decarbonized, distributed energy infrastructure in Africa; and 2) providing critical essential services to underserved populations on the continent. While public sector initiatives are critical to achieving the goals of the Paris Accord through significant large-scale interventions such as South Africa's COP26 hailed deal where the country received \$8.5B to help end its reliance on coal⁵⁰ private sector initiatives ensure that these are sustainable by developing profitable, scalable business models that also encourage economic growth. There is a significant market need in this segment as highlighted above – with the KawiSafi team identifying \$1.98B in potential deal value from over 200 pipeline opportunities across energy transition; energy productivity and clean mobility segments in Africa.

Equity investments: KawiSafi Fund II will seek to identify replicable business models in these segments and invest equity financing which support further leveraging in their capital structure. This should be a complement to other GCF funded projects such as the Universal Green Energy Access Programme (FP027) and the AfDB Leveraging Energy Access Finance Framework (FP168) which provide subordinated debt, receivables financing, credit enhancement guarantees and technical assistance to support growth of distributed renewable energy projects and impact. Both types of financing are critical to increasing the pools of financing (including local currency financing) that is available; as well as improving the risk profile of low carbon investments in Africa.

Supported by focused ("smart") TA grants: KawiSafi II is raising a technical assistance facility (the "TAF") alongside KawiSafi Fund II to complement its equity investments with focused grants to both (i) enhance the impact of its portfolio and (ii) support development of the ecosystem for high-impact climate solutions in Africa. KawiSafi II is well-positioned to implement the TAF because it is an impact investor with a track record of success and established relationships in the focus markets. The TAF will likely be additive and complementary to the work of existing TA facilities and expects to leverage regional and local partnerships to drive successful implementation, deliver value for money, and ensure country ownership.

V. **Alignment with GCF's Private Sector Strategy**

KawiSafi Fund II is closely aligned to the key priorities set out in GCF's Private Sector Strategy (19 May 2022):

1. *Promote a conducive investment environment for combined climate and economic growth activities:* KawiSafi Fund II contributes to development and promotion of conducive investment environment in its focus African countries, through demonstration of viability of private equity investment in these markets, as well as directly contributing to development of the investment ecosystem through convening, participation in consultations with public sector and civil society, and support of ecosystem development initiatives through the Technical Assistance Facility.
2. *Accelerate innovation for business models, financial instruments and climate technologies:* KawiSafi

⁵⁰ BBC News, COP26: South Africa hails deal to end reliance on coal, <https://www.bbc.com/news/world-africa-59135169>

Fund II is designed to support innovative business models and companies deploying climate technologies across its focus verticals. In terms of instruments, KawiSafi Fund II deploys equity and quasi-equity financial instruments, and has a track record of introducing innovative, flexible terms into its investment agreements to ensure incentives are aligned, upside is shared, and risks are managed appropriately. GCF's strategy identifies the lack of early-stage risk capital for entrepreneurs deploying climate technologies. KawiSafi Fund II, through its equity investments and TAF support, is dedicated to filling this gap.

3. *De-risk market-creating investments to crowd in private climate finance:* GCF's contribution to the Junior Equity of the KawiSafi Fund II and the TAF will play a critical role in crowding in private climate finance into the sector by de-risking the investment opportunity and providing more attractive risk-adjusted return potential for private investors.
4. *Strengthen domestic and regional financial institutions to scale up private climate finance:* While KawiSafi Fund II will not directly support domestic and regional financial institutions, the team will look to co-invest with domestic / sovereign funds within our focus African markets, such as FONERWA in Rwanda. Through our investments, the team will also play an active role in connecting portfolio companies with local commercial banks and help unlock local currency financing into climate sectors within focus countries.

KawiSafi Fund II has a strong country ownership focus to ensure robust partnerships with country NDAs, relevant public sector agencies and parastatals, and consultation with local CSOs (further detail in Section D.5 below).

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

1. KawiSafi II aims to address the twin challenges of poverty and climate change. In Sub-Saharan Africa, people lack access to essential goods and services while facing increasing risk and volatility driven by climate change. Investing in innovative companies that increase access to energy, productivity, and transport directly addresses these challenges. The target companies directly offer essential goods and services to individuals and businesses, while also supporting increased employment and access to opportunity. Lack of access to these essential goods and services has resulted in income inequalities which historically have had the poor suffer the indignity of poverty wages and denied basic rights – especially amongst women and girls.
2. The KawiSafi Fund II theory of change is centered around the following paradigm shift:
 - **IF** the KawiSafi Fund II unlocks capital for low-carbon productive businesses,
 - **THEN** the ecosystem for investment in and growth of such businesses should be catalyzed and accelerated, resulting in adoption of clean-smart technologies at scale, reduced GHG emissions, and strengthened adaptation to climate change,
 - **BECAUSE** KawiSafi II's demonstration effect of the financial and impact potential should lead to more available funding and more low-carbon productive businesses emerging in Africa.

The theory of change addresses the key market barriers and risks as follows:

Barrier 1: Limited availability of flexible equity capital for late venture/ early growth companies in low-carbon and climate-smart sectors.. Limited access to finance is one of the most significant barriers hindering the transfer of necessary low-carbon and climate resilient technologies in Africa. With a limited universe of credit-worthy, grid-tied projects, the distributed energy sector emerged to meet consumer needs. However, these companies do not benefit from the same long-term contracts and risk mitigation strategies. Instead, they either rely on many micro-payments from individuals in the residential segment, or contracts with SMEs in the C&I segment, which require targeted sources of capital able to assess the unique risks involved. There is a need for late venture and early growth equity capital to catalyze capital crowd-in. There is not enough local institutional capital available with a mandate to invest in green projects. There is an urgent need for innovative financial solutions to de-risk institutional investors, pool funds at scale and provide the much-needed equity capital for renewable energy companies in Africa.

Barrier 2: Nascency of many clean technologies in focus countries and lack of both consumer awareness and technical expertise. Many of the critical technologies required to facilitate low-carbon transition are still at a nascent stage in Africa e.g., in the area of renewables mini-grids, energy storage and electrical vehicle charging infrastructure. Similarly, the lack of proven models, technical capacity, knowledge gaps and limited consumer awareness hinder scaling the sector, especially with regards to de-risking projects through appropriate capital structuring, institutionalizing best practices, operational and governance standards as well as innovative business models - all things that are necessary to design and scale up commercial feasibility of projects and maturation of the sector. Investing in high-quality management teams and facilitating technical support (through the TA) intends to serve to address this gap.

Barrier 3: Limited understanding of link between climate mitigation and adaptation, how to integrate adaptation practices into target sectors, understanding of methods and data tools for tracking.

Across the continent, governments have notably initiated mitigation and adaptation target setting in line with their NDC efforts towards reducing emissions and adapting to the impacts to climate change. However there remains a need for further dialogue linking the integration of mitigation and adaptation practices into target sectors that could further increase attractiveness of these nascent, climate-focused sectors. Providing technical assistance alongside equity investing into these sectors should support enhancing climate and ESG impacts through learnings, best practices and innovations. These efforts should deepen adaptation impacts, and promote best practices in climate impact knowledge and data.

Barrier 4: Technical and STEM-related climate technologies are often gender exclusive and women are less represented. While energy is a critical enabler in reaching development goals and improving social well-being, the benefits of increased access to modern and cleaner energy services often fail to accrue evenly to men and women. The energy industry has significant gender disparities in terms of employment participation, control over decisions, assets and resources, capacity, and skills. Therefore, there exists an opportunity to close these identified gender gaps, through the provision of technical assistance to bridge gender inclusivity and transformation in climate smart solutions. These should in turn improve the resilience of women to adverse effects of climate change.

3. KawiSafi Fund II will seek to address these barriers as follows:

First, through investment of risk capital in the scaling of businesses providing renewable distributed energy and storage solutions, KawiSafi Fund II will seek to support the rapid acceleration of supply of these essential products and services to millions of people which is expected to in turn demonstrate the technological suitability of these products and commercial viability of these businesses. KawiSafi's investment expects to be critical to crowding in additional capital for these companies which will likely not only avert carbon emissions by displacing fossil fuels but also unlock significant productivity, employment, and well-being benefits in these communities. For example, investment in a company providing energy storage solutions that replace Back Up Generators (BUGs) in Nigeria will seek to not only avert carbon emissions from diesel replacement, but also prove the technology creating a new skill base and generating employment in this new supply chain with more opportunities for women; increase reliability of power for users and reduce air pollution when deployed at scale.

Second, to accelerate the shift to low emission transport, KawiSafi Fund II will seek to supplement public sector efforts by investing in segments ripe for private sector intervention such as two and three-wheeler EVs and associated charging. This capital will seek to support the roll out of new technology, validate innovative financing business models being piloted to unlock affordability and access to electric transport in Africa. At scale, these technologies are expected to drive down emissions from transport that are estimated to account for nearly a quarter of all energy related CO₂ emissions. The innovative EV financing structures such as Battery as a Service (BaaS) will likely also reduce the total cost of ownership of these products and increase residual income for riders which is expected to generate new employment opportunities in the sector.

Further, KawiSafi Fund II will seek to invest in businesses that utilize innovative pay as you go models to build agricultural infrastructure that supports income generation and increases smallholder farmers adaptive capacity to the effects of climate change. Increasing access to these products will likely also empower small holder farmers (who in most countries of focus have a larger female representation) will likely empower these women to expand income generating activities – for instance through value addition from solar powered grinding or milling of farm produce. Given the nascency of this segment, KawiSafi Fund II activities will seek

to support the collection of critical adaptation data and promote best practices in climate impact knowledge.

4. The following table summarizes the key barriers and how they will likely be addressed through the theory of change (activities and outputs):

Barrier	Output area	Activities / Sub-activities that address the identified barrier
Barrier 1: Limited availability of flexible equity capital for late venture / early growth companies in low-carbon and climate-smart sectors	Output 1: Equity capital and support for scaling of low-carbon and climate-smart businesses	Activity 1.1 Fundraising, Market Screening, Pipeline Development, and Equity Investment • Sub-activity 1.1.1. – Fund formation activities • Sub-activity 1.1.2. – Fundraising activities • Sub-activity 1.1.3. Research and sourcing • Sub-activity 1.1.4: Initial Diligence • Sub-activity 1.1.5: Preliminary Investment Memo • Sub-activity 1.1.6: Full Commercial Diligence • Sub-activity 1.1.7: Agree terms and complete diligence • Sub-activity 1.1.8: Investment documentation and closing Activity 1.2 Post-Investment Engagement • Sub-activity 1.2.1 – Quarterly and Annual financial and impact reporting received from the portfolio companies • Sub-activity 1.2.2 – Board meetings • Sub-activity 1.2.3 – Ensuring compliance with shareholder agreements • Sub-activity 1.2.4 – Portfolio support across financial management, talent, impact/ESG management, capital raise, etc.
Barrier 2: Nascency of many clean technologies in focus countries and lack of both consumer awareness and technical expertise	Output 1: Equity capital and support for scaling of low-carbon and climate-smart businesses Output 2: Wider, access to and use of clean energy, alternative transport, and productive use assets and services by households and businesses	Activity 1.1 Fundraising, Market Screening, Pipeline Development, and Equity Investment • Sub-activity 1.1.1. – Fund formation activities • Sub-activity 1.1.2. – Fundraising activities • Sub-activity 1.1.3. Research and sourcing • Sub-activity 1.1.4: Initial Diligence

		Output 5: Climate innovations and pilots for deployment of new technologies and business models accelerated	• Sub-activity 1.1.5: Preliminary Investment Memo • Sub-activity 1.1.6: Full Commercial Diligence • Sub-activity 1.1.7: Agree terms and complete diligence • Sub-activity 1.1.8: Investment documentation and closing Activity 2.4 Technical assistance for accelerating the deployment of new technologies and innovative business models • Sub-activity 2.4.1 Support market acceleration by working with climate and tech incubators and accelerators and industry bodies to support innovation around new technologies and business models Sub-activity 2.4.2 Support centers of excellence and research institutions developing market-relevant solutions in the areas of electric mobility, productive use, cooling, battery storage, and other low-carbon technologies. Sub-activity 2.4.3 Support feasibility studies for the deployment of new clean technologies or business models of cleantech companies	
	Barrier 3: Limited understanding of link between climate mitigation and adaptation, how to integrate adaptation practices into target sectors, understanding of methods and data tools for tracking	Output 3: Companies and initiatives supported to deepen adaptation impacts and promote best practices in climate impact knowledge and data	Activity 1.2 Post-Investment Engagement • Sub-activity 1.2.4 – Portfolio support across financial management, talent, impact/ESG management, capital raise, etc. 2.2 Technical assistance for enhancing climate (esp. adaptation) and ESG impact through learnings, best practices, and innovations • Sub-activity 2.2.1 Support companies to develop, implement and evaluate their climate and ESG action plans Sub-activity 2.2.3 Develop industry research publications on climate impact monitoring,	

			and best practices Sub-activity 2.2.4 Support implementation of consumer protection standards, quality assurance, and best practices; using available frameworks
Barrier 4: Technical and STEM-related climate technologies are often gender-exclusive and women are less represented	Output 2: Wider, access to and use of clean energy, alternative transport, and productive use assets and services by households and businesses Output 4: Skills developed and more inclusion of women in climate sectors, and greater access to climate technologies for women customers	Activity 1.2 Post-Investment Engagement - Sub-activity 1.2.4 – Portfolio support across financial management, talent, impact/ESG management, capital raise, etc. 2.3 Technical assistance for climate solutions and outcomes that are gender inclusive and transformative - Sub-activity 2.3.1 Support activities to promote skills development and leadership representation of women in new climate-tech sectors - Sub-activity 2.3.2 Support initiatives to increase entrepreneurial participation of women in the climate sector - Sub-activity 2.3.3 Develop programmes that promote accelerated uptake of clean technology products by women	

5. The Fund activities intend to directly contribute to making wider options for low carbon productive use available and accessible to lower income people; ensuring companies have necessary liquidity and capital to scale and deliver low carbon business models and meeting high standards in environmental and social risk management. In turn, these drive the following long-term outcomes:

- **Outcome 1: Reduce energy-related GHG emissions from renewable energy and energy storage solutions**
- **Outcome 2: Reduced transport and logistics-related GHG emissions from electric and shared mobility solutions and greening of private fleets.**
- **Outcome 3: Reduced household and industrial GHG emissions from “green productivity” solutions, including energy efficiency, agriculture-water-energy, waste solutions, materials**

Africa is home to some of the world’s fastest-growing economies and populations, and the continent’s energy demands are increasing rapidly. To meet this demand sustainably, Africa must prioritize reducing its greenhouse gas emissions, particularly those related to energy production and consumption. One way to achieve this is through the implementation of renewable energy and energy storage solutions, which can significantly reduce energy-related emissions. Additionally, Africa must address emissions from transport and logistics, which can be accomplished through the use of electric and shared mobility solutions, as well as greening private fleets. Finally, Africa can reduce household and industrial GHG emissions through the adoption of “green productivity” solutions, including energy efficiency, sustainable agriculture, water and energy conservation, waste reduction, and environmentally friendly materials. By embracing these solutions, Africa can mitigate

its impact on the environment and contribute to a sustainable future for all. KawiSafi II's target businesses are expected to displace polluting sources of energy and increase efficiency across the continent. Historically, Africa has contributed ~4% to GHG emissions, driven mainly through the lack of access to essential needs such as electricity. Investment into the sector is expected to see households improve their standard of living, with increased access to goods and services and additionally should contribute to the targets set by Africa countries to cut emissions by 32% by 2030⁵¹. Adoption of low-carbon technologies at the household, and business level is expected to yield reduced emission into the atmosphere, which should slow down the adverse effects of climate change. Since inception, KawiSafi Fund I has averted ~27M tons of CO₂eq emissions through its portfolio investments, exceeding its target of 1M tons of CO₂eq emissions. Fund II seeks to avert 20.9 million tonnes of CO₂eq emissions through the investments it makes across the energy transition, energy productivity and mobility verticals.

- **Outcome 4: Improved resilience of lower-income populations due to better adaptability to climate change.**

The resilience of lower-income populations is improved, through access to more resilient energy and transport infrastructure, strengthened food security, and access to a broader range of reliable climate proof opportunities and tools for employment, income generation and economic opportunities. A co-benefit of the improved resilience is the increase and support for work opportunities for men and women. As described in section B.1. above, the region faces severe climate risks including increased drought/extreme rains; exposure to extreme heat; increased weather volatility. By investing in the target energy and climate solutions, the businesses served will likely be more resilient to these shocks and can better serve low-income customers. In this context it is imperative to develop businesses that enable populations to diversify their incomes either by expanding climate sensitive factors or by promoting adaptation measures that increase the resilience of these communities. As an example, investment in cold chain technologies has the potential to improve food security through the reduction of fresh produce wastage as a result of spoilage and post-harvest losses, as exemplified by Fund I investee company InspiraFarms. Cooling technology unlocks farmer/traders' ability to optimize market access, while for the health care sector, it improves the access to essential and lifesaving medicines and vaccines in the hardest to reach areas. Investment in productive use technologies should create more resilient communities in some of the most underserved areas of the continent.

- **Outcome 5: Enabling Environment: Strengthened ecosystem for low-carbon productive businesses, technology & innovation, and gender-inclusive climate solutions.** By moving towards financial sustainability, businesses have available to them additional capital for investment in R&D and technological innovations, catalyzing the development of new low-carbon technologies to support the energy transition. Further business sustainability is expected to increase employment, income, and gender-inclusive opportunities for low-income people through low carbon businesses. IRENA estimates that 26 million jobs can be created in the sector by 2050, with increased investment in renewable energy⁵². By 2022/23, it is estimated that the climate tech sector could support 1.3 million FTE jobs⁵³ across 4 major regions: South Asia (740K), Eastern Africa (350K), West Africa (150K) and Central Africa (70K), with women-led roles are expected to make up ~27% of these jobs⁵⁴. According to Forbes, for every direct job created in the renewable energy sector, ~5 more are created in the broader economy (indirect jobs)⁵⁵. Increased investment in this sector is expected to increase development in the region by 6.4% by 2050.⁵⁶ In 2021 alone, KawiSafi Fund I contributed to the creation of ~3,000 direct jobs through its portfolio of 9 companies, with an average

⁵¹ Africanews, Africa commits to cut 32% of emissions by 2030, [link](#)

⁵² IRENA, Renewable Energy and Jobs: Annual Review 2021, [link](#)

⁵³ These job opportunities include high-skilled, high value-add labor to support over-the-counter cash sales, and the sales of systems through instalment under the PayGo service delivery model, including finance and management roles.

⁵⁴ GOGLA, Off-Grid Solar: A growth engine for jobs, 2020, [link](#)

⁵⁵ Forbes, Renewable Energy Provides Growing Source Of Skilled Jobs For Africa And Asia, [link](#)

⁵⁶ Afrik21, Africa: Clean energy could create 26 million jobs by 2050, [link](#)

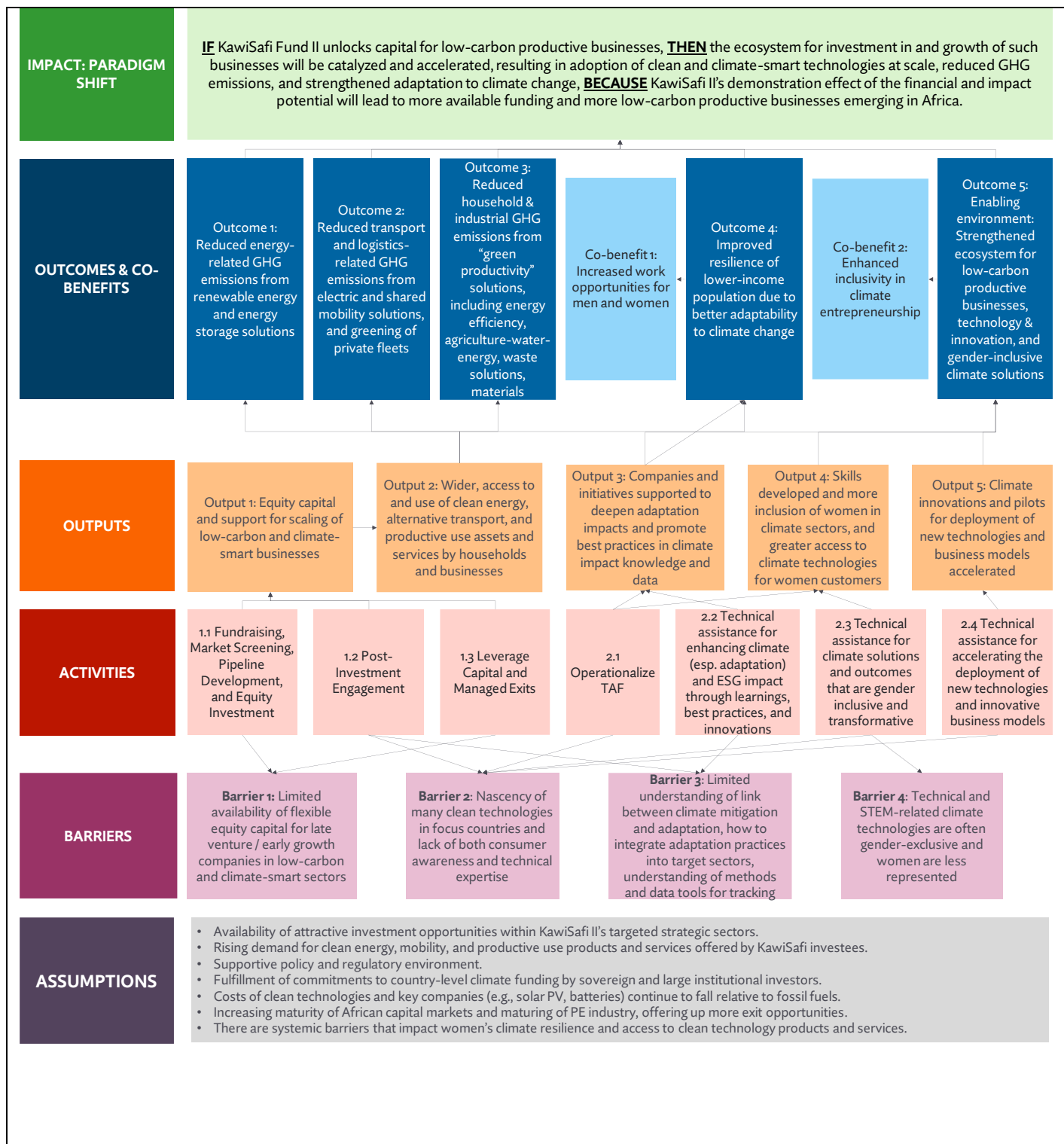
of ~30% women occupying these roles. Further, KawiSafi Fund I also supported the training of ~13,000 women in the solar sector over the same period. Fund II targets to build on the momentum of Fund I through the creation of 17,000 direct and 33,000 indirect⁵⁷, targeting 30% of roles being occupied by women.

6. Assumptions underlying the theory of change include the following:

- Availability of attractive investment opportunities within KawiSafi II's targeted strategic sectors.
 - Rising demand for clean energy, mobility, and productive use products and services offered by KawiSafi investees.
 - Supportive policy and regulatory environment.
 - Fulfillment of commitments to country-level climate funding by sovereign and large institutional investors.
 - Costs of clean technologies and key companies (e.g., solar PV, batteries) continue to fall relative to fossil fuels.
- Increasing maturity of African capital markets and maturing of PE industry, offering up more exit opportunities.
- There are systemic barriers that impact women's climate resilience and access to clean technology products and services.

Please see the theory of change diagram for a summary below:

⁵⁷ Assuming a conservative ratio of 2 indirect jobs created for every direct job created.



B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	MRA 2 Low-emission transport	MRA 3 Building, cities, industries, appliances	MRA 4 Forestry and land use	ARA 1 Most vulnerable people and communities	ARA 2 Health, well-being, food and water security	ARA 3 Infrastructure and built environment	ARA 4 Ecosystems and ecosystem services
Outcome 1: Reduced energy-related GHG emissions from renewable energy and energy storage solutions	☒	☐	☐	☐	☐	☐	☐	☐
Outcome 2: Reduced transport and logistics-related GHG emissions from electric and shared mobility solutions, and greening of private fleets	☐	☒	☐	☐	☐	☐	☐	☐
Outcome 3: Reduced household & industrial GHG emissions from “green productivity	☐	☐	☒	☐	☐	☐	☐	☐

y” solutions, including energy efficiency, agriculture-water-energy, waste solutions, materials								
Outcome 4: Improved resilience of lower-income population due to better adaptability to climate change	☐	☐	☐	☐	☒	☒	☐	☐
Outcome 5: Enabling environment: Strengthened ecosystem for low-carbon productive businesses, technology & innovation, and gender-inclusive climate solutions	☐	☐	☐	☐	☒	☒	☐	☐

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	Co-benefit					
	Environmental	Social	Economic	Gender	Adaptation	Mitigation

Co-benefit 1: Increased work opportunities for men and women	☐	☒	☐	☒	☐	☐
Co-benefit 2: Enhanced inclusivity in climate entrepreneurs hip	☐	☐	☒	☒	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

1. KawiSafi Fund II is a climate focused fund, sponsored by Acumen Fund and focused on low carbon technologies that meet the essential needs of growing African markets. The fund seeks to make a significant step-change in impact by investing at the nexus of climate and energy poverty. Its goal is to reduce vulnerability and strengthen resilience of approximately 3.5 million people directly and indirectly to effects of climate change and avert 20.9 million tonnes of CO₂eq.
2. The Management team builds directly from its experience of deploying its predecessor KawiSafi Fund I – a late venture stage equity fund focused on the fast-growing off-grid, distributed renewables ecosystem in East Africa. Areas where we can build from the successes of KawiSafi Fund I notably include the development and maturation of the off-grid energy sector (e.g., standalone solar, renewables mini-grids, C&I solar) since Fund I launch in 2016. The investment strategy for Fund I was explicitly intended to support the off-grid energy ecosystem across the value chain. The Fund I portfolio was constructed in line with that mandate and represents some of the strongest companies across the off-grid ecosystem. Now that the sector has grown and evolved so substantially, the investment focus for KawiSafi Fund II reflects the new landscape for off-grid innovation, building from the current investments. In addition, the KawiSafi Fund I strategy was very focused on East Africa, namely Kenya and Rwanda. We have observed how the leading companies expanded beyond their initial markets into broader regional opportunities. Within our own portfolio, d.light, Bboxx and BioLite started from original core markets in Kenya and Rwanda and expanded into additional countries including DRC, Nigeria, Senegal, Uganda and Zambia, among others. The business models are tailored to local needs in each case, with distinct partners for certain markets. The learnings from those portfolio successes have informed our geographic focus for Fund II. We also note the strong performance on lives impacted and carbon emissions averted in Fund I. We seek to build on those impacts as well as continue to evolve our impact approach for Fund II. While residential solar has driven strong people impacts, we see the need to deepen our measurement approach for other types of investments. We also embrace more rigorous measurement of adaptation and resilience benefits. We have demonstrated strong mitigation impacts across renewable energy applications and seek to continue that focus and drive for more ambitious targets.
3. KawiSafi Fund II will likely also benefit in learning from the challenges and obstacles that Fund I faced. We note that Fund I received backing from supporters of our impact mission but did not benefit from wide institutional investment backing. We seek to broaden our institutional investor base and bring additional types of capital into the sector. The first loss capital in Fund II is designed to provide much-needed risk protection for a broader set of institutional investors. Fund II is sized so that we can continue to follow on and avoid dilution in fast-growing companies. Finally, we note that our companies face a wide range of challenges, while they build their companies, from managing integrated business models, operational

challenges of product development and distribution, team challenges, capacity for ESG. We seek to build on our strong Fund I TA program to offer a broader set of supports to allow companies to incorporate best practices across their activities.

4. KawiSafi Fund II is focused on three thematic verticals representing the current opportunity for innovation and impact, building from the KawiSafi Fund I portfolio and universe of investment activity. These are:
 - a. **Energy Transition:** Firms delivering on global and national *energy transition* strategies through rapid deployment of low-carbon renewable power generation in renewable and commercial and industrial (“C&I”) markets, renewables-based mini- and metro- grids, financial services, grid management/edge ecosystem/ Internet of Things (IoT), and waste-to-energy circular economy models.
 - b. **Productivity:** Firms focusing on low-carbon *productivity and efficiency* markets including low-cost internet access, “smart” green manufacturing, recycling / circular economy, clean cooling, and agro-processing technology.
 - c. **Mobility & Logistics:** Firms involved in the rapidly evolving *mobility & logistics* markets where unique electric vehicle battery business models and artificial intelligence are driving rapid innovation in low-income markets and creating more climate-resilient, low-emission transportation systems.
5. KawiSafi Fund II will focus on late-venture / early-growth stage companies with ticket sizes of \$2-\$10 million and on its core expertise of scaling businesses. The Management team sees the company-building role of Fund II to be particularly important as markets recover and restructure in the context of a post-COVID 19 world. The larger fund and ticket size reflect the evolution of the investment landscape in Africa since Fund I was launched, with more investable businesses, sharper growth curves, and greater need for capital deployment. It also reflects KawiSafi II’s thesis that some of its portfolio companies are expected to exceed performance expectations and we should selectively back them with larger follow-on investments. Fund II is expected to remain anchored investing in companies that enable low-carbon growth while expanding to a wider geographical mandate with a focus on 10 African markets.
6. The program is uniquely designed to address financial, technical, policy and knowledge gaps hindering the uptake of innovative technologies and business models required for the transition to low carbon and climate resilient pathways in Africa. In particular, the program consists of two components (I) Equity and (II) Technical Assistance Facility. The program is in line with NDCs as outlined in section B.1.

Component 1: Equity investment into KawiSafi II.

1. KawiSafi II is a \$200M Equity Fund to leverage private and institutional capital at the fund level for further investment into low-carbon projects in Africa. The key output of the program is long-term investment of Equity capital in (1) Energy Transition, (2) Productivity, (3) Mobility & Logistics projects with strong climate impact and innovation potential. These sectors correspond to the following GCF result areas (as set out in detail in the theory of change and logframe):
 - a. Energy access and power generation (MRA1),
 - b. Low-emission transport (MRA2),
 - c. Buildings, cities, industries and appliances (MRA3).
 - d. Most vulnerable people and communities (ARA1)
 - e. Health, well-being, food and water security (ARA2)
2. **Investment Pipeline:** The KawiSafi Fund I experience demonstrated the market opportunity for investments in the target sectors. In KawiSafi Fund II’s investment pipeline, the KawiSafi team has developed an indicative advanced pipeline of 40+ investment opportunities with an aggregate deal value of \$500 million across our focus verticals. The Fund is however tracking a larger pipeline pool of ~200 companies with aggregate deal value of \$2 billion across the 10 focus markets.

Points 3 to 9 below set out the Eligibility Criteria for investments from KawiSafi Fund II:

3. **Portfolio composition:** KawiSafi Fund II will invest \$1-10 million per company, in an expected 15-20 companies. No single exposure will exceed 20% of the total committed capital. In line with private equity best industry practices, KawiSafi Fund II has appropriate limits on investments and industry concentration to ensure risk diversification.
4. **Financial instruments:** KawiSafi Fund II shall invest a mix of equity, equity linked instruments (including warrants and preference shares) as well as convertible and/or non-convertible securities depending on the investment structure, efficiency for upstreaming capital and tax optimization.
5. **Geographies:** KawiSafi Fund II will invest only in companies that have a substantial sales or operating presence in one or more of the focus countries where NOLs have been obtained: Cote d'Ivoire, Democratic Republic of Congo (DRC), Nigeria, Rwanda, Uganda, Zambia (NOLs secured as at 15th June 2023).⁵⁸ KawiSafi Fund II will not exceed exposure of more than 30% of investable capital in any single country.
6. **Technologies/sub-sectors:** KawiSafi II will invest in low-carbon productive business deploying climate technologies in the focus countries. This shall primarily include the following types of businesses:

Segment / sub-sector	Description
Energy Transition	
Distributed renewables: residential solar	Solar home systems for households (e.g. systems ranging between 40W-1kW)
Distributed renewables: mesh grids, mini-grids, metro-grids using solar PV, hydro, or other renewables (+ storage)	Small-scale renewable power generation interconnected to a distribution network that supplies electricity to a localized group of business and household customers (e.g. systems ranging from 1kW-1MW or larger)
Distributed renewables: commercial & industrial solar (+ storage)	Solar PV installations (rooftop-mounted or grounded) for businesses and factories / industrial operations, with battery storage where appropriate (e.g. 50kW-1MW or larger)
Energy storage (primarily battery energy storage systems)	Energy storage solutions for consumers and businesses, specifically those that increase the usability of renewable energy solutions (e.g. home energy storage)
Biomass energy	Clean technology solutions to produce energy from renewable biomass sourced sustainably (combustion, pyrolysis, gasification, anaerobic digestion, etc.).
Battery recycling / 2nd life models	Recycling/upcycling of used Li-ion and other batteries for reuse of component materials or repurposing for 2nd life batteries
Distributed energy resource management systems (DERMS)	Integrated software and smart device systems for remote monitoring and control of energy generation assets, and reduction in energy consumption
Smart metering	Smart metering systems for grid-connected and off-grid distribution networks, to make power grids more capable of efficiently and reliably operating with renewables
Renewable energy financing	Financing platforms and fintech solutions for renewable energy companies and projects, leveraging AI and credit algorithms for

⁵⁸ As of June 15, 2023, we received 7 NOLs from Cote d'Ivoire, DRC, Kenya, Nigeria, Rwanda, Uganda, Zambia. The AE is in advanced discussions with several other countries, including (without limitation) Ghana, Senegal, South Africa. These countries all expressed significant interest in the project, but haven't been able to complete their internal sign-off processes for various reasons. Nevertheless, we expect to receive NOLs from most, if not all, of these countries before the publication deadline. Additional countries may be added to the programme after initial Board approval, provided they submit an NOL and the addition is approved by the Board.

	optimal credit risk management
Software (SaaS) platforms / solutions for renewable energy sector	Software platforms focused on energy sector, including workforce management platforms, procurement solutions, marketplaces, AI and data tools - all to enable efficient
Clean cook technology	Clean, renewable fuels and stoves for residential use or industrial use, including improved biomass, biogas, biofuels, electrical
Productivity	
Energy efficiency	Platforms, technologies and equipment that require less energy than baseline alternatives (e.g. energy efficient lighting, heating, cooling, household appliances and commercial applications) Target improvements in energy efficiency must be at least 20% against a conservative baseline.
"Green" manufacturing	Manufacturing processes and equipment that use less raw material, produce less waste and consume less energy.
Sustainable packaging and other materials	Alternatives to traditional packaging and other materials that offer smaller carbon footprints (during production, transport, use or disposal) – e.g. bioplastics, multi-use plastics, recycled paper and cardboard, etc.
Green building materials	Materials – such as cement, wood and insulation foam – that have smaller carbon footprints (during production, transport, use or disposal) than baseline alternatives
Waste management	Solutions that avoid waste generation (e.g. composting, recycling) or reduce the GHG emissions from stored waste (e.g. landfill management), including plastics recycling
Agriculture-water-energy	Renewables-based water pumping, including drip irrigation systems. Renewables-based and energy-efficiency for agro-processing, such as milling, threshing, tilling, harvesting, mechanization, and other agro-industrial processes
Sanitation	Technologies and processes that reduce GHG emissions associated with sewage management – e.g. variable-speed pumps, energy efficient stirring, methane avoidance or capture, etc.
Waste to energy	Pyrolysis and other energy recovery processes that utilize waste conversion technologies to generate heat and electricity from non-reusable and non-recyclable waste materials
Cold chain / clean cooling	Clean, efficient cooling technologies (clean gases, use of renewables) for agricultural cold chain & storage, and medical use (e.g. vaccines); efficient cooling applications for space, health and agriculture supply chains.
Clean water / wastewater treatment	Technologies and processes that lower the carbon footprint of the provision of clean water and also lower the carbon footprint of water usage
Renewables-based internet access	Renewable power for mobile connectivity, including ESCO models for solar-powered mobile towers
Mobility & Logistics	

E-mobility	Electric vehicles (cars, bikes, etc.) and associated business models and tools to change user behaviour to use electric alternatives to fossil-fuel solutions.
EV charging	Models for roll-out and management of EV charging networks, including fast-charge technology, batter swap models, and software platforms for battery network optimization
EV financing	Financing solutions for electric vehicles and fleet transition to EVs, such as asset finance, pay as you drive, etc.
Shared mobility	Business cases around shared mobility solutions (commuter buses, last-mile solutions, etc.).
Smart mobility	Route planning; apps for minimising fuel/energy consumption in transport systems and public/private fleet management
Smart city solutions	Analytics for mobility in cities and regions; development of smart / combined transportation systems, including for use to climate-proof transport infrastructure and safeguard emergency response systems
Logistics platforms	Solutions focused on reducing emissions in supply chain, including optimization of logistics systems, reduction of food loss in supply chains
Cross cutting: Carbon solutions	
Data and AI-based verification and monitoring tools	Data and AI-based verification and monitoring solutions to help companies track and verify their carbon impacts to help unlock carbon finance and ensure high-integrity reporting in focus countries
Carbon finance platforms	Platforms to connect carbon project developers and buyers to unlock carbon finance for projects across energy transition, productivity, mobility in focus countries

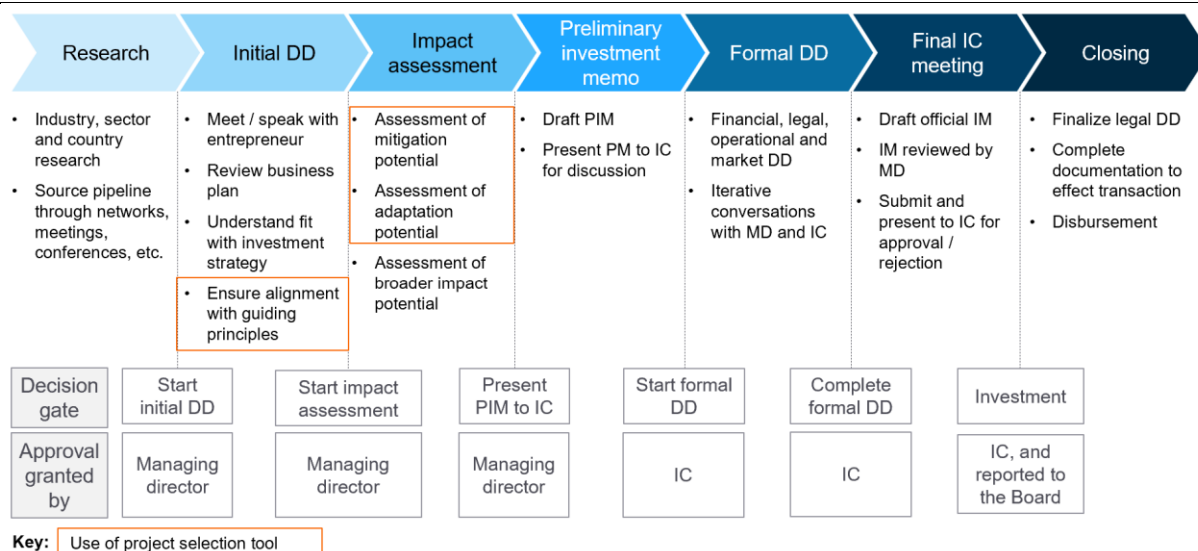
7. **Minimum threshold criteria by Technology/Sub-sector:** KawiSafi Fund II applies certain minimum thresholds for a company to be eligible for investment which are specific to different technologies / sub-sectors:
- **Solar PV installations:** KawiSafi II may invest in solar installations of different capacities. These solar installations will likely use as back-up either an accompanying battery storage system, and/or be connected to the national grid, and/or use diesel generator as back-up provided that the solar installation aims to reduce diesel consumption at site by more than 50%. This criterion recognizes that solar installations require back-up energy to cover peak loads and it is not always economically viable to install battery storage at site. GCF funds will not be used to finance fossil fuel assets, including financing of new diesel gen-sets as back-up for solar PV installations and mini-grids.
 - **Energy efficiency:** KawiSafi II may invest in companies selling energy efficient devices/services. In such cases, KawiSafi will only proceed with an investment where the improvements in energy efficiency are at least 20% efficiency gains, against a conservative baseline. The KawiSafi team will conduct comprehensive due diligence prior to investment in order to assess the appropriate baseline and validate the potential of the company's product/service to deliver the minimum threshold efficiency gains.
 - **Clean cook technology:** KawiSafi may invest in companies manufacturing, financing, and/or distributing clean cookstoves and/or producing, distributing clean fuels for household cooking or industrial use. In such cases, KawiSafi II will only invest in companies with renewable fuel technologies, such as improved biomass, biogas, electric, and biofuels. KawiSafi II will not invest

in fossil-fuel based cooking technologies, such as LPG.

- **Cold chain/storage & cooling solutions:** KawiSafi II is aligned with the transition to low Global Warming Potential refrigerants. Any cold chain/storage companies which KawiSafi II invests in will be aligned with the goals and requirements of the Kigali Amendment to the Montreal Protocol, under which hydrofluorocarbons (HFCs) are being phased down and replaced with climate friendly refrigerants that do less damage to the climate. As such, investments supported by KawiSafi II will promote the use of climate friendly cooling equipment/appliances commercially available for the cooling applications that either (i) provide cooling services without the use of refrigerants (e.g. fans and passive cooling solutions); and/or (ii) use refrigerants that are aligned with the Kigali amendment and meet relevant safety standards, as commercially available in respective local markets.
 - **Biofuels:** KawiSafi may invest in companies producing biofuels for household/industrial use or for alternative transport systems. In such cases, KawiSafi will only invest in companies using the following as feedstock: (i) Waste oil/fat; (ii) Seeds or crops that are cultivated in dedicated plantations; (iii) Biomass residues (e.g. agricultural residues, wood residues, organic wastes). KawiSafi II will only invest in such companies where their activities do not contribute to deforestation or loss of biodiversity i.e. the feedstock is sustainably sourced and does not contribute to GHG emissions. In making such assessment, KawiSafi II will consider the criteria set out in CDM methodologies ACM0017: Production of biofuel and AMS-III.AK.: Biodiesel production and use for transport applications.
 - **Asset finance / Financing platforms:** KawiSafi II includes in its mandate companies that offer financing solutions into the KawiSafi II verticals (energy transition, productivity, mobility), recognizing the critical importance of asset finance to unlock growth in low-carbon sectors. At the time of investment, where KawiSafi II invests in such a financing company, it will be contractually agreed that such financing shall be used to fund activities that are in line with KawiSafi II's climate mandate. It should be noted that KawiSafi cannot control what such financing companies may or may not finance at an indeterminate point in the future (after the KawiSafi II investment has been used by the company in line with KawiSafi II's climate mandate).
8. **Excluded activities:** KawiSafi Fund II invests exclusively in low-risk and high impact companies in the focus verticals, and above related technologies / sub-sectors. In doing so, KawiSafi Fund II applies the [IFC exclusion list](#) and will not invest in companies that have investments or activities in any of the excluded areas. The full exclusion list is found in Annex 6: ESMS.

9. Investment process

In selecting and diligencing companies in which to invest, KawiSafi Fund II will apply a rigorous screening approach to assess eligibility. Below is a summary of KawiSafi's investment process and a highlight on the screening and assessment criteria:



KawiSafi II's investment process is guided by three main policies: (1) Impact Policy, Impact Measurement and Management Procedures, (2) Responsible Investing Policy and (3) the ESMS (*included in Annex 6*). These policies elaborate how the KawiSafi team evaluates and ensures positive climate impact and the approach to managing environmental, social and governance (ESG) risks and performance in its investments.

KawiSafi II will invest in exclusively low- to medium-risk and high-impact low carbon projects. KawiSafi II applies the IFC Exclusion List, and has created a list of Excluded investment activities that the KawiSafi II will use to guide their investment process. *This Exclusion list is included in Annex 6: ESMS* The KawiSafi team will not invest in a company or will accept investment from investors with business activity that is included in the list. The KawiSafi team will use the exclusion list as a screening tool for investments.

Screening and Initial diligence

In this stage, KawiSafi II will identify investment opportunities and select them based on their ability to achieve and align with the stated impact and financial goals of the fund.

1. **Financial/Commercial assessment:** KawiSafi assesses the information provided by the company against the team's market knowledge and research. This will include assessing the business model for aspects such as unit economics, management team experience, fit for the local market, potential for regional expansion, poverty and climate impact. We will also assess the viability of the business based on strength of existing infrastructure, for example the coverage of battery charging infrastructure to support EV business models.
2. **Climate/Impact assessment:** Impact assessment at KawiSafi II is guided by three main policies, Impact Policy, Impact Measurement and Management procedures, Responsible Investing Policy and the ESMS (*included in Annex 6*). Assessment of the climate impacts of potential investments takes place during the 'initial DD' and 'Impact assessment' stages. Fund must demonstrate i) their potential to make a significant contribution to KawiSafi II's two overarching climate targets: (1) avoiding / averting 20.9 million tonnes of CO2 equivalent during Fund II life cycle and (2) strengthening resilience and adaptation for 3.5M individuals.

KawiSafi shall assess each firm against the following to assess their eligibility:

- a) **Mitigation impacts:** Aligned with the KawiSafi II methodology (leveraging global standards such as CDM methodology) to calculate emissions reduction impacts, potential investments are assessed for their mitigation potential. Financial projections are used together with the KawiSafi II mitigation calculation methodology to estimate potential future mitigation impacts. Investments are then categorized as having High, Medium or Low mitigation potential. Decisions to progress will be based on the outcomes of this assessment.
- b) **Adaptation impacts:** The KawiSafi team will conduct an assessment of each investment

opportunity's potential for adaptation impacts, scoring across three criteria; direct adaptation benefits, maladaptation assessment, and broad adaptation benefits. This assists in assessing overall contribution/mission alignment with KawiSafi II's adaptation targets. KawiSafi has developed an adaptation project selection tool to assess adaptation impacts.

- c) **ESG audit:** The ESG risks screening will be undertaken based on initial assessment of the potential portfolio company. Potential investments will be screened using information provided and categorized according to inherent risks factors affecting various E&S aspects with the following objectives: Minimize the negative impacts and E&S risks of its activities and, in addition, generate positive financial, social and environmental impacts, Act in accordance with applicable laws and regulations, Align with relevant international standards and principles i.e., IFC Performance Standards KawiSafi has developed a ESG check-list and assessment tool (included in Annex 6) to assess ESG factors

Businesses that meet the threshold scores pass to the next stage of the investment process ("preliminary investment memo"). Through the screening and due diligence (DD) process, KawiSafi seeks to guide impact investment decision making and identify areas where it is able to strengthen financial and impact management within the investee company.

Investment Approach

1. The team's experience leading transactions and managing investments has generated important insights in identifying investment targets, negotiating appropriate terms, and managing investments to scale and ultimately exit.
2. Identify firms with potential to become market leaders – Seek companies with demonstrated traction and replicability in their markets (product-market fit, proven technology) that are poised to scale with KawiSafi's capital and partnership. Back management teams with maturity, drive and commitment that have genuine vision to build a regional / global leader and a demonstrated ability to attract low-cost capital.
3. Disciplined valuation and deal execution – KawiSafi's transaction negotiation strategy is backed by insights from a unique private transaction database based on its direct exposure to ~200 private investment opportunities in Africa. The investment team focuses on the terms that matter and takes a pragmatic approach to valuation, using contingent / variable mechanisms to bridge any gaps in expectations when the opportunity warrants it. The team led 9 of 10 of its investments from Fund I so is used to developing its own theses around how to value a company (rather than rely on others') and also had to make difficult decisions to drop out of deals when the terms became unfavorable.
4. Support portfolio maturation – KawiSafi II team members bring deep market and operational expertise in de-risking companies for impact at scale, having extensive experience as operators, investors, and advisors in the Fund's focus markets. The KawiSafi II team plays a hands-on role in portfolio engagement and provides tailored support to its investees focusing time and resource where its marginal value-add is greatest. The team's Board representatives play an active role post-investment with a focus on running an effective board, ensuring management has strategic focus, sourcing talent from our network, and making connections to institutional capital.
5. Actively pursue exits – Lack of liquidity is a key factor in the African investment ecosystem – the market is evolving, but exits are still a challenge for all investors. As such, KawiSafi II takes a pro-active approach to assessing and creating opportunities for liquidity. It is one of the key lenses through which the KawiSafi II team evaluates opportunities: Who is going to acquire this asset and why? What would they need to believe to do so? What metrics would the company need to hit? How would such a buyer (strategic or other) value the business? We develop exit scenario plans for our investees and discuss / revise these accordingly on a frequent basis. We use our Board participation to push the agenda for exit options and ensure that the investee is doing everything it can to position itself as attractive to target acquirers.

Key Outcomes from Component 1

1. Outcome 1: Reduced energy-related GHG emissions from renewable energy and energy storage solutions
"Energy transition" encompasses the different pathways to achieve transformation of the global energy sector from fossil-based to zero-carbon, including renewable energy generation (solar, wind, hydro), battery energy

storage, decentralized energy systems, grid optimization, biofuels, and energy-efficient technologies. In Africa, the energy transition equation is unique. More than 40% of the population still lacks access to the grid and per capita energy consumption is on average only 1/35th of energy consumption in Europe. Unaffordable and inadequate household energy presents adverse consequences that are amplified by poverty and a changing climate. African countries need to significantly increase their power output in the coming decades to meet the demands of a growing population and raise standards of living.

This presents an opportunity for an accelerated energy transition. Africa has already shown a rapid deployment of renewable energy generation over the past decade. Many African countries are now generating a majority of power from renewable sources and have introduced favorable policies to promote adoption of renewable energy by households and businesses alike. This is expected to have significant mitigation and adaptation impacts across Africa, specifically;

- Increase energy access through investment in decentralized renewable energy for residential use (Mitigation and Adaptation)
- Increase access for reliable, low carbon energy for industrial growth in Africa (Mitigation)
- Support reduction in changes in land use – especially deforestation (Mitigation)
- Support development of climate-resilient infrastructure (Adaptation)

2. Outcome 2: Reduced transport and logistics- related GHG emissions from electric and shared mobility solutions, and greening of private fleets

Mobility and Logistics together comprise the “distributed infrastructure” that moves people and goods enabling market transactions and allowing economies to flourish. The World Bank’s Logistics Performance Index ranks Sub-Saharan Africa below all other regions, with particular challenges in infrastructure and logistics competence. This creates a drain on most people in Africa and particularly on poorer populations who suffer disproportionately from increased pricing of essential goods and constraints on individual mobility. New business models incorporating advanced data and sensor technology as well as more efficient vehicles create opportunities to improve service and increase coverage while reducing costs.

- Increased deployment of low-emissions transport infrastructure (Mitigation)
- Support increased data collection and efficiency in urban transport and logistics systems – through electrification and investment in innovative shared public mobility business models (Mitigation and Adaptation)

3. Outcome 3: Reduced household & industrial GHG emissions from “green productivity” solutions, including energy efficiency, agriculture-water-energy, waste solutions, materials

“Productivity” here focuses on the ways in which greater renewable energy and clean technology access for households and enterprises can be harnessed to help grow economies and reduce poverty across Africa. Productive use appliances can be transformative from an income generation perspective, particularly for the poor, it presents income diversification benefits from economic activities that are vulnerable to climate change, for instance farmers adopting solar irrigation to become more resilient to adverse weather patterns affecting rainfall patterns. The World Bank estimates that over 80% of Africa’s employment is generated in the informal sector – through micro-entrepreneurs and small enterprises serving poor and emerging middle-income consumers. At the same time, 70% of businesses across Africa report power-outages as having a significant impact on productivity and pay high costs for back-up power. There is a widening Productivity Gap in the region today because, whilst access to energy is increasing, businesses and individuals often lack the opportunity to utilize this energy for productive ends.

The productivity gap is a challenge across agricultural, commercial, and industrial sectors where energy access can be harnessed with the right technologies to create value. Mitigation and adaptation impacts expected from this segment include:

- Increase energy efficiency of manufacturing and other energy intensive industries in Africa (Mitigation)
- Support for development of low-carbon urban infrastructure (Adaptation)
- Increase adaptive capacity of populations to climate events or hazards – through energy efficient cooling; waste to energy innovations and provisions of climate related information (Adaptation)
- Support increased access to equipment and resources (data, agro-processing, irrigation, cooling, etc.) for climate-resilient agriculture; expected to increase capacity of agriculture dependent rural

populations to water availability, changes in temperature and rainfall variability (Adaptation)

Key Outputs and Activities under Component 1

1. The investment team brings a combined 40+ years of experience investing in energy and climate technology in Africa and other emerging markets. The team has a deep understanding of renewable energy technologies and is embedded in the local markets across Africa where it invests with proprietary access to deal flow. Through KawiSafi I, the team has built up an unparalleled reputation as a leading energy investor in Africa, having invested in many of the companies at the forefront of the distributed renewables transformation in Africa. KawiSafi II should benefit from the continuity, insights, experience, and market reputation of the team that has led to the ongoing success of KawiSafi I.
2. **Output 1: Equity capital and support for scaling of low-carbon and climate smart businesses.**
3. **Output 2: Wider, access to and use of clean energy, alternative transport, and productive use assets and services by households and businesses**

The KawiSafi team targets to deploy equity capital to scale up low-carbon and climate sensitive SMEs across sub-Saharan Africa, scaling up the adoption of low-carbon technologies at household and business level. The efforts here tie directly to the fund outcomes of i) reduced energy-related GHG emissions from renewable energy and energy storage solutions, ii) reduced transport and logistics-related GHG emissions from electric and shared mobility solutions, and greening of private fleets and iii) reduced household GHG emissions from “green productivity” solutions, including energy efficiency, agriculture-water energy, waste solutions, materials. Below we list the anticipated activities that are designed to lead to these expected outputs:

4. Activity 1.1: Fundraising, Market Screening, Pipeline Development, and Equity Investment

Fund formation and Fundraising: The KawiSafi Fund II is an ambitious \$200M Fund intending to utilize a blended finance structure to unlock private sector climate investment into the African region. The Fund seeks to continue the success demonstrated in the deployment of KawiSafi Fund I and target business models that deploy low-carbon technologies in an inclusive and sustainable way and that enables people to participate in a green economy to grow out of poverty.

- *Sub-Activity 1.1.1: Fund formation.* Establishment of the Fund entity and all partnership terms agreed.
- *Sub-Activity 1.1.2: Fundraising.* Engagement with development finance institutions, institutional investors, and family offices to achieve final close of the \$200M Fund.

Market screening and Pipeline Development. The KawiSafi team has deep experience and expertise in distributed renewable energy, financial inclusion and PAYGO (BNPL) technologies across Africa. It has screened and tracked the success of over 300 Africa-focused businesses comprising over \$1B in aggregate deal value, many of which leverage technology to achieve radical affordability for lower-income markets. This represents a qualified pipeline for Fund II investments.

- *Sub-Activity 1.1.3: Research and sourcing.* The KawiSafi team has a high-visibility presence in its target sectors, and is in regular contact with entrepreneurs, investors, advisors and accelerators. The Management team builds on a two decade-long experience of Acumen and directly from its experience of deploying its predecessor KawiSafi I since 2016. KawiSafi I identified an early-stage market where technology tailwinds were driving systemic cost reductions in photovoltaic (PV) and appliance efficiency. Since then, the team has co-invested with over 20 investors, crowding in more than \$400M in follow-on debt and equity, collaborated with local research institutions and accelerators, and become the partner of choice for late venture/early growth funding in climate sectors. The team meets companies in the earliest stages and monitors progress over time until a slightly later round of investment, providing de-risked access to the leading companies. When a particular segment is of interest, the team also pursues a top-down approach to identifying all the relevant companies in that segment and pursuing those with the most compelling proposition. The team has privileged access to the energy and climate technology investments in its markets.

Equity Investment via investment decisions to most impactful, fast growth companies. KawiSafi follows a rigorous and structured investment process from sourcing through evaluation, due diligence and transaction documentation

- *Sub-Activity 1.1.4: Initial Diligence.* The initial diligence phase is focused on information provided by the company, tested against the team's market knowledge and research. If a company's business model meets criteria considering unit economics; management team experience; fit for local market; potential for regional expansion; poverty and climate impact, it advances to the next stage. The team is uniquely suited to conduct this up-front analysis using market intelligence, comparing to other early-stage businesses in the sector, and expert networks leveraging local and international entrepreneurial and financial track records.
- *Sub-Activity 1.1.5: Preliminary Investment Memo.* The preliminary investment memo is the first stage at which an opportunity is presented to the Investment Committee. KawiSafi's Investment Committee is composed of established investment professionals with deep relevant expertise, including local and international private equity, development finance and operational experience.
- *Sub-Activity 1.1.6: Conduct Climate Impact and Commercial Diligence.* The DD process and company selection is based on the positive assessment of its expected contribution to climate change adaptation and mitigation.

Following an IC approval based on the Preliminary Investment Memo, the team proceeds to full commercial diligence. This phase includes primary research comprised of interviews with company representatives, customers, competitors, technical experts and others to fully inform the team's view on the business model and opportunity.

The team utilizes due diligence checklists informed by prior transaction experience, and tailors each process to address the unique risks and opportunities of each potential investment. The IC members also provide input on critical areas for diligence. This information is presented to the IC at an interim meeting, where parameters for investment terms are discussed and agreed in principle.

- *Sub-Activity 1.1.7: Agree terms and complete diligence.* The team negotiates terms with the company to execute a term sheet. Terms are determined based upon the team's insight from a range of local transactions and structured to manage the specific risks and opportunities of each investment. Upon execution, the team engages external advisors for legal and ESG due diligence. Any findings from the external diligence are reflected in the transaction documents, which include an ESG Action Plan and, where applicable, a 100-Day Operational Plan. The final terms and diligence findings are presented to the IC for final approval.
- *Sub-Activity 1.1.8: Investment documentation and closing.* The investment terms are formally documented with external counsel advising. Investment documentation includes impact, gender, and ESG provisions. The transaction must be reviewed by the KawiSafi Board of Directors for consistency with all regulations and governance agreements, and then may proceed to disbursement.

Activity 1.2: Post-Investment Engagement. KawiSafi is an active investor, taking a board seat and otherwise being actively involved in the oversight and management of its investments. The team's deep experience with scaling enterprises is a complement to investee management teams. In particular, the investment team's perspective on industry best practices and local context are sought out by entrepreneurs and co-investors alike, considering the unique challenges of building a fast-growing business in emerging markets, and specifically in Africa.

KawiSafi's experienced team is deeply rooted in this rapidly evolving market which has allowed it to identify and close deals with the most competitive and sought-after firms. The team has a demonstrated advantage based on its proximity to markets, understanding of context, political and execution realities, competition, and ability to assess the quality of management teams. In addition, the Fund's reputation for international leadership and value-add beyond pure capital has given it a powerful competitive advantage in both pricing and portfolio.

Fund I focused on late venture stage (Series A-D) companies and provided up to \$5m tickets to support market expansion and scaling growth. The KawiSafi team has led and underwritten most of its investments, running exhaustive on-the-ground diligence, pricing and setting terms. Typically, it has led club rounds involving other, less-proximate global investors.

Recognizing the extraordinary challenges of early-stage growth and capital efficiency, the team has developed a deep, active portfolio engagement strategy well beyond the typical “100-day plan” approach. Few companies in early-stage markets have the experience to scale and grow; to allocate capital efficiently, and to build competitive sustainable value. KawiSafi takes an active role in evaluating these considerations during diligence and as a pre-condition for investment. Once in the portfolio, KawiSafi II continues to provide support to companies through long-term, consistent, and experience-led support.

Our core areas of support

	Capital planning	✓ Forecast timeline and quantum of both equity and non-dilutive capital raises ✓ Advise company on how best to position and market itself to attract investors ✓ Facilitate connections with institutional and strategic investors		Knowledge sharing
	Financial management	✓ Improve financial management systems and reporting processes ✓ Optimize operational financing with SPV and off-balance sheet financing ✓ Support portfolio companies in accessing and structuring carbon financing for their projects	✓	Across all the key areas of engagement, promote knowledge sharing
	Org planning and senior talent	✓ Help the portfolio company structure senior teams ✓ Support in designing the right incentives and structures through ESOP and sales bonus schemes ✓ Help them identify and attract senior executives to build new business lines or enter new markets	✓	Organize events between portfolio companies around similar vertical challenges (sales team, partnerships,...)
	Impact & ESG	✓ Assessing and reporting their ESG and impact ✓ Designing a roadmap to improve their ESG and impact	✓	Leverage network to identify and invite key subject matter experts around portfolio company challenges
	KPI and reporting	✓ Help the company to identify and prioritize of KPIs ✓ Support the portfolio company in developing systems and process for tracking KPIs, ✓ Provide the portfolio company with additional financial and non-financial KPI that needs to be monitored ✓ Support the portfolio company in structuring their communication to the board and to the other investors		
	Growth strategy	✓ Support the portfolio company in defining its strategy to penetrate and grow in its target market by providing expertise around fields such as customer acquisition for B2B/B2B2C, ✓ Support the portfolio company in monitoring and improving key metrics that are essentials for growth such as the product unit economic, customer acquisition cost, bad debt risk		

- Sub-activity 1.2.1: *Financial and Impact Reporting*: The KawiSafi team has established a process to receive quarterly reports from the portfolio companies – including cash flow, management reports, board reports and impact reach. Annually, and at action plan assessment dates, the team also receives reports of ESG performance and progress towards ESG goals. The information received from the portfolio companies is used to prepare the quarterly and annual reports providing an update on the industry/market trends, summary of the investments and divestments in the previous quarter/year, impact reach and ESG improvements as well a status report of each investment with an internal valuation and summary of key assumptions. The team also tracks news on every portfolio company, and the partners and reports on a frequent basis. The KawiSafi team also conducts impact deep dives to help the portfolio companies develop their impact pathways and optimize climate and social impacts on their beneficiaries.
- Sub-activity 1.2.2: *Board Meetings*: The KawiSafi team typically negotiates for board representation in portfolio companies, which is driven by its view on corporate governance. The team places the highest priority on adherence to best practice corporate governance policies and strict enforcement of these policies, both internally and within portfolio companies.
- Sub-activity 1.2.3: *Ensuring compliance with the Shareholder Agreements*: The KawiSafi team oversees compliance with the shareholder agreement for each deal and works closely with its legal team to ensure all applicable regulatory frameworks are adhered to. KawiSafi II will seek to use external consultants to support monitoring climate impacts at a Fund level, while providing respective support to investment team and portfolio companies. Impact reporting will be performed quarterly; with certain indicators collected on a periodic basis.

- Sub-activity 1.2.4: Portfolio support across financial management, talent, ESG/impact management, capital raise, etc.: The KawiSafi team will seek to provide value addition and support to portfolio companies to help them professionalize, scale, and raise further capital.

Activity 1.3: Leverage Capital and Managed Exits. At the core of KawiSafi II's business model is to drive sustainable growth of portfolio companies to exit upon investment maturity (typically investments are held for 4 to 6 years). Fund II's exit strategy is based on selling shares through a company sale to strategic buyers, financial buyers, initial public offering, or management team of the investee company "management buyout," or alternatively through a secondary sale of shares to a later-stage investor. KawiSafi II seeks to create sustained, positive impact through their investments, even after exit. This is achieved by building sustainable business model with positive impact mandate and seeking out potential buyers with commitment to continue such a mandate.

- Sub-Activity 1.3.1- Manage Exits

Component 2: Technical Assistance Facility (TAF) to support capacity and knowledge gaps and ecosystem development

1. To maximize the mitigation and adaptation impact of the Equity investments and augment the activities of the KawiSafi Fund II, Acumen is raising a \$10 million Technical Assistance Facility ("TAF") alongside the Fund. The purpose of this Grant funded TAF will be to support both portfolio companies and the wider energy and climate ecosystem in focus African markets. The portfolio support will be targeted at assisting companies to improve their business and operational capabilities ensure they maximize their climate impact while having strong management systems to address any environmental, social and governance risks that may arise.
2. The design of the TAF builds on the experience of the KawiSafi Fund I technical assistance facility, which as of 31/12/2022 had deployed more than \$1.2 million in capital into programs focused on consumer protection and gender & diversity. The design also reflects important priorities based on our close interaction with KawiSafi I portfolio companies and the broader climate venture ecosystem. The TAF builds on this experience with a focus on targeted interventions in three sub component areas: (1) **Climate & ESG**, (2) **Gender & Diversity**, (3) **Technology & Innovation**.
3. The TAF (which makes focused or "smart" TA grants) is an essential complement to the KawiSafi Fund II (which makes late venture stage Equity investments) because **it strengthens, supports, and accelerates development of the ecosystem which enables private sector activity and clean technology deployment**. Equity investments such as those provided by KawiSafi II play a critical role in supporting companies to reach scale and maturity. However, without a conducive ecosystem (information, resources, systems, policies, collaborations) for climate solutions, there will likely be fewer climate technology companies being set up, their rate of growth will likely be slower, their failure rate will likely be higher, and ultimately their chances of having climate impact at scale will likely be constrained. By providing TA alongside KawiSafi II, this will seek to allow the Fund to both (i) have broader impact beyond the immediate scope of its equity investments and (ii) optimize the opportunities for its portfolio companies to have as much mitigation and adaptation impact as possible.
4. To inform design of the TAF, the team conducted a benchmarking of relevant TA facilities in climate-focused sectors in Africa, and also gathered feedback from public and private stakeholders across focus countries (through meetings, calls, and country webinars). Key takeaways from benchmarking:

Coverage of TA Services and Opportunities for TAF:

- Most TA programmes benchmarked tend to have a broad climate impact scope and other focus areas beyond the climate sector, with a more specific focus at the delivery level. TAF will be one of the few specialized TAs to promote Energy Transition, Energy Productivity and Mobility & Logistics in the markets of focus.
- Provision of TA is either light touch and prescriptive while supporting a broad base of companies or focused but often limited to investment readiness and business development services. There is an

opportunity for more focused TA for early-stage entities to foster accelerated innovation and deployment of new clean technologies.

- Increasing shift towards working with global advisory entities with a local presence, as implementing partners or TA managers to leverage their extensive market intelligence, high caliber skills, and wide geographical footprint for speed to implementation. This does require a more structured approach to TA delivery in order to optimize administration costs.

Partnerships - Opportunity for TAF to broaden its partnership base to extend the impact of the TA:

- Ecosystem level actors - these are actors primarily working at the ecosystem level e.g. policy formulation for whom it would be valuable for TAF to align with and establish knowledge sharing channels. Fostering alignment via two-way feedback loops can optimize the relevance of ecosystem-level interventions that affect the success of businesses operating in those environments. TAF can offer real-time market insights and potentially influence the outcomes of ecosystem-level interventions
- Specialized actors – these actors offer a suite of specialized TA services typically targeted at more mature businesses and are able to rapidly crowd-in resources and expertise within their areas of specialization
- Market systems actors - these are actors focused on stimulating pipeline development and early-stage innovation. TAF can potentially work with these actors to amplify TAF activities, especially in new target markets to optimize for speed to impact

For new target markets for TAF, working closely with partners with traction in these markets should help TAF to accelerate delivery. TAF would benefit from the local market knowledge these entities possess, especially pertaining to beneficiary needs and key local partners that can be leveraged for TAF interventions. TAF would need to be intentional and proactive in mapping areas of alignment at a programmatic level with different partners and developing collaboration opportunities with these TA providers.

5. Eligible TAF beneficiaries and types of support: TAF beneficiaries shall include both KawiSafi II investee companies and other eligible beneficiaries. Other eligible beneficiaries shall include:

- Early-stage companies with products/services in line with KawiSafi II's verticals i.e. companies not ready for KawiSafi II investment, but with innovative solutions/business models in KawiSafi II focus areas;
- Research institutes and not-for-profit organizations advancing climate goals in focus countries;
- Research firms carrying out market studies, climate impact assessments, etc.
- Training and capacity building organizations (e.g. ESOs) doing skills development for e.g. female technicians, female climate entrepreneurs, etc.)

The Eligibility Criteria for companies supported under the TAF shall be the same as for Component I: Equity Fund, as set out in B.3 above in detail. The companies supported under the TAF must be fall under the technologies and business models set out in these Eligibility Criteria.

Beneficiaries under the TAF will receive support in different forms depending on the context and the needs of the beneficiaries, and alignment with the TAF mandate. This support can include:

- Grant funding for gender & diversity, climate adaptation, or technology & innovation pilots or initiatives; or
- Technical assistance in the form of professional services / expert consulting provided by third parties; or
- Market studies or research to be made publicly available.

For many of the sub-activities, we would typically need to procure the services of consultants, experts, training providers, etc. to provide the services and create the outputs. Procurement of these services would be done either by the Manager (which is an EE), or by the implementing partner (which would be a KawiSafi II portfolio company, an entrepreneur support organization working in climate sector, or a local NGO). Procurement will always follow the TAF policies.

6. Key Outputs, Co-benefits, and Activities under Component 2: TAF

- **Output 3:** Companies and initiatives supported to deepen adaptation impacts and promote best practices in climate impact knowledge and data
- **Output 4:** Skills developed and more inclusion of women in climate sectors, and greater access to climate technologies for women customers
- **Output 5:** Climate innovations and pilots for development of new technologies and innovative business models
- **Co-benefit 1:** Increased work opportunities for men and women
- **Co-benefit 2:** Enhanced inclusivity in climate entrepreneurship

The KawiSafi team targets to deploy the Technical Assistance Facility (TAF), alongside the fund to scale up impact (mitigation and adaptation). The efforts here tie directly to the fund outcomes of i) improved resilience of lower-income populations due to better adaptability to climate change, and ii) strengthen ecosystems for low-carbon productive businesses, technology & innovation, and gender-inclusive climate solutions. Below we list the anticipated activities that we believe will lead to these expected outputs and co-benefits.

7. **Activity 2.1 - Operationalize the TAF:** This includes establishing the key operational structures for the facility including but not limited to concluding the fundraising process with regard to co-financing; constitution of the Technical Assistance Committee and approval of the operational manual. It will also include conducting of a needs assessment to identify eco-system gaps and portfolio company baseline performance. Deploy grant funding to approved initiatives and monitor performance against impact targets

- *Sub-Activity 2.1.1: Set up of the Technical Assistance Facility.* This includes closing of \$7.5M in additional grant funding from co-financing partners; appointment of the Technical Assistance Committee members and official formation of the Committee, in alignment with the grant Funding Activity Agreement.
- *Sub-Activity 2.1.2: Needs assessment of portfolio and eco-system gaps.* This will include identification of partners and development of an approved service provider list. This will also include engagement of consultants (such as 60 decibels) to carry out a baseline assessment of portfolio companies' performance and needs assessments for ecosystem gaps to further inform TAF interventions.

8. **Activity 2.2 Technical assistance for enhancing climate (esp. adaptation) and ESG impact through learnings, best practices, and innovations deployed**

- The objective of this sub component is to provide support to businesses in deepening understanding of their impact (through focused research and surveys), identifying how they can multiply their impact (e.g. through data and technology), and implementing climate and ESG action plans (through targeted impact initiatives). Businesses can meet their targets in these plans both through optimizing their internal business functions and through developing new products and service offerings for customers (contributing e.g. to scope 1 and 2 emissions reductions) and through working with their suppliers to develop climate-smart and resilient supply chains (contributing e.g. to scope 3 emissions reductions). Increasingly, capital markets, impact, and non-impact investors alike are setting ESG thresholds for companies as a precursor to investment. Inherent in this approach is equipping companies to identify and mitigate ESG risks including greenwashing, potentially misleading consumers, and failing to deliver on their impact commitments. For the TAF to deliver the impact it desires, it needs to provide companies guidance on how to minimize harm and how to create true positive impacts for the communities they serve. This goes beyond merely having ESG policies, but having an impact embedded in business operations and lived through the organization's governance structures.
- In particular, there is a need for more focused, dedicated support around climate adaptation - given the lack of data and research, and the fact that climate risks are rapidly evolving

across our focus markets, businesses and the broader investment ecosystem requires support to better understand what resilience and climate-smart means across different sector contexts and how to apply concepts in practice e.g. through new products, systems, processes, and behaviors.

- The realization of country-level NDC targets will require action at the individual company level. Some companies have set targets in place, but several reports indicate a lack of resources, know-how or time to take meaningful action toward meeting those targets. Some companies require foundational support to understand their needs and set ESG plans. They then also require support to implement and progress these plans. Companies require support and guidance to build their internal capabilities in ESG and other impact areas, ultimately this should embed impact practices and activities in business as usual.
- The activities will seek to be delivered for the benefit of companies, their employees, customers, and investors and contribute to stronger overall impact outcomes in each focus country. The main implementation approach will likely be through local service providers and through developing shared resources and materials.
- Outputs under this activity set are improved emissions tracking and measurement, deeper adaptation impacts, and enhanced scale and financial viability for businesses. This is demonstrated through additional capital mobilized and measurable impact outcomes.
- Sub-Activities include:

a. Sub-Activity 2.2.1 Support companies to develop, implement and evaluate their climate and ESG action plans, including e.g., capacity building to develop in-house climate planning and impact evaluation capabilities, and developing tailored ESG toolkits to improve overall business decision-making on climate impact. Companies may also be supported to shift their business practices and operations towards being more climate-smart adaptive. Also included are activities to enable impact assessments such as climate studies surveys and ESG data collection. This sub-activity will primarily be for the benefit of KawiSafi II investee companies.

b. Sub-Activity 2.2.2 Support initiatives to connect climate businesses into carbon markets in order to broaden accessible pools of capital. This activity set supports the development of carbon accounting capabilities and verification mechanisms and facilitate participation in the evolving carbon markets via access to technology, data solutions and carbon finance platforms.

c. Sub-Activity 2.2.3 Develop industry research publications on climate impact monitoring, and best practices, to build the body of African evidence on key topics including emissions reduction, adaptation, resilient infrastructure, and clean energy. This is through funding practitioner-led studies and research that results in publications that set out what best practice is. The beneficiaries under this sub-activity will depend on the context. What we find is that what is needed in the ecosystem is practical or “applied” research. In this way, we envisage doing research and data work on climate impact (especially adaptation) with private companies, both within our portfolio and outside, and not-for-profits as well to the extent they are engaged in climate projects in KawiSafi II focus areas. This research work will be both (i) for the specific benefit of the companies and (ii) for benefit of the industry at large, when redacted and shared in public domain. We would also consider working with academic and research institutes here to the extent that the mandates align.

d. Sub-Activity 2.2.4 Support implementation of consumer protection standards, quality assurance, and best practices; using available frameworks such as the GOGLA Consumer Protection Code which highlights six areas of focus specifically: 1) transparency; 2) responsible sales and pricing; 3) good consumer service; 4) good product quality; 5) data privacy and 6) fair and respective treatment. Beneficiaries are expected to be all key industry stakeholders. Through quality assurance initiatives, KawiSafi will ensure that technologies

which its investees and beneficiaries are deploying are themselves of high standards and resilient to climate change impacts.

9. Activity 2.3: Technical assistance for climate solutions and outcomes that are gender inclusive and transformative

- The objective of this sub component is to address inequality on the basis of gender, affecting women's capacity to adapt to and address climate change challenges, as well as ensuring that women's central role in business and household is harnessed to promote climate-smart behavior change. This is through providing services and funding to facilitate mainstreaming of gender initiatives within the countries of focus for KawiSafi II. The fund is also committed to investing in companies with safe and equitable workplaces and seeks to support companies in providing protections against SEAH.
- KawiSafi II's gender assessment indicated a high vulnerability to climate change for women in the focus countries with more than 60% of the female population in climate-vulnerable employment notably in the agriculture and services sectors. Further, for the countries highlighted, between 77% (Kenya) and 91.5% (DRC) of women are self-employed. This indicates that most women in these countries are likely to be disproportionately affected by the impacts of climate change and have lower adaptive capacity to climate events or hazards and to overall changes in economic activity. Left unmitigated, these effects will likely exacerbate existing gender inequality, worsening the outcomes for women's livelihood.
- Female access to credit remains low with data indicating as little as 2.4% of the female population has access to formal credit limiting purchasing power, decision-making, and the realization of entrepreneurial aspirations. There are too few female managers and professionals in management positions across the board: Zambia and Ghana have the highest % of female professionals at 38% and 41% respectively, while Cote D'Ivoire only has 12.7% female professionals recorded.
- KawiSafi's Funds (KawiSafi I and KawiSafi II) have a strong gender commitment, including robust Gender Action Plans and a Gender component of the KawiSafi Fund I technical assistance facility. As the Funds incorporate the 2X criteria into their activities, continued support is required from the TAF to continue strong progress on gender goals. The TAF activities will be focused around the goals to address the financing gap for women-led enterprises, gender inclusion within enterprises providing low-carbon technologies across Africa, and inclusion and increased access to clean energy products for female consumers.
- The activities will be delivered for the benefit of female jobseekers, employees, leaders, entrepreneurs and policy makers relevant to the climate ecosystem in focus countries. The outputs provide targeted pathways for female participation in the low-carbon economy through improving skills development, access to capital, and accelerating female-led low-carbon ventures. Activities include:

a. Sub-Activity 2.3.1 Support activities to promote skills development and leadership representation of women in new climate-tech sectors – TAF will seek to identify critical skills gaps in key climate sectors and work closely with local and global partners, support the delivery of skills development programmes targeted at increasing access to employment opportunities for women in the sector. TAF will also seek to facilitate increased representation of women with STEM skills on the boards of climate sector organizations to support improved gender equality. This will include activities such as gender & diversity training for portfolio company boards (including unconscious bias training, sexual harassment, etc.), recruitment of women to boards and advisory committees and senior advisor roles, and also at company management team level.

b. Sub-Activity 2.3.2 Support initiatives to increase entrepreneurial participation of women in the climate sector - TAF will seek to support access to finance initiatives and entrepreneurial support for women-owned/led start-ups in focus markets. This will include supporting women-

focused incubators & accelerators with a focus on climate technology. This also includes initiatives such as supporting ESOs to mentor and train women climate entrepreneurs (business and technical skills), working with local grassroots financial institutions to promote access to finance for women-led start-ups in the climate field. The incubators/accelerators/ESOs selected as partners under this sub-activity shall be selected based on (i) experience working with early-stage entrepreneurs, especially women (ii) presence and networks in KawiSafi II focus countries (iii) expertise in climate technology sectors in line with KawiSafi II's mandate and (iv) operational capabilities and organizational resources. More detailed EC can be developed once the TAF has been launched and the specific initiatives are designed, as only then will it be certain what skills and expertise are required.

c. Sub-Activity 2.3.3 Develop programmes that promote accelerated uptake of clean technology products by women - working with local partners to identify critical barriers to uptake specific to local contexts and design interventions to address barriers to uptake for women, particularly low-income women. This will also include working with climate sector firms to foster gender integration into product design, marketing, and deployment in relevant markets. Local partners are local NGOs and service providers (e.g. ESOs, training companies, consulting firms, research institutes etc.) based in KawiSafi II focus countries.

10. Activity 2.4: Technical assistance for accelerating the deployment of new technologies and innovative business models

- The climate transition is knowledge and skills driven. In the last decade, rapid innovation has enabled the development of low-carbon technologies and the evolution of business models that have enabled commercialization. For example, the global cost of solar energy decreased by over 80% since 2010 driven by cheaper technology and growing demand. Consumer uptake of renewable energy solutions, particularly solar, has been fueled by greater public awareness and innovative financing such as catalytic grants for research and entrepreneurship, consumer education campaigns, household incentives, and accessible credit terms.
- The pace of change required to meet the global net zero emissions reduction targets is such that without collaboration, cross-pollination of ideas, information exchange, and sharing, the world is at risk of not reducing emissions fast enough to restrict global heating. The objective of this activity set is to boost the pace of innovation and adoption by enhancing ecosystem collaboration, cross-sector cooperation, and productive partnership through curating, collating, and disseminating knowledge.
- The activities will be delivered for the benefit of entrepreneurs, policymakers, regulators, businesses, consumers, and other technology pioneers in the focus countries.
- Outputs under this sub component are bolstering the evidence base of climate business models and building more technology use cases. In Cluster A countries this will be largely case study driven and through role modeling successful ventures and applications from that focus country or similar focus country. In Cluster B countries, the evidence base will likely be enterprise archetypes and significant quantifiable results that enable scale. Activities include:

a. Sub-Activity 2.4.1 Support market acceleration by working with climate and tech incubators and accelerators and industry bodies to support innovation around new technologies and business models - this includes: e.g. funding an accelerator cohort for a nascent climate technology in collaboration with a reputable accelerator manager; e.g. the Africa Center for Clean Cooling in Kigali on a partnership. The climate technologies and business models supported will need to be in line with KawiSafi Fund II's mandate and fall within the Eligibility Criteria set out in B.3 above. The cohorts will be selected jointly by the Manager and the implementing partner (e.g. the accelerator or ESO organization). The incubators/accelerators/ESOs selected as partners under this sub-activity shall be selected based on (i) experience working with early-stage entrepreneurs (ii) presence and networks in KawiSafi II focus countries (iii) expertise in climate technology sectors in line with KawiSafi

II's mandate and (iv) operational capabilities and organizational resources. More detailed EC can be developed once the TAF has been launched and the specific initiatives are designed, as only then will it be certain what skills and expertise are required.

b. Sub-Activity 2.4.2 Support centers of excellence and research institutions developing market-relevant solutions in the areas of electric mobility, productive use, cooling, battery storage, and other low-carbon technologies. This will likely cover market studies, research, pilots, development of white papers and surveys identified in collaboration in industry associations and national governments. Outputs will be publicly disseminated, and the beneficiary is expected to be the ecosystem. A Center of Excellence brings together people from different disciplines and provides shared facilities/resources. An example in the context of KawiSafi Fund II is the Africa Centre of Excellence for Sustainable Cooling and Cold-chain (ACES) in Kigali, Rwanda.

c. Sub-Activity 2.4.3 Support pilots and feasibility studies for the deployment of new clean technologies or business models of cleantech companies, for example through facilitating the testing of alternative use cases for existing technologies, or through piloting new approaches with existing customers or expansions to new markets.

- For these sub-activities, we will need to partner with an ESO (entrepreneur support organization, accelerator, business development services (BDS) provider), who has existing expertise and experience in running this type of programming. We would conduct due diligence on the ESO / implementing partner. Procurement of the specific services (i.e. individual mentors/trainers) would be done by the implementing partner. Procurement will always follow the TAF policies.

11. TAF mandate and sizing

Acumen's experience with KawiSafi Fund I informs the size and activities of the proposed TAF. The design also reflects important priorities based on the team's close interaction with KawiSafi I portfolio companies and the broader climate venture ecosystem over the past 5 years.

The proposed \$10M Technical Assistance (TA) Facility is 5% of target fund size of \$200M. We consider this allocation below the benchmark data. According to a Convergence Study which reviewed 136 technical assistance facilities, the size of TA facilities on average was ~ 12% of the investment fund amount. Further, a 2014 World Bank policy research paper stated that technical assistance provided to investee companies of private equity and venture capital funds ranges between 7-15% of the value of a given investment depending on the company, and that technical assistance facilities themselves range between 6-20% of the total fund size, with an average of around 10%. Proprietary research conducted by SME investment manager Jacana Partners (previously InReturn) showed an average TA facility funding-to-fund size ratio of around 11% based on an analysis of ten funds in Africa.

12. Technical Assistance experience and learnings from KawiSafi Fund I

We have identified the following key insights and lessons learned from KawiSafi I, which have informed design of the TAF:

- **Role of local implementing partners** - involvement of local partners not just in delivery but in the design of TA strategies and action plans, as well as enhanced cooperation during implementation would extend the impact of the TAF. This is further underscored by the expanded geographic focus that will likely result in increased complexity of delivery given more nuanced operating terrain. Leveraging local partners can not only foster greater inclusivity but also optimize the relevance and effectiveness of TA solutions delivered, especially for local country programs.
 - TAF will seek to proactively map relevant local partners in the respective geographies and design outreach strategies to engage and collaborate with local partners.
 - Knowledge sharing and exchange will be key to optimal partnerships in order to foster cross-pollination across partners and geographies.
- **Ability to drive climate impact and ESG value addition** - From our KawiSafi I experience, the team has acknowledged the significant cost of managing both the impact and ESG workstreams. In

both cases, the team has worked with industry leaders – 60 Decibels on impact measurement and Vukani Impact Collective on ESG management. While the team is proud of the processes and outcomes to date, we acknowledge that an increase in the number of segments covered brings with it additional complexity in understanding and managing the impact and ESG processes. Further, the broader geographical scope also means that KawiSafi II will likely need to deploy further resources to support the companies adopt best practices in these areas. Many KawiSafi I portfolio companies were interested in progressing on the recommendations provided by the ESG assessment but had insufficient resources to dedicate to full implementation.

- **Flexible and responsive TA delivery approach** - COVID-19 was an unanticipated shock to global markets, and many TA's were not able to respond to changing beneficiary needs precipitated by the pandemic. A survey by FMO of more than 900 MSMEs (a majority from sub-Saharan Africa) showed that less than 10% of these took action and invested in organizational transformations which undermined their adaptation efforts to the pandemic. This underscores the important role of responsive TA in helping to foster the sustainability of green businesses already operating in challenging market environments.
 - TAF is targeted and clearly focused on three themes, however, within that, it has been designed to support a breadth of activities thereby maximizing the responsiveness and flexibility to evolving beneficiary needs.
 - The facility will seek to be implemented in partnership and close collaboration with beneficiary businesses and the TAF governance and communication approach builds in high-frequency communication and dynamism that maximizes responsiveness.
- **Demand-driven TA delivery** - one of the key learnings from KawiSafi Fund I is the importance of the unique vantage point KawiSafi and its team has, from working closely with entrepreneurs. The KawiSafi II team is well positioned to support the proactive identification of TA needs and filter these through to the TA team. Where the TA is able to address these, the results are often preventative, in mitigating potential adverse impacts to the business. As the geographic scope of the TA broadens, the synergies between KawiSafi II and the TA will likely become more important in helping to proactively surface nuanced market-specific TA needs, especially those that may likely impact a cross-section of businesses in the target sectors. Furthermore, the TA needs to be able to respond to the most critical needs of the businesses in its operating environments both in terms of supporting Fund investee companies and non-investee companies.
 - Strengthen synergies with TAF via structured feedback mechanisms between the TAF and KawiSafi Fund II to ensure emerging TA needs are swiftly filtered through to TAF to inform overall programme planning and scoping. Similarly feeding back insights from TAF activities to KawiSafi Fund II to the extent that this is useful in guiding fund activities will likely be built into the TAF reporting activities.
- **Focus on continuous improvement** - a learning orientation is key to ensuring TA support continues to be relevant and effective. This will likely rely on stronger feedback mechanisms and experimental delivery approaches such as proof of concepts that foster learning. Continuous adaptation should be entrenched in the TA delivery approach to allow the TA to enhance its solutions building on from evolving findings on the ground. In addition, learnings generated should also be widely shared via various channels/ forums in order to both validate and transfer knowledge.
 - TAF will seek to develop project reporting elements that ensure learnings from projects are captured and reviewed for future project design and planning. This should include collating feedback from relevant stakeholders e.g., TA beneficiaries, partners, etc.
 - For longer-term TAF initiatives interim reviews should be built into programme delivery as well as adhoc beneficiary feedback to support ongoing optimization of delivery
- **Optimise for speed to deployment of TA** - expedient TA deployment is critical to ensure alignment with fund activities. A lag in technical assistance deployment can undermine the relevance of the technical assistance activities due to a misalignment with the emerging needs on the ground. The energy sector in particular is increasingly dynamic and being able to provide timely support is key. This is especially true when providing ecosystem-level support related to specific interventions that can help unlock context-specific barriers.
 - TAF will seek to work closely with GCF to support expedient delivery of relevant proposal

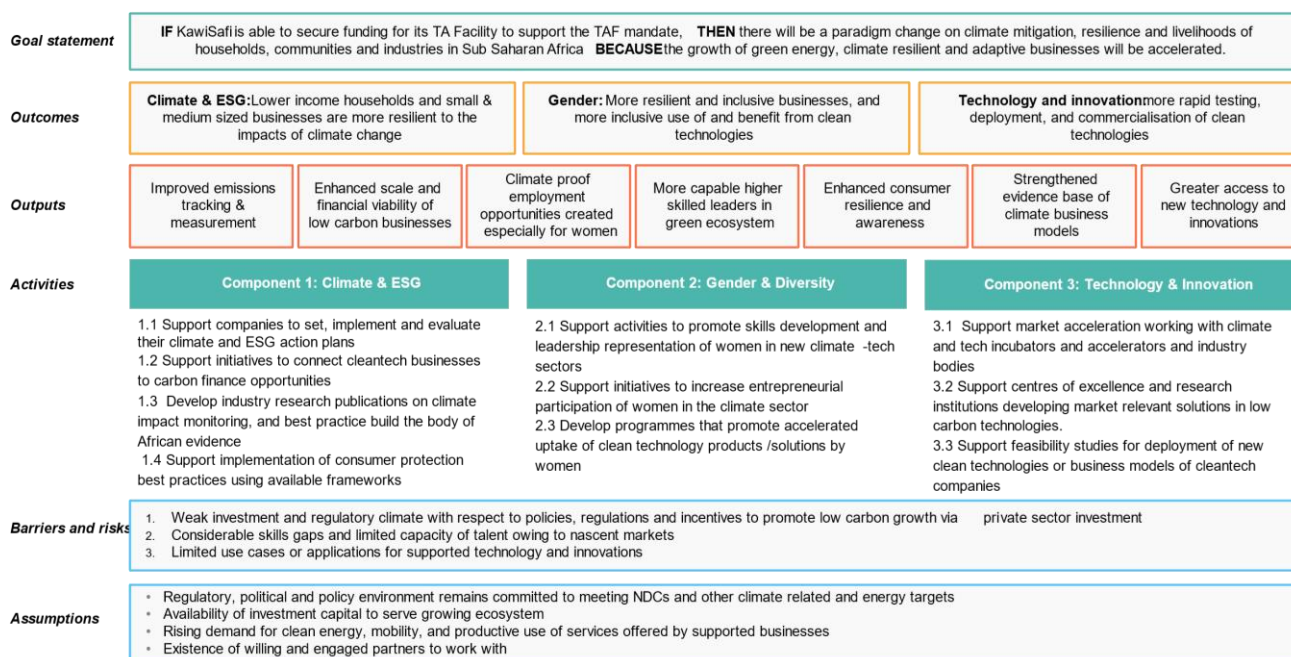
- information to optimize approval timeframes for the TAF
- TAF governance and approval processes where necessary should be reviewed to remove any bottlenecks impacting timelines and streamline administrative requirements
- **Strategic partnerships geared towards enhancing additionality** - carefully selected strategic partnerships can enable the activities of the TAF to be additive to ongoing existing initiatives. Active collaboration and joint learning across the network of TA practitioners is critical in order to tangibly tackle the challenge of shaping the investment markets to accelerate the attainment of climate impact objectives. Activities such as knowledge-sharing sessions and coordinating market studies, or capturing lessons learned from TA programs, have proved to be invaluable in driving the additionality of TA activities.
 - KawiSafi will maintain a database of potential implementation partners across all key markets and proactively engage partners to identify opportunities for collaboration
 - TAF will open itself to collaboratively mobilizing funding with implementation partners to extend the impact of the TAF.

As KawiSafi II broadens its geographic focus, and environments become more nuanced and complex, these learnings become more critical. And while KawiSafi Fund II is primarily a mechanism to address the financing gap in order to drive impact, we also recognize the importance of working alongside policymakers and philanthropic actors, in addressing context barriers facing low-carbon and high-impact climate ventures.

13. TAF Impact Framework:

Below is a “sub” theory of change for the TAF, which fits within the broader theory of change for the Fund. The TAF thesis reflects the following paradigm shift: IF KawiSafi is able to secure funding for its TA Facility to support the TAF mandate, THEN there will be a paradigm change in climate mitigation, adaptation and livelihoods outcomes for households, communities, and industries in Sub Saharan Africa BECAUSE the growth of clean technology and climate-smart businesses will be accelerated.

TAF II Theory of Change



The overall goal of TAF is to improve climate resilience in focus countries by accelerating the growth of low-carbon, clean technology, and climate-smart businesses in each market. For climate sector businesses to grow and thrive in the focus countries, they require a strong ecosystem that has a sufficiently mature investment landscape and a well-progressed climate sector that has representation from across all segments of society. Activities in TAF are organized in three sets that reflect the interlinkage of supporting businesses, accelerating market action, and

facilitating knowledge exchange in the ecosystem. The results from these activities are reinforcing and can be replicated within and across countries.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

1. Executing Entities (EEs)

The Executing Entities for KawiSafi Fund II are:

- a. The Manager: Marula Partners LLC, a Delaware (US) company. Marula Partners is the appointed investment manager of the KawiSafi II LP, an Ontario limited partnership, which will be the direct investing entity. The KawiSafi II investment team and Marula Partners personnel are the same individuals. The Manager shall be the primary EE.
- b. The General Partner: KawiSafi II Capital Investments LLC (GP), a Delaware (US) company 100% owned by Acumen Capital Partners LLC, itself a Delaware (US) company 100% owned by Acumen Fund, Inc (the "Accredited Entity" or "AE").

2. Role of the Accredited Entity

The AE will support both the EE and GCF with an advisory role and on monitoring and reporting, as expected to be described in the subsidiary agreement.

Acumen, through its General Counsel, CFO, Legal Counsel, ESG Insights Manager, and Risk and Compliance Manager will advise the team on GCF expectations, areas of expertise, and investment considerations, prepare related pass-through documentation to ease the process vis a vis investee, provide support to the team and investees in areas of ESG.

3. Fund Administrator and Auditor

The Fund has identified a third-party Administrator that will be hired at fund closing. The administrator will perform asset and valuation calculations, maintain books and records, support financial statement preparation and reporting, liaise with auditors, pay fund expenses from its bank account, calculate distributions and returns, prepare and submit regulatory filings, monitor and report on compliance an anti-money laundering and supervise dissolution of the fund. The administrator will be a separate and unaffiliated entity.

The Fund will appoint an independent Auditor at Fund Closing.

4. The KawiSafi II / Marula investment team builds on the experienced team that invests and manages the first KawiSafi fund (KawiSafi I).

5. Investment Committee (IC)

The Investment Committee (IC) is the final decision-making body in the investment process. IC will assess the business model for its financial viability, social impact and climate contribution and make a final decision to approve each transaction. The primary responsibilities of the IC will be to:

1. Review/approve/reject transactions, at key decision gates in the investment process and at exit
2. Review current pipeline, post-investment management activities and investment outcomes
3. Review investment and portfolio performance against annual goals and recommend potential corrective action, if necessary
4. Review and provide guidance on investment and portfolio management strategy

KawiSafi II will have an IC of up to 5 members. The IC members will comprise experts with a combination of (i) investment experience (ii) Africa regional experience and (iii) climate expertise. The Manager is currently recruiting at least 2 additional IC members in line with this profile.

The IC will be governed by a terms of reference and engagement acceptance letter which each IC member shall sign. Example language is here: *You acknowledge that you have been supplied with, read and have had the opportunity to ask questions regarding the Partnership Agreement which clarifies the investment strategy of KawiSafi Fund II. You agree to perform your services as a member of the Investment Committee in support of*

such investment strategy. The AE shall have a permanent right to appoint at least 1 member to the IC. In these ways, the AE shall have oversight of the IC and ensure decisions taken are in line with GCF requirements.

6. Impact Review Process

The Impact Thesis (especially, climate mitigation and adaptation) for each investment will be presented as part of the Investment Memo to the Fund's Investment Committee for consideration and approval. The Fund's contribution to impact is achieved through the provision of capital as well as through Management support and strategic engagement with investee companies through the life of the investment. Consistent with good practices for ESG, KawiSafi Fund II will articulate its impact expectations in its Investment Agreements.

7. Impact Management Plan

The Impact Management Plan will include (but not be limited to) the following contents:

1. Articulation of the Impact Thesis
2. Reference to any secondary research or primary company data in support of the Impact Thesis
3. Identification of the key impact metrics (and any secondary metrics) for the investment using the attached Indicator Framework as a basis, which focuses on climate adaptation, mitigation and people in poverty through metrics including: GCF Results Areas, lives impacted with access to energy-enabled services, employment generation, gender impacts and poverty reach.
4. Projected annual and aggregate impact across the impact metrics (with sensitivity analysis based on base/down scenarios)
5. Assessment of any risks of negative impacts from company's business, and how to mitigate, including potential for support from the TAF, particularly with respect to gender, consumer protection and ESG.
6. Plan for how to work with the company to ensure achievement of impact targets

8. Limited Partner Advisory Committee (LPAC)

KawiSafi Fund II will have an advisory committee (LPAC) to serve as an adviser to the Manager and the General Partner and to consult with them concerning the Fund's activities and operations, including, in particular, with respect to the identification and resolution of conflicts of interest.

9. Governance for the TAF

The TAF sits alongside but exists independently from the KawiSafi II Fund, with separate management and governance arrangements.

For the implementation of TAF, the AE shall sign a Management Agreement, in the form of a grant agreement, with the EE (the "Management Agreement"). The EE shall develop and present for approval by the Technical Assistance Committee ("TAC") a TA manual governing the operations and grant-making processes of the TAF ("TA Manual").

10. Experience and track record of the AE and EEs with respect to the activities (sector and country/region)

KawiSafi Fund I, launched in 2016, is a first-of-its-kind vehicle that invests in venture stage companies in the distributed renewable energy ecosystem in Africa. The team recognized the vast potential of the off-grid energy sector to make a substantial impact in electrification rates in Sub-Saharan Africa through ambitious and sustainable business models. The sector has grown exponentially since 2010 to reach 420 million users of off-grid solar today, many of whom did not have access to modern energy sources before. There is now a \$1.75 billion annual market for off-grid solar products and services. KawiSafi I has been at the forefront of this trend, having invested in three of the market leaders (d.light, Bboxx and BioLite) to take them regionally across Africa and, in some cases, into Asia.

11. As of 30/06/2022, KawiSafi Fund I has achieved:

- 110 million lives impacted with energy access globally, of which 43 million lives are impacted in East Africa (the primary geographic focus of Fund I). This represents 4.3X the fund's impact target in East Africa.
- 24 million tons of CO2 equivalent averted globally. This represents 24X the fund's global emissions target.

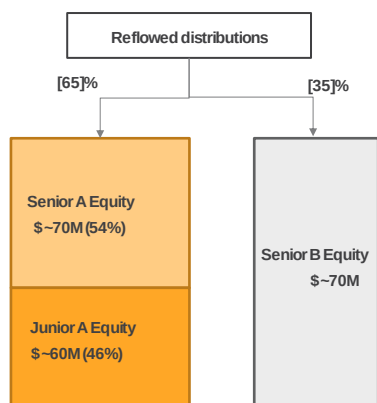
12. As Accredited Entity, Acumen brings experience as a direct investor since 2001 - having invested a total of \$146 million of capital into 154 companies. Acumen currently has \$84 million in investments under management in 111 enterprises. Acumen's local presence in East and West Africa is aligned with the KawiSafi Fund II target countries.
13. Acumen became a GCF Accredited Entity in 2016. Acumen now serves as GP to two funds with GCF funding: KawiSafi Fund I and the Acumen Resilient Agriculture Fund (ARAF). Acumen also serves as Accredited Entity for the Energy Access Relief Fund (EARF).
 - ARAF is an equity fund focused on African agribusinesses that help smallholder farmers adapt to climate change. ARAF announced its final close with \$58M (above its target of \$50M) in investor commitments including GCF, FMO, Soros Economic Development Fund, Proparco, The Children's Investment Fund Foundation, Ikea Foundation, Global Social Impact and others.
 - EARF, managed by Social Investment Managers and Advisors (SIMA), provides relief capital in the form of short-term loans to energy access companies in sub-Saharan Africa and Asia still struggling with disruptions wrought by COVID-19. EARF closed at \$90.4M (above its target of \$80M) in total commitments from GCF, DFIs and other investors.
14. Acumen has built internal expertise and capacity to launch and oversee funds, ensuring strict compliance with all GCF requirements. This has included:
 - Acumen General Counsel and CFO overseeing establishment of policies and procedures;
 - Hiring an ESG monitoring & evaluation specialist to support across GCF-funded projects; and
 - Undertaking an external operations compliance audit to ensure best practices.
 Acumen was re-accredited in 2022, during which process its systems and procedures were reviewed and ensured to meet GCF's current requirements.

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

1. Funding from GCF will enable the launch of KawiSafi Fund II (KawiSafi II), focused on providing energy and climate solutions for underserved people in poverty in Africa, driven toward positive environmental, social and financial outcomes. An anchor investment of \$52.5M from GCF, including \$40M of first loss capital for the Equity Fund, \$10M senior capital for the Equity Fund, and \$2.5M grant for the TAF, is expected to be catalytic, as it will de-risk the investment for more risk-averse private sector investors, required to meet the scale needed in our target sectors. It is well documented that public funds alone will not likely be sufficient to meet the global challenge of climate change. This is perhaps no truer than in Africa where the risks are perceived as high and the local capital markets are shallow. In energy access and climate solutions, these disparities run even deeper. ~550 million people lack access to energy in Sub-Saharan Africa, and available energy services are inadequate.
2. KawiSafi I (the first fund) was launched to catalyze a nascent market segment and move it toward maturity. Beyond the risk of investing into an underserved region, Fund I invested in new business models as they scaled up from pilot and proof stage to become strong regional companies. The energy and climate sectors in Africa have benefited from capital providers at the earliest stages of company development, where philanthropic organizations have invested time and resources to support and promote high-potential companies but have limited capacity to continue to fund as companies scale. In turn, there are a number of later stage strategies that benefit from longer company track records and/or the ability to enter into long-term contracts with credit-worthy counterparties. These infrastructure and later-stage private equity strategies have tools to de-risk the investments and deploy larger ticket sizes, thereby attracting more institutional capital. KawiSafi's investment strategy is designed to address the massive gap in between these funding stages, backing companies that have proven customer demand and need to scale their operations and continue investing in new product development. KawiSafi Fund II will continue to direct capital into new business models with high opportunity to address market gaps.
3. A key part of KawiSafi Fund II's theory of change is to mobilize capital from large institutional investors, such as global asset management firms. GCF's investment in KawiSafi I helped to mobilize investment from global asset management firms such as AXA and Goldings, as well as family foundations. For KawiSafi II, we are setting out an even more ambitious goal to raise a significant share of our Fund from private investors.

However, the feedback from private institutional investors has been clear. While they are excited about KawiSafi II's mission, they require downside protection. Catalyzing this category of investors is essential to meet the target fund size of \$200 million and make a meaningful difference in the target sectors.

4. From our consultation with private investors, we learnt that while many of these investors are interested in KawiSafi Fund II and see it as well aligned with their climate targets and objectives, they still perceive the expected returns as too low and the risk of loss of investment too high. For this reason, we are requesting GCF funding as Junior Equity. While DFI and concessional funders are important partners for KawiSafi, their funding alone is inadequate to address the massive climate and poverty challenges facing Africa. Fund II's target size and segments are designed to address these challenges and build sustainable, scaling companies. To meet that need, we need to attract capital from commercial investors, who have announced trillions in commitments to the climate challenge but are sitting on the sidelines when it comes to emerging markets in general and Africa in particular. These asset managers need the capacity to reach targeted market segments, backed with the expertise to navigate local context, however this diverges from their traditional investment strategies and desire to deploy large amounts of capital in few transactions. In our markets, investors are unable to rely on contractual guarantees or corporate credit ratings that are typically utilized for risk management in the energy and climate sectors. To attract these investors to essential investments in more challenging markets, the Junior Equity will improve the risk-return profile by both mitigating risk and enhancing return.
5. We request a total \$50 million equity commitment from GCF, including \$40 million of Junior Equity and \$10 million of Senior B Equity. In addition, we are requesting \$2.5M of Grant capital for the Technical Assistance Facility. The Junior Equity is designed with two features: 1) first loss protection (to manage downside risk) and 2) a differential preferred return (to improve upside potential). The first loss protection absorbs any losses of the KawiSafi Fund II in the event that the Fund does not achieve positive returns. The differential preferred return allows the Senior A investors to receive distributions up to a higher preferred return before the Junior Equity participates in a lower preferred return, and then each would ratably share in Fund excess returns above the hurdle rate. The Junior Equity is intended to benefit only private investors in the Senior A tranche, not development finance investors. Concessional capital providers are expected to participate in a separate, Senior B tranche.

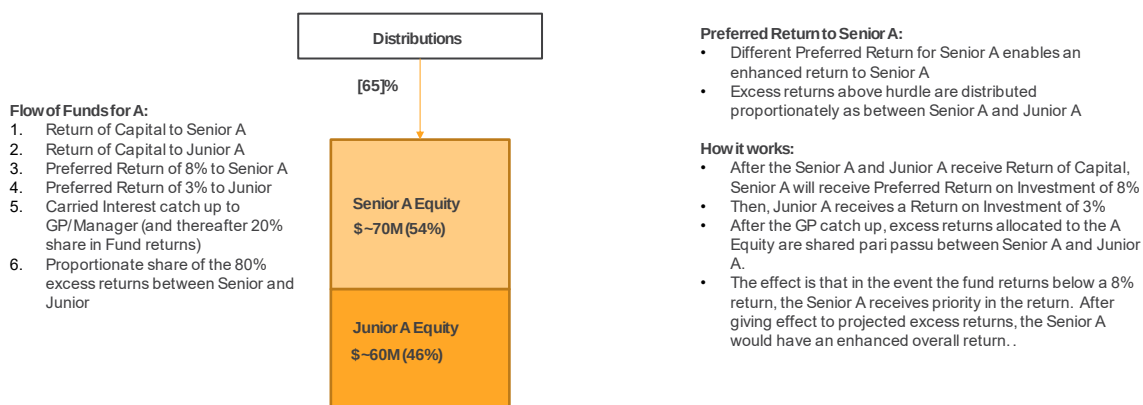


Downside Protection for Senior A:

- Junior A Equity only benefits the Senior A, targeted to commercial, private investors..

How it works:

- All equity from Senior A, Junior A and Senior B to be drawn down pari passu.
- All equity from Senior A, Junior A and Senior B will cover expenses and fees proportionately.
- Reflowed funds for distribution will flow proportionately into the A waterfall and the B waterfall.
- In the A waterfall, the senior contributions are paid in full before the junior contributions.
- The effect is that in the event the fund returns below \$200M, the Junior equity would bear the deficit below \$200M, up to \$60M, in favor of the Senior A Equity.



- The team's interaction with potential investors has made clear that concessional finance provided by GCF and others is more critical than ever to crowd-in commercial investors and catalyze impact at scale. First loss mitigates investor concerns about regional and sectoral risks. In parallel, the potential to achieve a net IRR in the high-teens or above is needed to bring the fund to the investment committees of more commercially oriented investors. The proposed structure will improve the risk-return profile for private investors that are motivated to invest in KawiSafi II's mandate but face high scrutiny for capital allocation and must meet stringent risk management criteria across their assets under management. We are also speaking to other potential providers of Junior Equity first loss capital to come in alongside GCF.
- The KawiSafi team has assessed the relative size of the Junior and Senior Equity components based on direct feedback from potential investors as well as our internal fund modeling. In addition, we have assessed structures successfully utilized by other fund managers to attract an appropriate blend of capital from the target investor base. As a result, the Junior Equity is sized at 30% of the total fund size and below 1.0X the Senior A component.
- The Technical Assistance Facility is also a critical component and GCF's support will be instrumental. There are a number of key gaps that persist in our markets, and through our outreach and participation in the innovation ecosystem, we seek to play an enabling role for funders and companies alike. The targeted focus areas of (1) Climate & ESG (2) Gender & Diversity and (3) Technology & Innovation respond to clear needs identified by early stage companies on the ground, and also represent key priorities for the KawiSafi Funds. They are also closely aligned with GCF's own impact priorities and theory of change. The resources available through fund management fees are strategically targeted to investment activity, and the TA resources allow us to work with our local partners to do more to ensure the success of companies and other stakeholders in the target sectors.
- As the premier climate finance multilateral institution globally, GCF's participation in KawiSafi II will add value in terms of setting climate eligibility criteria and providing validation of our climate impact methodology and approach. GCF's influence and support in this respect is vital, as many other DFIs and Investors seek to invest on the premise of supporting 100% renewably powered energy sources and seek assurances that their portfolios do not have any unforeseen negative climate impacts. Adaptation and resilience have become central to our impact thesis, and GCF is a value-adding partner to contribute thought leadership and resources as we build out leading edge methodologies to track our adaptation outcomes. We also see GCF as a strong partner to reinforce best practices in environmental and social management, and its participation ensures investors that proper and adequate risk management policies and procedures are in place.

B.6. Exit strategy (max. 500 words, approximately 1 page)

KawiSafi Fund II's business model is to drive sustainable growth of portfolio companies to drive strong exits upon investment maturity.

- KawiSafi seeks to ensure that the positive impact is maintained even after exit through building sustainable scalable businesses with demonstrated impact mandates and seeking out potential buyers who share the commitment to continue such a mandate.

2. We have confidence that there will be exit opportunities across the three themes in which we intend to invest. This is based on:
 - I. The general trend towards consolidation with the industry – through our experience in KawiSafi Fund I, we see increased consolidation in the industry creating larger, profitable companies that are strong targets for acquisition. Firms are pursuing joint-ventures and acquisitions as part of their growth strategy and raising significant rounds of capital to finance this.
 - II. The increasing M&A interest for climate and renewable energy assets overall, which although is a trend driven by the EU and US market, is starting to gain prominence in emerging markets with strategic and commercial financial buyers investing across Africa. We observe entry of commercial investors into the African distributed energy ecosystem as scale and profitability targets are achieved.
 - III. Increased availability of debt to finance working capital and CAPEX, which is expected to further maximize equity investor returns. Increased debt availability (local currency) in the industry is encouraging.
 - IV. In the e-mobility market, acquisitions by OEMs as a market entry strategy are common.

C. FINANCING INFORMATION						
C.1. Total financing						
(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount			Currency		
	52.5 million			USD (\$)		
GCF financial instrument	Amount	Tenor	Grace period	Pricing		
(i) Senior loans	<u>Enter amount</u>	<u>Enter years</u>	<u>Enter years</u>			
(ii) Subordinated loans	<u>Enter amount</u>	<u>Enter years</u>	<u>Enter years</u>			
(iii) Equity	50M (to be split 40M Junior Equity / 10M Senior B Equity)					
(iv) Guarantees	<u>Enter amount</u>	<u>Enter years</u>				
(v) Reimbursable grants	<u>Enter amount</u>					
(vi) Grants	2.5 million					
(vii) Results-based payments	<u>Enter amount</u>					
(b) Co-financing information	Total amount			Currency		
	157.5			million USD (\$)		
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
Discussions ongoing (foundations, family offices)	<u>Equity</u>	<u>20</u>	<u>million USD (\$)</u>			<u>Junior</u>
Discussions ongoing (private institutions)	<u>Equity</u>	<u>60</u>	<u>million USD (\$)</u>			<u>Senior A</u>
Discussions ongoing (DFIs)	<u>Equity</u>	<u>70</u>	<u>million USD (\$)</u>			<u>Senior B</u>
Discussions ongoing (foundations, family offices)	<u>Grant (for the TAF)</u>	<u>7.5</u>	<u>million USD (\$)</u>			<u>Grant (for the TAF)</u>
(c) Total financing (c) = (a)+(b)	Amount			Currency		
	<u>210</u>			<u>million USD (\$)</u>		
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)	Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee). Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets. Please also include parallel financing associated with this project or programme (refer to the co-financing policy). Estimate of the private and public financing that will be mobilised by the fund: 1.5 billion USD (\$).					

We estimate a 9 times leverage of KawiSafi Fund II capital over the lifetime of the Fund. Investment Capital = \$200M – Management Fees = \$168.5M; multiplied by 9 times; which equals \$1.5 billion USD (\$).

C.2. Financing by component

Component	Output	Indicative cost Options	GCF financing		Co-financing		
			Amount Options	Financial Instrument	Amount Options	Financial Instrument	Name of Institutions
Component 1: <u>Equity Fund</u>	<u>Fundraising, Market Screening, Pipeline Development and Equity Investment</u>	<u>180</u>	<u>45</u>	<u>Equity</u>	<u>135</u>	<u>Equity</u>	<u>(1)</u>
	<u>Post-investment engagement</u>	<u>18</u>	<u>4.5</u>	<u>Equity</u>	<u>13.5</u>	<u>Equity</u>	<u>(1)</u>
	<u>Leverage Capital and Managed Exits</u>	<u>2.0</u>	<u>0.5</u>	<u>Equity</u>	<u>1.5</u>	<u>Equity</u>	<u>(1)</u>
Component 2: <u>Technical Assistance Facility</u>	<u>Climate & ESG</u>	<u>2.0</u>	<u>0.5</u>	<u>Grants</u>	<u>1.5</u>	<u>Grants</u>	<u>(2)</u>
	<u>Gender & diversity</u>	<u>3.5</u>	<u>0.875</u>	<u>Grants</u>	<u>2.625</u>	<u>Grants</u>	<u>(2)</u>
	<u>Technology and Innovation</u>	<u>3.5</u>	<u>0.875</u>	<u>Grants</u>	<u>2.625</u>	<u>Grants</u>	<u>(2)</u>
	<u>Project development and admin costs</u>	<u>1</u>	<u>0.25</u>	<u>Grants</u>	<u>0.75</u>	<u>Grants</u>	<u>(2)</u>
Indicative total cost (USD)		<u>210</u>	<u>52.5</u>		<u>157.5</u>		

- (1) All Fund activities to be co-financed pari passu with all Fund investors, expected to include development finance institutions, private global philanthropy, family offices, asset managers, insurance companies, individual investors, and others.
- (2) TAF activities to be co-financed with TAF donors, expected to include development finance institutions, private global philanthropy, and others.

Note: For illustrative purposes only. Actual budget by component is subject to change. GCF's allocated financing amount for activities is equal to 25% of total indicative cost assuming GCF commits \$50 million to the KawiSafi Fund II equity; and 50% of technical assistance activities assuming GCF commits \$5 million in grant capital.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)	
C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☒ No ☐

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

Through the proposed \$10M Technical Assistance Facility (TAF), KawiSafi II will finance capacity development and technology transfer activities. Sub components and key activities, and associated GCF funding are further highlighted below:

ACTIVITIES	OUTPUTS	SUB-ACTIVITIES	TOTAL BUDGET (\$M)	GCF FINANCING (%)	CO FINANCING (%)	GCF FINANCING (\$M)
2.1 Climate & ESG - amplifying climate (especially adaptation) and ESG impact through learnings, best practices, and innovations	Value of technical assistance provided	2.1.1 Support companies to set, implement and evaluate their climate and ESG action plans	2.0	25%	75%	0.5
	Number of companies and initiatives supported with enhanced approach to climate and adaptation impacts	2.1.2 Support initiatives to connect businesses to carbon markets via technology, data, innovative finance				
	Number of climate and ESG action plans developed and (successfully) implemented	2.1.3 Develop industry research on climate adaptation and impact, and best practice build the body of African evidence				
	Number of carbon finance initiatives supported	2.1.4 Support implementation of consumer protection, quality assurance, and standards				
	Volume of carbon transactions facilitated					
	Number of industry research					

		publications / best practices / thought pieces supported on climate and adaptation impact					
	2.2 Gender & diversity - ensuring that climate solutions and outcomes are gender inclusive and transformative	Volume of technical assistance provided in key sector verticals targeted by the fund Number of female workers trained in technical and functional skills in climate-smart technologies and target sectors Number of female customers supported with capacity and awareness building in climate-smart and clean technologies Number of female management team members and board directors recruited, trained, and supported at portfolio companies Number of companies and initiatives supported to develop gender-inclusive climate solutions	2.2.1 Support activities to promote skills development and leadership representation of women in new climate-tech sectors 2.2.2 Support initiatives to increase entrepreneurial participation of women in the climate sector 2.2.3 Develop programmes that promote accelerated uptake of clean technology products /solutions by women	3.5	25%	75%	0.875

		Number of women with greater access to finance for climate-smart products as a result of supported initiatives; and USD value of access to finance					
	2.3 Technology & innovation - accelerating the deployment of new technologies and innovative business models	Volume of technical assistance provided in key sector verticals targeted by the fund Number of early-stage climate techs supported through accelerator and enterprise development cohorts Number of feasibility assessments and small-scale pilots supported for deployment of new business models and clean technologies Number of technology transfer partnerships facilitated between African climate start-ups and international corporates Number of market studies and best practices papers	2.3.1 Support market acceleration working with climate and tech incubators and accelerators and industry bodies 2.3.2 Support centers of excellence and research institutions developing market relevant solutions in low carbon technologies. 2.3.3 Support feasibility studies for deployment of new clean technologies or business models of cleantech companies	3.5	25%	75%	0.875

	published Total volume of finance raised by the accelerated ventures						
TAF Project Development and Management Fees	10% of the total TAF size to be drawn down during the investment period. Includes, Audit Fees, Monitoring and Evaluation, and Legal Fees (if any)	1.0	25%	575%	0.25		
Total		10.0	50%	50%	2.5		

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

1. **Overall impact targets:** KawiSafi Fund II will seek to identify investments that promote radical affordability of energy-enabled and climate-smart products and services, reducing vulnerability and strengthening resilience of approximately 3.5 million people directly and indirectly to effects of climate change and averting 20.9 million tonnes of CO₂eq, demonstrating that the focus African markets can leapfrog fossil-fuel grids to clean technologies.
2. Under Mitigation, KawiSafi Fund II expects to achieve the following:
 - Through its investment in distributed solar generation, **avert 20.9 million tonnes of carbon dioxide equivalent (t CO₂ eq) during the Fund's lifetime**. Through investments in firms deploying innovative business models that drive climate-smart technology adoption across Africa, KawiSafi Fund II will work to increase the **number of people with access to low-emission and low-carbon energy, productivity, and mobility solutions**. In addition to availability of residential lighting and the direct health-related benefits of transitioning from dirty fuels such as kerosene, access to power also has the potential to catalyze economic development in rural areas and creates more job opportunities as well as increased opportunities for higher incomes. benefits are captured in ARA1.
 - In addition to residential lighting, KawiSafi Fund II is expected to make investments in C&I solar power generation; battery storage applications targeted at displacing diesel generators; as well as in energy productivity which includes deployment of renewable energy at mobile towers sites that are currently powered by diesel generators resulting in significant CO₂eq emissions. The Fund also expects to support the **reduction in energy intensity of industries** by seeking out firms with technologies that facilitate green manufacturing through integration of renewables and energy-efficient technologies, as well as support clean cooling interventions. (MRA3)
3. The third segment of focus for KawiSafi Fund II will be mobility and logistics through investments to scale companies rolling out two, three and four-wheeler electric vehicles ("EVs") across various markets on the continent, thus **increasing the use of low-carbon transport** and significantly reducing carbon dioxide equivalent (t CO₂ eq) in urban areas. Through investments in the Energy, Mobility, and Productivity (clean cooling, agriculture-energy, green manufacturing) sectors, KawiSafi Fund II aims to **reduce climate vulnerability of approximately 3.5 million people by enhancing their resilience and adaptive capacity** in the following ways:
 - Adverse changes to the quantity and quality of both surface water and groundwater – due to projected trends in temperature and precipitation across the continent – are expected to have significant impacts on food security. Furthermore, unpredictable, and extreme weather events often result in increased post-harvest losses and food supply chain disruption KawiSafi Fund II will seek to invest in **resilient food-systems which support agricultural communities adapt to the changing realities of climate change**. Through the energy productivity segment, KawiSafi Fund II will invest in innovations in the agriculture energy nexus – such as solar powered irrigation; as well as cold chain investments which together are expected to improve predictability of farming and durability of produce to reduce post-harvest losses. Cold chain and storage solutions are expected to help strengthen food security and reduce food loss in this case. These benefits are captured under ARA2 and ARA1.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

D.2.1 Potential for scaling up and replication

1. KawiSafi II intends to build on KawiSafi Fund I (the world's first climate change fund focused on SMEs that serve BoP populations in developing countries). KawiSafi Fund II will seek to demonstrate the scalability and replicability of the approach. The larger Fund, investing across a wider geographical footprint, will take the lessons learnt in deploying the first fund and (with continued GCF partnership) allow KawiSafi to demonstrate that nations can leapfrog fossil-fuel grids to clean energy. The Fund expects to create a blueprint to a clean-energy future that advances GCF's goals and that can be replicated in multiple geographies.
2. The Fund's investments will seek to develop, prove, and scale innovative clean energy technologies and products that will promote low-carbon growth, and support lower income people to live a life that is more deeply empowered and enabled, with more opportunity and less risk. Success stories from such investments should attract further private sector capital into those companies and others, increasing the scale and impact of clean energy companies operating locally and advancing GCF's goals.
3. By investing in for-profit companies, KawiSafi II, GCF, and other investors will seek to create financially sustainable enterprises that continue to operate through internal profits and follow-on investment even after the KawiSafi Fund II has completed its investments. All the fund's portfolio companies will have significant operations within the specific countries of focus. Scale built through the Fund's investments will seek to generate strong exits for investors which will likely further build credibility of the African investment landscape.
4. KawiSafi Fund II will seek to invest in business models where innovation and scale are directly correlated to impact generated. This is expected to reduce vulnerability of approximately 3.5 million people (directly and indirectly) to the effects of climate change and avert 20.9 million tonnes of CO₂eq during the lifetime of the Fund. These investments are expected to create employment opportunities, build local institutional knowledge, and strengthen local supply and distribution channels in their countries of operation.
5. Equity investment is critical for nascent sectors such as in the agriculture-energy companies that are still proving out their business model and product market fit. KawiSafi II's investment and role as investment lead will likely be important to: 1) further catalyze private sector investment by signaling commercial opportunity in these businesses; and 2) establish a strong balance sheet position that will allow the closing of low-cost debt required to achieve scale for wider income and productivity benefits for smallholder farmers.

D.2.2 Potential for knowledge sharing and learning

1. Acumen has a 20-year track record of investing in emerging markets. The Fund has been a market leader in drawing insights and sharing them across the impact investing ecosystem. As a pioneer in impact investing, Acumen played a key role in shaping the sector's approach to measurement. Specifically, Acumen co-developed the Impact Reporting & Investing Standards (IRIS) and helped to found both the Aspen Network for Development Entrepreneurs (ANDE) and the Global Impact Investment Network (GIIN). 60 Decibels (previously Lean data), one of the leading impact advisors, was spun out of Acumen and has gone on to offer its impact measurement services to companies and investors alike. In addition, Acumen has published well received reports on energy featuring the work of its Pioneer Energy Investment Initiative (PEII) and KawiSafi Fund I. These include: [Accelerating Energy Access: The Role of Patient Capital](#); [Fueling the Future: What's next in Off Grid-Energy](#); and [Lighting the Way: Roadmaps to Exits in Off-Grid Energy](#).
2. Both Acumen Fund and KawiSafi Fund I held numerous open webinars to share and crowdsource knowledge on various innovative approaches to driving strong performance and impact. The KawiSafi team has hosted events to share insights with and learn from its sector colleagues including investors, accelerators, early-stage companies, entrepreneurs, and others, including its November 2019 event that resulted in a working paper titled, "Deepening support to locally owned enterprises: A working paper on the state of capital flows to early-stage businesses in Kenya." In May 2021 the team hosted a virtual panel titled "Beyond the Tipping Point: The future of battery storage and its implications for low-carbon energy access in East Africa." The Funds publish annual Impact and Community reports which provide additional

information on the approach to impact, ESG, and other topical areas of interest in the off-grid energy ecosystem.

3. Measuring adaptation benefits from interventions is harder than mitigation benefits, as quantifying an increase in adaptive capacity or reduction in vulnerability is harder to do than a reduction in GHG emissions.⁵⁹ KawiSafi Fund II intends to support the development of this body of knowledge through both the Equity and Technical Assistance Facility (TAF) by bringing more definition across the various indicators in the various geographies of focus. This is expected to be complex given the data environment, however the team is committed to working with partners to develop an evidence base for the quantification of adaptation benefits from the energy and transport sectors which has been limited to date.
4. Through KawiSafi Fund II, the team intends to share these learnings through webinars, publications, as well as annual impact reports to stakeholders. We are and will continue to actively participate in public conferences and share our expertise with the community.

D.2.3 Contribution to the creation of an enabling environment

1. Acumen is requesting that GCF invest equity capital into a 10-year Fund (plus up to two 1-year extensions, i.e., 12 years maximum). This vehicle, and GCF's anchoring investment, will enable Acumen to draw in risk-averse capital from like-minded investors who are interested in the same goals but have a lower risk appetite. The proposed fund structure will be tiered and will include a Junior and Senior equity layer. The participation of GCF and other catalytic capital providers in the Junior layer will further de-risk KawiSafi Fund II and attract investments from private institutional capital providers who will benefit from downside protection and enhancement of returns.
2. We believe that an investment of \$50M from GCF, including \$40M in the Junior equity layer and \$10M in the Senior equity layer, will be sufficient to unlock an additional \$150M to achieve the desired Fund size of \$200M. In addition to leveraging KawiSafi Fund II structure to attract additional capital, the investments made from KawiSafi Fund II will support company balance sheets to raise debt and set them up for even larger follow-on equity rounds (multiplying the positive social and climate impacts generated).
3. KawiSafi Fund II expects to raise a \$10M Technical Assistance Facility (TAF) which is designed to maximize the climate mitigation and adaptation impact of our investments and augment the activities of the equity Fund. This grant funded facility will seek to assist both portfolio companies and the wider clean energy ecosystem. Portfolio companies will receive the necessary support to ensure they maximize both their financial returns and climate impact while having strong management systems to address any environmental, social and governance risks that may arise. The TAF also intends to support the portfolio companies develop the tools and capacity needed to measure their ESG and climate impacts, which is a current gap in the market. The ecosystem support will go towards collaboration with early-stage incubators and accelerators, as well as industry associations and academia to support development and maturation while ensuring that the industry weighs the impacts of its activities on all members of society, especially women. As of 31/12/21, the KawiSafi I portfolio had pro-actively promoted gender diversity and inclusion, directly employing ~870 women and training over 4,900 women in the larger ecosystem. We expect that gender initiatives in Fund II will be more prominent, (as highlighted in the Gender Action Plan) and lead to widespread inclusion across the ecosystem and long-standing benefits to the female beneficiaries.

D.3. Sustainable development (max. 500 words, approximately 1 page)

1. KawiSafi Fund II is directly aligned to SDG 1 (Elimination of poverty), SDG 7 (universal access to clean and affordable energy), SDG 8 (Decent work and Economic Growth), and SDG 13 (Climate Action). However, there is sufficient evidence that access to affordable, reliable, and sustainable energy is crucial to achieving many of the other Sustainable Development Goals via advancements in hunger and food security; overall

⁵⁹ Ochandarena, P., 2015. The Challenge of Measuring Climate Change Adaptation. [Online] Available at: <https://chemonics.com/blog/the-challenge-of-measuring-climate-change-adaptation/>

health and well-being; education; water supply; and sustainable industrialization. A well-established energy system supports all sectors from health and education to agriculture, infrastructure, communications, and technology. The fund will focus on Bottom-of-the-Pyramid (BoP) populations, where the investments would bring direct livelihood improvements, including increased incomes, safer and healthier household/business environments, improved food / water security, and increased access to information.

2. **Environmental impacts:** Environmental co-benefits will be determined for each of the projects funded under the Program. These co-benefits will tentatively include a reduction of air and water pollution, and improved resource-use through recycling and second life applications. CO₂ emissions are expected to be averted through the replacement of kerosene, diesel, and other carbon-based fuels. Furthermore, the transport sector accounts for around a quarter of energy-related CO₂ emissions globally and is almost completely dependent on fossil fuels. Decarbonizing this sector is crucial to achieving the temperature goals of the Paris Agreement and improving air quality more generally.
3. **Health benefits:** Use of clean lighting and cooking alternatives has significant health benefits from the transition from dirty, pollutive, and damaging fuels (i.e., traditional open wood fires or kerosene) that cause significant household air pollution. Kerosene lamps emit smoke that contains large amounts of fine particulate matter (PM_{2.5}). Typical PM_{2.5} levels in households using kerosene lamps have been found to be five times higher than the level deemed safe by the World Health Organization. After replacing kerosene with solar lights, one study found that PM_{2.5} concentrations fell by as much as 80%. Unsurprisingly lean data studies have indicated that over 89% of households report health improvements after buying a solar home system. Furthermore, 91% of households reported increased safety after purchasing a clean lighting or cooking product.
4. **Employment Impact:** The renewable energy industry has the potential to generate significant employment in Africa. According to the AfDB and IRENA report, increased investment in renewable energy could create at least 26 million jobs by 2050. As of 2019, the off-grid electrification industry had reportedly generated 370,000 jobs. Increased human capital infrastructure will be further required to deliver future energy access services. Compounding its positive impact, the industry has strong representation of women workers, and its wages are in line with (if not higher than) average national wages. KawiSafi Fund II will invest in innovative companies that promote inclusive and sustainable economic growth, through full and productive employment for all. KawiSafi Fund II targets 1) creation of 17,000 direct jobs and 33,000 indirect jobs over the KawiSafi Fund II lifetime. Through the Technical Assistance Facility and the Gender Action Plan, KawiSafi Fund II intends to increase employment of women across the African energy and mobility ecosystem and drive further investment in female owned and led businesses. The Fund will also support the increased participation of women in the early-stage climate investment ecosystem by partnering with accelerators and incubators to increase gender inclusion in their cohorts. This is further elaborated in the Technical Assistance Facility section and Gender Action Plan attached as Annex 8.
5. **Economic co-benefits:** Off-grid solar is generating opportunities across the globe, creating new jobs and growing income. Recent research in East Africa found that 34% of households report an increase in economic activity because of their solar home systems. 28% of households using solar home systems report an average increase of \$46 in monthly income – equivalent to 14% of per household national monthly income (based on gross national income). In more than one-third of households, customers use their systems for business or income generation; 81% of which see this resulting in increased revenues. Improved access to light and productive power, as well as other low carbon technologies, is expected to support increased economic activity in rural communities and resultantly support increased resilience.
6. KawiSafi Fund II will continue to target companies that i) accelerate the path towards universal access to affordable, reliable, sustainable, and modern energy and ii) take urgent action to combat climate change and its impacts. Through these investments, KawiSafi II expects to reduce vulnerability of approximately 3.5 million people directly and indirectly to the effects of climate change and avert 20.9 million tonnes of CO₂eq emissions over the life of the fund.

1. **Both demand- and supply-side considerations highlight the need for a pan-Africa fund that helps catalyze the region's low-carbon energy ecosystem.** On the demand side, the 10 prioritized countries require capital to build a sustainable, green, and inclusive economy. On the supply side, persistent funding gaps in the region warrant more private investment with a relatively higher risk appetite to support innovative companies that are dedicated to Africa's inclusive growth and have demonstrated promising performances.

D.5. Country ownership (max. 500 words, approximately 1 page)

1. KawiSafi Fund II builds on KawiSafi Fund I's local presence and expertise. The KawiSafi team is based in Nairobi, Kenya and plays an active role in the impact and investment communities there and travels frequently to Kigali, given Kenya and Rwanda are the two countries for KawiSafi Fund I. Its in-region perspective drives the investment strategy, network access, pipeline development, and broader stakeholder engagement.
2. Acumen, as AE, is committed to local country operations and expertise. Acumen has local offices in each of the regions where it invests (East Africa, West Africa, India, Pakistan, and Latin America), staffed by local employees that understand consumer needs and cultural context, and bring extensive local networks. Acumen's teams across the world work with relevant local government, NGO, and private sector partners to execute on its investment and impact goals and ensure alignment with local policies.
3. KawiSafi Fund II builds on the KawiSafi Fund I geographic scope, intending to invest in multiple countries across Africa, with a focus on East, West, and Southern Africa. This geographic footprint is informed by the ground-up process of investing with Fund I, working with companies as they scale regionally, and identifying new opportunities in adjacent markets. This process has created a nuanced understanding of the ability to scale and replicate certain business models, and the need for new approaches based on local context. Based on the team's market proximity, KawiSafi Fund II has identified an immediate pipeline of \$500M, out of a wider opportunity pool of just under \$2B across the continent. The KawiSafi team has invested time and resource into developing networks within the proposed KawiSafi Fund II focus countries and has leveraged these networks to identify best-in-class local companies that are meeting the needs of individuals and businesses in their countries.
4. As highlighted in the market study, each of the activities indicated are aligned with countries' national mitigation and adaptation plans. The team conducted extensive desk research and analysis, engaging climate science experts, to understand the climate challenges and needs in each local country context. This has informed the KawiSafi Fund II investment strategy and mandate. The team commits to ensuring that this alignment with country climate priorities is maintained throughout the life of KawiSafi Fund II through regular dialogue with Government representatives and other stakeholders.
5. In preparation of this Funding proposal, the KawiSafi team engaged public and private sector players across the KawiSafi Fund II focus countries to build relationships and ensure that the targeted interventions are aligned with individual country contexts. In addition to its public sector engagement, the team has been in active discussions with local investors, industry associations, early-stage accelerators, and entrepreneurs across the target markets. We have also reached out to broader civil society organizations as described in our Stakeholder Engagement Plan. The team has travelled on mission to Cote d'Ivoire, Ghana, Kenya, Nigeria, Senegal, Rwanda, and held online stakeholder webinars for each country with 150+ attendees in aggregate. The team has also entered into MOUs and NDAs with organizations within the focus countries for sharing pipeline companies and ongoing collaboration on KawiSafi Fund II. The KawiSafi team, with support of the AE, will continue this high level of engagement with local country stakeholders throughout the lifetime of the Fund.
6. Together with the AE, the KawiSafi team has committed to have structured engagement with the NDAs in their countries of focus across the following different channels: (i) KawiSafi will provide quarterly reports to the NDAs with comprehensive information on the Fund progress and activities within the countries; (2) KawiSafi will hold periodic 1-on-1 calls with the NDAs to present the Fund's progress and insights, as well as hear latest government priorities in each country; (3) and, the AE and KawiSafi will hold an annual learning event to bring all NDA representatives together as well as CSO representatives and gender experts and ministries for shared learning and cross-pollination of ideas, either around the GCF annual meetings in South Korea or other location.

7. To date, KawiSafi Fund II has received six (6) NOLs in support of this proposal (Cote d'Ivoire, DR Congo, Nigeria, Rwanda, Uganda, Zambia)..⁶⁰

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

1. Acumen is requesting that the GCF invests \$50M Equity capital into the Equity fund and \$2.5M Grant capital into the TAF. This vehicle, and GCF's anchoring investment, will enable KawiSafi II to raise additional capital from like-minded investors that want to achieve the same goals. We believe we can leverage GCF's investment capital on a 4:1 ratio, targeting a \$200M fund. We further believe that GCF's \$2.5M of grant capital could be leveraged on a 3:1 ratio, leading to a \$10M Technical Assistance Facility.
2. Given the impact focus of KawiSafi II and the risk profile offered by the underlying investments (exacerbated by the perception of higher risk in emerging markets, particularly Africa), traditional private commercial capital is not interested under standard terms. For that reason, we are requesting that part of GCF's commitment take the form of Junior Equity, providing a first-loss cover for senior, commercial investors, as well as return enhancement in upside scenarios. GCF would not be crowding out private capital, but rather catalyzing investment by private capital managers seeking to achieve social impact and financial return.
3. Acumen and KawiSafi have strong track records of deploying and returning capital. The appropriate internal controls are in place to monitor investments and report to investors.
4. The Fund seeks to generate positive financial returns to investors. This desire promotes sustainable business models in the underlying investee companies, keeping a focus on strong product-market fit, and appropriate pricing and credit policies, to ensure strong businesses achieve significant scale. In turn, it also builds the track record of impact funds to support future investment from return-seeking investors.
5. Based on our proposed investment vehicle and the resulting reduction cost of \$13.67 per tCO₂eq (\$3.21 per tCO₂eq for GCF capital), we believe this proposal to be competitive amongst other interventions that have aimed to reduce CO₂ emissions.
6. EPA and other federal agencies use the social cost of carbon (SCC) to estimate the climate benefits of rulemakings. The SCC is an estimate of the economic damages associated with a small increase in carbon dioxide (CO₂) emissions, conventionally one metric ton, each year. This dollar figure also represents the value of damages avoided for a small emission reduction (i.e., the benefit of a CO₂ reduction). The EPA estimates the social cost of CO₂ to be between \$14 and \$138.⁶¹
7. Market pricing for carbon credits has resulted in a range of pricing. Recent transaction activity in the KawiSafi Fund I portfolio indicated a range of \$3 to \$20 for expected carbon credit pricing for 2022-2023. We note that this pricing is affected by several factors, particularly regulatory environment, and has been subject to significant volatility over time.
8. We believe our proposal provides a cost-effective means of reducing CO₂ emissions while also having significant mitigation and adaptation impacts for low-income customers and beneficiaries (including those living below the poverty line).

⁶⁰ As of 15th June 2023, we received six (6) NOLs from Cote d'Ivoire, Democratic Republic of Congo (DRC), Kenya, Nigeria, Rwanda, Uganda and Zambia. The AE is in advanced discussions with several other countries, including (without limitation) Ghana, Senegal, South Africa. These countries, amongst others, all expressed significant interest in the FP but haven't been able to complete their internal sign-off processes due to COVID-19 and other reasons. Nevertheless, we expect to receive NOLs from most, if not all, of these countries before the publication deadline. Additional countries may be added to the programme after initial Board approval, provided they submit an NOL and the addition is approved by the Board.

⁶¹ https://www.epa.gov/sites/default/files/2016-12/documents/social_cost_of_carbon_fact_sheet.pdf

E. LOGICAL FRAMEWORK

*This section refers to the project/programme's logical framework in accordance with the **GCF's Integrated Results Management Framework** to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

- ☒ Reduced emissions (mitigation)
☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

This section of the logical framework is meant to help a project/programme monitor and assess how it contributes to the paradigm shift described in section D.2 above by applying three assessment dimensions – scale, replicability, and sustainability.

Accordingly, for each assessment dimension (see the definition per assessment in the accompanying guidance note), describe the current state (baseline) and the potential scenario (target) and rate the current state (baseline) by using the three-point-scale rating (low, medium, and high) provided in the guidance note. Also describe how the project/programme will contribute to that shift/ transformation under respective assessment dimensions (scale, replicability and sustainability). In doing so, please refer to section B.2(a) (theory of change).

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	There is a growing level of investment in the climate technology sector and climate solutions, which is contributing to the penetrations of low carbon and climate resilient technologies and ultimately reduction of GHG emissions and improved resilience at	<u>Low</u>	A mature market and enabling environment across multiple sub-sectors within the clean-energy segments resulting in increased penetrations of low-carbon and climate resilient technologies, development of associated infrastructure and achievement of various national/intercontinental mitigation and adaptation targets.	KawiSafi II aims to mobilize \$200M of capital over the investment period by providing innovative financing solutions to clean-energy companies, thus supporting the deployment of low-carbon and climate resilient technologies over the life of the fund. Further, this intervention is projected to deliver 20.9 million tonnes CO ₂ e of lifetime GHG emissions reductions, impacting approximately 3.5 million direct and indirect beneficiaries (even before any replication effects are considered), representing a paradigm shift on

	the household and business level. However, the sector is still in its nascency (compared to other regions), and investments need to be scaled-up to support maturation of the market.			mitigation and adaptation impacts. Additionally, mobilisation of capital is expected to drive total cost of ownership (TCO) parity among renewable and fossil energy technologies at a much faster pace, whilst at the same time enabling operators to recycle capital for further technological advancements, thus setting up the right environment for the market to mature and scale up the impact.
Replicability	There are few financing platforms/ solutions to drive deployment of the necessary low-carbon and climate resilient technology in Africa	<u>Low</u>	Influx of institutional capital into the sector from multiple providers, deploying the much-needed equity capital at scale for renewable energy companies in Africa. The capital provided is fit-for purpose and applies best practices developed from KawiSafi I's experience.	KawiSafi II will be established and provide financing (\$200M over the investment period of the fund) across the clean-energy space. Financing solutions will be new to the market or build on existing best practices across different sub-sectors. Successful implementation of these structures/solutions will promote replication both within and outside Africa Further, KawiSafi II will support employment opportunities at the investee company level which will also help develop capacity within the sector.
Sustainability	Investments into the climate technology sector and climate solutions are growing, however sustainable and profitable business models across various sub-sectors (distributed renewables, green productivity, e-mobility) are yet to be	<u>Low</u>	The creation of an enabling environment to support continued growth of the clean-energy sector in Africa, including new participants and sustainable business models. Sustained availability of financing for key segments of the climate technology sector and climate solutions where there is significant potential to reduce GHG emissions and improve climate resilience at the household and business level.	KawiSafi II will implement best in class governance, institutional, and fiduciary frameworks to provide financing solutions to the sector. The exit strategy envisages that KawiSafi II will sell the investee companies to new or existing market participants (e.g., investors) who will continue to operate the investee companies and therefore continue to finance the sector. The sale of the investee companies will be evidence of market maturation and will also provide an avenue for the

	established			intervention to be continued.
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E.3. GCF Outcome level: Reduced emissions and increased resilience IRMF core indicators 1-4, quantitative indicators)

Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target ⁶²		Assumptions / Note
				Mid-term	Final ⁶³	
All mitigation result areas	Core 1: GHG emissions reduced, avoided, or removed/sequestered	As highlighted in individual sections below	0	8,373,274 tCO ₂ eq	20,933,186 tCO ₂ eq	GHG emission reductions for MRA1, MRA 2, MRA 3 are calculated as the total emission reductions achieved by the (up to) 20 KawiSafi II portfolio companies to be invested in during the course of the programme. Emission reductions are typically achieved through the use of goods / services sold to customers by the ventures; emission reductions are calculated on the basis of consumers' annual usage.

⁶² Note: Assuming a 10-year Fund Life, mid-term point is estimated at 5 years after first close i.e. in 2028. Final targets as at 2035 (assuming two one-year extensions).

⁶³ The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

						The allocation of emission reductions across the 3 Result Areas (and hence the values of the mid-term and final targets for each Result Area) has been informed by detailed modelling (both ex-ante and ex-post). The modelling itself is informed by KawiSafi I experience and the KawiSafi II pipeline. It is all underpinned by extensive stakeholder engagement with companies regarding their product/service as well as their sales/growth plans and trajectories. However, the modelling should be interpreted as indicative rather than definitive: it is essentially a 'best guess' of climate impact achieved by a set of portfolio investments in portfolio companies whose identities are not known in advance. If the ex ante expectations of sectoral composition and performance of the supported companies are not met, the actual allocation of emission reductions across Result Areas may differ from
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						expectation.
<u>MRA1 Energy generation and access</u>	<u>Core 1: GHG emissions reduced, avoided, or removed/sequestered</u>	<i>Sources of information and methods used to collect and report data /information to measure progress against targets</i> KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	<i>The starting point or current value of the indicators before the implementation of the project</i> 0	<i>The estimated value of the indicator at the mid-point of the implementation</i> 7,074,114 tCO₂eq	<i>The estimated value of the indicator at the completion of the implementation</i> 17,685,284 tCO₂eq	<i>Externalities and factors outside project management's control that may impact the outcomes</i> <i>Data sources and methodologies applied for estimating baseline and targets</i>
	<u>Supplementary 1.3: Installed renewable energy capacity</u>		0	TBD	TBD	Demand for renewable energy is increasing to reduce and, in some cases, replace emitting infrastructure on the national grid. While distributed infrastructure has some advantages over grid connectivity; challenges around affordability and adaptation of technology could lead to lower demand than envisaged and negatively impact tCO₂ reduced, avoided or removed. Methodology: CDM approved methodologies for small scale project activities including: AMS-I.A: Electricity generation by the user; AMS-I.F Renewable electricity generation for

						captive use and mini-grid; AMS-I.E: Switch from non-renewable biomass for thermal applications by the user; AMS-IL: Electrification of rural communities using renewable energy among others.
	<u>Supplementary 1.4: Renewable energy generated</u>	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	0	TBD	TBD	As highlighted above, renewable energy and specifically stand-alone solar is increasingly being deployed to support energy access in off-grid regions as well as provide cost savings to commercial and industrial consumers. The aggressiveness of grid expansion strategies as well as power tariffs for commercial users will impact the demand for these technologies. Further, aspects related to design of the solar system, location, quality of components and maintenance could lead to solar assets underperforming compared to their installation capacity.

<u>MRA2 Low-emission transport</u>	<u>Core 1: GHG emissions reduced, avoided, or removed/sequestered</u>	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	0	383,590 tCO ₂ eq	958,976 tCO ₂ eq	Demand for low-carbon emitting transport alternatives is increasing in the delivery of sustainable transport systems across the continent Methodology: CDM approved methodologies for electric vehicle emissions reduction, including: AMS-III.C for Emission reductions by electric and hybrid vehicles; AMS-III.S.: Introduction of low-emission vehicles/technologies to commercial vehicle fleets.
	<u>Supplementary 1.5 Improved low-emission vehicle fuel economy (net change in fuel/energy consumption per kilometre travelled)</u>		0	TBD	TBD	Same as above
<u>MRA3 Buildings, cities, industries and appliances</u>	<u>Core 1: GHG emissions reduced, avoided, or removed/sequestered</u>	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the	0	915,570 tCO ₂ eq	2,288,926 tCO ₂ eq	Demand for low carbon-emitting productive use and efficient appliance is increasing across the continent Methodology: CDM approved methodologies for

		implementation of the Impact measurement systems and ESMS				productive use of energy in agriculture & industry & recycling, including: AMS-I.I.: Biogas/biomass thermal applications for households/small users; AMS-III.AJ.: Recovery and recycling of materials from solid wastes; AMS-I.A.: Electricity generation by the user (for solar powered irrigation, cooling/refrigeration) PWRM0001 Plastic Waste Collection Methodology PWRM0002 Plastic Waste Recycling Methodology
	<u>Supplementary 1.1: Annual energy savings</u>		0	TBD	TBD	Same as above
<u>GCF Result Area</u>	<u>IRMF Indicator</u>	Means of Verification (MoV)	Baseline	Target: Mid term	Target: Final	Assumptions
<u>All adaptation result areas</u>	<u>Core 2: Direct and indirect beneficiaries</u>	As highlighted in individual sections below	0	<i>Total Direct and Indirect</i>	<i>Total Direct and Indirect</i>	<i>Highlighted under each sub-indicator below.</i>

	<u>reached</u>			<i>beneficiaries:</i> 1,409,523 Male: 1,200,000 Female: 800,000 Direct: 354,334 Indirect: 1,055,189	<i>beneficiaries:</i> 3,523,808 ⁶⁴ Male: 2,400,000 Female: 1,600,000 Direct: 885,835 Indirect: 2,637,973	<i>Female beneficiaries expected to be 40% of total beneficiaries.</i>
<u>ARA1 Most vulnerable people and communities</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS Surveys carried out by third party evaluators to confirm the beneficiaries will be carried out periodically and during	Direct 0 males 0 females Indirect 0 males 0 females	Total Direct and Indirect: 700,000 Male: 420,000 Female: 280,000 Direct: 116,667 Indirect: 875,000	Total Direct and indirect: 1,750,000 Male: 1,050,000 Female: 700,000 Direct: 291,667 Indirect: 1,458,333	The market for climate adaptation technologies is well established with potential for growth A clear market exists with potential customers who are willing to pay. Additionally, there's increased penetration of products and companies targeting household climate resilience through productive use and income diversifying alternatives. No distorting subsidies or

	<u>2.1 Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options (number of individuals)</u>	the mid-point and final evaluation.	0	TBD	TBD	market barriers are in place in recipient countries Governments establish adequate regulatory frameworks
<u>ARA2 Health, well-being, food and water security</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	Direct 0 males 0 females Indirect 0 males 0 females	Total Direct and Indirect beneficiaries: 709,523 Male: 425,714 Female: 283,809 Direct: 237,667 Indirect: 471,856	Total Direct and Indirect beneficiaries: 1,773,808 Male: 1,064,285 Female: 709,523 Direct: 594,168 Indirect: 1,179,640	The market for climate adaptation technologies is well established with potential for growth A clear market exists with potential customers who are willing to pay. Additionally, there's increased penetration of products and companies targeting household climate resilience through productive use and income diversifying alternatives. No distorting subsidies or market barriers are in place in recipient countries Governments establish adequate regulatory frameworks
	<u>Supplementary 2.2 Beneficiaries (female/male) with</u>	KPI monitored through periodic sample household surveys	0	TBD	TBD	This is expected to be an indirect impact of KawiSafi Fund II activities as the

	<u>improved food security</u>	which will compare performance against baseline.				Fund intends to invest in companies providing clean energy technology to small holder farmers (and other populations). Given the widespread potential reach of the products at scale, the indicator will be measured through periodic household data surveys which will be extrapolated to the target population. The achievement of the targets will depend on adoption of technology – which relies on product market fit and accessibility. The recommended methodology – FIES Survey Module (FIES-SM) relies on individual respondents. The feedback could be impacted by other factors unrelated to the successful use of the low carbon technology including but not limited to: 1) Higher cost of living due to non-food inflationary measures; or other
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						monetary considerations; 2) Conflicts and/or other political disruptions leading to insecurity; 3) Perceptions of food security from types of food consumed at the time of the survey. This could include seasonal foods available, among others. 4) Impact of cooking solutions available – for instance high cost of preferred cooking methods.
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E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
<u>Core Indicator 6: Degree to which GCF investments contribute to technology deployment, dissemination, development or transfer and innovation</u>	Necessary low-carbon and climate resilient technologies already exist in Africa. However, there is limited access to finance (acting as the most significant barrier). There is a need for innovative financial solutions to de-risk institutional investors, pool funds at scale, and provide the much-needed equity capital for renewable energy companies in Africa.	<u>Medium</u>	A mature market for low-carbon and climate resilient technologies. This will involve not only conversion to existing technology, but private sector investing further in research and development across the sector.	KawiSafi II will seek to identify investment opportunities that promote radical affordability of essential services, demonstrating that nations can leapfrog fossil-fuels to clean energy.	<u>Multi-countries</u>
<u>Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level</u>	Africa's clean technology sector has immense potential to leapfrog fossil fuels, however it remains in its nascency for the most part. Despite the regulatory and policy frameworks in place, the markets in most sub-sectors remain relatively limited and best practice business models are still being developed. Increases in capital (and financing options in particular) are needed to support large-scale investment that will contribute to overall market	<u>Medium</u>	Strong financial markets offering a range of products to support investment of capital across the sector, which increases the penetration of low-carbon and climate resilient technologies. This should in turn, put downward pressure on the cost curve and make these technologies more attractive compared to traditional fossil fuel alternatives.	KawiSafi II will provide innovative financing solutions to investee companies across the space which will not only support scaling up of low-carbon and climate resilient technologies, but also have the potential to be replicated by other financiers to further scale-up the market impact	<u>Multi-countries</u>

	maturation.				
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies, and standards	Best practice and range of financing solutions available in the space are still being developed. Many existing banks and local financial institutions do not have the capacity to provide financing to the sector given significant real and perceived risks (like unproven technology, lack of operating history, limited or negligible data on residual value, etc.). There are some entrants to the market in specific segments or products, however increased capacity to deliver a range of financing solutions is important for scaling the penetration of clean energy and leap-frogging fossil fuels.	Low	Knowledge of financing products and best practices within each sub-sector are developed. Increased capacity among financial institutions to provide customized financing solutions to companies/customers in the space at attractive terms. Financiers provide knowledge and learnings to support development of policies and regulations in the space.	KawiSafi II will provide innovative financing solutions not currently available in the market and help develop new products that have the potential to be replicated. Investee companies will also be exposed to the implementation of good standards in environmental, social (including gender) and fiduciary elements. The Fund will have monitoring and evaluation systems in place to identify lessons learned. KawiSafi II's management team will also participate in forums of knowledge sharing to support regulations and policy in the space.	Multi-countries

E.5. Project/programme specific indicators (project outcomes and outputs)

This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). Aes have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, Aes are encouraged to add and monitor co-benefit indicators under the “Project/programme co-benefit indicators” section in table below. Add rows as needed.

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target ^{65,66}		Assumptions / Note
				Mid-term	Final	
Outcome 5: Enabling environment: Strengthened ecosystem for low-carbon productive businesses, technology & innovation, and gender-inclusive climate solutions	Volume of public and private capital channeled into low-carbon productive businesses in KawiSafi II focus countries since launch of Fund	KPI monitored annually by reference to industry standard databases and flagship reports	TBD (to be assessed by reference to industry standard databases on climate-linked financing by country e.g. UNFCCC, IFC)	TBD	TBD	Assumes macro-economic and political stability in countries of KawiSafi Fund II focus. Assumes supportive policy and regulatory environment. Assumes that climate change and energy transition efforts in emerging markets remain critical to institutional investors. Data sources: Publicly available data sources from institutions such as UNFCCC, DFI's (IFC, AfDB); Climate Policy Initiatives Global Landscape of Climate

⁶⁵ Note: Assuming a 10-year Fund Life, mid-term point is estimated at 5 years after first close i.e. in 2028. Final targets as at 2035 (assuming two one-year extensions).

⁶⁶ Note: For Component II: TAF – the duration of the TAF is 6 years (in line with typical TA programs of this nature), so the mid-term point for the TAF is at 3 years, and the final-term point is at end of the 6th year.

						Finance and OECD.
	Number of private transactions in climate technology sectors KawiSafi II focus countries since launch of Fund	KPI monitored annually by reference to industry standard databases and flagship reports	TBD (to be assessed by reference to industry standard databases on climate-linked financing by country e.g. AVCA, Asoko Insight, Briter Intelligence)	TBD	TBD	Assumes macro-economic and political stability in countries of KawiSafi Fund II focus. Assumes supportive policy and regulatory environment. Assumes that climate change and energy transition efforts in emerging markets remain critical to potential co-investors including DFI's, and institutional investors. Data sources: Publicly disclosed transactions from Pitchbook, Crunchbase, AVCA, Asoko Insight, Briter Intelligence and others.
Output 1: Equity capital and support for scaling of low-carbon and climate-smart businesses	Transaction amounts invested into low-carbon and climate-smart businesses	<i>Sources of information and methods used to collect and report data/information to measure progress against targets</i> 1) Investment Manager reports (Quarterly and Annual) 2) Audited Fund financials will validate disbursements made into the Companies.	<i>The starting point or current value of the indicators before the implementation of the project</i> 0	<i>The estimated value of the indicator at the mid-point of the implementation</i> \$80M	<i>The estimated value of the indicator at the completion of the implementation</i> \$168.55M	<i>Externalities and factors outside project management's control that may impact on the Component</i> <i>Data sources and methodologies applied for estimating baseline and targets</i> Relates to total capital to be mobilized during the implementation period/fund life. Assumes availability of attractive

						investment opportunities within KawiSafi II's targeted strategic sectors. Assumes growth in adaptation and mitigation technologies demand continues at existing pace. Assumes macro-economic and political stability in countries of KawiSafi Fund II focus. Assumes supportive policy and regulatory environment. Assumes that climate change and energy transition efforts in emerging markets remain critical to potential co-investors including DFI's, and institutional investors. Data Sources: Audited Financial Statements
	Reporting on investment performance and value addition in portfolio companies	1) Annual independent evaluations of fund performance. To be shared with investors by way of quarterly and annual reports.	Reports already prepared at agreed cadence	Quarterly and annual reports	Quarterly and annual reports	Investment manager will regularly prepare reports for investors covering fund performance and updates at the portfolio level. Data Sources: Self reported performance data from portfolio Companies; Financial statements.

Successful exit as indicative of positive IRR, demonstrating commercial viability of investment assets, and maturation of markets.	1) Investment Manager reports (Quarterly and Annual) 2) Audited Fund financials will validate capital inflows from the investments in the Companies.	0	0	All portfolio companies exited	The fund envisages to exit all its investments by the end of the life of the fund. Assumes continued deepening and growth of African capital markets. Data Sources: Transaction data from KawiSafi participation and Portfolio Companies; Audited Fund Financial statements.
Volume of capital raised by portfolio companies from time of KawiSafi II's investment, including equity, debt, grant, carbon finance, from public and private sources	1) Investment Manager reports (Quarterly and Annual) 2) Audited Fund financials will validate capital inflows from the investments in the Companies.	0	10 times multiple of invested capital at time end of period	10 times multiple of invested capital at time end of period	Assumes availability of attractive investment opportunities within KawiSafi II's targeted strategic sectors. The investment manager will support companies to raise further capital by engaging network and supporting companies to be attractive to diverse investors. Assumes macro-economic and political stability in countries of KawiSafi Fund II focus. Assumes supportive policy and regulatory environment. Assumes that climate change and energy transition efforts in

						emerging markets remain critical to potential co-investors including DFI's, and institutional investors. Data Sources: Self-reported Company data; Audited Company Financial statements.
Output 2: Wider, access to and use of clean energy, alternative transport, and productive use assets and services by households and businesses	Number of individuals accessing/using/benefiting from clean energy, alternative transport, and productive use assets and services, both separately and in aggregate: • Residential/stand alone solar systems • Clean cookstoves (biomass, biogas, biofuel, electric) • Electric vehicles, • Alternative/shared transport solutions • Productive use assets (solar pumps, cooling/fridge systems)	KPI monitored through company quarterly reporting, Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS Surveys to confirm the beneficiaries will be carried out periodically and during the mid-point and final evaluation.	0	TBD	TBD	Assumes rising demand for clean energy, mobility, and productive use products and services offered by KawiSafi investees. Costs of clean technologies and key companies (e.g., solar PV, batteries) continue to fall relative to fossil fuels. Assumes macro-economic and political stability in countries of KawiSafi Fund II focus. Assumes supportive policy and regulatory environment. Assumes that climate change and energy transition efforts in emerging markets remain critical to institutional investors. Data Sources: Self-reported Company data;

						External surveys; Midpoint and final evaluation
Output 3: Companies and initiatives supported to deepen adaptation impacts and promote best practices in climate impact knowledge and data	Value of technical assistance provided	Implementing Entity reporting to GCF Audited Technical Assistance Facility (TAF) reports to validate grant disbursements.	0	\$1.75M	\$3.5M	Implementing Entity will prepare quarterly reports for TAF funders covering grant activities and performance. Assumes supportive policy and regulatory environment.
	Number of companies and initiatives supported with enhanced approach to climate and adaptation impacts		0	TBD	TBD	
	Number of climate and ESG action plans developed and (successfully) implemented		0	5	15	
	Number of carbon finance initiatives supported (i.e. grants provided to companies to support them in the development of projects which monetize carbon avoided or removed from use of their technologies)		0	2	5	
	Volume of carbon transactions facilitated		0	TBD	TBD	
	Number of industry research publications / best practices / thought pieces supported on climate		0	3	5	

	and adaptation impact					
Output 4: Skills developed and more inclusion of women in climate sectors, and greater access to climate technologies for women customers	Volume of technical assistance provided in key sector verticals targeted by the fund	Implementing Entity reporting to GCF Audited Technical Assistance Facility (TAF) reports to validate grant disbursements.	0	\$1.75M	\$3.5M	Assumes availability of attractive investment opportunities within KawiSafi II's targeted strategic sectors. Investment manager will regularly prepare reports for investors covering TA fund management and activities updates. Assumes supportive policy and regulatory environment.
	Number of female workers trained in technical and functional skills in climate-smart technologies and target sectors		0	250	500	
	Number of female customers supported with capacity and awareness building in climate-smart and clean technologies		0	TBD	TBD	
	Number of female employees, management team members and board directors recruited, trained, and supported at portfolio companies		0	5,000	20,000	
	Number of companies and initiatives supported to develop gender-inclusive climate solutions		0	TBD	TBD	

	Number of women with greater access to finance for climate-smart products as a result of supported initiatives; and USD value of access to finance		0	TBD	TBD	
Output 5: Climate innovations and pilots for deployment of new technologies and business models accelerated	Volume of technical assistance provided in key sector verticals targeted by the fund	Implementing Entity reporting to GCF Audited Technical Assistance Facility (TAF) reports to validate grant disbursements.	0	\$1M	\$2M	Investment manager will regularly prepare reports for investors covering TA fund management and activities updates.
	Number of early-stage climate techs supported through accelerator and enterprise development cohorts		0	TBD	TBD	
	Number of feasibility assessments and small-scale pilots supported for deployment of new business models and clean technologies		0	TBD	TBD	
	Number of technology transfer partnerships facilitated between African climate start-ups and international corporates		0	TBD	TBD	
	Number of market studies and best practices papers published		0	TBD	TBD	

	Total volume of finance raised by the accelerated ventures		0	TBD	TBD	
Project/programme co-benefit indicators						
Co-Benefit 1: Increased work opportunities for men and women	Direct and indirect work opportunities created at portfolio company level	Quarterly portfolio company data and independent verifications	0	20,000 jobs Direct – 6,600 Indirect – 13,400 Men – 12,000 Women – 8,000	50,000 jobs Direct – 17,000 Indirect – 33,000 Men – 30,000 Women – 20,000	- Direct jobs defined as full time, part time, and contract work opportunities directly provided by portfolio companies. - Indirect jobs defined by work opportunities created across the value chain of portfolio companies, such as “gig” economy work (e.g. tax riders, outsourced work), commission-based sales agents, franchisees/franchise employees, etc.
Co-Benefit 2: Enhanced inclusivity in climate entrepreneurship	Proportion of female entrepreneurs supported by KawiSafi II		0	3	6 (more than 35% of companies invested in)	The fund will target at least 35% of its portfolio companies to be founded and (co-) owned by female founders.
E.6. Project/programme activities and deliverables						
All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed. Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.						
Activities	Description	Sub-activities			Deliverables	

Component I: Equity Fund

Activity 1.1 – Fundraising, Market Screening, Pipeline Development, and Equity investment	Target fund size is \$200M. The KawiSafi team with support of the accredited entity will look to close this funding from the GCF, as well as development finance institutions and institutional investors. Marula LLC (Investment manager) identifies pipeline opportunities with strong climate impact and innovation potential either via acquisition strategy or platform building strategy. Marula LLC (Investment manager) follows a rigorous and structured investment process from sourcing through evaluation, due diligence and transaction documentation	Sub-activity 1.1.1. – Fund formation activities Sub-activity 1.1.2. – Fundraising activities Sub-activity 1.1.3. Research and sourcing Sub-activity 1.1.4: Initial Diligence Sub-activity 1.1.5: Preliminary Investment Memo Sub-activity 1.1.6: Full Commercial Diligence Sub-activity 1.1.7: Agree terms and complete diligence Sub-activity 1.1.8: Investment documentation and closing	• Fund entity formed and all partnership terms agreed • Achieve final close of Fund at target size • Pipeline of investable opportunities across three verticals; Energy transition, Productivity, and Mobility & Logistics • Initial review of opportunity against investment criteria • Pre-liminary diligence report, risk assessment and recommendation • Final diligence report, including detailed commercial, financial, legal and ESG matters including recommendations. • Final IC approval followed by Marula Board approval. • Definitive investment documents to include sign off on Legal and ESG • Capital calls based on portfolio company requirements.
Activity 1.2 – Post-investment engagement	Monitor portfolio performance by building a collaborative relationship with management team and instituting an effective reporting protocol	Sub-activity 1.2.1 – Quarterly and Annual financial and impact reporting received from the portfolio companies Sub-activity 1.2.2 – Board meetings	• Update on the industry/ market trends, summary of the investments and divestments in the previous quarter/ year and a

		Sub-activity 1.2.3 – Ensuring compliance with shareholder agreements Sub-activity 1.2.4 – Portfolio support across financial management, talent, impact/ESG management, capital raise, etc.	status report on each investment with an internal valuation and key updates on Impact, ESG and governance. • Marula shall submit the following reports to KawiSafi investors; i) Quarterly/Annual reports and fund performance, ii) Annual audited statements and iii) Annual ESG report • Investment team members participate in periodic board meetings to ensure compliance with governance standards, compliance with shareholder's agreement, add value on key governance matter and support on key decision making. • Climate impact reports prepared and distributed quarterly, with two independent evaluations (mid-term and final) also undertaken.
Activity 1.3 – Leverage Capital and Managed Exits	Marula team exits out of the portfolio companies while KawiSafi negotiates and executes the exit documentation. The exit proceeds are received	Sub-activity 1.3.1 – Manage exit process by identifying exit potential in the portfolio, narrowing down on options and executing closure of transaction.	• The team assesses potential exit channels. • Negotiation of terms and decision for final exits. • Negotiation and execution of all exit documentation. • Receipt and subsequent distribution of the exit proceeds.
Component II: Technical Assistance Facility (TAF)			
2.1: Operationalize TAF	Establish key operational structures for the facility. Carry out needs assessment to identify eco-system gaps and portfolio company baseline	Sub-activity 2.1.1. – Set up of TAF • 2.1.1.1 – Complete TAF	• Close \$7.5M in additional grant funding from co-financing partners. • Technical Assistance Committee

	performance. Deploy grant funding to approved initiatives and monitor performance against impact targets	fundraising from co-financiers 2.1.1.2 – Establish the Technical Assistance Committee (TAC) and approve TA operational manual Sub-activity 2.1.2 – Needs assessment of portfolio and eco-system gaps 2.1.2.1 – Identify partners and service providers to collaborate with on the TAF. 2.1.2.2 – Engage consultants (such as 60 decibels) to carry out a baseline assessment of portfolio companies' performance and needs assessments for ecosystem gaps.	formed, in alignment with the FAA. - Service provider list developed and approved by the TAC. - Portfolio and ecosystem assessment carried out and documented. - Strong pipeline of projects developed through eco-system engagement in response to needs analysis and gaps in portfolio company capacity.
2.2 Technical assistance for enhancing climate (esp. adaptation) and ESG impact through learnings, best practices, and innovations	Technical assistance grants for Climate and Adaptation impact assessment, monitoring, evaluation & learning, and best practices	Sub-activity 2.2.1 Support companies to develop, implement and evaluate their climate and ESG action plans including e.g. capacity building to develop in-house climate planning and impact evaluation capabilities, and developing tailored ESG toolkits to improve overall business decision-making on climate impact. Companies may also be supported to shift their business practices and operations towards being more climate-smart adaptive. Also included are activities to enable impact assessments such as climate studies, surveys, and data collection.	For each grant approved: - TAC approval secured and documented. - Quarterly reporting of grant progress and outcomes against targets At least one learning session to draw insights from TAF outcomes held every year.

		Sub-activity 2.2.2 Support initiatives to connect climate businesses into carbon markets in order to broaden accessible pools of capital. This activity set will support the development of carbon accounting capabilities and verification mechanisms and facilitate participation in the evolving carbon markets via access to technology, data solutions and carbon finance platforms. Sub-activity 2.2.3 Develop industry research publications on climate impact monitoring, and best practices to build the body of African evidence on key topics including emissions reduction, adaptation, resilient infrastructure, and clean energy. This is through funding practitioner-led studies and research that results in publications that set out what best practice is. Sub-activity 2.2.4 Support implementation of consumer protection standards, quality assurance, and best practices; using available frameworks such as the GOGLA Consumer Protection Code which highlights six areas of focus specifically: 1) transparency; 2) responsible sales and pricing; 3) good consumer service; 4) good product quality; 5) data privacy and 6) fair and	
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		respective treatment. Beneficiaries will be all key industry stakeholders.	
2.3 Technical assistance for climate solutions and outcomes that are gender inclusive and transformative	Technical assistance grants for Gender & Diversity related initiatives to drive inclusive outcomes in climate sectors	Sub-activity 2.3.1 Support activities to promote skills development and leadership representation of women in new climate-tech sectors – TAF will identify critical skills gaps in key climate sectors and work closely with local partners to support the delivery of skills development programmes targeted at increasing work opportunities for women in climate-smart sectors. TAF will also seek to facilitate increased representation of women with technical climate expertise and skills on boards and in management teams of companies to support improved gender equality. Sub-activity 2.3.2 Support initiatives to increase entrepreneurial participation of women in the climate sector – TAF will support access to finance initiatives and entrepreneurial support for women-owned/led start-ups in focus markets. This will also include supporting women-focused incubators & accelerators with a focus on climate technology Sub-activity 2.3.3 Develop programmes that promote accelerated uptake of clean technology products by women –	For each grant approved: • TAC approval secured and documented • Quarterly reporting of grant progress and outcomes against targets At least one learning session to draw insights from TAF outcomes held every year.

		working with local partners to identify critical barriers to uptake specific to local contexts and design interventions to address barriers to uptake for women, particularly low-income women. This will also include working with climate sector firms to foster gender integration into product design, marketing, and deployment in relevant markets	
2.4 Technical assistance for accelerating the deployment of new technologies and innovative business models	Technical assistance grants for Technology & Innovation to support new clean technologies and business models	Sub-activity 2.4.1 Support market acceleration by working with climate and tech incubators and accelerators and industry bodies to support innovation around new technologies and business models – this includes: e.g. funding an accelerator cohort for a nascent climate technology in collaboration with a reputable accelerator manager; e.g. the Africa Center for Clean Cooling in Kigali on a partnership. Sub-activity 2.4.2 Support centers of excellence and research institutions developing market-relevant solutions in the areas of electric mobility, productive use, cooling, battery storage, and other low-carbon technologies. This will cover market studies, research, development of white papers and surveys identified in collaboration in industry associations and national governments. Outputs will be publicly disseminated, for wide benefit of	For each grant approved: • TAC approval secured and documented • Quarterly reporting of grant progress and outcomes against targets At least one learning session to draw insights from TAF outcomes held every year.

		ecosystem actors. Sub-activity 2.4.3 Support feasibility studies for the deployment of new clean technologies or business models of cleantech companies, for example through facilitating the testing of alternative use cases for existing technologies, or through piloting new approaches with existing customers or expansions to new markets.	
E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page) <i>Besides the arrangements (e.g. annual performance reports) laid out in Accreditation Master Agreement (AMA), please give a summary of the project/programme specific arrangements for monitoring, reporting and evaluation including a description of the monitoring and reporting system that will be used to assess the climate results of the proposed activity. Please also summarize the types of interim and final evaluations. Describe Accredited Entity (AE) project reporting relationships, including to the National Designated Authority (NDA)/Focal Point and between AE and Executing Entity (EE) as relevant, identifying reporting obligations from the EE to the AE. This should relate to the frequency of reporting on project indicators, implementation challenges and financial status. Please note that interim and final evaluations are expected to embed an assessment of project/programme's contributions to a paradigm shift and enabling environment using a three-point scale rating. Refer to the guidance note for the summary requirements and factor in additional evaluation /assessment activities under this section accordingly.</i> <u>Reporting schedule for GCF</u> The following outlines the reporting schedule that KawiSafi Fund II will follow for GCF: 1. Fund quarterly and annual reporting 2. Mid project evaluation 3. Final evaluation 1. <u>Impact Reporting</u> • To track that the Fund is achieving its climate objective, the KawiSafi II team will work with each investee company and an external impact expert to develop and track a number of proprietary indicators that will measure progress at the fund and portfolio levels. The Fund will also initiate various Lean Data surveys (or similar projects) over the course of the Fund's life to evaluate improvements in climate resilience among beneficiaries, including improved income levels, income stability, access to climate information systems, and other metrics. The Fund will consolidate data for analysis and form insights at Fund level on a regular basis. This will help track progress against set objectives and enable the Fund to provide timely feedback to investee companies where realignment in their business strategy is required. • Given that KawiSafi Fund II will not invest directly in beneficiaries, the team will seek to ensure that investments are made into Companies which are			

aligned on impact thesis and whose goals are aligned directly with the generation of both resilience and mitigation climate impacts in the countries of focus.

- Beneficiaries will be assessed by the portfolio companies, who are required to report data to KawiSafi II on a quarterly basis. The KawiSafi team will conduct periodic surveys and audits to ensure the data is accurate and up to date. Importantly, KawiSafi II ensures that it invests in companies that are impact aligned in terms of both climate resilience and mitigation impacts. In the investment legal documents, KawiSafi II requires its companies to report on impact data and the companies also enter into binding covenants to act in accordance with KawiSafi II's impact principles.
- On a quarterly and annual basis, KawiSafi II shall track reported impact, with support from independent impact experts to verify impact performance. The verification process is aligned with leading industry standards set for the sectors of focus including the energy transition, productivity and e-mobility sectors.

2. ESG Reporting

- KawiSafi II investors will receive an annual report on the ESG performance of its investee companies. KawiSafi II will actively monitor ESG matters in portfolio companies from point of investment onwards. This will typically include (i) monitoring development of ESG risk areas, (ii) assessing progress made on the ESG Action Plan and (iii) evaluating any changes in the business, which might create additional ESG risks.
- On an annual basis, the Fund will conduct an independently run ESG review of each portfolio company using an ESG expert. The purpose of the annual review is to assess ESG performance of the portfolio companies, identify those companies facing significant challenges implementing ESG action plans (as well as those with superior performance), and identify new ESG risks related to the business models. Insights gathered will foster detailed discussion amongst the investment team and the IC to determine how to best support the portfolio companies going forward. Further, the fund will conduct both a mid-point and completion date review of the action plans to assess progress with the adoption of ESG gaps identified during the diligence stage and note additional gaps/inform additional initiatives to close on action items.

3. Mid-term evaluation

- At the time of the Mid-term evaluation, it is not expected that significant development results will have been achieved, since the portfolio will not have achieved full maturity. Therefore, the implementation of the investment strategy will be the focus of the evaluation and will also cover aspects like the number of portfolio companies invested by the Fund, GHG avoidance, energy production, installed capacity, private sector capital catalyzed and total number of people served/impacted.

4. Final evaluation

- For the final evaluations it is expected that the fund will have achieved maturity. The end of program evaluation of the Fund will comply with the GCF evaluation policy. An independent evaluation will track key performance indicators and results, as well as gender and other inclusion targets.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

As an investment fund focusing on innovative businesses in developing markets, KawiSafi Fund II, and the portfolio companies in which it plans to invest, may face a host of challenges. In line with Acumen's Risk Management Approach, risks are assessed across the following categories:

1. Regulatory: Workplace safety; AML and Corruption; Tax matters; SEC; etc.
2. Assets and Programs: IP, Assets Under Management; Staff matters; Reputational risks;
3. Geographies: Regional security; Political and regulatory stability; Culture; and
4. Conflicts and Operations: Governance; Business continuity; Government donor complexity; Fund oversight.

Identified risks are prioritized based on estimated likelihood and estimated magnitude of impact of a risk event (on a scale of 1-3). The resulting logic concludes that more resources and focus are dedicated to risks where there is a high-likelihood and high-magnitude (3:3) of an adverse event and fewer resources and less focus are dedicated to low-likelihood and low-magnitude (1:1) risks. Ratings are based on the Risk Committee's best understanding and knowledge of each risk, informed by available qualitative and quantitative data, but are ultimately subjective.

Responses to identified risks can range from continued monitoring to expert consultation, insurance, or proactive projects (e.g., new training programs, policies, processes, etc.), among other interventions. The Risk Manager makes recommendations, approves the final action plans, and is ultimately accountable for monitoring their implementation.

The Managing Director plans to regularly evaluate the overall risk of KawiSafi II and its investments. S/he will also prepare a periodic report for the IC, which identifies risks from the previous report and includes recommendations for procedures to mitigate and address such risks. A business risk assessment will be provided to the KawiSafi Fund II Board of Directors for their review and consideration.

Selected Risk Factor 1

Category	Probability	Impact
<u>Technical and operational</u>	<u>Medium</u>	<u>Medium</u>

Description

Please describe the risk to the best of your knowledge at this point in time.

Execution Challenges & Risks

- KawiSafi II will invest in a mix of early growth stage, innovative companies. By definition, these enterprises operate with a lot of unknowns around their business model, company operations, and market dynamics. These enterprises may fail or may take longer than anticipated to achieve financially viable business models.
- KawiSafi II generally will seek significant minority stakes with strong contractual rights, though it sometimes may have a majority position in consortium with other co-investors. As such, KawiSafi II does not expect to control the activities of its portfolio companies.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

KawiSafi II has rigorous due diligence processes which include analysis of financial, operational, market, and ESS issues. The due diligence process provides the ability to assess high quality investment opportunities and select enterprises with strong management teams, high quality products, and strong brand names and reputation. The Fund will not only provide investment capital but expects to provide strategic advice and additional resources through such actions as sitting on the Board of companies, identifying and working with co-investors, providing access to local networks of experts and value-add partners, and offering specific technical assistance programs.

Selected Risk Factor 2

Category	Probability	Impact
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<u>Technical and operational</u>	<u>Medium</u>	<u>Medium</u>
Description		
<i>Please describe the risk to the best of your knowledge at this point in time.</i>		
Regulatory Uncertainty KawiSafi II will invest in companies providing energy solutions. Energy is a regulated industry and in some countries, there are subsidies in place to reduce the cost of power to end-users. This has the distortionary effect of crowding out private solutions and creating an even greater gap in generation capacity. Subsidies and other interventions make it more difficult for private providers to offer cost-effective, competitive solutions. Where they are in place, companies can assess the impact on pricing and whether a certain market is attractive for investment. Therefore, the key risk is changes to subsidy and other policies that benefit only certain providers and may deter investment.		
Mitigation Measure(s)		
<i>Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?</i> The Fund will assess regulatory risk in the markets where it operates and will consult with local regulatory agencies to understand their planning processes and potential for changes. The Fund will also carry out regular regulatory and legislative reviews across its verticals and markets to ensure potential adverse impacts are mitigated. The Fund will invest in distributed energy strategies that have greater flexibility to move assets to adapt to adverse local conditions as necessary.		
Selected Risk Factor 3		
Category	Probability	Impact
<u>Other</u>	<u>Medium</u>	<u>Medium</u>
Description		
<i>Please describe the risk to the best of your knowledge at this point in time.</i>		
Exit and Valuation Risks • KawiSafi II will invest in companies in markets which have limited options for liquidity events / exits due to lack of developed financial markets, including lack of an abundance of private equity and venture capital firms. Many of the countries in which KawiSafi Fund II seeks to invest control, to some extent, the repatriation of investment income, and capital and profit that result from foreign investment. • Accounting standards in the countries in which KawiSafi Fund II seeks to invest do not generally correspond to international accounting standards, and national accounting, auditing and financial reporting standards are not yet in place in many target countries. Many portfolio investments will generate revenue that is denominated in foreign currency, and changes to exchange rates may affect the value of the Fund's investments in portfolio companies.		
Mitigation Measure(s)		
<i>Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?</i> The Investment Team expects to maintain ongoing relationships with potential strategic acquirers of portfolio companies and growth stage investment firms to help improve exit opportunities for Fund investments. KawiSafi II will carefully monitor investments and utilize regional teams to stay abreast of changing markets and company conditions. KawiSafi II will require its portfolio companies to have annual financial audits to improve transparency of financials and accounting systems. In addition, KawiSafi Fund II may utilize alternative investment structures reflective of market conditions. In addition to investing equity, KawiSafi Fund II may structure debt instruments and equity-like instruments that have a pre-determined liquidation date to help improve the likelihood of financial exits. The team has also used vehicles such as dividends and warrants to help offset the unpredictability of markets.		
Select Risk Factor 4		
Category	Probability	Impact

Technical and operational	Medium	Low
<i>Description</i>		
Please describe the risk to the best of your knowledge at this point in time.		
Human rights risks in the supply chain - Polysilicon is the main raw material in the production of solar cells. Four of the world's five largest polysilicon producers are based in close proximity to one another. - There has been growing unease about allegations of the use of forced labor in polysilicon-producing markets. - The increased demand for polysilicon due to the energy transition has led to ongoing investments in capacity in these regions. There is a risk that labor and human rights issues across the supply chain persist jeopardizing the positive impact of the sector and affecting the rate of investment into low-carbon initiatives.		
<i>Mitigation Measure(s)</i>		
Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?		
- It is important to note that due to the expected size and nature of KawiSafi Fund II's investment portfolio, KawiSafi and its investee companies may have limitations in the information they can collect on human rights risks or the influence they can have over supply chain practices. However, it is imperative that this issue be assessed and addressed to the extent possible. - The KawiSafi II team will take a risk-based approach (as with Fund I). The team will engage its portfolio companies that are either operating in, or sourcing from certain geographies under scrutiny (or other countries associated with human rights abuses) to enhance disclosure and transparency of labor conditions within their supply chain. Specifically: - KawiSafi II's investee companies will undergo ESG due diligence prior to investment as well as annual ESG monitoring. The analysis includes desk-based review, direct engagement with key individuals within the company and site visits from third party evaluators. The evaluation will directly cover aspects of 1) organizational context and geographic footprint to gain a high level sense of the extent to which the company is aware of/integrated with global initiatives to combat Human Rights and responsible supply chains; 2) aligned to core ILO standards on labor; 3) addressing the protection of Human Rights, responsible use of security forces; prevention of harmful child and forced labor; 4) freedom of association; and 5) ethical sourcing policies and practices; among others. - The KawiSafi II team will seek to ensure that investees have effective Employee and Stakeholder Grievance Procedures — including training of staff, clear explanations and channels on company websites, and in HR Policies; and an anonymous reporting option. - The KawiSafi II team will establish procedures to engage with companies on their human rights and labor policies, including support for strengthening supplier auditing and monitoring practices for Companies at risk. Engagement can be in multiple forms: through Board engagement; one-on-one meetings with management; as well as embedding strong requirements in the ESG Action Plans and related monitoring. - The KawiSafi II team will report annually on the implementation of the above practices. - The KawiSafi II team will also participate in multi-stakeholder coalitions. As a member of GOGLA, an international industry group for the off-grid solar sector, KawiSafi II will continue to support the public condemnation of any human rights violations in the solar supply chain as well as supporting the industry body develop strong supply chain traceability protocols, which can help prevent human rights violations.		
<i>Select Risk Factor 5</i>		
<i>Category</i>	<i>Probability</i>	<i>Impact</i>
Technical and operational	Low	Medium
<i>Description</i>		
Please describe the risk to the best of your knowledge at this point in time.		
Management of Solar Waste Off-grid solar products are, by definition, included in the scope of e-waste legislation, though not the target		

specifically. Off-grid solar waste represents only a fraction of the total sum of e-waste produced, even in countries with a mature off-grid solar market. For example, in Kenya, off-grid solar waste is about 3% of the total e-waste generated and in Rwanda and Nigeria off-grid solar represents only 0.4% and 0.02% respectively. While data on solar waste is not available. It is important to note that Africa contributes the lowest amounts of e-waste per capita globally, estimated at 1.9kg/person. Compared to Asia (4.2kg/person) and Europe and the Americas which are estimated to generate 16.6kg and 11.6kg per person respectively.

- The challenges of distributed solar products in Africa include a shorter life span of components such as batteries, as well as location as most of these products are deployed in off-grid/ mostly rural communities, and there is difficulty in the collection of the waste components.
- The generated waste contains toxic materials, such as lead, mercury, cadmium, arsenic, and polychlorinated biphenyls which are harmful to the environment and human health if improperly managed. In Africa, a lack of legal provisions and appropriate collection and recycling infrastructure means that safe transport, disposal, and waste handling is not formalized. Informal handlers trying to exploit the economic value contained in the products (e.g. copper and lead) with rudimentary recycling processes and little regard to emission control lead to adverse effects to the environment and public health.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

The KawiSafi II team will mitigate this risk through I) portfolio company efforts; and II) ecosystem efforts.

- With regard to the portfolio of investments, KawiSafi II will 1) Invest in businesses that have embedded circularity into their business models – these include waste to energy businesses; recycling businesses; repurposing and re-use of second life lithium ion batteries among others. The opportunity is critical given the projected scarcity of these resources as global energy transition efforts continue to scale. 2) The Fund team will evaluate, at time of investment, each pipeline Company's commitment to end-of-life product management. This could be through take-back and collection mechanisms; repurposing and refurbishment efforts as well as product design to enhance recyclability. The team will then continue to monitor this over the life of the investment.
- At an ecosystem level: the KawiSafi II team will participate in industry association efforts. Acumen/Kawisafi is already a member of GOGLA and sits in multiple committees including the consumer protection committee that works on promoting best practice in e-waste across the sector. GOGLA is in active discussions with policy makers in Kenya, Ghana and Cote d'Ivoire on potential e-waste legislation.
- The Fund also expects to support best practice efforts through the Technical Assistance Facility under activity 1.4 which seeks to support implementation of consumer protection standards, quality assurance, and best practices across the industries of focus.

Select Risk Factor 6

Category	Probability	Impact
Technical and operational	Low	High

Description

Please describe the risk to the best of your knowledge at this point in time.

Availability of attractive investment opportunities within KawiSafi II's targeted strategic sectors.

KawiSafi Fund II will be looking to invest in low carbon businesses that have strong management teams; demonstrate the ability to scale; and have strong unit economics and profitability potential. However, the target strategic sectors and markets are in some cases nascent with high technology and market risks posing a challenge to the achievement to the above conditions for investment. Technology risks may include potential for product failure or underperformance and is mostly apparent where new products are being deployed in new contexts. For instance, new e-mobility battery charging chemistry and/or infrastructure. Market risks on the other hand relate to macro-economic challenges as well as micro-economic challenges that impact access to products and services such as product-market fit and affordability.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

The KawiSafi II team has identified over \$1.98B in potential deal value from over 200 pipeline opportunities across energy transition; energy productivity and clean mobility segments in Africa. Therefore, despite the risks of the target sectors highlighted above. The team is confident that it will source high quality potential investments across the priority markets. Further, the team will engage with the ecosystem through the proposed Technical Assistance Facility to support acceleration of the deployment of new technologies and innovative business models to drive the success of new attractive ventures in the industry.

Select Risk Factor 7

Category	Probability	Impact
Technical and operational	Low	High

Description

Please describe the risk to the best of your knowledge at this point in time.

Risk of Conflicts in Fragile States

Two of the countries of focus for KawiSafi Fund II – the Democratic Republic of Congo (DRC) and Nigeria are ranked 6th and 16th on the Fragile States Index respectively. The index reviews twelve conflict risk indicators including security apparatus, factionalized elites, group grievances, economic decline, uneven economic development, human flight and brain drain, state legitimacy, public service, human rights and rule of law, demographic pressures, refugees and IDPs and external interventions. While the DRC suffers from poor governance and infrastructure, weak basic services, ongoing conflict and has been a long-running humanitarian crises, Nigeria on the other hand ranks low on human flight and brain drain and provision of security in the North leading to high levels of IDPs and refugees. Other countries of Focus rank between 25th to 108th on the Fragile States Index reflecting different levels of perceived risk by country.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

At the portfolio level, the KawiSafi team will seek to ensure country diversification to limit significant exposure to any of the highly fragile countries. However, given the contextual nature of each territory, the team will carry out country-based risk assessments which will include both formal and informal political economy factors driving security of the investment; informal power relations and their impact on potential business performance. In investments in newer markets, KawiSafi will seek to partner with co-investors with experience navigating these risks in highly fragile countries.

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

IFC categorization. Fund II is classified as I-2 by GCF's Revised Environmental and Social Policy (2021), requiring medium level of intermediation.

Overview of KawiSafi's approach. KawiSafi has a systematic approach to integrating environmental, social, and governance (ESG) management into operations and investment activities, with robust policies in place. The principles and commitments stated in the ESG Policies are a cornerstone of all business operations of Fund II. Compliance with the ESG policy will be achieved through an Environmental and Social Management System (ESMS) Implemented at two levels.

- *ESMS at Portfolio Companies:* Portfolio Companies will be required to adhere to the ESG requirements of the Fund. Each Portfolio Company will establish and maintain its own ESMS to assess, address, and monitor ESG risks and impacts of company operations in line with KawiSafi Fund II requirements.
- *ESMS at Fund level:* The KawiSafi management team will establish and maintain the KawiSafi Fund II ESMS to assess, oversee, and support the management of ESG matters by the Portfolio Companies, as well as oversee ESG matters at overall Portfolio level.

The operational guidelines aim to provide the information needed to support the implementation and operationalization of the ESMS. They are based on the IFC Policy and Performance Standards on Social and Environmental Sustainability 2012, and its Guidance Notes, which have been harmonized with the GCF's Environmental and Social Principles and Standards. KawiSafi II therefore intends to implement an Environmental and Social Management System (ESMS) for Fund II as required by GCF's Updated Environmental and Social Policy, included herein as Appendix 6. KawiSafi's approach is aligned with international good practice, including GCF policies and safeguards, Principles for Responsible Investments (PRI), UN Global Compact, and the IFC Exclusion List and Performance Standards. KawiSafi has a Grievance Policy, aligned with GCF standards.

Approach to ESG Due Diligence and Monitoring. In-depth ESG due diligence is conducted for all investments with a third-party provider. Fund II will build on the experience of Fund I, where an ESG Action Plan is agreed upon and embedded in investment agreements. ESG risk and performance is monitored throughout the life of an investment, including a comprehensive, annual ESG data collection and review.

Key risk considerations. Fund II will focus on commercial and residential low-income customers in Africa, and on technological interventions such as electric vehicles, cell towers, off-grid solar products, smart meters, and financing and software services to support these activities. Activities are not expected to have material climate risks, but rather to contribute to climate mitigation and adaptation. Investee companies will be encouraged to monitor and manage their exposure to physical and transition risks of climate change, including in their supply chains.

Sexual Exploitation, Abuse, and Harassment (SEAH) risk management is addressed in ESG assessments, which consider women in the workforce and company policies and procedures. KawiSafi investments seek to have a positive effect on the lives and livelihoods of women. KawiSafi intends to establish a SEAH policy in 2023.

Indigenous people are not likely to be directly affected through the activities of investee companies. KawiSafi monitors exposure to and impacts on indigenous peoples in ESG due diligence and annual review.

Community health, safety, and security, and the environment may be impacted by use and disposal of off-grid solar, ICT, and electric vehicle technologies, including emerging risks associated with radiation from cell towers and smart meters. KawiSafi will monitor emerging practices for managing e-waste disposal, responsible sourcing of materials for manufacturing, and health effects of electromagnetic radiation. Fund I established strong consumer protection diligence, aligned to GOGLA consumer protection principles and post-investment support, which will be continued in Fund II.

KawiSafi is committed to improving the circularity of off-grid solar technology and minimization of e-waste and engages on this topic within GOGLA (global association for the off-grid solar energy industry). KawiSafi seeks to ensure that portfolio companies either have or will develop strong e-waste policies and procedures.

KawiSafi will continue to strengthen its monitoring and management of supply chain ESG management. A particular

consideration is human rights and forced labor in the solar supply chain and in the target countries. KawiSafi will continue to monitor human rights risk assessment, policies, and implementation.

Job creation is a key impact focus, as companies scale operations and increase workforce and contractor networks. There will be a continued focus on ensuring sound labor practices.

IFC Performance Standard	Risk Level in Companies	Risk in Supply Chain
1. Environmental and Social Risk Management	Medium	Medium
2. Labor and Working Conditions	Medium	Medium
3. Resource Efficiency and Pollution Prevention	Medium	Medium
4. Community Health, Safety, and Security	Medium	Medium
5. Land Acquisition/ Involuntary Resettlement	Low	Low
6. Biodiversity and Natural Resources	Low	Low
7. Indigenous Peoples	Low	Low
8. Cultural Heritage	Low	Low
9. Stakeholder Engagement and Information Disclosure	Low	Low
10. Climate change Resilience and Adaptation	Low	Low

Staff competency on ESG risk management. KawiSafi staff demonstrate awareness and commitment to ESG good practice, with strong leadership and support. The Managing Director oversees the RI and ESG policies, and relationship managers implement policies across portfolio companies. Training occurs annually. KawiSafi staff have a strong track record in KawiSafi I and consistently seeks to improve its ESG oversight, including consumer protection activities. Acumen, as AE, provides ESS oversight, reporting, and support on three GCF funded projects. Acumen upgraded their status to ESS risk category B/I2 demonstrating an increased capacity to ensure compliance with GCF policies.

Managing ESG at Exit. KawiSafi has policy provisions for ESG considerations at exit, including the effects on the sustainability of impacts. KawiSafi has not yet conducted an exit.

Disclosure. KawiSafi's annual report to Limited Partners includes its ESG practices and detailed ESG and impact performance of its investee companies. KawiSafi completes the GCF Annual Performance Review. It provides a quarterly Community Report for a broader group of stakeholders.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

1. KawiSafi Fund II intends to consistently mainstream gender issues in its implementation arrangements and frameworks acknowledging that while energy is a critical enabler in reaching development goals and improving social wellbeing, the benefits of increased access to modern and cleaner energy services often fail to accrue evenly to men and women. The energy industry has significant gender disparities in terms of employment

participation, control over decisions, assets and resources, capacity, and skills. The Gender Action plan further acknowledges that mitigation and adaptation initiatives are more sustainable, equitable and more likely to achieve their objectives when gender equality is integrated, especially given the disproportionate positive impacts of energy access to women and the key participation of women as consumers of energy services at the household level.

2. The process of developing this Action plan included reflections from KawiSafi Fund I performance to date and multiple discussions with the Accredited Entity (Acumen) on importance and best practice of integrating portfolio gender performance in venture capital fund structures. The team also reviewed gender-lens investing frameworks such as the [2X Challenge](#) which supports increased funding for women across the investment value chain specifically promoting female entrepreneurship; leadership; employment; and consumption of energy services. In addition, the team reviewed existing literature by Acumen as well as from other similar development and investing organizations to understand the unique gender challenges of the energy industry – with specific focus on distributed energy for residential and productive use.
3. The following activities are designed to drive integration of gender at KawiSafi Fund II:
 - a. Fund level: At the Fund level, the KawiSafi Fund II team is committed to ensuring alignment to gender best practices, in terms of:
 - A minimum of 50% female representation in KawiSafi Fund II team employment; and
 - Integration of gender lens investing practices across the investment process to achieve portfolio-level impacts; and commitment to ongoing gender-disaggregated impact reporting, monitoring and development of Gender Action Plans for every investment made.
 - b. Portfolio level: At a portfolio level, we intend to
 - Evaluate all our potential investments based on their potential to drive gender inclusion and increase women's access to economic opportunities. We will specifically use our capital to bridge:
 1. Existing funding gaps to female owned and led businesses. It is currently estimated that only 7% of emerging market venture capital goes to women-owned businesses⁶⁷. Female founders are underrepresented in the sectors that attract the most financing, moreover research indicates that all-female teams remain less likely to receive financing than all-male teams, and they receive smaller amounts if they do (all-male founding teams receive US\$ 25 for each US\$ 1 going to all-female teams)⁶⁸;
 2. Businesses that provide decent work to women. According to studies, 35% of the workforce in renewable energy companies are women compared with 20-25% in the broader energy sector. KawiSafi Fund II will use capital to grow this proportion in our portfolio companies to 40% and above;
 3. Businesses that provide women access to energy services or that sell products that disproportionately improve outcomes for women. For instance, a high reliance on biomass for cooking in many countries means that women and children without clean cooking access spend an average of 1.4 hours/day collecting fuel. Greater access to energy services can improve women's health and well-being, free up their time and enable their economic empowerment, thereby supporting the achievement of SDG 5.
 - The Fund will also support portfolio companies in enhancing their gender inclusion and diversity practices and drive greater women's economic empowerment outcomes through their business activities. This will be offered through development of Gender Action Plans for each investment made which will among other things support increased female leadership in management and Governance structures. The team also seeks to support companies in developing policies and procedures to prevent SEAH and provide gender-sensitive and survivor-centered incident responses. The team will implement this through direct participation of KawiSafi II's board representative on the portfolio

⁶⁷ GIIN (2022) [Navigating Impact: Increasing Venture Capital to Women-led Businesses](#)

⁶⁸ World bank Blogs (2021) As African Venture Capital Booms, Are Female Founders Losing Out? [Link](#)

company's board, as well as through the support of the proposed KawiSafi Fund II TAF.

- The Gender Assessment and Gender Action Plan are provided in Annex 8.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

1. The financial management process is centered on three entities with distinct and complementary responsibilities:
 - I. The Manager/ Executing Entity, Marula Partners LLC – with general responsibility for investment management and oversight
 - II. Fund Administrator – responsible for accounting, preparation of financial statements, cash management, notices to investors and compliance with AML/CFT policies for fund investors
 - III. The Accredited Entity, Acumen – responsible for fiduciary oversight as Fund GP and Accredited Entity
2. Marula and Acumen have internal policies and procedures in place with regards to financial accounting, auditing, and disbursement of funds. KawiSafi II is subject to an annual financial audit by an independent external auditor in accordance with internationally recognized financial reporting and auditing standards.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ **No confidential information:** The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ **With confidential information:** The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes (X denotes submitted alongside the Funding Proposal)

X	Annex 1	NDA no-objection letter(s) (template provided)
X	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): (ESS disclosure form provided) ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☐ Environmental and Social Management System (ESMS) ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
X	Annex 8	Gender assessment and project/programme-level action plan (template provided)

* Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.

AUTORITE NATIONALE DESIGNEE
FONDS VERT POUR LE CLIMAT



000341/MINEDD/ANDFVC/ym

To: The Green Climate Fund ("GCF")
GCF Headquarters,
G-Tower,
Songdo Business District
175, Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

Abidjan, 15 February 2023

Re: Funding proposal for the GCF by Acumen regarding KawiSafi II

Dear Madam, Sir,

We refer to the programme titled "*KawiSafi II*" in Côte d'Ivoire, Democratic Republic of Congo (DRC), Ghana, Kenya, Nigeria, Rwanda, Senegal, South Africa, Uganda and Zambia as included in the funding proposal submitted by Acumen to us on 8 November 2022.

The undersigned is the duly authorized representative of Minister's Office, Ministry of Environment and Sustainable Development, the National Designated Authority of Côte d'Ivoire.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Côte d'Ivoire has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Côte d'Ivoire;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

YAO MARCEL

Technical Advisor to the Minister in charge of International Cooperation and Resource Mobilization
National Designated Authority of Côte d'Ivoire
Côte d'Ivoire





To: The Green Climate Fund ("GCF")

Kinshasa, 9 March 2022

Re: Funding proposal for the GCF by Acumen regarding *KawiSafi Fund II: Africa's Inclusive Climate Growth Fund*

Dear Madam, Sir,

We refer to the programme titled *KawiSafi Fund II: Africa's Inclusive Climate Growth Fund* in Democratic Republic of Congo as included in the funding proposal submitted by Acumen to us on 9 March 2022.

The undersigned is the duly authorized representative of Dr. Hans André Djamba, the National Designated Authority of Democratic Republic of Congo.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Democratic Republic of Congo has no-objection to the programme as included in the funding proposal.
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies, and plans of Democratic Republic of Congo;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



Dr. Hans Andre Djamba
National Coordinator/GCF DRC
NDA/FP
Democratic Republic of Congo



FEDERAL MINISTRY OF ENVIRONMENT

HEADQUARTERS, MABUSHI, ABUJA.

Ref: No. FMENV/DCC/GCF/046

Date Abuja, 9th January, 2023

The Green Climate Fund ("GCF")
Songdo International Business District,
175, Art Center-daero,
Yeonsu-gu, Incheon 406-840,
Republic of Korea.

Re: Funding Proposal for the GCF by Acumen regarding Kawi Safi II

Dear Madam, Sir,

We refer to the Programme titled "*Kawi Safi II*" in Cote d'Ivoire, Democratic Republic of Congo (DRC), Egypt, Ethiopia, Ghana, Kenya, Nigeria, Rwanda, Senegal, Sierra Leone, South Africa, Uganda and Zambia as included in the funding proposal submitted by Acumen to us on August 2, 2022.

The undersigned is the duly authorized Representative of the National Designated Authority of Nigeria. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our No-objection, it is implied that:

- (a) The Government of Nigeria has no-objection to the programme as included in the funding proposal;
- (b) The Programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Nigeria;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this Letter will be made publicly available on the GCF website.

Kind regards,

Dr. Iniobong Abiola-Awe
NDA/Director, Department of Climate Change
Federal Ministry of Environment
Nigeria



Republic of Rwanda

**RWANDA ENVIRONMENT
MANAGEMENT AUTHORITY
(REMA)**



Page 115

Kigali, on 08 DEC 2022
N° 3392/NDA/2022

**Executive Director
Green Climate Fund ("GCF")
Incheon-South Korea**

Re: Funding proposal for the GCF by Acumen KawiSafi Fund II

Dear Sir,

Referring to the programme titled *KawiSafi Fund II* in Rwanda as included in the funding proposal submitted by Acumen to us on 31 October 2022.

The undersigned is the duly authorized representative of Rwanda Environment Management Authority, the National Designated Authority of Rwanda.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The Government of Rwanda has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Rwanda;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


Juliet KABERA
Director General



Telephone : 256 41 4232095/341286
 Fax : 256 41 4233524
 Email : finance@finance.go.ug
 : treasury@finance.go.ug
 Website : www.finance.go.ug
 Plot No. 2-8 Apollo Kagwa Road
 In any correspondence on
 This subject please quote No. ALD 79/251/03



Ministry of Finance, Planning &
 Economic Development,
 P.O Box 8147
 Kampala, Uganda

3rd November, 2022

The Executive Director
 Green Climate Fund
 Songdo Business District
REPUBLIC OF KOREA

LETTER OF NO OBJECTION FOR KAWISAFI II

I refer to the above programme, which has been prepared and submitted to you by ACUMEN for funding by the Green Climate Fund (GCF).

The undersigned is the duly authorized representative of the Ministry of Finance, Planning and Economic Development, the National Designated Authority focal point of Uganda.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- a) The Government of the Republic of Uganda has no-objection to the programme as included in the funding proposal;
- b) The programme is in conformity with Uganda's national priorities, strategies and plans;
- c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the proposal has been duly followed and that it applies to all projects or activities to be implemented within the scope of the programme.

Mission

"To formulate sound economic policies, maximize revenue mobilization, ensure efficient allocation and accountability for public resources so as to achieve the most rapid and sustainable economic growth and development"

We acknowledge that this letter will be made publicly available on the GCF website.



Ramathan Ggoobi

**PERMANENT SECRETARY/ SECRETARY TO THE
TREASURY/NATIONAL DESIGNATED AUTHORITY FOCAL POINT
FOR THE GREEN CLIMATE FUND**

Mission

"To formulate sound economic policies, maximize revenue mobilization, ensure efficient allocation and accountability for public resources so as to achieve the most rapid and sustainable economic growth and development"

All communication should be addressed to the
Permanent Secretary

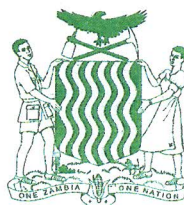
Telephone: 0211-252395

0211-252394

0211-252391

In reply please quote

No:.....



REPUBLIC OF ZAMBIA

MINISTRY OF GREEN ECONOMY AND ENVIRONMENT

OFFICE OF THE PERMANENT SECRETARY

Corner of John Mbita & Nationalist Roads

P.O. BOX 30147

Lusaka-Zambia

To: The Green Climate Fund ("GCF")

Lusaka, 1 September 2022

Re: Funding proposal for the GCF by Acumen regarding Kawi Safi II

Dear Madam, Sir,

We refer to the programme titled "*Kawi Safi II*" in Cote d'Ivoire, Democratic Republic of Congo (DRC), Egypt, Ethiopia, Ghana, Kenya, Nigeria, Rwanda, Senegal, Sierra Leone, South Africa, Uganda and Zambia as included in the funding proposal submitted by Acumen to us on 1 August 2022.

The undersigned is the duly authorized representative of National Designated Authority, the National Designated Authority of Zambia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Zambia has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Zambia;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Francis Mpampi

National Coordinator

National Focal Point Person and National Designated Authority

Zambia



REPUBLIC OF KENYA
THE NATIONAL TREASURY AND ECONOMIC PLANNING

Telegraphic Address: 22921
 Finance-Nairobi
 Fax No.: 310833
 Telephone: 2252299
 When Replying Please Quote:

THE NATIONAL TREASURY
P.O. Box 30007 - 00100
NAIROBI

Ref No: TNT/CONF/321/02/1/(31)

Date: 15th June, 2023

The Green Climate Fund ("GCF")

GCF Headquarters,

G-Tower,

Songdo Business District

175, Art center-daero

Yeonsu-gu, Incheon 22004

Republic of Korea

Dear

GCF

Re: Funding proposal for the GCF by Acumen regarding KawiSafi II

We refer to the programme titled "*KawiSafi II*" in Kenya, Democratic Republic of Congo (DRC), Ghana, Côte d'Ivoire, Nigeria, Rwanda, Senegal, South Africa, Uganda and Zambia as included in the funding proposal submitted by Acumen to us on 24 June 2022.

The undersigned is the duly authorized representative of The National Treasury, the National Designated Authority of Kenya.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:-

- (a) The government of Kenya has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Kenya;

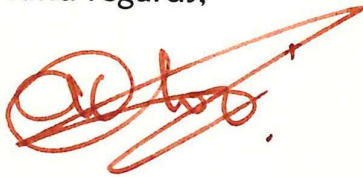
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations. Page 120

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



Dr. Chris Kiptoo, CBS
Principal Secretary/ The National Treasury

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	KawiSafi II
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	Acumen Fund, Inc.
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Cote d'Ivoire, Democratic Republic of the Congo, Kenya, Nigeria, Rwanda, Uganda, and Zambia
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Wednesday, June 7, 2023
Language(s) of disclosure	English and French
Explanation on language	These are an/the official languages in each of the target countries.
Link to disclosure	English: https://drive.google.com/open?id=1s0wMu_hKs6BkaOCaU_hET2MEIXlAVXMI&usp=drive_fs French: https://drive.google.com/open?id=1rtaJc0vol6nRbYY-r1BcNAzuOI7IzGVu&usp=drive_fs
Other link(s)	https://acumencapitalpartners.com/about/
Remarks	An ESMS consistent with the requirements for a category I-2 programme is contained in the "KawiSafi II Environmental and Social Management System".

Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	Guidance for Land and Resettlement, Indigenous Peoples Plan Framework (IPPF), / Wednesday, June 7, 2023
Language(s) of disclosure	English and French
Explanation on language	These are an/the official languages in each of the target countries.
Link to disclosure	English: https://drive.google.com/open?id=1s0wMu_hKs6BkaOCaU_hET2MEIXlAVXMI&usp=drive_fs French: https://drive.google.com/open?id=1rtaJc0vol6nRbYY-r1BcNAzuOI7IzGVu&usp=drive_fs
Other link(s)	https://acumencapitalpartners.com/about/
Remarks	The Guidance for Land and Resettlement and the Indigenous Peoples Plan Framework are included in the "KawiSafi II Environmental and Social Management System".
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Wednesday, June 7, 2023
Place	The ESMS is also physically available at the KawiSafi office located at: The Pavillion, Lower Kabete Rd. Nairobi, Kenya It is also available at the Acumen East Africa and West Africa offices located at: 3rd Floor, ABC Towers Waiyaki Way, Westlands, Nairobi, Kenya Plot 18 Sikiru Alade Oloko Crescent Lekki Phase 1, Lagos Nigeria Nationally Designated Authorities (NDAs) locations: Cote d'Ivoire Minister's Office, Ministry of Environment and Sustainable Development Cite Administrative, Plateau, Tour D, 10eme etage - 20 BP 650 Abidjan 20, Abidjan, Cote d'Ivoire Democratic Republic of the Congo National Coordination of the Green Climate Fund 15, Av : Papa ILEO (ex-des cliniques), C : Gombe, Congo - Kinshasa Kenya The National Treasury Treasury Building 12th Floor, Harambee Avenue, Nairobi, Kenya

	Nigeria National Council on Climate Change Headquarters Mabushi, Abuja, Nigeria
	Rwanda Rwanda Environment Management Authority KG 7 Ave, Kigali, Rwanda
	Uganda Ministry of Finance, Planning and Economic Development 2-12 Apollo Kaggwa Road, Central Division of Kampala, Uganda
	Zambia Ministry of Green Economy and Environment National Coordinator P.O. Box 50555, Corner of John Mbita and National, Lusaka, Zambia
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	N/A
Date of GCF's Board meeting	Monday, July 10, 2023

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP210

Proposal name:	KawiSafi Fund II
Accredited entity:	Acumen Fund
Project/programme size:	Medium

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. The KawiSafi II funding proposal is an evolution of the KawiSafi Ventures Fund (also known as KawiSafi I), which was launched by the accredited entity (AE), Acumen Fund (hereinafter referred to as Acumen), in 2016 and was one of the first funding proposals approved by the GCF Board. KawiSafi I is a USD 67 million fund (10-year lifespan) that has invested in low- and zero-carbon technology businesses in two countries: Kenya and Rwanda. The fund is still in its investment period, and it intends to make one more new investment in 2023, and then will reserve follow-on for existing investments to deploy during the management period. Remaining funds are expected to cover fees and expenses over the fund life. KawiSafi I investments have been focused on late venture-stage opportunities and relatively small ticket sizes, ranging from USD 500,000 to 5 million.
2. KawiSafi II is a follow-on fund to KawiSafi I and is expected to be more ambitious in terms of capital raised, investment size and geographical reach. The Acumen funding proposal aims for a USD 200 million venture equity fund utilizing a blended finance structure that is intended to mobilize private sector climate investment across 10 African countries. It will target investments in companies at the late-venture/early-growth stage that have business models that deploy low-carbon technologies across energy transition, green productivity, mobility, and logistics. Investments are expected to range between USD 1 million and 10 million.
3. As of the date of the funding proposal, KawiSafi II had received six no-objection letters (NOLs) from the governments of Côte d'Ivoire, Democratic Republic of the Congo, Nigeria, Rwanda, Uganda, and Zambia. The AE team expects to receive four additional NOLs by the thirty-sixth meeting of the GCF Board (B.36), from Ghana, Kenya, Senegal, and South Africa.
4. The requested contribution from GCF is USD 52.5 million, of which USD 50 million is in the form of equity and USD 2.5 million is in the form of grant. The grant funding is to establish and implement the technical assistance facility (TAF) to support both portfolio companies and the wider energy and climate ecosystem in the relevant African markets.

1.2 Impact potential

Scale: Medium

5. KawiSafi II expects to invest in the energy, mobility, and productivity (clean cooling, agriculture-energy, green manufacturing) sectors. According to the project sponsor, these sectors are projected to avoid emissions of 20.9 million tonnes of carbon dioxide equivalent (Mt CO₂ eq) and directly and indirectly strengthening the resiliency to climate impacts of approximately 3.5 million people.

6. These sorts of prospective impact estimates for fund vehicles are difficult to verify as they involve many variables (e.g. nature of investee companies, execution by investees, timing of investments and so on) that cannot be pre-determined for an equity fund. Fund structures by their nature are unable to provide certainty as to the ultimate composition of their portfolio. This is not necessarily an adverse problem as funds can incorporate a level of flexibility and market responsiveness that often ensures greater effectiveness over time in achieving climate impacts compare with a ready-made set of interventions. However, that does imply some uncertainty in assessing probable impact outcomes. In this regard, the independent Technical Advisory Panel (iTAP) needs to look particularly carefully at other indicators to support a positive assessment including, but not limited, to (i) track record of the fund manager, (ii) target sectors and concentration limits, (iii) indicative pipeline and illustrative investments, and (iv) the overall investment selection and screening process.
7. In the case of KawiSafi II, GCF can take some comfort from the track record of KawiSafi Fund I, which has reported that its investments have cumulatively avoided 17.8 Mt CO₂ eq emissions in Kenya and 2.4 Mt CO₂ eq in Rwanda. Additionally, the KawiSafi I portfolio maps to an investment selection process that prioritizes business models with a clear mitigation and/or adaptation impact. The iTAP considers it reasonable to presume that a similar approach will carry over to the management of KawiSafi II. Further, in reviewing the KawiSafi II funding proposal, iTAP also noted that the indicative pipeline, concentration targets and overall selection criteria were reasonably aligned with achieving the impact target estimates made by the AE.
8. Moreover, iTAP notes that the impact potential of early-stage equity investment in emerging market climate businesses can go beyond first order mitigation and adaptation directly linked to those investments. Providing financial wherewithal to local firms in developing countries so that they can grow and deploy climate-friendly technologies across their markets is inherently impactful. It builds local professional and technical capacity and the networks necessary to transition emerging markets to low-carbon and resilient pathways. This is true for the companies receiving direct investments but also for the overall ecosystem of service providers, local financiers, and project development professionals. The economic activity and technology adoption that well-funded local climate businesses can engender in their own markets lays the groundwork not just for their success but for subsequent efforts by demonstrating that African markets can leapfrog fossil-fuel grids to deploy clean technologies.
9. KawiSafi II expects to make investments in several sectors that have the potential to produce positive mitigation and resiliency impacts. One example is residential lighting, where a technology shift away from fuels such as kerosene should result not just in direct health-related benefits but also provide access to power with the potential to catalyse economic development in rural areas and create more job opportunities as well as increased opportunities for higher incomes.
10. KawiSafi II also expects to make investments in commercial and industrial solar power generation; battery storage applications targeted at displacing diesel generators; and energy productivity, which includes deployment of renewable energy for mobile communications towers that are currently powered by diesel generators that result in significant CO₂ eq emissions.
11. Additionally, the fund expects to make investments in the mobility and logistics sectors focusing on scaling up companies that market electric vehicles (EVs), with a view to increasing the use of low-carbon transport and therefore reducing greenhouse gas (GHG) emissions in urban areas. The focus of this aspect of the programme is on funding electric two-wheelers. The iTAP does have some concerns regarding the EV sector discussion in the funding proposal, which considers that assumptions concerning the number of EVs to be supported by the fund is overly optimistic, and the default values for distance driven and fuel saved are not conservative.

In the case of public transport, iTAP noted methodological errors in the calculations. However, mobility interventions are only estimated to account for a relatively small minority of total expected mitigation impacts.

12. The mitigation potential of the indicative investment pipeline provided by the AE is more apparent than the funding proposal's adaptation claims. The AE claims that its portfolio companies will be able to reduce climate vulnerability and enhance the resilience and adaptive capacity of the geographical regions where they will operate. Acumen's adaptation claims rest on broad statements, such as that the African continent will face adverse changes due to climate change that will impact food security (e.g. surface water and groundwater changes, harvest losses due to extreme weather events).

13. More credibly, the funding proposal for KawiSafi II includes specific examples of where it expects to see adaptation outcomes, including investments in resilient food systems that could help agricultural communities adapt to a changing climate. Additionally, the funding proposal points to energy sector investments that can have impacts on resilience if applied to the agriculture sector (e.g. through solar-powered irrigation and cold chain storage). Nevertheless, iTAP considers that the adaptation impact potential of KawiSafi II is particularly difficult to assess from the outset. The investment processes proposed by Acumen provide some comfort on how the potential for generalized adaptation benefits will be considered. However, iTAP has reduced its assessment level here, in part because of uncertainties around specific adaptation outcomes. The iTAP encourages the AE and the GCF Secretariat to consider models that provide a more active role for the GCF in the assessment of climate impacts to better ensure alignment of interests. An active GCF voice around climate impacts is particularly useful where the relationship between the AE and the fund manager is incredibly close, as in KawiSafi II.

14. Finally, iTAP notes that KawiSafi II expects to create a Technical Assistance Facility (TAF). The TAF will seek to assist both portfolio companies and the wider clean energy ecosystem in Africa. Portfolio companies will receive support to, among other things, develop the tools and capacity needed to measure their environmental, social and governance, and climate impacts, which Acumen notes is a current gap in the market. The ecosystem support will go towards collaboration with early-stage incubators and accelerators, as well as relevant industry associations and academia, to support development and maturation while ensuring that the industry shares the positive impacts of its activities among all members of society, especially women.

15. Overall, iTAP regards the proposal's impact potential as Medium.

1.3 Paradigm shift potential

Scale: Medium

16. KawiSafi II intends to build on KawiSafi I by demonstrating the scalability and replicability of the approach. If successful, KawiSafi II will raise significant private sector capital into a larger fund that will invest across a wider geographical footprint. This has the potential to demonstrate the investibility of low-carbon businesses in Africa and support firms that need to grow if Africa is to have any chance of meeting its energy needs while leapfrogging fossil-fuel grids to deliver clean energy. The iTAP considers that the paradigm shift potential lies in the ability of KawiSafi II to demonstrate that investing in an African clean-energy future is feasible and replicable.

17. The iTAP considers that Acumen has a moderate likelihood of succeeding. Its concerns rest primarily on the ability of Acumen to raise capital for KawiSafi II from more-mainstream investors, especially in the current higher interest rate environment. KawiSafi I relied extensively on investments from high-net-worth individuals and impact-first investors. KawiSafi II needs to make a step change to more commercial investors to contribute to a paradigm shift. Based on its assessment, iTAP is not wholly convinced that this goal will be

achievable at the scale sought by KawiSafi II. Concerns stem from (i) the status of investor outreach and the type of investors further along in discussions, (ii) KawiSafi I investors re-upping and (iii) overall market conditions and appetite.

18. Although the KawiSafi I track record gives comfort around impacts and the screening capacity of the Acumen team, it is less persuasive when it comes to commercial outcomes that will matter to prospective investors. For instance, since 2016 KawiSafi I has deployed under USD 50 million and has only achieved one partial exit. Arguably this is in line with the initial funding proposal, but commercial investors in the current context will want to determine that KawiSafi II can deploy much larger amounts of capital and ultimately provide liquidity for Acumen investments. Indeed, if KawiSafi II is unable to source development opportunities at sufficient scale and quality, or is unable to successfully develop bankable financing opportunities, it may face constraints in terms of its ability to deploy its allocated capital.

19. Notwithstanding the above, iTAP does not consider it is a lost cause. For example, Acumen's other GCF-supported funds (excluding KawiSafi I) have been able to attract a more diverse set of investors. Acumen can point to a portfolio that has grown its net asset value during a very difficult economic period. The macroeconomic environment over the past 3–4 years has included the COVID-19 lockdown, the conflict in Ukraine, and now the challenging macroeconomic situation with rising debt, falling currencies and inflation. Book value is no substitute for actual demonstrated market liquidity and monetization, but it does differentiate KawiSafi II from other efforts in the market that have stalled in fundraising.

20. The KawiSafi II team informed iTAP during the review that it is currently in advanced stages of due diligence with multiple investors, with more in earlier stages of evaluation. The iTAP does not contact potential investors as part of its assessment and understands that the GCF Secretariat is often unable to independently diligence and verify this sort of claim. However, iTAP takes some comfort from the AE's claims that various institutional investors have confirmed to Acumen that they have successfully navigated their own investment committee approval stages. Presumably that means these investors are approved to commit time and financial resources to moving into commercial, legal, tax and environmental, social and governance due diligence.

21. If KawiSafi II can raise capital successfully, iTAP considers that investing in for-profit companies that seek to scale clean energy technologies and promote low-carbon growth can contribute positively to paradigm shift. Equity investment is critical for nascent sectors. However, paradigm shift will be achieved only if the fund is able to build a track record of performing, impactful and successful investments, which increases the confidence of asset owners and encourages new investment managers to structure new funds in this sector. Demonstrating commercial success can attract new actors and reduce the cost of capital into these sectors.

22. The investee companies themselves are intended to be financially sustainable enterprises that would continue to operate off their own balance sheets and revenues. Successful portfolio companies can attract additional investment in addition to the impacts that their underlying business models generate. Moreover, should KawiSafi II provide strong exits for its investors this could then have a significant paradigm shift potential by contributing to the credibility of climate-friendly investments in Africa. This could be a virtuous cycle that can truly support a paradigm shift in development trajectories.

23. Overall, iTAP rates the potential for KawiSafi II to effect paradigm shift as Medium, due to the above-mentioned concerns around raising funds and adaptation impacts.

1.4 Sustainable development potential

Scale: High

24. The funding proposal presents a credible pathway for sustainable development impacts in addition to the potential for knock-on effects around market development and demonstration impact for follow-on funding sources. As noted in section 1.3 above, the specific scope of these impacts depends on the ultimate makeup of the KawiSafi II portfolio and the success of those investments. At this point, iTAP can only make an educated guess on the basis of Acumen's track record, investment thesis and indicative pipeline. However, the funding proposal and iTAP's engagement with Acumen provides iTAP with sufficient comfort that KawiSafi II's investments will be in support of business plans and technologies that can have a measurable beneficial impact in terms of climate change, and will generally support sustainable development.

25. Another important facet of the sustainable development potential of KawiSafi II is its focus on African markets. The region has significant development needs, while it is expected to bear the brunt of climate impacts. According to the Intergovernmental Panel on Climate Change (IPCC), temperature increases in sub-Saharan Africa are expected to be higher than the global mean temperature increase, having a negative impact on health, agriculture, and food security. According to the World Resources Institute, failure to meet the targets set by the Paris Agreement would mean that 118 million people in Africa will be pushed into extreme poverty by 2030.

26. The iTAP also notes that Africa contributes only 3 per cent to global GHG emissions; however, this statistic is misleading given Africa's lack of energy access and its corresponding low rate of consumption. Approximately 550 million people in sub-Saharan Africa do not have access to electricity and must rely on kerosene and diesel generators for lighting, while another 900 million people lack access to clean cooking fuels and technologies, causing rapid deforestation and dangerous levels of indoor air pollution. Africa's energy consumption and manufacturing output needs to triple over the next two decades to create the economic opportunities and jobs that can lift its people out of poverty. If the Paris Agreement targets are to be met this increase in energy use must be built on a low-carbon matrix. This outcome is only possible if the companies that will be needed to provide low-carbon services and technologies are in place with sufficient capacity and funding. KawiSafi II can make an important contribution to developing this ecosystem of low-carbon businesses.

27. The iTAP notes the following specific potential sustainable development contributions:

(a) **Environmental co-benefits:** reduction of air and water pollution and improved resource use through recycling and reuse applications. Replacement of kerosene, diesel, and other carbon-based fuels;

(b) **Social and health benefits:** access to affordable, reliable, and sustainable energy is crucial for achieving many of the Sustainable Development Goals via advancements in food security; overall health and well-being; education; water supply; and sustainable industrialization. A well-established energy system supports all sectors, from health and education to agriculture, infrastructure, communications, and technology; and

(c) **Employment and economic impact:** investing in renewable energy in Africa could create at least 26 million jobs by 2050. The renewable energy industry has already generated 370,000 jobs in off-grid electrification as of 2019, with strong representation of women workers and wages in line with or higher than national averages. According to the funding proposal, KawiSafi II aims to invest in innovative companies that promote inclusive and sustainable economic growth and aims to create 17,000 direct jobs and 33,000 indirect jobs. The funding proposal also credibly posits a focus on increasing gender inclusion in the early-stage climate investment ecosystem and partnering with business accelerators and incubators to increase the participation of women in their cohorts.

28. The funding proposal allows for investments in biofuels. The iTAP notes that investments in biofuels have a high risk of creating negative climate and sustainability problems

if not well screened for and managed. First generation biofuels are generally produced from food crops, such as corn, soy, and sugarcane, which make them unattractive from a socioeconomic perspective; while second generation biofuels from “wastes” have displacement issues. The overwhelming majority of so-called wastes are already currently used for other processes and using them for biofuel production results in other processes using other types of raw material (e.g. the waste “bagasse” is also used as input material for paper production; used cooking oils and animal fats are used in foundries or in the chemical industry for soaps which then revert to using primary palm or soy oil). Thus “wastes” are end-of-life products but many of them have an energy use, are used as animal feed or as input product for other processes. Using such wastes can cause displacement emissions when diverted for biofuel production. Additionally, biofuel expansion can result in biodiversity loss, direct and indirect land-use change, and deforestation, and potentially higher total GHG emissions than using fossil fuels, plus other environmental and social problems.

29. The iTAP considers that the funding proposal does not include a credible methodology for determining the direct as well as indirect GHG emissions from biofuels. Notwithstanding that biofuels are projected to play a small role in KawiSafi II, the lack of an effective screen against biofuels investments that are likely to lead to substantial environmental and social risks gives iTAP cause for concern. Biofuel investments could lead to adverse climate results and create a reputational risk for the GCF. Therefore, iTAP considers that the funding proposal needs to exclude financing of biofuel projects with GCF proceeds.

30. Overall, iTAP rates the sustainable development impact potential of KawiSafi II as High.

1.5 Needs of the recipient

Scale: High

31. KawiSafi II requests investment from the GCF on the assumption that concessional funding is required to attract capital from private sector investors who may be risk adverse to Africa, to low-carbon sectors or to both.

32. The iTAP considers that there is a clear need for additional finance to support Africa’s low-carbon sectors, particularly early-stage risk capital that can fund the scaling up of the low-carbon energy ecosystem. The funding proposal effectively demonstrates that all 10 targeted countries continue to face persistent funding gaps regarding the need to crowd-in private capital in support of greener and more sustainable economies.

33. However, iTAP notes that the prioritized countries represent very different economic realities and considers that KawiSafi II will face a challenge in operating across 10 different economies each with their own conditions and needs. KawiSafi II will face real operational challenges in originating deal flow across such varied economies and having sufficient know-how to structure and manage a much more diverse portfolio than KawiSafi I.

34. In terms of the needs of the recipients, iTAP notes that some of the priority markets are starting to demonstrate improved conditions in attracting finance. It is clear that there remains a real need for additional funding sources, but iTAP also notes with concern that, over the long tenor (10 years + 2-year renewal) of KawiSafi II, there is a risk that GCF concessionality could contribute to market distortions in rapidly developing markets. This, coupled with the fact that other priority markets are tremendously underdeveloped, could potentially limit deal flow in those countries and increase pressure on KawiSafi II’s manager to deploy primarily in the quickly improving markets.

35. The funding proposal has features that mitigate the above-mentioned risk, particularly the cap on GCF funding (25 per cent), concentration limits and ultimately the overall expertise and experience of Acumen as reflected in its management of multiple funds in the region.

Cumulatively, Acumen has directly invested USD 149 million in 157 companies operating across 13 countries.

36. The iTAP also takes comfort from the waterfall structure and preferred return structure that appears to be reasonable and within the current expectations around blended finance. Under the waterfall structure, the GCF concessional fund only supports private sector capital. Additionally, the GCF will recover its equity investment prior to any distributions for the senior equity (private sector investors) preferred return. This mitigates the risk that the KawiSafi managers leverage GCF concessionality to provide a return to other investors in lieu of adequate portfolio performance. Additionally, the proposed preferred return for senior equity and for junior equity (GCF) come before any carried interest pay-out to managers. The ensuing fundraising efforts will clarify whether the above senior preferred return (and hurdle rate) suffices on a risk-adjusted basis to attract investors. However, absent a market sounding, iTAP considers that the senior rate is not overly subsidized by the junior equity.

37. Nevertheless, as a general observation (not limited to KawiSafi II) the GCF Secretariat could benefit from having a communication channel whereby other market participants can raise concerns around over-subsidization or market distortion impacts of GCF concessionality. Market intelligence can be a useful data point in ensuring that GCF concessionality is fit for purpose.

38. Overall, iTAP rates the sustainable development impact potential of KawiSafi II as High.

1.6 Country ownership

Scale: Medium-High

39. KawiSafi II is a global programme that will be implemented in 10 countries. To date, KawiSafi II has received six NOLs in support of this proposal (Côte d'Ivoire, Democratic Republic of the Congo, Nigeria, Rwanda, Uganda, and Zambia) and is in the process of securing NOLs with four others (Ghana, Kenya, Senegal, and South Africa). The GCF expects to receive the remaining NOLs before B.36.

40. The KawiSafi team is based in Nairobi, Kenya, and plays an active role in the impact and investment communities there and travels frequently throughout the region. Acumen's office includes local employees, which is important for understanding consumer needs and the cultural context.

41. KawiSafi II is intended to build on the geographical scope of KawiSafi I by having a pan-African focus (expanding from Kenya and Rwanda). According to the AE, this geographical footprint is informed by the ground-up process of investing in the KawiSafi I fund and from working with portfolio companies to scale them regionally. An indicative pipeline of USD 500 million for KawiSafi II has been identified, spread across most of the 10 priority countries.

42. The AE has provided credible information that each of its proposed investment sectors is aligned with the national mitigation and adaptation plans of the priority countries. In preparing the funding proposal for KawiSafi II, the KawiSafi team engaged public and private sector players across the focus countries to build relationships and ensure that the targeted interventions are aligned with individual country contexts. According to the stakeholder engagement plan provided with the funding proposal, the KawiSafi II team engaged in outreach to civil society organizations including travel to Côte d'Ivoire, Ghana, Kenya, Nigeria, Rwanda, and Senegal, as well as delivering online stakeholder webinars for each country.

43. The KawiSafi team has committed to have structured engagement with the national designated authorities (NDAs) in the countries of focus across the following different channels: (i) KawiSafi will provide quarterly reports to the NDAs with comprehensive information on the fund progress and activities within the countries; (2) KawiSafi will hold periodic one-to-one calls with the NDAs to present the fund's progress and insights, as well as to hear of the latest

government priorities in each country; and (3) the AE and the KawiSafi team will hold an annual learning event to bring all NDA representatives together as well as representatives from civil society organizations and gender experts and ministries for shared learning and cross-pollination of ideas, either at the GCF or at another location.

44. The iTAP considers that KawiSafi II is aligned with host country government priorities. The one area where iTAP would have preferred additional evidence is regarding the likelihood of raising capital from local markets, especially in target countries that have more developed financial markets such as Nigeria, Kenya, and South Africa. The iTAP would encourage capital raising from local investors and local government support as a strong indicator of country ownership. Overall, iTAP rates the country ownership of the funding proposal as Medium-High.

1.7 Efficiency and effectiveness

Scale: Medium-High

45. The AE is requesting that GCF invest USD 50 million of equity capital into a 10-year fund (plus up to two 1-year extensions, i.e. 12 years maximum). This vehicle, and GCF's anchoring investment, is intended to enable Acumen to raise additional capital from private sector investors who are interested in the same goals but have a lower risk appetite. The proposed fund structure will be tiered and will include a junior and senior equity layer: USD 40 million in GCF funding would be in the form of junior equity; the remaining USD 10 million would be in the senior equity layer. GCF participation is intended to be material in providing de-risking enhancements to attract capital from private institutional capital providers.

46. The junior equity is designed with two features: first loss protection (to manage downside risk); and a differential preferred return (to improve upside potential). The first loss protection absorbs any losses of KawiSafi II if the fund does not achieve positive returns. The differential preferred return allows the Senior A investors to receive distributions up to a higher preferred return before the junior equity participates in a lower preferred return, and then each would share in fund excess returns above the hurdle rate on a pro rata basis. The junior equity is intended to benefit only private investors in the Senior A tranche, not development finance investors. Concessional capital providers are expected to participate in a separate, Senior B, tranche.

47. KawiSafi II also expects to raise a USD 10 million TAF, which is designed to augment the activities of the equity fund. The funding proposal requests USD 2.5 million of GCF grant capital for the TAF. This implies that GCF's USD 2.5 million of grant capital could be leveraged on a 3:1 ratio in the TAF. The proposed USD 10 million TAF is 5 per cent of the target fund size of USD 200 million, which is in line with other similarly situated TAFs.

48. GCF concessionality is expected to leverage the overall KawiSafi II structure to attract additional capital at the fund level on a 4:1 ratio; however, the investments made from the fund will support company balance sheets to raise debt and support follow-on equity rounds. If successful, this would multiply the capital mobilization impact of GCF's investment along with commensurate social and climate impacts.

49. KawiSafi II will use its capital to make equity, quasi-equity and convertible debt investments in companies that can achieve the desired environmental and social impacts. The fund's 10-year horizon is designed to provide KawiSafi II's future portfolio companies several years to scale their businesses and impact. The KawiSafi II offer of early-stage equity capital and other similar financial arrangements can be impactful given the lack of equity finance in many African markets for low-carbon businesses. Lack of access to early-stage investment capital is a well-understood barrier to scaling up enterprises.

50. KawiSafi II is a for-profit fund. For-profit funds have much greater impact potential in growing markets than grant-based facilities or other less commercial models. The need to

generate a return (albeit a concessionally supported return) permeates through all aspects of capital provision from company selection to follow-on investment decisions, portfolio management and so on. This brings efficiency and effectiveness to investment decisions and mitigates against unproductive time and effort. Additionally, only by demonstrating a return model can GCF money materially affect the ability to mobilize additional funding into key geographies and sectors.

51. However, a for-profit fund only succeeds if the interests of the manager and investors are aligned. Fund managers that are perceived as profiting off management fees in lieu of a realistic carried interest will typically struggle to raise capital from truly commercial investors. In the case of KawiSafi II, a large percentage of raised capital will go to support management fees over the life of the fund. In part this is due to the long tenor of the fund and arguably the costliness of operating in the markets and sectors targeted by KawiSafi II. The iTAP considers that a reasonable argument can be made for the fee structure sought by Acumen. However, it considers that a better model for programmatic funds is for the GCF to provide flexibility on fees and allow fees to ultimately be determined by follow-on private sector investors.

52. Broadly, iTAP views positively the cap of 25 per cent of GCF funding in KawiSafi II and the links between total GCF commitment and the actual amounts of private sector funding raised. The funding proposal envisions a subscription agreement that ties GCF funding to a calculation based on co-financing subscribed at closing. The 24-month fundraising period is also regarded as reasonable and the GCF veto rights on extensions as preferable. These conditions add to the overall efficiency of the approach. The iTAP generally encourages the GCF Secretariat to avoid fund models where GCF funds are contributed in their entirety at closing without any linkage to actual third-party funds raised. As noted above, it is difficult for the GCF Secretariat to accurately assess the likelihood of follow-on private sector investment. It is best practice to place a reasonable onus on the fund sponsor to deliver on what it promises through limits on the percentage of GCF participation, drawdown approaches, short capital raise windows with GCF veto rights and so on.

53. The iTAP also views favourably the fact that both the AE and the fund manager are contributing to the fund. This is standard in private sector funds and, if not present, is often a red flag for follow-on investors.

54. Further, iTAP views favourably the fact that GCF funding is structured in such a way that it would only be catalysing investment by private capital and does not involve other public or quasi-public entities such as development finance institutions that may eventually participate in KawiSafi II. Private sector downside protection and return enhancement is reasonable, given the risk profile offered by the underlying KawiSafi II investments (exacerbated by the perception of higher risk in emerging markets, particularly Africa).

55. The iTAP notes positively that KawiSafi II emphasizes its focus on collaboration in its investment sectors, seeking to serve as lead investor and attracting co-investors to contribute further funding. This is an important feature for mitigating against market distortions and using GCF concessionality to enhance the entire market ecosystem without diluting the return-seeking imperative. Oversight by the GCF Secretariat should seek to supervise how the KawiSafi II team is acting as market makers and not just passive market takers. The iTAP also appreciates that Acumen has demonstrated a track record in leading deals in its initial fund (KawiSafi I). According to the funding proposal, KawiSafi's investments helped to attract nearly 14 times the initial amount in further equity and debt into the investee companies.

56. An important feature of private equity and venture capital funds is that they typically provide more than just funding. Successful funds contribute both money and direct management support, often through active board engagement but in some cases even at the management team appointment level. This hands-on engagement is important to both investee companies who can access new information and networks and to fund investors that are

effectively paying for this type of direct management to protect and enhance their underlying investments.

57. Acumen intends to be actively engaged with its portfolio companies by sitting on boards and otherwise being actively involved in the oversight and management of its investments. This approach has worked reasonably well in KawiSafi I, with the core fund management team being able to actively engage and leverage their experience in scaling enterprises. The iTAP has some concern that the demands of a much larger KawiSafi II fund (across many more countries) plus continuing obligations in KawiSafi I will stretch the team and dilute their value. This could be addressed by additional hiring but, from an assessment standpoint, iTAP cannot have the same degree of comfort around unknown future managers compared with tested identified managers.

58. Overall, iTAP rates the efficiency and effectiveness potential of KawiSafi II as Medium-High.

II. Overall remarks from the independent Technical Advisory Panel

59. Overall, this funding proposal has the potential to generate climate impact benefits as well as broader sustainable development benefits for the target countries through early-stage investment in low-carbon businesses. The iTAP endorses this funding proposal with the following conditions:

- (a) Conditions to be met prior to the effectiveness of the funded activity agreement for KawiSafi II ("**FAA**"):
 - (i) Delivery by the Accredited Entity to GCF, in a form and substance satisfactory to the GCF Secretariat, of:
 - 1. an enhanced assessment methodology framework to calculate the GHG emissions impact of potential investments into biofuels projects, which shall incorporate an approach to calculate the potential direct and indirect GHG emissions impacts of individual biofuels projects over their extended life cycle (the "**Framework**"); and
 - 2. eligibility criteria for investments into biofuels projects, based on the results of the application of the Framework at the appraisal stage (the "**EC**"); and
 - (ii) Inclusion in the limited partnership agreement for KawiSafi II of an appropriate provision requiring the general partner and manager of the fund to:
 - 1. apply the Framework when appraising potential investments into biofuels projects
 - 2. in relation to potential investments into biofuels projects, invest only in biofuels projects that meet the EC; and
 - 3. in relation to investments in biofuels projects, as applicable, engage an independent third party to conduct an extended life cycle reviews of the the potential direct and indirect GHG emissions impacts of each such project using the approach set out in the Framework, and make the report of the review available to GCF in a prompt manner; and
- (b) Inclusion of the following covenants in the FAA:
 - (i) The AE shall ensure that the general partner and the manager:
 - 1. apply the Framework when appraising potential investments into biofuels projects;

2. in relation to potential investments into biofuels projects, invest only in biofuels projects that meet the EC; and
3. in relation to investments in biofuels projects, as applicable, engage an independent third party to conduct extended life cycle reviews of the potential direct and indirect GHG emissions impacts of each such projects using the approach set out in the Framework, and make the report available to GCF in a prompt manner.

60. Biofuel projects in their majority result in additional GHG emissions compared to the baseline plus resulting in environmental and socio-economic problems. Absent the inclusion of adequate methodologies to determine the direct and indirect GHG impacts of biofuels the risks from biofuel projects are too high.

61. Beyond the above conditions, iTAP has also identified certain challenges that KawiSafi II will face; however, iTAP has identified sufficient capacity and planning on the part of Acumen to address these challenges.

Reply to the Independent Technical Advisory Panel assessment findings

Proposal name: KawiSafi II

Accredited entity: Acumen Fund, Inc.

Impact potential
Acumen notes the iTAP's positive review that the overall impact potential is a medium rating based on the potential of early-stage equity investments in stimulating climate-friendly technologies, building local capacity, and fostering economic development in emerging markets. Acumen acknowledges that the mitigation impacts are clearer and easier to track and the project will need to work hard to track and report on the adaptation impacts as well.
Paradigm shift potential
Acumen notes the iTAP's positive review that the overall paradigm shift potential is a medium rating provided KawiSafi II can demonstrate impactful investments and attract new actors to the sector. Acumen acknowledges the importance of raising capital from mainstream investors, the need for larger capital deployment, and the ability to achieve commercial outcomes that matter to prospective investors.
Sustainable development potential
Acumen notes the iTAP's positive review that the overall sustainable development potential is a high rating and that KawiSafi II presents a credible pathway for sustainable development impacts, with a focus on African markets that are particularly vulnerable to climate impacts. Acumen acknowledges the concerns about the inclusion of biofuels investments, which could carry risks and could lead to adverse climate results.
Needs of the recipient
Acumen notes the iTAP's positive review that the alignment with needs of the recipient of the funding is a high rating with the understanding that concessional funding is necessary to attract private sector investors who may be hesitant to invest in Africa or low-carbon sectors. The funding proposal effectively demonstrates the need for additional finance in Africa's low-carbon sectors, but operating across 10 different economies poses operational challenges.
Country ownership
Acumen notes the iTAP's positive review of country ownership with a medium-high rating on the basis that the program's geographical scope has expanded from Kenya and Rwanda to include a pan-African focus, and the proposed investments are aligned with the national mitigation and adaptation plans of the priority countries.
Efficiency and effectiveness

Acumen notes the iTAP's positive review of efficiency and effectiveness with a medium-high rating.

Overall remarks from the independent Technical Advisory Panel:

Acumen notes the overall positive remarks from the iTAP on this Programme. Acumen also notes with thanks the positive recommendation from iTAP to the GCF Board, in particular that the Board support and approve the Programme as proposed.

In the case of the condition, we understand the concerns raised by iTAP with regards to the possible negative effects of biofuels. However, we also see the positive impact potential of biofuels, for example, in the case of decentralized/distributed production such as small-scale biodigesters used as a farm waste management solution by smallholder farmers (which we believe is inherently different to large-scale, plantation-based biofuels production). We look forward to working with the Secretariat to develop the framework and criteria referenced in the condition.



KawiSafi Fund II: Annex 8

Gender Assessment and Gender and Social Inclusion Action Plan

As of June 15, 2023, we received 7 compliant NOLs from Cote d'Ivoire, Democratic Republic of Congo (DRC), Kenya, Nigeria, Rwanda, Uganda, and Zambia. The Accredited Entity is in advanced discussions with several other countries, including (without limitation) Ghana, Kenya, Senegal, South Africa. These countries all expressed significant interest in the project but haven't been able to complete their internal sign-off processes for various reasons.

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Image: RMU Solar Farm, installed by Redavia

Part I: Introduction

The KawiSafi Fund II is an ambitious \$200 million venture equity Fund intending to utilise a blended finance structure to unlock private sector climate investment into emerging markets. **The Fund will focus on 10 countries across the African continent namely: Kenya, DRC, Uganda, Rwanda, Ghana,¹ Nigeria, South Africa,² Côte d'Ivoire, Senegal,³ and Zambia** and seek to address the existing barriers of allocation of sufficient climate finance to scale the deployment of low carbon technologies across the African continent.

The Fund will seek to address gender barriers at three levels discussed further below.

- I. Barrier 1: Closing the Financing gap that exists in investing in women led/ founded enterprises;
- II. Barrier 2: Increasing participation and representation of women across the three areas of focus: 1) energy transition; 2) energy productivity; and 3) electric mobility; and
- III. Barrier 3: Increasing adaptive capacity of women to climate change across the countries of focus.

¹ Where Ghana is mentioned in the Funding Proposal, its inclusion is pending the receipt of a compliant NOL and approval of the Board of GCF.

² Where South Africa is mentioned in the Funding Proposal, its inclusion is pending the receipt of a compliant NOL and approval of the Board of GCF.

³ Where Senegal is mentioned in the Funding Proposal, its inclusion is pending the receipt of a compliant NOL and approval of the Board of GCF.

Barrier 1: Financing Gap in Investing in Women

There have been many recent advances on women's empowerment in Africa, including many changes in laws to promote equal rights for women, however, Africa still lags other regions on progress toward gender equality.

- According to McKinsey, even for the women in formal employment in Africa, there is a significant drop of ~50% of the share of women in entry-level positions to those in top leadership roles⁴.
- The share of firms with women as top managers in Sub-Saharan Africa has been reported to be as low as 16%.⁵
- The funding landscape mirrors this reality. It is estimated that only 7% of emerging market venture capital goes to women-owned businesses. Female founders are underrepresented in the sectors that attract the most financing, moreover research indicates that all-female teams remain less likely to receive financing than all-male teams, and they receive smaller amounts if they do (all-male founding teams receive US\$25 for each US\$1 going to all-female teams).⁶

The missed opportunity of not investing in women**Barrier 2: Increasing participation and representation of women in the renewable energy industry with a focus on 1) energy transition; 2) energy productivity; and 3) electric mobility.**

- The solar value chain is generating thousands of employment opportunities in emerging markets, specifically driven by the off-grid energy segment. GOGLA estimated that the sector supported ~370,000 Full time equivalent (FTE) jobs across East, West and Central Africa, and across South Asia with over 50% of these jobs in sales and distribution. This is expected to grow to ~over 1 million jobs.⁷
- While data on female representation in the African renewable energy sector is not available, IRENA estimated 32% women's employment including both grid-connected and off-grid renewable energy globally.⁸ This is expected to be even less at senior levels. Studies conducted in Uganda⁹ indicate that women in the Off Grid Solar (OGS) industry are represented in sales and distribution and as microentrepreneurs, and less as technicians/maintenance,

⁴ McKinsey (2019) [The Power of Parity: Advancing women's equality in Africa](#)

⁵ Fin Dev Canada (2022) <https://www.findevcanada.ca/en/what-we-do/gender-lens-investing>

⁶ GIIN (2022) [Navigating Impact: Increasing Venture Capital to Women-led Businesses](#); World bank Blogs (2021) [As African Venture Capital Booms, Are Female Founders Losing Out?](#) Link; Credit Suisse (2021) CSRI 2021 Gender 3000

⁷ GOGLA (2019) [Off Grid Solar: A growth engine for Jobs](#)

⁸ IRENA (2019) [Renewable Energy: A Gender Perspective](#)

⁹ Africa Clean Energy TAF (2021) [Women in Solar Energy: Managerial, Operational and Artisanal](#)



Gender Assessment and Gender and Social Inclusion Action Plan

artisans/manufacturers, or owners of energy firms. Women are therefore located more in the lower ranks of the OGS value chain that is less capital intensive.

- World Bank Enterprise Surveys¹⁰ also indicate that across all East African countries:
 - % of off-grid solar firms with majority female ownership were less than 10%, with Rwanda being at 13%.
 - % of firms with a woman as a top manager were between 10 and 20%
 - % of permanent full time female workers in OGS companies were between 23% (South Sudan) to 44% in Tanzania.

NOTE: While the Fund will work in segments beyond the off-grid solar segment, we expect that the gender disparities highlighted here from the off-grid solar sector are representative of these more nascent segments.
- Increasing representation of women in the renewable energy supply chain, including as entrepreneurs is critical. *“Evidence has shown that women entrepreneurs in the solar value chain have contributed to **challenging social norms and stereotypes of women’s roles due to their active participation outside of the domestic sphere and as owners of businesses.** Women solar technicians have also challenged the assumption that these roles are the preserve of men. The visibility of women in this male dominated value chain has enabled some women to **enter leadership positions at community level and increased incomes have shifted household power dynamics and influence over key household decisions**”¹¹.*

Key barriers to female participation in renewable energy globally include:

- Gender norms leading to low female participation in STEM fields as well as in renewable energy roles.
- Systematic unconscious biases and explicit discrimination in hiring for positions traditionally perceived as being more suitable to men.
- Poor company policies, leading to low female retention at energy service companies.
- Limited access to financing due to lower awareness, and unequal asset ownership.
- Lack of skills and awareness.
 - Self-perception.

Barrier 3: Increasing the adaptive capacity of women to climate change across the countries of focus.

- Climate change presents significant challenges to socio-economic development, especially for countries in sub-Saharan Africa where the majority of the economies depend on climate-sensitive sectors, including agriculture and forestry. Climate change is also expected to worsen existing poverty and exacerbate inequalities, especially for those disadvantaged by gender, age, and disability. It is widely acknowledged that women are more vulnerable to the devastating effects of climate change due largely to their limited access and control over productive and economic assets and resources that could help them to address the threats posed by climate change.
- Gender inequalities remain among the deepest and most pervasive of all forms of inequalities. The Intergovernmental Panel on Climate Change identifies gender as one of the socio-economic factors that influence the capacity to adapt to changing environmental and economic conditions. Nonetheless, women are not just helpless victims but powerful agents of change,

¹⁰ World Bank (2018) Enterprise Survey 2018

¹¹ John Hopkins University, Babson College & ICRW (2019). Women’s energy entrepreneurship: A guiding framework and systematic literature review



with critical local knowledge and livelihood strategies useful for the management of climate risks.

Part II: Gender Assessment

- To better understand these barriers across each country of focus, the KawiSafi team conducted a comprehensive gender assessment to understand the roles, rights, needs, and opportunities of women and men across all geographies of operation. This included a combination of desktop research, feedback received through the stakeholder consultation process (in person or through online webinars) and learnings from KawiSafi Fund I that invested in the distributed renewable energy sector across multiple countries but with a focus on East Africa (Kenya and Rwanda).
- The gender assessment was important to highlight the potential disparities in the vulnerabilities of men and women and how this is likely to be impacted/ worsened by the effects of climate change. This information, among other criteria, will be used in the design and evaluation of potential interventions and assessment of impacts generated at the beneficiary level.
- The assessment reviewed the Social Institutions and Gender Index (SIGI), Gender Inequality composite indices as well as other country specific indicators. These are highlighted below:

Social Institutions and Gender Index (SIGI)¹²: The OECD Development Centre's Social Institutions and Gender Index (SIGI) is a cross-country measure of discrimination against women in social institutions (formal and informal laws, social norms, and practices) across 180 countries. The SIGI covers four dimensions of discriminatory social institutions, spanning major socio-economic areas that affect women's lives:

- I. Discrimination in the family;
- II. Restricted physical integrity;
- III. Restricted access to productive and financial resources; and
- IV. Restricted civil liberties.

- The SIGI's variables quantify discriminatory social institutions such as unequal inheritance rights, child marriage, violence against women, and unequal land and property rights.
- As highlighted below, the countries that KawiSafi Fund II intends to invest in are **ranked between 22 and 46 on the SIGI**. In these countries, in general, labour force participation rate is lower for women than for men. Discriminatory social norms that confine women to reproductive and care roles are among the leading causes of this difference.
- In addition, biased perceptions of women's abilities and discriminatory educational norms tend to prevent women from accessing decent work and confine them to specific sectors of the economy. Biases related to boys' and girls' abilities shape educational choices – regarding science, technology, engineering, and mathematics (STEM) fields – and thus accentuate gender-based segregation in the labour force. Furthermore, discriminatory social norms and biases related to women's access to markets, finance, training, and networks also hamper women's entrepreneurship in these countries.

¹² [Source: OECD SIGI INDEX 2019](#)



KawiSafi Fund II: Annex 8

Gender Assessment and Gender and Social Inclusion Action Plan

Table 1: Social Institutions and Gender Index (SIGI) by country

Country	Social Institutions and Gender Index 2019	Discrimination in the family	Restricted physical integrity	Restricted access to productive and financial resources	Restricted civil liberties
DRC	39.5	53	35.1	46.4	20.7
Côte d'Ivoire	42.8	29.7	35.6	76.1	20.4
Ghana	34.5	59.5	20.2	30.7	22.7
Kenya	35.5	50.5	28.9	42.2	17.2
Nigeria	46	54.8	32	41.4	53.9
Rwanda	27.6	38	21.4	26.5	23.5
Senegal	37	64.9	41.9	27.6	3.6
South Africa	22.4	33.2	15.1	19.6	21
Uganda	45.1	54	34.3	61.4	26.6
Zambia	34.8	40.7	27.6	28.2	41.8

Gender Inequality Index (GII)¹³: GII is a composite metric of gender inequality. A low GII value indicates low inequality between women and men, and vice-versa. GII reflects gender-based disadvantage in three dimensions— reproductive health, empowerment, and the labour market. It shows the loss in potential human development due to inequality between female and male achievements in these dimensions. It ranges from 0, where women and men fare equally, to 1, where one gender fares as poorly as possible in all measured dimensions. The rankings of the countries covered by KawiSafi Fund II are highlighted below:

Table 2: Gender Inequality Index (GII) by country

		SDG 3.1		SDG 3.7	SDG 5.5	SDG 4.4				
		Gender Inequality Index		Maternal mortality ratio	Adolescent birth rate	Share of seats in parliament	Population with at least some secondary education		Labour force participation rate	
		Value	Rank	(deaths per 100,000 live births)	(births per 1,000 women ages 15–19)	(% held by women)	(% ages 25 and older)		(% ages 15 and older)	
HDI rank	Country						Female	Male	Female	Male
109	South Africa	0.405	97	2017	2021	2021	2021	2021	2021	2021
133	Ghana	0.529	130	119	61.2	46.0	68.9	87.7	46.2	59.9
152	Kenya	0.506	128	308	64.2	14.5	58.0	73.2	64.5	72.2
154	Zambia	0.540	138	342	64.2	23.2	31.1	37.7	71.0	75.6
159	Côte d'Ivoire	0.613	155	213	117.0	15.1	47.1	56.8	69.2	77.8
163	Nigeria	0.680	168	617	105.0	15.6	23.9 ^d	32.2 ^d	45.9	64.9
165	Rwanda	0.388	93	917	101.7	4.5	40.4	55.3	47.9	59.6
166	Uganda	0.530	131	248	32.4	55.7	11.4	16.3	82.5	82.2
170	Senegal	0.530	131	375	107.9	33.8	29.3	36.3	64.2	71.3
179	DRC	0.601	151	315	66.5	43.0	11.1	30.9	33.5	56.7
				473	109.0	14.3	40.3	69.1	61.2	69.1

Country Profiles

As highlighted in the introduction, the ten countries of focus are at different levels of maturity with regard to gender equality. The KawiSafi team mapped the countries into two: **Clusters A and B** depending on the maturity level. The team will tailor the approach to project roll out based on these clusters as highlighted below.

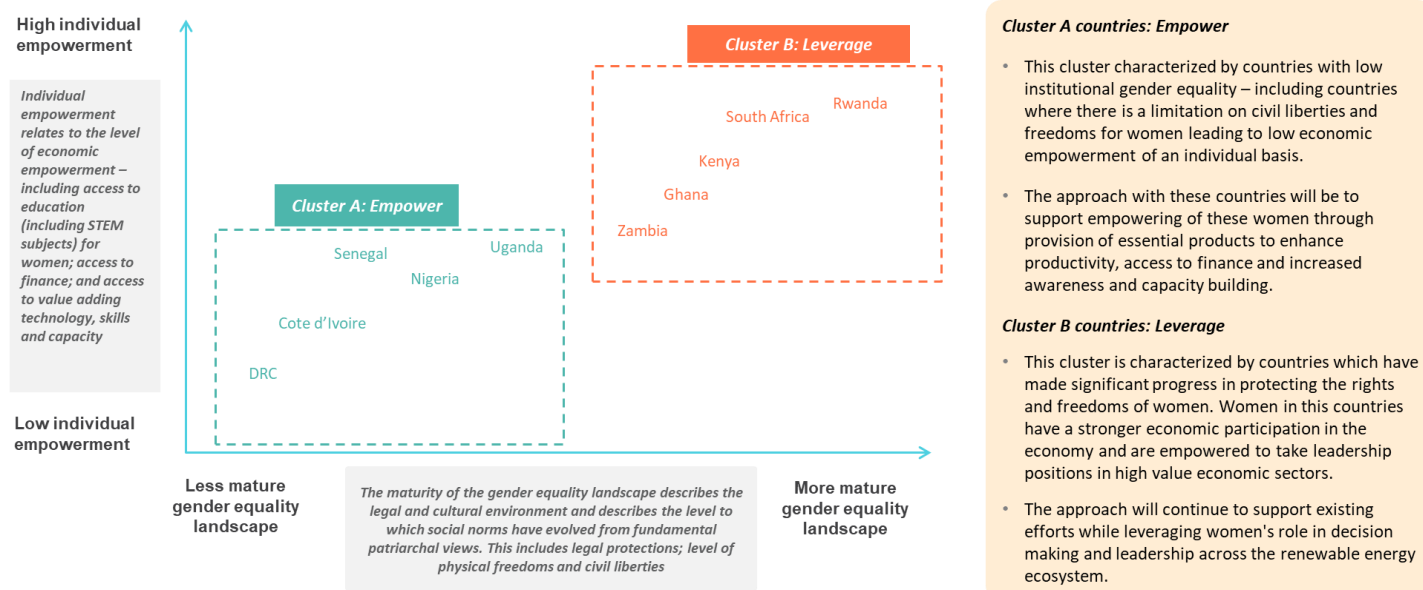
¹³ Source: UNDP Human Development Reports 2021



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KawiSafi Fund II activities will look to empower women in countries with low gender equality (Cluster A countries) and leverage the gains made in geographies that continue to prioritize gender equality and representation (Cluster B countries).



Cluster A Countries: Rwanda, South Africa, Kenya, Ghana and Zambia

1. Rwanda¹⁴

- Rwanda is a small but growing market, with a population of ~13 million people and a Gross Domestic Product (GDP, Current) of \$10.1 billion, according to the World Bank. Before the COVID-19 pandemic, Rwanda enjoyed strong economic growth, averaging over seven percent GDP growth annually over the last two decades. The Rwandan economy grew more than nine percent in 2019 thanks to strong growth in industry, construction, services, and agriculture.

Country Statistics

 Rwanda gender statistics	
Population	13M
Poverty rate	55%
Social Institutions and Gender Index (SIGI)	27.6
Gender Inequality Index	0.388

¹⁴ UN Women [Rwanda Factsheet](#); UNDP [Human Development Reports 2021](#); [OECD SIGI INDEX 2019](#); [AfDB Gender Databook 2019](#); World bank ILO data portal; USAID East Africa gender Factsheet



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Maternal Mortality rate (deaths per 100,000 live births)	248	
Adolescent birth rate (births per 1,000 women ages 15–19)	32.4	
Infant mortality rate (deaths per 1,000 live births)	22.6	
	Female	Male
Adult literacy rate (population with secondary ed.)	11.4	16.3
Labour force participation rate (% ages 15 and older)	82.5	82.2
Political participation rate (% women holding share of seats in parliament)	55.7	44.3
Life expectancy	72	67

- Rwanda stands out globally for its efforts in advancing gender equality and women's empowerment, particularly in labour force and political participation. Nearly two thirds of its parliamentary seats and 52 per cent of cabinet positions are held by women. Significant progress has also been made in many sectors.
- Rwanda's achievements include the decline of maternal mortality rates arising from women's improved access to quality and affordable health care. Globally, Rwanda is leading the HeForShe Campaign with over 200,000 signatories and three commitments bridging the gender digital divide by 2020, triple girls' enrolment in TVET and eradicate Gender-Based Violence. More recently, the country took the lead on the Generation Equality Action Coalition Technology and Innovation for Gender Equality and committed to closing the digital gender divide by 2026.
- Rwanda's impressive results are due to strong political commitment and institutional level accountability for Generation Equality. The government institutions that make up the National Gender Machinery: The Ministry of Gender and Family Promotion (MIGEPROF), the Gender Monitoring Office (GMO), the National Women's Council (NWC) and the Rwanda Women Parliamentary Forum (FFRP) constitute a uniquely strong and effective mechanism for mainstreaming and monitoring of gender equality.
- Rwanda is a signatory of several gender-related international conventions, including the Convention on the Elimination of All Forms of Discrimination against Women (CEDAW), the Beijing Declaration and Platform for Action, and the African Union Protocol on the Rights of Women in Africa. The country has also adopted a number of gender-related policies and strategies, including the National Gender Policy, the National Gender and Family Promotion Strategy, and the National Gender-Based Violence Prevention and Response Strategy.
- Gender-based violence (GBV) is a significant problem in Rwanda. According to a 2018 survey by the National Institute of Statistics of Rwanda, domestic violence is a major form of GBV in Rwanda. With more than half of women in Rwanda having experienced physical violence from an intimate partner. Forced marriage is another form of GBV in Rwanda. Although child marriage has declined in recent years, it remains a significant problem. According to the United Nations Children's Fund (UNICEF), 4% of girls in Rwanda are married before the age of 15, and 22% are married before the age of 18. Forced marriage can have serious consequences for girls' health, education, and well-being, and can perpetuate cycles of poverty and gender inequality. Female genital mutilation/cutting (FGM/C) is also a form of GBV in Rwanda, although the prevalence is



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relatively low compared to other countries in the region. According to the UNICEF, approximately 3% of girls and women in Rwanda have undergone FGM/C. The practice is illegal in Rwanda, and efforts to eliminate it have been successful in many areas. However, FGM/C is still practiced in some communities, particularly in rural areas. Finally, human trafficking is a form of GBV that affects both men and women in Rwanda. Rwanda is a source, transit, and destination country for trafficking in persons, particularly for labour and sexual exploitation. Many victims of trafficking are young women and girls who are lured with promises of employment or education, only to be exploited and abused.

- Rwanda has adopted the following laws that criminalize and are intended to deter sexual harassment and gender-based violence in the workplace: Criminal: Law on Prevention and Punishment of Gender-Based Violence, Art. 24; Organic Law Instituting the Penal Code, Art. 20, Civil: Law on Prevention and Punishment of Gender-Based Violence, Arts. 24 and 38.

Political participation

- As highlighted above, Rwanda has done particularly well in increasing female political participation and is reported to have a female majority in Parliament, with 61.4% in the Chamber of Deputies and 26 female members in the Senate, ~36% in the Senate, as per 2021 reports.
- Article 10 of the Constitution of Rwanda states, The State of Rwanda commits itself to upholding the following fundamental principles and ensuring their respect: building a State governed by the rule of law, a pluralistic democratic Government, equality of all Rwandans and between men and women which is affirmed by women occupying at least thirty percent (30%) of positions in decision-making organs. In 2008, Rwanda elected the world's first women-dominated legislature. Women also got one-third of all cabinet positions as well as the important posts of Supreme Court Chief Justice and Speaker of Parliament. Women initially held 39 out of 80 seats (48.75%) in 2003. They got 56% seats in 2008; 63% in 2013 and 61% in the 2018 election, even though reserved seats for women were 30% as per the constitution¹⁵.

Labour force participation

	Female
Labour force participation rate (% ages 15 and older)	84.2%
Employees, agriculture (% of female employment)	76.7%
Employees, industry (% of female employment)	3%
Employment in services (% of female employment)	20.4%
Self-employed (% of females employed)	78.3%
Employers (% of female employment)	0.1%
Vulnerable employment (2000-2016) (% of female adult population)	78.2%
Employment rate in the informal economy (% of female adult population)	67.8%
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager*	n/a

¹⁵ IDEA, Institute of democracy and electoral assistance: Accessed <https://www.idea.int/data-tools/data/gender-quotas/country-view/255/35> in February 2023



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Managers, professional and technicians (% female)*	n/a
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- Rwanda has a population of 13.28M, with a female labour participation of 84% (2019). The country has a maternal mortality ratio of 248 deaths/100,000 live births (2021). The population with at least some secondary education (age 25 and older) was extremely low at 11% for women and 16% for men.
- Most of the employment is in agriculture and services, constituting 77% and 20% of the population in employment respectively.
- 78% of women are self-employed with over 78% of the female population estimated to be in vulnerable employment which is defined as contributing family workers and own-account workers as a percentage of total employment.
- While Rwanda ranks high on the Gender Gap Report and reports high levels of labour force participation, men are more likely to have wage employment. In fact, a substantial percentage of women work without pay. Men are more likely than women to work in the formal and the informal sector where earnings are relatively high, and benefits are structured. Women's concentration in unpaid family work suggests that cultural norms about unpaid care or domestic responsibilities play an important role in labour market decisions. Consequently, even if more wage employment becomes available, women's access to such jobs may not be equal to men.

Access to financial resources/knowledge and skills/other

- Rwanda has made noteworthy progress towards increasing women's financial inclusion and closing gender data gaps. According to a 2016 FinScope survey¹⁶ 86% of women have access to formal or informal financial products and services, as compared to 90% of men. Of the 86% of women who have access to financial products and services, 63% are formally served through commercial banks 60% with products or services from non-commercial financial institutions such as SACCOs and mobile money while 71% are informally served (mainly driven by the growth of informal savings groups). This falls short of the target of 80% formal financial inclusion for women. By comparison, 74% of men were found to have access to formal financial products and services; 28.5% of men use commercial banks, while 71% are served by formal non-bank institutions. The 2016 FinScope also revealed that a higher proportion of women (24%) than men (17%) relied exclusively on informal mechanisms for banking. There is also a significant gender gap in mobile money account ownership (46% of men versus 33% of women).¹⁷
- The 2016 FinScope observed only a slight difference in savings rates with 16% of women not saving at all, as compared to 13% of men, and while women and men saved for similar reasons (to cover living expenses during times of hardship), women were more likely to save using informal savings groups. Additionally, women were more likely to borrow from informal groups or

¹⁶ Access to Finance Rwanda, 2016. "FinScope Insights: Women and Financial Inclusion in Rwanda: Promoting greater financial inclusion of women in Rwanda."

¹⁷ Data accessed here <https://data2x.org/wp-content/uploads/2019/09/WFID-Rwanda-Case-Study-v14-digital.pdf>



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friends and family, rather than through a commercial bank. The 2016 FinScope showed that women's access to formal finance had increased significantly between 2012 (36%) and 2016 (63%).

- Rwanda has significantly promoted STEM education across all levels of study. For example, in 2019, Rwanda introduced the newly developed education curriculum referred to as the "New Competence-Based Curriculum" for pre-primary up to upper secondary education. This new curriculum underpins building a knowledge-based and technology-led economy through well-adjusted STEM and Information, and Communication Technology (ICT) led education.¹⁸ However, despite gender parity at primary level in Rwanda, girls are consistently underrepresented in STEM subjects at upper secondary and tertiary levels. Any type of underrepresentation inevitably leads to missed opportunities and the loss of mathematical talent – at both an individual and national level. The causes of such underrepresentation are rooted in social norms, whereby mathematics and science are too often believed to be the domain of men and boys. This leads not only to an all-too-frequent lack of female role models in STEM – especially in school settings – but also negative stereotypes around girls' mathematical abilities, and lower levels of confidence among girls than among boys of similar attainment levels. It can also contribute to unconscious biases among teachers and school leaders, meaning that girls do not receive the encouragement they need to pursue these subject areas.

Barriers facing women headed households, youth, the elderly and other traditionally marginalized groups in Rwanda

- Female headed households, Youth, elderly people, and other traditionally marginalized groups in Rwanda face several barriers in accessing energy and mobility. In Rwanda's case, the legacy of the 1994 genocide resulted in a significant number of female-headed households and orphaned children. Limited financial resources and lack of access to credit are significant barriers that prevent these groups from purchasing energy-efficient technologies and vehicles. Inadequate infrastructure, particularly in rural areas, limits their mobility and access to markets, healthcare, and education. In addition, limited access to information and education on available technologies and transportation options hinders their ability to make informed decisions.
- Cultural norms and societal expectations often limit women's access to mobility and energy decision-making. There is a need to address these barriers through targeted policies and programs that increase access to affordable energy and transportation options, promote financial inclusion, and provide education and information to marginalized groups.

Women in energy in Rwanda

- Rwanda is a country that has made significant progress in promoting gender equity in the renewable energy sector. According to a report by the International Renewable Energy Agency (IRENA), women make up 32% of the country's total renewable energy workforce, which is significantly higher than the global average of 22%. One of the reasons for this high percentage is the government's efforts to promote gender equity in the energy sector. In 2019, the Ministry of Gender and Family Promotion, in collaboration with the Energy Development Corporation Limited (EDCL), launched the Women in Energy Program. The program seeks to promote the participation of women in the renewable energy sector through training, mentorship, and access to finance. Another effort to promote gender equity in the renewable energy sector is the establishment of the Rwanda Energy Group (REG) Women's Network. The network was formed in 2016 to support women's career development in the energy sector and to promote gender equality in the

¹⁸ <https://www.nepad.org/blog/rwanda-model-improving-stem-education-curricula-africa>



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workplace. The network provides mentorship, training, and networking opportunities for women in the energy sector.

- The utility company, the Rwanda Energy Group (REG), is actively developing a gender mainstreaming programme to increase the percentage of female staff. REG has a gender expert and gender focal points and plans to establish an all-female workforce for the power plant at the new Nyabarongo facility outside Kigali.
- While private sector data is not available, reports¹⁹ indicate that challenges still remain in mainstreaming gender in the energy sector:
 - I. The high cost of energy results in poor access to an energy supply and a lack of energy security. As indicated above, a lack of affordable energy access increases gender inequalities.
 - II. Inadequate disaggregated data: data is lacking on gender and energy in general. For example, there are gaps when it comes to information on supply, access, affordability, decision-making, areas for entrepreneurship opportunities and new technologies.
 - III. Limited capacity and resources: energy-related institutions are ill-equipped to effectively analyse the gender needs for the sector and generate sufficient data.

Women in energy productivity in Rwanda²⁰

- The Productive Use of Energy (PUE) sector in Rwanda includes activities such as agriculture, agro-processing, and other income-generating activities that rely on access to energy. It also covers technology that enables green manufacturing and green last mile connectivity. While women play a critical role in these sectors, they often face significant barriers to accessing energy and participating fully in these economic activities.
- According to a report by the International Finance Corporation, women in Rwanda are less likely to have access to energy services than men, with only 21% of women having access to electricity compared to 34% of men. This is due to a number of factors, including limited financial resources, lack of education and awareness, and cultural norms that limit women's mobility and ability to participate in decision-making. This lack of access to electricity limits women's ability to engage in income-generating activities that require energy, such as agro-processing, and can also impact their health and well-being. Additionally, women often have limited control over energy resources and decision-making processes related to their use, which can further constrain their participation in the productive use of energy sector.
- To address these challenges, the Rwandan government has implemented a range of policies and programs aimed at promoting gender equity in the PUE sector. These efforts include the National Gender Policy, which emphasizes the importance of gender equity in all sectors, as well as the National Gender Machinery, which is responsible for coordinating gender mainstreaming efforts across government ministries. In addition, the government has implemented programs such as

¹⁹ Gihana, D., Kooijman, A. (2020), Gender and Energy Country Briefs - Rwanda, ENERGIA

²⁰ Government of Rwanda. (2011). National Gender Policy; Government of Rwanda. (2013). National Gender Machinery Strategic Plan 2013-2018; Ministry of Infrastructure Rwanda. (2015). Electricity Access Rollout Program - Phase II. UNDP Rwanda. (2021). Women's Economic Empowerment. World Bank. (2019). Rwanda Gender Diagnostic Note: Addressing Gender Equality and Women's Empowerment for Inclusive Growth.



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the Electricity Access Rollout Program and the Energy 4 Impact project, which aim to increase access to energy in rural areas and promote gender equity in the energy sector.

Women in mobility in Rwanda

- In Rwanda, gender equity in the mobility and logistics sectors has been a priority for the government. However, women continue to face significant barriers and discrimination in accessing these sectors. According to a report by the International Trade Centre (ITC),²¹ women face challenges such as lack of access to finance, limited access to networks and information, cultural biases, and inadequate skills and training with women occupying only 11% of jobs in the transport and logistics industry in Rwanda. Moreover, women's participation in these sectors is often concentrated in lower-paying and less skilled jobs, such as sales and customer service roles. Women are also underrepresented in leadership and decision-making positions.
- According to a report by the World Bank,²² women in Rwanda are less likely to own and use motorcycles for transportation compared to men. This is largely due to socio-cultural norms and beliefs that prevent women from using certain modes of transportation. Women also face challenges in accessing finance to purchase motorcycles and in obtaining driving licences. In terms of the two-wheeler motorcycle transport industry in Rwanda, there are few women who own and operate motorcycle taxis. According to a study by the African Development Bank, women account for only 1% of motorcycle taxi operators in Rwanda. This is largely due to perceptions that motorcycle taxi driving is dangerous and not suitable for women.
- The root causes of these gender gaps are multifaceted and include cultural norms and biases that limit women's mobility and career opportunities, lack of access to education and training, and limited access to financing and networks.

Vulnerability to Climate change and needs of the beneficiaries.

- The high % of women in vulnerable employment in Rwanda and the low levels of secondary and tertiary education, coupled with significant reliance on the agricultural sector for most women means that women in Rwanda are likely to be disproportionately affected by the impacts of climate change and have lower adaptive capacity to climate events or hazards.
- Although data on gender and energy are still scarce, recent studies in Rwanda have provided some initial reports. The Government of Rwanda, through its Gender Monitoring Office, has compiled available data in the 'Gender Profile in the Energy Sector' report (GMO, 2018). The World Bank Group's Multi-Tier Framework report on energy access in Rwanda provided recent data on energy access for male and female-headed households (Koo et al., 2018). In 2020, the Power Africa East Africa Energy Programme published an assessment on women's participation in Rwanda's energy sector. The following is consistently reported:
 - I. Women spend more time than men acquiring fuels for cooking. Nationally, this burden for women averages 73 minutes per day compared to 36 minutes for men. The time burden in rural areas is twice that in urban areas, but gender differences are similar. Women also spend twice as long as men on preparation activities to use the collected wood as fuel, such as chopping it into smaller pieces. Firewood collection remains a huge workload for women, limiting them to engage in other productive activities. Scale up of alternative

²¹ International Trade Centre. (2019). "Promoting Women's Economic Empowerment in Rwanda's Transport and Logistics Sector."

²² Gender Assessment of the Motorcycle Taxi Subsector in Rwanda" by the World Bank; "The role of motorcycle taxis in Rwanda's rural areas" by the BBC



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sources of energy for cooking will reduce workload on women while giving ample time to engage in economic activities. This will also reduce air pollution and health issues resulting from the use of firewood.

- II. 13% of female-headed households use charcoal for cooking compared to 18.8% of male-headed households while 13.5% of female-headed households and a similar proportion of male-headed households have energy saving stoves/efficient cook stoves.

2. South Africa²³

- South Africa had a population of 59.3M people 32.7% being rural, as of 2021. Poverty rate in 2015 was 18.9%. The GDP in the same year was \$335.4B, with -7.0% real growth in the same year. GHG emissions measured in the prior year were 562MT. (World Bank). South Africa is the most advanced, diversified, and productive economy in Africa. The country covers 1.22 million square kilometres and is the world's largest producer of platinum, vanadium, chromium, and manganese.
- South Africa enjoyed relative macroeconomic stability but is facing increasingly strong headwinds due to the COVID-19 pandemic. The economy expanded by 0.8 percent in 2018 and by 0.2 percent to \$350 billion in 2019. However, the Covid-19 pandemic led to a 7 percent contraction to \$302 billion in 2020; as a result, GDP per capita dropped to 2005 levels (US International Trade Administration).
- South Africa's Social Institutions and Gender Index indicated a low level of gender discrimination in social institutions, with a 2019 value of 0.22. This indicates that strong laws providing equal rights for women and men are in place in the country – but some international standards are not fully included in national approaches. The country was also ranked 20th out of 156 countries in the 2021 Global Gender Gap Index with a score of 0.78 with a strong performance on educational attainment.
- South Africa is a signatory of several gender-related international conventions, including: Convention on the Elimination of All Forms of Discrimination against Women (CEDAW); Beijing Declaration and Platform for Action; African Charter on Human and Peoples' Rights; Protocol to the African Charter on Human and Peoples' Rights on the Rights of Women in Africa; Sustainable Development Goals (SDGs), specifically Goal 5 on gender equality and empowerment of all women and girls
- South Africa has also ratified the International Labour Organization (ILO) Convention No. 111 on Discrimination in Employment and Occupation, which prohibits discrimination on the basis of gender, among other characteristics. The Labour Relations Act is the main act that deals with sexual harassment in the workplace. South Africa adopted the [Code of Good Practice on the Prevention and Elimination of Violence and Harassment in the World of Work](#) in 2020 due to rising cases of sexual harassment in the workplace – mostly affecting people under vulnerable employment.
- Gender-based violence (GBV) is a fundamental problem in South Africa, with women and girls disproportionately affected by physical, sexual, and psychological harm, as well as economic abuse. According to statistics from the South African Police Service, over 177,000 cases of GBV were reported in 2020, with many more cases going unreported. Physical and sexual violence are common forms of GBV in South Africa. Domestic violence is a major problem, with women

²³ [UNDP Human Development Reports 2021](#); [OECD SIGI INDEX 2019](#); [AfDB Gender Databook 2019](#); World bank ILO data portal; [Gender Index 2021](#); [UN Women fact sheet - SA](#)



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often experiencing physical and sexual abuse at the hands of their partners. Rape and sexual assault are also prevalent, with many cases going unreported due to social stigma and fear of reprisals.

- South Africa has one of the highest rates of violence against women in the world with between ~40-50K reported rapes per annum. Police data showed rapes and sexual offences went up 13 percent between 2017/18 and 2021/2022, while murders of women were up 52 percent in the first three months of 2022 compared to the same period last year. Psychological abuse is another form of GBV that is often overlooked. Women may be subjected to verbal abuse, emotional manipulation, and controlling behaviour that can have serious long-term effects on their mental health and well-being. Economic abuse is also a significant problem, with women often being denied access to financial resources and forced to depend on their partners for basic needs such as food, shelter, and healthcare. This can make it difficult for women to leave abusive relationships and can exacerbate their vulnerability to other forms of GBV.
- The South African government has recognized the seriousness of the problem of GBV and has implemented several policies and interventions to address it. These include: 1) The National Strategic Plan on Gender-Based Violence and Femicide: In 2020, the South African government launched a 5-year plan to address GBV and femicide in the country. The plan includes a range of interventions, including prevention, response, and support services for survivors of GBV. 2) The Sexual Offences and Related Matters Amendment Act: This law was enacted in 2007 to strengthen the legal framework for addressing sexual offences and to provide better protection for survivors of sexual violence. The law includes provisions for improved investigation and prosecution of sexual offences, as well as better support services for survivors. 3) The Domestic Violence Act: This law provides for the issuing of protection orders for survivors of domestic violence and includes provisions for counselling and support services for survivors. There is also a Gender-Based Violence Command Centre which is a toll-free helpline that provides counselling, support, and referrals for survivors of GBV as well as Thuthuzela Care Centers which provide support services for survivors of sexual violence, including medical care, counselling, and legal support. The centers are located in hospitals across the country and provide a one-stop service for survivors. Despite these interventions, GBV remains a severe problem in South Africa, and there is a need for continued efforts to prevent and address it. The government has committed to increasing resources for GBV prevention and response, and civil society organizations continue to advocate for more effective policies and interventions to address the problem.

Country Statistics

 South Africa gender statistics	
Population	59.3M
Poverty rate	18.9%
Social Institutions and Gender Index (SIGI)	22
Gender Inequality Index	0.405
Maternal Mortality rate (deaths per 100,000 live births)	119
Adolescent birth rate (births per 1,000 women ages 15–19)	61.2
Infant mortality rate (deaths per 1,000 live births)	24.1



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	Female	Male
Adult literacy rate (population with secondary ed.)	68.9	87.7
Labour force participation rate (% ages 15 and older)	46.2	59.9
Political participation rate (% women holding share of seats in parliament)	46.0	54.0
Life expectancy	66	61

Political participation

- In South Africa, women have the same rights to vote and stand for election as men, and the Constitution guarantees equal participation in political life. The country is often cited as a success story of women's representation in government with one of the highest numbers of women in parliament in the world at 45%, and a raft of progressive women friendly laws passed by the legislature.
- Like other instances of high female political representation, such as Rwanda, women parliamentarians in South Africa are said to rarely mobilise around 'women's issues' and in some cases have been openly critical of the feminist agenda, choosing instead to toe the party line.

Labour force participation

- South Africa has a population of 60M, with a female labour participation of 46.2% (2021). The country has a maternal mortality ratio of 342 deaths/100,000 live births (2021). The female population with at least some secondary education (age 25 and older) was 31%.
- Most of the employment is in agriculture and services, constituting 64% and 34% of the population in employment, respectively.
- 77% of women are self-employed with over 68% of the female population estimated to be in vulnerable employment which is defined as contributing family workers and own-account workers as a percentage of total employment.
- The gender pay gap – or the difference in wages between men and women for the same type of work or work of equal value remains an obstacle in achieving gender equality in South Africa. It affects women in the middle and upper wage bands the most.
- Unequal monthly earnings persist in households with ~38% of homes that are managed by women reporting up to 40% less income to those managed by men. Also, 48% of female-headed households support extended family members compared to 23% of male-headed households doing the same. In addition, women face discrimination in the home and have a greater responsibility towards unpaid domestic work with power relations skewed in favour of men.

	Female
Labour force participation rate (% ages 15 and older)	46.2%



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Employees, agriculture (% of female employment)	4%
Employees, industry (% of female employment)	12%
Employment in services (% of female employment)	84%
Self-employed (% of females employed)	13.3%
Employers (% of female employment)	2.7%
Vulnerable employment (2000-2016) (% of female adult population)	11%
Employment rate in the informal economy (% of female adult population)	n/a
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager*	13.4%
Managers, professional and technicians (% female)*	23.2%

Access to financial resources/knowledge and skills/other

- Access to finance in South Africa is not equal with race and gender being important variables in the lack of access. Black African women are disproportionately affected by these biases.
- The Broad-Based Black Economic Empowerment Act promotes “increasing the extent to which Black women own and manage existing and new enterprises, and increasing their access to economic activities, infrastructure and skills training.” However, the Financial Sector Charter only specifies gender targets for staffing, considered to be low, and assumes positive outcomes in consumption and female participation as consumers overall.
- Women in business face a number of barriers to accessing finance: namely: 1) Lower financial literacy among women as well as lack of awareness of financing options; 2) institutional biases: only one out of South Africa’s four major banks has an intention to increase its share of women-owned enterprises., despite the significant underrepresentation; 3) lack of BEE code targets for financial services outreach; 4) lack of appropriate products: bank services and products, including savings products are often unaffordable, and the emphasis on collateralised and asset based lending disqualifies most women from accessing business loans.²⁴

Barriers facing women headed households, youth, the elderly and other traditionally marginalized groups in South Africa

- Traditionally marginalized groups in South Africa face a number of barriers in accessing energy and mobility. In South Africa, these include Black South Africans, particularly those living in rural areas or townships, women, people with disabilities, and LGBTQ+ individuals. One major challenge is the lack of affordable and reliable transportation options in many parts of the country, which can make it difficult for people to access job opportunities, education, and other essential services. This is particularly true in rural areas, where public transportation options are often limited or non-existent. Additionally, many people in these groups may not have access to modern forms of energy, such as electricity and clean cooking fuels, which can limit their ability to engage in economic activities and improve their quality of life.

²⁴ IFC report, Accessed [here](#) in February 2023



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- Other barriers may include discrimination and lack of access to financial resources, which can make it difficult for people to purchase or maintain vehicles, or to invest in renewable energy solutions. Efforts to improve access to energy and mobility for marginalized groups in South Africa may include government policies to promote investment in public transportation infrastructure, as well as initiatives to expand access to modern forms of energy and increase financial inclusion.

Women in energy in South Africa²⁵

- At last year's UN Climate Conference, COP27, South Africa launched its US\$8.5 billion Just Energy Transition Investment Plan. This was the first stage in implementing the Just Energy Transition Partnership (JETP) announced at COP26 the previous year. The JETP partners, which include France, Germany, the UK, US and EU, have pledged to raise some of the required finance via grants, but much of it will be mobilised from concessional and commercial financing. The investment plan earmarks funding for decommissioning coal power plants, expanding renewables and upgrading grid infrastructure, as well as investing in sustainable manufacturing, such as of new energy vehicles, and in skills and training.
- Given the importance of implementing the just transition in South Africa, the conversation is dominated by concerns about how changes to industry will affect male employment. Yet women are affected too, with growing evidence that in coal communities Women will be even more vulnerable to the changes wrought by South Africa's energy transition. With their male partners out of work, they may struggle to survive since they are already pushed to the margins of the economy, often working in the informal sector.
- If South Africa's energy transition is managed well, then it could increase opportunities for women. For example, the country's growing solar PV and /or e-mobility sectors could provide opportunities and help to address the gender imbalance in employment and pay highlighted above. However, this will require awareness and capacity building.
- According to a study by the International Renewable Energy Agency (IRENA), women in South Africa make up only 26% of the renewable energy workforce, which is below the global average of 32%. This gender gap is attributed to several root causes, including limited access to education and training opportunities for women in science, technology, engineering, and mathematics (STEM) fields, as well as cultural and societal norms that limit women's participation in the workforce. The South African government has recognized the importance of promoting gender equity in the renewable energy sector and has implemented several policies to address the gender gap. For example, the Integrated Resource Plan (IRP) 2019-2030 includes a target of achieving a 50/50 gender split in the renewable energy sector by 2030. The IRP also includes a gender mainstreaming strategy that seeks to address the root causes of gender inequality in the energy sector.

Women in Energy productivity In South Africa²⁶

²⁵ International Renewable Energy Agency (IRENA). (2019). Renewable Energy and Jobs – Annual Review 2019. Abu Dhabi: IRENA. Department of Energy South Africa. (2019). Integrated Resource Plan 2019-2030. Retrieved from <https://www.energy.gov.za/files/IRP%202019%20FINAL%20Gazetted%20Version.pdf>; South African Wind Energy Association. (2021). Gender Working Group. Retrieved from <https://www.sawea.org.za/gender-working-group/>

²⁶ International Energy Agency (IEA). (2020). Energy Access Outlook 2020; Republic of South Africa. (2015). National Energy Efficiency Strategy of South Africa.



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- In South Africa, there are significant gender gaps in access to energy for productive use, which has implications for economic development and gender equality. According to the 2020 Energy Access Outlook report, women in South Africa are 26% less likely than men to have access to electricity for productive use. Women are also less likely to own or operate productive energy equipment, such as solar panels or cooking stoves. According to a report by the Food and Agriculture Organization (FAO), women in South Africa are often excluded from accessing productive resources such as land, credit, and training, which limits their ability to engage in agricultural activities. This exclusion extends to the use of cooling technologies, which are often seen as a "male" domain. As a result, women are less likely to benefit from improved post-harvest practices and technologies that can reduce food loss and improve food quality. These gender gaps are often due to social norms and economic barriers that limit women's participation in the formal economy and restrict their access to credit and financing.
- The South African government has recognized the importance of gender equity in energy access and has included gender considerations in its National Energy Efficiency Strategy. The government has also established policies and programs to support women's entrepreneurship, such as the Women's Empowerment and Gender Equality Bill, which aims to promote gender equality in all sectors of the economy.

Women in Mobility and Logistics in South Africa²⁷

- Gender equity in the mobility and logistics sectors in South Africa remains a significant challenge, with a substantial gender gap in the industry. Women are underrepresented in this sector, particularly in decision-making positions, due to societal and cultural norms, as well as systemic gender biases. According to the World Economic Forum's Gender Gap Report 2021, South Africa ranks 112th out of 156 countries in terms of gender parity in labour force participation, highlighting the need for greater gender equity in the workforce, including the mobility and logistics sectors.
- There is limited data on the gender gap in the mobility and logistics sectors in South Africa. However, a study by the National Business Initiative found that women made up only 14% of employees in the logistics sector in South Africa in 2019. Additionally, women often face gender-based discrimination and harassment in the workplace, including sexual harassment and unequal pay. In terms of the two-wheeler motorcycle transport sector, there is a growing number of women riders in South Africa, particularly in the ride-hailing industry. However, women still face challenges such as harassment and safety concerns on the job. Organizations such as the International Transport Forum have highlighted the need for policies that promote women's safety and security in the transport sector, including the two-wheeler motorcycle transport sector.

Vulnerability to Climate change and needs of the beneficiaries.

- South Africa has a high % of female employment in the services sector, indicating lower vulnerability to climate change. However, South Africa has a gender pay gap of between 23% and 35% (global average of 20%) which negatively impacts women's adaptive capacity in general.

²⁷ World Economic Forum. (2021). The Global Gender Gap Report 2021; National Business Initiative. (2019). Women in Logistics in South Africa; International Transport Forum. (2018). Advancing Women's Safety and Security in the Transport Sector.



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Unequal monthly earnings persist in households as well with ~38% of homes that are managed by women reporting up to 40% less income to those managed by men.

- Studies show that male-headed households have more exposure, adaptive capacity and sensitivity to energy poverty compared to female-headed households. Overall, female-headed households are estimated to be more vulnerable to energy poverty. However, this disparity also has a racial component - compared to White, Indian/Asian, and Coloured female-headed households, Black/African female-headed households exhibited more vulnerability to energy poverty²⁸.

3. Kenya

- Kenya has a domestic market of ~47 million (2019 census) people and is a leading economy in sub-Saharan Africa. It is a market-based economy with a young, growing and educated English-speaking population with a high fluency in technology. Kenya is also the economic, commercial, financial, and logistics hub of East Africa with a GDP of USD 100.6B (2020) and a declining poverty rate of 36% (2018). (World Bank)

Country Statistics

 Kenya gender statistics		
Population	47M	
Poverty rate	36%	
Social Institutions and Gender Index (SIGI)	35.5	
Gender Inequality Index	0.506	
Maternal Mortality rate (deaths per 100,000 live births)	342	
Adolescent birth rate (births per 1,000 women ages 15–19)	64.2	
Infant mortality rate (deaths per 1,000 live births)	31	
	Female	Male
Adult literacy rate (population with secondary ed.)	31.1	37.7
Labour force participation rate (% ages 15 and older)	71.0	75.6
Political participation rate (% women holding share of seats in parliament)	23.2	76.8
Life expectancy	65	60

- Kenya has signed and ratified various gender-related international conventions. Some of these include: The Convention on the Elimination of All Forms of Discrimination against Women (CEDAW); The Beijing Declaration and Platform for Action; The African Union Protocol on the Rights of Women in Africa; The Protocol to the African Charter on Human and Peoples' Rights on the Rights of Women in Africa; The Convention on the Rights of Persons with Disabilities (CRPD), which includes provisions related to gender equality and the rights of women and girls with disabilities. These conventions commit Kenya to promoting and protecting the rights of women,

²⁸ Energy poverty is defined as refers to the inadequate access to affordable modern and/or sustainable energy services, a definition mostly used in developing countries measured through availability of energy.



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eliminating discrimination against them, and advancing gender equality in various aspects of life, including education, employment, and political participation.

- Kenya has also enacted laws on domestic violence, sexual offences, establishment of affirmative funds for women-led businesses, and increasing representation of women in public and elective office. Despite such developments, only 29% of women are considered empowered, according to UN Women and Kenya National Bureau of Statistics (KNBS) data published in 2020. Progress is still slow, hampered by inadequate implementation of laws, inadequate funding, weak accountability mechanisms and slow transformation of discriminatory and patriarchal gender norms, attitudes, and practices.
- Adult literacy rates and labour force participation is still lower for women creating significant inequality in incomes.
- Kenyan law protects against all forms of sexual harassment. Section 6 (2) of the Employment Act, Laws of Kenya states that all employers with more than 20 staff are supposed to create a policy prohibiting sexual harassment at the workplace. Sexual harassment is an offence punishable under Section 23 of the Sexual Offences Act, Laws of Kenya. A perpetrator of sexual harassment is liable to imprisonment for a term not less than 3 years or a fine, or both.
- Kenya's Social Institutions and Gender Index ranking was medium, with a 2019 value of 0.35. The country also scored 95 out of 156 in the 2021 Global Gender Gap Index with a score of 0.692. Overall, these scores indicate that women in the country face high discrimination in the family and low access to resources.
- Gender-based violence (GBV) is pervasive in Kenya, affecting women and girls of all ages, socio-economic backgrounds, and ethnicities. According to a 2014 survey by the Kenyan National Bureau of Statistics, 39% of women in Kenya have experienced physical violence at least once in their lifetime, while 14% have experienced sexual violence. Physical violence is one of the most common forms of GBV in Kenya, with women often experiencing violence at the hands of their partners or family members. Sexual violence is also a significant problem, with many cases going unreported due to stigma and fear of retaliation. Psychological abuse, such as verbal abuse and emotional manipulation, can also have dire consequences for survivors, including depression, anxiety, and post-traumatic stress disorder (PTSD). Economic abuse is another form of GBV that is often overlooked. Women may be denied access to financial resources and forced to depend on their partners for basic needs such as food, shelter, and healthcare. This can make it difficult for women to leave abusive relationships and can exacerbate their vulnerability to other forms of GBV.
- Kenya has adopted a raft of critical legislations designed to address sexual and gender-based violence (SGBV). These legislations are welcome and have all the hallmarks of a country that is committed to facilitating gender equality. Kenya also pledged to end Gender-Based Violence by 2026 through full commitment to the implementation of GBV laws and policies as well as earmarking funding for this. Specific responses include: 1) The National Policy on the Prevention and Response to Gender-Based Violence: This policy was launched in 2014 and provides a framework for preventing and responding to GBV in Kenya. The policy includes provisions for the establishment of GBV response centers, the training of service providers, and the development of GBV prevention programs; 2) The Sexual Offences Act: This law was enacted in 2006 to strengthen the legal framework for addressing sexual offences in Kenya. The law includes provisions for improved investigation and prosecution of sexual offences, as well as better support services for survivors; 3) The Protection Against Domestic Violence Act: This law



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provides for the issuance of protection orders for survivors of domestic violence and includes provisions for counselling and support services for survivors as well as 4) a National GBV Hotline.

- Civil society organizations in Kenya have also played a vital role in addressing GBV. These organizations work to provide support and services for survivors, as well as to advocate for policies and interventions that address the root causes of GBV. Some notable organizations include: 1) The Coalition on Violence Against Women: This is a network of civil society organizations working to end violence against women in Kenya. The coalition works to advocate for policies and interventions that address GBV, as well as to provide support services for survivors 2) The Centre for Rights Education and Awareness: This organization provides legal aid and support services for survivors of GBV, as well as working to promote women's rights and gender equality.

Political participation

- In Kenya, women have the same rights to vote and stand for election as men, and the Constitution guarantees equal participation in political life. Despite this, women remain poorly represented at the national level despite continuous improvement. The general elections held in August 2022 saw the greatest number of female candidates across most positions with seven governors, three senators and 30 single constituency members elected were women.
- However, Kenya still has the least representation of women among the six East African countries (excluding DRC), which have a uniform electoral quota. The National Gender and Equality Commission has recorded representation of ~ 24.36 per cent, far below the two-thirds gender principle.

Labour force participation

	Female
Labour force participation rate (% ages 15 and older)	71.0
Employees, agriculture (% of female employment)	63.9%
Employees, industry (% of female employment)	2.4%
Employment in services (% of female employment)	33.9%
Self-employed (% of females employed)	77%
Employers (% of female employment)	8.9%
Vulnerable employment (2000-2016) (% of female adult population)	68%
Employment rate in the informal economy (% of female adult population)	n/a
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager*	13.4%
Managers, professional and technicians (% female)*	23.2%



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- Kenya has a population of 46.69M, with a female labour participation of 70.2% (2021). The country has a maternal mortality ratio of 342 deaths/100,000 live births (2021). The female population with at least some secondary education (age 25 and older) was 31%.
- Most of the employment is in agriculture and services, constituting 64% and 34% of the population in employment, respectively.
- 77% of women are self-employed with over 68% of the female population estimated to be in vulnerable employment which is defined as contributing family workers and own-account workers as a percentage of total employment. It is reported that COVID-19 significantly increased inequalities between men and women in education attainment, health outcomes, representation in parliament, and participation in the labour market.
- Even within employment, significant disparities in wages exist between women and men. Over the last three decades, efforts have occurred to close the gender wage gap in Kenya. Legislation, in the form of the Employment Act has not been fruitful in achieving pay parity for women. In 2019, it was estimated that women earn 32% less than their male counterparts, compared to 23% globally. The informal economy in Kenya is a significant employer for women. However, the sector lacks standard employment contracts, social protection, and adequate pay, meaning that women are unable to obtain a decent livelihood, let alone have the same level of income as men.

Decision making and leadership²⁹

- Gender inequality is most evident at decision-making levels. In Kenya, women are underrepresented on company boards and senior management positions, as well as in policy making and governance. Under-representation and the absence of female role models is even more acute in energy-related fields.
- The few women who do manage to secure top positions are often less well-connected with their peers than with their male colleagues. Notwithstanding some changes over the last few decades, underlying cultural and social norms still shape the perceptions of men and women's abilities, needs and prerogatives.
- While data at household level is not available, we expect that similar to observations in other sectors (such as sanitation)³⁰, increased gender equity could potentially have spill over effects that result in households opting to improve their conditions – including the adoption of cleaner or modern lighting and cooking solutions which is a significant opportunity.

Access to financial resources/knowledge and skills/other

- Driven by perceptions and misperceptions, only a low percentage of female students choose to study STEM courses. The latest edition of the UNESCO Science Report, entitled Towards 2030 (UNESCO, 2015), offers the most recent statistics on women's participation in STEM fields. The share of women graduating in the fields of engineering, physics, mathematics, and computer science is low in many industrialised and emerging countries alike. Gender imbalances among STEM students carry through to gender imbalances in STEM jobs – in the renewable energy sector as well as elsewhere. IRENA's survey finds that women occupy 28% of STEM positions.

²⁹ John Hopkins University, Babson College & ICRW (2019). Women's energy entrepreneurship: A guiding framework and systematic literature review

³⁰ Journal of Water, Sanitation and Hygiene for Development (2016) 6 (1): 151–160. <https://doi.org/10.2166/washdev.2016.128>



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- In Kenya STEM participation shows a clear gender disparity ranging from 30%-35%³¹. Fewer women participate and even fewer complete their studies. In addition, their graduation scores are low compared to those of males. Further, the number of women earning university STEM degrees declines as they move through the educational ladder, this is attributable to institutional and socio-cultural barriers specifically gender stereotyping, sexual harassment, and family responsibilities. Gender biases were not only revealed in inequality in enrolment and completion but also in policies that favoured male students in STEM disciplines.³²
- In terms of access to credit, according to a 2021 FinAccess Household Survey, eight out of every ten Kenyans (83.7%) have access to formal financial services. The gap in financial access between men and women has continually improved, reducing from 8.5% in 2016, to 5.2% in 2019, then to 4.2% in 2021. This is also driven by the need for collateral – in the form of physical assets that would normally be held by men. According to an IFC report³³ only 1% of women in Kenya own collateral.

Barriers facing women headed households, youth, the elderly and other traditionally marginalized groups in Kenya³⁴

- In Kenya, youth, the elderly, and other traditionally marginalized groups such as persons with disabilities, ethnic and religious minorities, pastoralists, and refugees who have historically faced social, economic, and political exclusion face various barriers in accessing energy and mobility. These groups are particularly affected by the lack of access to reliable and affordable energy and transportation options, which limits their economic opportunities and social mobility.
- Youth, for example, face challenges in accessing energy for education and entrepreneurship, while the elderly often lack mobility options and may have difficulty accessing health care facilities. Other traditionally marginalized groups, such as women and people with disabilities, may face additional challenges due to social and cultural barriers. For instance, women may have limited access to financial resources and face discrimination in accessing employment opportunities in the transportation sector. In addition, people with disabilities may face physical and infrastructure-related barriers to accessing transportation services. These barriers contribute to a cycle of poverty and inequality for these groups, limiting their ability to fully participate in the economy and society at large.

Women in energy in Kenya^{35,36}

- According to reports by the AfDB and ENERGIA³⁷, 35% of the total staff and 15% of the technical leadership positions in the Ministry of Energy's headquarters are filled by women. Kenya showcases inspiring examples of women's involvement in senior leadership roles. In all state corporations in energy, there is some representation of women at the levels of heads of department and managers, and a woman was heading the Kenya Electricity Generating Company

³¹ https://en.unesco.org/sites/default/files/unescos_stem_mentorship_programme.pdf

³² News article: The Conversation (2018) Accessible [here](#).

³³ [IFC and World Bank: Voices of Women Entrepreneurs in Kenya](#)

³⁴ Kenya National Bureau of Statistics. (2019). Kenya Integrated Household Budget Survey (KIHBS) 2015/2016. Nairobi, Kenya. United Nations Development Programme. (2018). Kenya Country Gender Assessment: Addressing the Gender Dimensions of Energy Access. Nairobi, Kenya.

³⁵ IRENA (2019) [Renewable Energy: A Gender Perspective](#)

³⁶ UNDP. (2019). Gender Equality in Kenya's Energy Sector. UN Women. (2018). Advancing Gender Equality in the Context of Climate Change and Energy Access: Perspectives from Kenya; Energy Access and Gender (2021). Country Brief: Kenya; African Women in Energy and Power. (2022). About Us. Women in Sustainable Energy and Entrepreneurship. (2022).

³⁷ Kenya gender and Energy Country brief (2021), Accessed [here](#)



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(KenGen) from 2017 to late 2022, serving as Managing Director and CEO. However, details about private sector participation are not available.

- The renewable energy sector in Kenya is rapidly growing, with the government and private sector investing heavily in this area. However, there are significant gender gaps in the sector, particularly in terms of employment and leadership opportunities. According to a study by the United Nations Development Programme (UNDP), women are underrepresented in the renewable energy sector in Kenya, with men accounting for 72% of the workforce in the sector. Women are also less likely to hold leadership positions, with only 22% of leadership roles in the sector held by women.
- One of the root causes of the gender gap in the renewable energy sector in Kenya is the lack of access to education and training opportunities for women. Women are less likely to have access to technical and vocational training, which is often required for employment in the sector. Additionally, societal norms and expectations often discourage women from pursuing careers in science, technology, engineering, and mathematics (STEM) fields, which are critical for success in the renewable energy sector.
- Efforts to improve gender equity in the renewable energy sector in Kenya include initiatives to increase access to education and training for women, promote gender-responsive policies and practices in the workplace, and support women's entrepreneurship in the sector. For example, the UNDP has partnered with the government of Kenya and other stakeholders to launch the Gender and Energy Programme, which aims to promote gender equity in the renewable energy sector through capacity building, policy advocacy, and research. Additionally, organizations like the African Women in Energy and Power (AWEP) and Women in Sustainable Energy and Entrepreneurship (WISEE) are working to support women's participation in the sector through mentorship, networking, and advocacy.

Women in Energy productivity in Kenya³⁸

- In the productive use of energy sector, women tend to be less involved in decision-making processes, lack access to finance, and face societal and cultural barriers. For instance, a survey conducted by Power Africa found that only 17% of women participate in decision-making in the sector, and only 13% of women have access to finance for their businesses.
- Cultural beliefs perpetuate gender norms, which limit women's participation in economic activities outside the home. In the agricultural cooling sector, women also face similar challenges. In Kenya, post-harvest losses due to lack of cooling technologies are estimated at 20-30%, with significant impacts on smallholder farmers, who are predominantly women. Women are responsible for post-harvest management and storage, and the lack of access to cooling technologies makes it difficult to preserve crops and maintain quality. This affects their income and ability to access markets. In general, women often have limited access to finance, information, and technologies, which limits their productivity and income. In addition, they are often responsible for unpaid care work, which limits their ability to engage in income-generating activities.

Women in Mobility and Logistics in Kenya

- Gender equity in the mobility and logistics sector in Kenya faces several challenges. Women are underrepresented in the sector, particularly in leadership positions. According to a report by the

³⁸ UNIDO (2018). Gender Mainstreaming in Kenya's Renewable Energy Sector; Power Africa. (2018). Kenya Gender Assessment: Engaging Women in the Energy Value Chain.



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World Bank³⁹ only 7% of truck drivers in Kenya are women, and women are also less likely to own transport businesses. Women also face discrimination and harassment in the workplace, with many female transport workers reporting incidents of sexual harassment and gender-based violence.

- According to a study conducted by the Kenya National Bureau of Statistics⁴⁰, motorcycle ownership in Kenya is dominated by men, with only 6.3% of women owning motorcycles compared to 26.4% of men. The study also found that women were more likely to use public transportation such as buses and matatus, which can be less efficient and more time-consuming than using a personal vehicle.
- Data on gender gaps in the mobility and logistics sector in Kenya is limited. However, according to a report by the International Labour Organization (ILO⁴¹), women in Kenya are more likely than men to use non-motorized modes of transport such as walking and cycling. Women are also more likely to use public transport, while men are more likely to use private transport. This suggests that women face greater mobility challenges than men in Kenya, which may be a result of social norms and safety concerns. Additionally, women are underrepresented in the motorcycle taxi or "boda boda" industry in Kenya. According to a report by the World Bank, women account for only 14% of boda boda riders in the country. This is partly due to societal expectations that consider the job as unsafe and unsuitable for women, as well as discrimination and harassment faced by women who attempt to enter the industry.

Vulnerability to Climate change and needs of the beneficiaries.

- The high % of women in vulnerable employment in Kenya, as well as the significant reliance on agriculture means that women in Kenya are likely to be disproportionately affected by the impacts of climate change and have lower adaptive capacity to climate events or hazards.
- Further, climate change is expected to affect women more negatively compared to men in five impact areas: (i) agricultural production; (ii) food and nutrition security; (iii) health; (iv) water and energy; (v) climate-related disaster, migration, and conflict. This is expected to have an overall negative effect on income and well-being.
- Kenya has a high rate of female headed households, estimated at 32.4% of households indicating a need for a gendered approach to increasing product accessibility to these households.
- With the majority of the population using wood fuel as their main source of cooking fuel, access to clean energy services is still a major issue in Kenya. Related to the differences in energy needs, in Kenya, as in many countries, the burden of lack of access to clean cooking fuels falls heavily on women. Further, it is well understood that women and men have distinct roles in the energy system: women bear the main burden of providing and using fuels (firewood, charcoal, biomass) for cooking. A situation made worse by fuel scarcity and negative health and safety impacts (such as indoor air pollution).
- Women bear the invisible burden of the human energy crisis – and spend significant time and effort in water pumping, agricultural processing, and transport. They need modern and more

³⁹ World Bank. (2020). Women in Transport in Kenya: Increasing Access to Economic Opportunities. Available at: <https://openknowledge.worldbank.org/handle/10986/34410>

⁴⁰ Kenya National Bureau of Statistics. (2019). Exploring Kenya's Inequality: Pulling Apart or Pooling Together?

⁴¹ International Labour Organization. (2018). Women and Men in the Informal Economy in Kenya: A Statistical Picture.



efficient energy sources to improve their work and quality of life both within and outside the home.

4. Ghana⁴²

- Ghana made considerable progress toward democracy over the past 20 years under a multi-party system, and its independent judiciary has gained the confidence of the populace. Ghana consistently ranks among the top three nations in Africa for press and speech freedom. (World Bank). In the three years preceding the COVID-19 pandemic, Ghana enjoyed average annual economic growth approaching 7%, making it one of the world's fastest-growing economies. Despite the economic slowdown brought on by the pandemic, Ghana still managed to sustain a growth rate of 0.5 percent in 2020 and it bounced back with a growth of 5.4 percent in 2021 thanks to dynamic agriculture and services sectors.
- Ghana's Social Institutions and Gender Index ranking was medium, with a 2019 value of 0.345. The country was ranked 107 out of 156 in the 2021 Global Gender Gap Index with a score of 0.67. Ghana's ranking in the Gap Index was as a result of high performance in the female labour force participation rate, and enrolment in education at both primary and secondary education. However, gaps remain in income earned between the two sexes as well as political participation.
- Ghana is a signatory of several international conventions related to gender equality and women's rights. These include the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW), the Beijing Platform for Action, the Protocol to the African Charter on Human and Peoples' Rights on the Rights of Women in Africa (also known as the Maputo Protocol), and the Sustainable Development Goals (SDGs), which include a specific goal (Goal 5) on gender equality and the empowerment of women and girls. Ghana has also taken steps to integrate these conventions and goals into its national development policies and strategies.
- Ghana has taken steps to integrate gender-related international conventions and goals into its national development policies and strategies. The country has developed a Gender Policy Framework which seeks to promote gender equality and women's empowerment by mainstreaming gender into all aspects of development planning and implementation. Additionally, Ghana has developed a National Gender and Children Policy and a National Gender Action Plan to guide the implementation of gender mainstreaming in all sectors of the economy.
- Gender-based violence (GBV) is prevalent in Ghana with physical violence being one of the most common forms of GBV in Ghana, with women often experiencing violence at the hands of their partners or family members. According to a 2017 survey by the Ghana Statistical Service, 28% of women in Ghana have experienced physical violence at least once in their lifetime, while 14% have experienced sexual violence. The Ghana Demographic and Health Survey (GDHS) 2017-2018 reported that 21% of women aged 15-49 in Ghana have experienced physical violence since age 15, and 9% have experienced sexual violence. Source: Ghana Statistical Service (GSS), Ghana Health Service (GHS), and ICF International. 2019. Ghana Demographic and Health Survey 2017-2018. Rockville, Maryland, USA: GSS, GHS, and ICF. The same GDHS report found that 15% of women aged 15-49 have experienced emotional violence, such as humiliation or belittlement, and 4% have experienced economic violence, such as being prevented from working or having access to money. The Domestic Violence and Victim Support Unit (DOVVSU) of the Ghana Police Service reported that there were 9,146 cases of domestic violence reported in 2019. Source: Ghana News Agency. (2020).

⁴² [UN women fact sheet Ghana](#); [UNDP Human Development Reports 2021](#); [OECD SIGI INDEX 2019](#); [AfDB Gender Databook 2019](#); World bank ILO data portal; [Borgen Project, 2021](#).



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- The Ghanaian government has taken steps to address the problem of GBV, including the development of policies and interventions aimed at preventing and responding to GBV. These include: 1) The Domestic Violence Act: This law was enacted in 2007 to provide legal protection for survivors of domestic violence. The law includes provisions for restraining orders, counselling and support services, and improved investigation and prosecution of domestic violence cases; 2) The National Policy on Gender: This policy was launched in 2015 to provide a framework for promoting gender equality and addressing GBV in Ghana. The policy includes provisions for the establishment of gender desks in police stations and the development of gender-sensitive laws and policies; 3) The Domestic Violence Secretariat: This is a government agency that provides support services for survivors of domestic violence. The agency works to provide counselling and legal aid services, as well as to advocate for policies and interventions that address the root causes of GBV.
- Ghana does not have criminal penalties for sexual harassment in the workplace. However, Ghana has developed civil penalties in Labour Act, 2003, Secs. 63(3)(b), 64 and 175.

Country Statistics

 Ghana gender statistics		
Population	46.69M	
Poverty rate	11.2%	
Social Institutions and Gender Index (SIGI)	34.5	
Gender Inequality Index	0.529	
Maternal Mortality rate (deaths per 100,000 live births)	308	
Adolescent birth rate (births per 1,000 women ages 15–19)	64.2	
Infant mortality rate (deaths per 1,000 live births)	31	
	Female	Male
Adult literacy rate (population with secondary ed.)	58.0	73.2
Labour force participation rate (% ages 15 and older)	64.5	72.2
Political participation rate (% women holding share of seats in parliament)	14.5	85.5
Life expectancy	64	69

Political participation

- Despite societal, cultural norms, patriarchal practices and the current socioeconomic status which continues to discourage the participation of women in politics, Ghana has made several efforts to increase the participation of women in governance starting with the 1992 Constitution which recognizes equal rights of men and women in all spheres of life and prohibits discrimination on the grounds of sex, religion, gender and ethnicity. Ghana instituted the Ghana National Gender Policy in 2015 to mainstream gender issues into national policy making.



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- Female representation and participation in politics is low compared to peers on the continent ranking second from the bottom after Nigeria. Women make up 14% of parliamentarians, 19.25% of ministerial appointments and 17% Municipal and District Chief Executives.

Labour force participation

- Ghana has a population of 46.69M, with a female labour participation of ~64% (2021). The country has a maternal mortality ratio of 308 deaths/100,000 live births (2021). The female population with at least some secondary education (age 25 and older) was 58%, compared to 73% for men. Despite the high literacy rates across the sexes, discrimination in the family remains the most challenging dimension in Ghana recording the poorest performance.
- Most of the employment is in services, constituting 54.2 of the population in employment respectively. This is reflective of a more diversified economy compared to most of the other countries where the majority of the employment opportunities for women are in agriculture – especially in rural areas.
- However, despite the higher proportion of women in services, 78% of women are estimated to be in vulnerable employment which is defined as contributing family workers and own-account workers as a percentage of total employment.
- Despite great progress in economic growth and poverty reduction, the gender wage gap in Ghana shows the distribution of these benefits remains unequal. A significant percentage of Ghana's labour market is in the low-paying informal sector, where the most vulnerable people, women and children, find themselves. In fact, women are reported to earn less than 30% of what men earn – Ghana is one of just two countries in the sub-Saharan Africa region to experience gaps at that extreme. The wage gap is a result of systemic barriers in terms of access to health care and education as well as social norms regarding women's roles in the workforce and household.

	Female
Labour force participation rate (% ages 15 and older)	63.7%
Employees, agriculture (% of female employment)	26.5%
Employees, industry (% of female employment)	19.5%
Employment in services (% of female employment)	54.2%
Self-employed (% of females employed)	82.7%
Employers (% of female employment)	4.5%
Vulnerable employment (2000-2016) (% of female adult population)	78.2%
Employment rate in the informal economy (% of female adult population)	n/a
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager*	14.9%
Managers, professional and technicians (% female)*	41.3%

Access to financial resources/knowledge and skills/other

- Despite considerable progress in the past two decades, women remain underrepresented in Science, Technology, Engineering, and Mathematics (STEM) education and STEM-related



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occupations across the world. In Ghana, that percentage of women graduating from STEM-related academic disciplines is only 20%. This gender gap has profound human rights implications and repercussions for the scientific, technological, and economic advancement of countries. Unequal access to education, gendered choices for academic programs is strongly influenced by the traditional belief that boys are more competent in mathematics than girls, and other social and cultural factors about opportunities for employment and implications for future life.

- According to the 2017 Findex, 54 percent of women in Ghana have formal financial accounts, meaning that there is an 8-percentage point gender difference. Efforts are underway to close this gap using digital financial services (DFS). While the policy environment is supportive of growth in DFS, certain barriers exist that disproportionately impact women – including access to mobile phones; lower levels of digital and financial literacy as well as negative cultural norms that create pessimistic views of digital finance.

Barriers facing women headed households, youth, the elderly and other traditionally marginalized groups in Ghana

- According to a report by the World Bank⁴³ women, in particular, are disproportionately affected, as they have lower levels of access to transportation and electricity than men. This is due to a variety of factors, including social norms that restrict women's mobility and employment opportunities, limited access to finance, and inadequate infrastructure. Youth also face challenges, including limited access to education and training opportunities in the energy and transportation sectors. The elderly, especially those living in rural areas, often lack access to reliable energy sources, which can impact their health and quality of life. Addressing these barriers will require a comprehensive approach, including efforts to improve infrastructure, increase access to finance, and address social norms that limit opportunities for marginalized groups.

Women in energy in Ghana

- Research has established that energy policies that do not explicitly target women often result in inequities in energy access for women and men. Cultural roles and societal norms limit women's access to modern energy; and without equipping institutions to address these limitations, inequities in access to energy will persist. It is important to involve women in all the processes, including the supply chain of renewable energy services as either entrepreneurs or employees.
- Low capacity of staff of the energy sector government agencies is also a major challenge in mainstreaming gender into energy and climate change interventions in the country. Inadequate knowledge and skills to mainstream gender into climate change stems from the fact that policy and programme staff have yet to fully engage with climate change as a relevant issue. The inadequate staff strength compounds the challenge of low capacity, affecting the planning and implementation of gender inclusive energy programmes for the sector.⁴⁴
- There is limited data available on gender equity in the renewable energy sector in Ghana. However, it is clear that gender gaps exist and that efforts to improve the situation are necessary. According to a report by the International Renewable Energy Agency (IRENA)⁴⁵, women are

⁴³ Closing the Gender Gap in Ghana, report by the World Bank

⁴⁴ Mensah-Kutin. (2018). In-Depth Gender Analyses for the Nationally Determined Contributions Process in Ghana.

⁴⁵ International Renewable Energy Agency. (2019). Renewable Energy: A Gender Perspective. Retrieved from <https://www.irena.org/publications/2019/May/Renewable-energy-a-gender-perspective>



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underrepresented in the energy sector globally, and this is particularly true for technical and leadership positions. In Ghana, this trend is evident, with women occupying 20% of employment positions in the sector and fewer technical and leadership positions in the renewable energy sector compared to men. The root causes of these gaps include limited access to education and training, cultural and social biases, and discriminatory practices in the workplace.

- Discrimination and bias in the workplace are significant barriers to gender equity in the renewable energy sector in Ghana. A study by the African Development Bank⁴⁶ found that women in the energy sector in West Africa face significant gender-based discrimination in recruitment, training, promotion, and retention. The study also highlighted that women are often excluded from decision-making processes and leadership positions, which further perpetuates gender gaps in the sector.

Women in Energy productivity in Ghana⁴⁷

- In Ghana, the productive use of energy, agricultural cooling, and manufacturing sectors face a significant gender gap, with women being underrepresented. According to a report by the Ghanaian Ministry of Energy, only 18% of the energy sector's workforce are women, and women's participation in the manufacturing sector is even lower at around 12%. Women are also concentrated in low-skilled jobs and often face discrimination and bias in hiring and promotions, limiting their career advancement and economic opportunities. Root causes of gender gaps in these sectors include socio-cultural norms and biases, limited access to education and training opportunities, and limited access to finance and productive resources. Women's roles as caregivers and household managers also often limit their ability to participate in the formal workforce.
- Efforts to improve gender equity in these sectors include policy and legal frameworks such as Ghana's National Gender Policy, which seeks to promote gender equality in all sectors of the economy. The government of Ghana also launched the Women in Energy, Climate and Leadership Initiative in 2020 to increase women's participation in the energy sector. Additionally, civil society organizations such as the African Women's Development Fund (AWDF) provide training and support for women entrepreneurs in the manufacturing and agricultural sectors, helping to improve their access to finance and markets.

Women in Mobility and Logistics in Ghana⁴⁸

- Gender equity in the mobility and logistics sectors in Ghana faces some challenges, with women being disproportionately affected. According to a study by the Ghanaian Ministry of Transport, women are underrepresented in the transport sector, constituting only about 10% of the workforce. The study found that women in Ghana face social and cultural barriers to accessing transportation, such as restrictions on their mobility due to societal expectations of women's roles as caregivers and concerns for their safety while travelling. Women are also more likely to

⁴⁶ African Development Bank. (2017). AfDB, UNDP partner to promote gender equality in Africa's energy sector

⁴⁷ "Gender and productive use of energy in Ghana" report by the United Nations Development Programme (UNDP) and the Energy Commission of Ghana (ECG)

⁴⁸ GIZ. 2018. Women in Transport in Ghana: Analysis of the Role and Status of Women in the Transport Sector.

<https://www.giz.de/en/worldwide/69060.html> ; Ghana Business News. 2020. Advancing gender equity in Ghana's transport sector. Accessed here



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use public transportation and walk as opposed to owning and driving their own vehicles due to financial constraints.

- Data on two-wheeler motor vehicle ownership and use is not readily available. However, studies indicate that motorcycles are commonly used for commercial purposes, such as transport of goods and passengers, and that women are underrepresented in this industry due to barriers to ownership and operation. Women are more likely to be employed in the informal sector and work as motorcycle passengers or vendors rather than as riders or owners of the vehicles.

Vulnerability to Climate change and needs of the beneficiaries.

- While climate change poses serious environmental hazards to all. Research has shown that perceptions and knowledge regarding the causes and impacts of these hazards are differentiated by gender, age, educational status, and place-based variables, with women generally showing a lower level of awareness about climate change than their male counterparts.
- The results indicate further that irrespective of age, educational attainment and where people live, women were found to be overall more vulnerable, despite experiencing similar levels of exposure as the men, by virtue of their limited access to productive resources, poor conditions of housing, low participation in adaptation decision-making, as well as the heavy domestic responsibilities placed on them.
- Ghana currently relies heavily on hydropower, with three plants composing 41 percent of Ghana's available electric capacity. Ghana's primary energy supply comes from petroleum, biomass, and hydropower.
- In terms of cooking, biomass is the main source of energy for cooking and heating in households. Wood and charcoal are the dominant sources of cooking fuel for households in Ghana. Close to one-third of households in Ghana use charcoal as their main fuel for cooking. The next most predominant fuel for cooking is wood, accounting for 33.3 percent of households. Other energy sources used by households for cooking include LPG, electricity, kerosene, crop residues, sawdust, and animal waste. Rural households primarily use wood for cooking (63.0 percent). Gas and charcoal are more prevalent in urban coastal (50.2 percent) and urban savannah (48.2 percent) households. Wood (81.6 percent) and crop residues (3.4 percent) are more prevalent in rural savannah households for cooking than in the other ecological zones. Wood is the most common energy source for cooking in the Upper West, Northern, Volta and Brong Ahafo regions. The depletion of forest wood from unsustainable exploitation means women and girls walk longer distances to fetch firewood for cooking and for charcoal production.

5. Zambia

- Zambia has a population of 18.3M people 55% of that being rural, as of 2020. The GDP in the same year was \$18.1B, with 3.0% real contraction. (World Bank) GHG emissions measured in the prior year totalled 91.4MT.
- Zambia was ranked 82 out of 120 in the 2019 Social Institutions and Gender Index with a score of 0.348 and 62 out of 146 in the 2022 Global Gender Gap Index with a score of 0.723. Zambia also ranked 131 out of 162 countries on the Gender Inequality Index, with a score of .540. As of December 2020, only 41.8% of indicators needed to monitor the SDGs from a gender perspective were available, with gaps in key areas, in particular: unpaid care and domestic work and information and communications technology skills.



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- Zambia is a signatory to various gender-related international conventions, including the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW), the Beijing Declaration and Platform for Action, and the Sustainable Development Goals (SDGs). Zambia has taken steps to integrate these conventions and goals into its national policy frameworks, including the 7th National Development Plan (2017-2021) and the National Gender Policy. The 7th National Development Plan has a focus on gender equality and women's empowerment, with specific targets related to increasing women's representation in decision-making positions and reducing gender-based violence. The National Gender Policy seeks to mainstream gender in all sectors and promote women's empowerment through increased access to resources and opportunities.
- Additionally, Zambia has established a Ministry of Gender to lead and coordinate gender-related initiatives and mainstream gender in all government policies and programs. The country has also implemented various programs aimed at promoting gender equality and women's empowerment, including the Girls' Education and Women's Empowerment and Livelihoods (GEWEL) program, which aims to increase girls' enrolment and retention in schools and improve economic opportunities for women in targeted districts.
- Gender-based violence (GBV) is characterized by high rates of physical, sexual, and psychological harm. According to a study conducted by the Zambia Demographic and Health Survey (ZDHS) in 2018, 46% of women aged 15-49 in Zambia have experienced physical violence, and 22% have experienced sexual violence. The same ZDHS report found that 42% of women have experienced emotional violence, such as being insulted or belittled, and 13% have experienced economic violence, such as having their income taken away or being prevented from working. The Zambian government has implemented several policies and programs aimed at addressing GBV, including the Anti-Gender-Based Violence Act of 2011, which criminalizes various forms of violence against women and girls, and the National Strategy on Gender-Based Violence (2019-2023), which aims to prevent and respond to GBV through various measures, including awareness-raising, survivor support services, and law enforcement.
- Civil society organizations have also been active in addressing GBV in Zambia. For example, the Zambia Police Victim Support Unit (VSU) works closely with non-governmental organizations (NGOs) to provide services to survivors of GBV, such as counselling and legal support.
- The legal framework in Zambia provides legal protection from sexual harassment. It is reported that Zambia has the highest rate of sexual harassment in the workplace among Southern African Development Community countries (SADC, 2014).

Country Statistics

 Zambia gender statistics	
Population	18.3M
Poverty rate	66%
Social Institutions and Gender Index (SIGI)	0.348
Gender Inequality Index	0.540
Maternal Mortality rate (deaths per 100,000 live births)	213



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Adolescent birth rate (births per 1,000 women ages 15–19)	117	
Infant mortality rate (deaths per 1,000 live births)	39.4	
	Female	Male
Adult literacy rate (population with secondary ed.)	47.1	56.8
Labour force participation rate (% ages 15 and older)	69.2	77.8
Political participation rate (% women holding share of seats in parliament)	15.1	84.9
Life expectancy	65.4	60.08

Political participation

- Women have the same rights as men to vote and run for election in Zambia. Yet Zambia ranks 126th in terms of women's political participation, only 16.8% (28 out of 167) of its parliamentarians are women. The government cites the lack of quotas as a contributor to the low level of women participating in decision-making and leadership positions.

Labour force participation

- Zambia is a lower middle-income country with one of the highest rates of income inequality in the world. 58% Zambians earn less than the international poverty line of \$1.90 per day (compared to 41% across Sub-Saharan Africa) and three quarters of the poor live in rural areas.
- As one of Sub-Saharan Africa's most urbanised economies, it is dominated by the services and manufacturing sector, notably copper mining and processing, and construction. 71.26% of adult women are employed (23rd out of the 118 low and middle-income countries reporting data in 2019), and women make up 48.3% of the overall labour force.
- Zambian women are most likely to work in low-income, informal occupations. 54% of employed women work in agriculture, compared to 44% of all men. 42% of employed women and men work in the services sector. In addition to agriculture, many women, especially those in the urban areas engage in micro and small businesses which are characterised by informality. An employment survey in Zambia in 2014 reported that 84% of female employment is in the informal sector with the majority of women running unregistered businesses. This informality means that they have limited access to information, training and finance that would help them grow their businesses.
- Zambia's statutes grant women full legal rights before the law, however parallel customary and religious legal regimes do not always recognize the rights of women to own or inherit land and other assets.

	Female
Labour force participation rate (% ages 15 and older)	69%
Employees, agriculture (% of female employment)	55%
Employees, industry (% of female employment)	4%
Employment in services (% of female employment)	41%



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Self-employed (% of females employed)	82.2%
Employers (% of female employment)	0.2%
Vulnerable employment (2000-2016) (% of female adult population)	82%
Employment rate in the informal economy (% of female adult population)	13.8%
Professional and technical workers (% of female total)*	13%
Proportion of firms with female top manager*	79%
Managers, professional and technicians (% female)*	213

Access to financial resources/knowledge and skills/other

- There has been considerable progress in reducing the financial access gender gap in Zambia. The Bank of Zambia began to consistently measure financial inclusion with a special focus on women over a decade ago. Results of these surveys indicate an increase in financial inclusion of women, partially explained by an increase in the use of mobile money. It is estimated that 58.5 percent of women are now financially included, compared to 33.3 percent in 2015. The gender gap in access to formal financial services has come down to 5.8 percent in 2020 from 9.9 percent in 2015, demonstrating commendable progress.
- However, this progress needs to be maintained to fully close the gap.

Barriers facing women headed households, youth, the elderly and other traditionally marginalized groups in Zambia

- The lack of infrastructure and affordable transportation options in rural areas, where many of the marginalized groups reside, make it difficult to access education, health care, and economic opportunities. High unemployment rates among youth also limit their ability to purchase and maintain their own transportation.
- Moreover, the elderly often lack access to proper transportation and mobility aids, limiting their mobility and independence. Women, particularly those in rural areas, also face gender-based barriers, including limited access to financing and restrictive gender roles. According to the World Bank⁴⁹, these barriers to mobility and energy access disproportionately affect women, youth, and low-income households in Zambia.

Women in energy in Zambia⁵⁰

- The participation of women in the energy sector value chain in Zambia is very limited, especially as entrepreneurs or business leaders in renewable energy. In terms of energy access, the majority rural population is especially energy poor – over 90% of rural Zambians are without access to energy. Poor women are especially constrained considering their role in the provision of cooking energy and productive uses of energy for rural enterprises. Yet evidence shows that women's experiences and knowledge are critical in addressing climate change. They have extensive knowledge on weather patterns, ecosystems, and management of natural resources.

⁴⁹ World Bank. (2017). "Zambia - Transport and Energy Pathways to Greater Economic Growth" [Retrieved from here](#)

⁵⁰ Power Africa: <https://www.usaid.gov/powerafrica>; International Finance Corporation: <https://www.ifc.org/>; Zambia Renewable Energy Association: <https://zarea.org.zm/>; Zambia Energy Sector Performance Report (2019): [here](#); Gender and Renewable Energy in Zambia: [here](#)



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- Whilst there is limited data and analysis available on gender equity in the renewable energy sector in Zambia, it is known that the energy sector in Zambia is male dominated, with women underrepresented in both technical and non-technical roles. According to a report by the Zambia Renewable Energy Agency, only 20% of employees in the energy sector are women. This gender gap is also reflected in leadership positions, with women being underrepresented in top management roles. Root causes of the gender gap in the renewable energy sector in Zambia are similar to those found in other African countries. These include social norms and cultural stereotypes that discourage women from pursuing careers in STEM fields and technical occupations; Lack of access to education and training for women, particularly in rural areas; Gender bias and discrimination in recruitment, hiring, and promotion; Lack of support for women entrepreneurs in the renewable energy sector.

Women in Energy productivity in Zambia

- According to a report by the United Nations Development Programme (UNDP)⁵¹ and the Global Environment Facility (GEF), women in Zambia are often excluded from decision-making processes, lack access to finance and credit facilities, and face limited access to productive resources such as land and technology. In the energy sector, women are underrepresented in both technical and managerial roles.
- In the agricultural sector, women play a crucial role in crop production and livestock management, yet they often have limited access to productive resources such as land, credit, and inputs. According to a report by the International Food Policy Research Institute (IFPRI), women in Zambia face social and cultural barriers that limit their access to and control over productive resources, including land, which is often held by men. Women also lack access to extension services, technology, and credit facilities.
- In the manufacturing sector, women are also underrepresented, particularly in technical and managerial roles. According to a report by the International Finance Corporation (IFC), women in Zambia face several challenges, including limited access to education and training, cultural and social biases, and discriminatory practices that limit their ability to participate and advance in the manufacturing sector.

Women in Mobility and Logistics in Zambia⁵²

- The transportation sector in Zambia, particularly the informal sector, has traditionally been male dominated, with women accounting for only a small fraction of operators and workers. The lack of access to financing and capital, as well as cultural and social norms, are among the root causes of gender gaps in the sector. Women are often excluded from training programs and do not have access to information and resources necessary to enter the sector. Additionally, women often face discrimination and harassment on the job. Data from the Zambia Transport Sector Improvement Project indicates that only 10% of registered commercial vehicle owners are women, and women account for only 4% of registered taxi drivers. Furthermore, a study by the International Labour Organization (ILO) found that women in the transport sector in Zambia tend

⁵¹ Gender and Productive Use of Energy in Zambia" report by the United Nations Development Programme (UNDP) and the Energy Regulation Board (ERB)

⁵² Women in the Transport Sector in Zambia: A Situation Analysis" report by the International Labour Organization; "Gender Assessment of Zambia's Transport Sector" report by the World Bank; Zambia Women in Transport Network (ZAMWIT) website



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to earn less than men, with women making up only 20% of transport workers and earning only 60-70% of men's wages.

- Efforts to address gender gaps in the transportation sector in Zambia include the creation of training programs to provide women with the skills and knowledge necessary to enter the sector. For example, the Zambia Women in Transport Network provides training and support to women seeking to enter the sector.

Vulnerability to Climate change and needs of the beneficiaries.

- Agriculture constitutes 9% of the GDP of Zambia and is the primary source of livelihood of the rural population. Reduced productivity of arable and pastoral farming, caused by drought, waterlogging of fields, heat-stress of livestock, and increased disease is likely to reduce the revenues that can be made from agriculture. It is estimated that the total average annual loss in the agricultural sector will increase from 29 to 180 million USD by the end of the century. This will disproportionately impact women's livelihood as they are significantly represented in agriculture.
- Most of the agriculture in Zambia is small-scale and subsistence in nature, with women travelling to markets to sell their goods. Direct impacts of climate change are likely to impact these operations particularly badly as they lack the ability to adapt to climate change (such as installing groundwater irrigation of crops during droughts) or to take on alternative livelihoods if crops fail.

Cluster B Countries: DRC, Uganda, Nigeria, Senegal, and Côte d'Ivoire

6. Democratic Republic of Congo (DRC)

- The Democratic Republic of Congo (DRC)⁵³ is the largest country in Sub-Saharan Africa (SSA) in terms of land surface area. DRC is endowed with exceptional natural resources, including minerals such as cobalt and copper, hydropower potential, significant arable land, immense biodiversity, and the world's second-largest rainforest. However, most people in DRC have not benefited from this wealth. A long history of conflict, political upheaval and instability, and authoritarian rule have led to a grave, ongoing humanitarian crisis. In addition, there has been forced displacement of populations. These features have not changed significantly since the end of the Congo Wars in 2003.
- The DRC has one of the lowest electrification rates in the world and a HDI ranking of 179/188 (in 2021); and a Gender Inequality Index valued at 0.6. A SIGI Value of 0.395 highlights high gender inequality reflecting a discriminatory family code, inequality in physical integrity, limited access to resources and assets, and lack of freedom as a citizen. The statistics are further highlighted below:

Country Statistics



DRC gender statistics

⁵³ JICA [DRC Country Gender Profile 2020](#) UN Women [DRC factsheet](#); [UNDP Human Development Reports 2021](#); [OECD SIGI INDEX 2019](#); [AfDB Gender Databook 2019](#); World bank ILO data portal; USAID East Africa gender Factsheet



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Population	92.3M	
Poverty rate	64%	
Social Institutions and Gender Index (SIGI)	39.5	
Gender Inequality Index	0.506	
Maternal Mortality rate (deaths per 100,000 live births)	473	
Adolescent birth rate (births per 1,000 women ages 15–19)	109	
Infant mortality rate (deaths per 1,000 live births)	32	
	Female	Male
Adult literacy rate (population with secondary ed.)	40.3	69.1
Labour force participation rate (% ages 15 and older)	61.2	69.1
Political participation rate (% women holding share of seats in parliament)	14.3	85.7
Life expectancy	62.5	65

- The Democratic Republic of the Congo (DRC) is a signatory of several gender-related international conventions, including the Convention on the Elimination of All Forms of Discrimination against Women (CEDAW), the Beijing Declaration and Platform for Action, and the African Union Protocol on the Rights of Women in Africa.
- The country has taken steps to integrate these conventions and goals into its national policies, including the National Gender Policy (2008) and the National Strategy for the Advancement of Women (2010-2015). The National Gender Policy aims to promote gender equality and women's empowerment across all sectors of society, while the National Strategy for the Advancement of Women seeks to increase women's participation in decision-making processes and eliminate all forms of violence against women. Despite these efforts, challenges remain in implementing these policies and ensuring gender equity in the country. These challenges include limited resources and capacity, as well as social and cultural norms that perpetuate gender inequality.⁵⁴
- Gender-based violence (GBV) is a pervasive issue in the Democratic Republic of Congo (DRC). According to the United Nations Population Fund (UNFPA), two-thirds of Congolese women have experienced some form of GBV in their lifetime. The DRC government has made some efforts to address GBV through policy and legislative measures. The country's Family Code, adopted in 1987 and revised in 2016, provides legal protection against GBV and sexual violence. The 2006 Law on Sexual Violence criminalizes sexual violence, including rape, and provides for harsh penalties for perpetrators. In addition, the National Strategy for Combating GBV (2014-2017) aimed to strengthen the government's response to GBV, including through prevention, protection, and provision of services for survivors. However the situation remains dire, experts have noted

⁵⁴ United Nations Development Programme. (2019). Democratic Republic of the Congo: Gender Equality Profile. https://www.undp.org/content/dam/rba/docs/Gender%20equality%20profiles/Congo_Democratic_Republic_of_the_Gender_Equality_Profile.pdf



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the limited resources of women experiencing gender-based violence (GBV). 48% of women in the Democratic Republic of the Congo have to walk for more than an hour to reach a health facility.⁵⁵

- Insecurity in eastern DRC has led to conflict-related sexual violence. In 2020, the UN Organization Stabilization Mission in the Democratic Republic of the Congo documented over 1,000 cases of conflict-related sexual violence.⁵⁶
- Some organizations, including a coalition of civil society organizations, have noted a “widespread phenomenon” of domestic violence across the country. One report shared that sexual violence against women and girls in the DRC is considered endemic. According to a report by Women's International League for Peace and Freedom, there is no law explicitly prohibiting domestic violence.⁵⁷

Political participation

- Political participation of women is limited - following Ordinance No. 17/025 establishing the powers of ministries, there have been 5 women, or 10.8% of the 46 members of the Government; in the National Assembly, there are only 49 women out of 500 elected deputies; and the Senate has six women out of 108 senators. The 2015 revision of the electoral law dropped the 30% quota for women, which could be viewed as a challenge to increasing women's political participation. The provincial and local level has even lower representation of women in political, economic, and administrative affairs.
- The fragile political situation in the DRC as a result of longstanding conflict has contributed to the majority of the population being faced with limited access to education, health and employment opportunities. Economic and social inequality among the population continues to widen with ~64% living under the poverty line. Strong male-dominant gender norms determine gender relations in the country. While discriminatory legislation has been revised (specifically the Family Code revised in 2016 – which stipulated that men are the head of the household and women were obligated to obey them), traditional gender norms and harmful practices such as early and forced marriage still exist with a >30% rate of girls in the country married between the age of 15 and 18, and high adolescent birth rates.

Labour force participation

- The DRC has a population of 92.3M, with a female labour participation of 61% (2021). The country has a maternal mortality ratio of 473 deaths/100,000 live births (2021). The female population with at least some secondary education (age 25 and older) was 40% indicating a relatively high literacy rate that should support access to employment opportunities.
- Most of the employment is in agriculture and services, constituting 77% and 19% of the population in employment, respectively. Women have less access to skilled jobs compared to men, with the highest participation of women in the agricultural sector (~77% female employment), micro businesses and the informal sector. In 2014, it was reported that women's unemployment rate was 6.7% compared to 9.4% for men, and only 45.3% of the population aged between 15 and 24 years was economically active. Among 15–24-year-olds, the female-male

⁵⁵ World Bank (2020) Eliminating Violence Against Women: The Case of Democratic Republic of Congo; accessed [HERE](#)

⁵⁶ United Nations Office of the Special Representative of the Secretary-General on Sexual Violence in Conflict, Democratic Republic of the Congo (2021), accessed [HERE](#).

⁵⁷ Responses to Information Requests – Immigration and Refugee Board of Canada (2021); accessed [HERE](#).



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ratio of unemployment was 104.8% - due to existing disparities; young women are more affected by unemployment than young men. It is estimated that only 2.8% of salaried workers are women.

- 91.5% of women are self-employed with over 90% of the female population estimated to be in vulnerable employment which is defined as contributing family workers and own-account workers as a percentage of total employment. This is driven by multiple factors including strong patriarchal structures. For instance: as highlighted above, before 2016, Congolese women could not complete any legally binding acts without the authorization of her husband. From the enactment of the first Family Code in 1987 until its revision in 2016, a woman's right to choose where to live, sign a contract, get a job, and open a bank account were restricted and she was legally required to obey her husband. Despite the legal revision, prevailing gendered norms still place men's role as the breadwinner with many not approving of women working outside of the home.

	Female
Labour force participation rate (% ages 15 and older)	61%
Employees, agriculture (% of female employment)	76.8%
Employees, industry (% of female employment)	4.4%
Employment in services (% of female employment)	18.9%
Self-employed (% of females employed)	91.5%
Employers (% of female employment)	1.1%
Vulnerable employment (2000-2016) (% of female adult population)	90.4%
Employment rate in the informal economy (% of female adult population)	n/a
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager*	n/a
Managers, professional and technicians (% female)*	n/a

Access to financial resources/knowledge and skills/other

- Gender norms restrict women's access to resources and assets – for example, assets obtained within marriage are registered under the husband's name, and regarded as assets of the husband, his parents, and brothers. Legally, marital property is administered by the husband, and women and men do not have equal ownership rights to immovable property. Women can inherit according to the law, but they cannot own a house due to prevailing social norms. Women are not legally recognized to be heads of households, and there is no prohibition on discrimination based on marital status in access to credit.
- Legally, there should not be any discrimination based on gender for the right to land concessions, but attitudes and customs tend to discriminate against women. Despite the nationalisation of all land and introduction of formal legislation governing land use rights, a significant percentage of land remains under customary law. Women, especially those who are married thus have limited access to land, and even though women make up the majority of the agriculture labour force – ownership remains held by men in most instances.



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- Further, women are not able to make productive investments for productive assets, such as improved inputs, technologies, seeds, and fertilisers, as their incomes are controlled by men which keeps their productivity low. Limited access to resources and assets increases women's energy poverty – and women as both consumers and suppliers of energy remain invisible in the sector. Energy access rates of women tend to be lower than that of men due to disproportionate access and consumption.
- More than 95% of the DRC population is unbanked – compared to the continental average of 76%. Such an underdeveloped banking sector makes domestic credit scarce and expensive - particularly for micro, small, and medium enterprises – in 2013, only 7% of Congolese firms used banks to finance investment. Further, The Family Code, which was revised in 2017, forbade women from opening bank accounts without prior consent from men. And while this has been repealed, norms and attitudes will inevitably take long to change, and we expect that the barriers experienced by women continue to exist.

Women in energy in the Democratic Republic of Congo

- The participation of women and youth across the energy value chain is extremely limited – sector policies do not address the challenges they face, and barriers such as lack of access to credit and training limit the possibilities for women and youth to develop and use clean energy or low carbon technologies and clean cooking solutions.
- The proposed KawiSafi Fund II aims to improve the DRC's social and economic development by reducing energy poverty in rural areas. Energy encompasses all productive, subsistence and leisure activities - but women and men do not have equal access to energy due to gender-defined roles in energy production, distribution and use in households, communities, and the private sector. Women and youth can play a crucial role in energy production, distribution and use if they are given the requisite access to finance, skills, and capacity and an enabling environment to participate in the sector. Promoting the use of clean cooking solutions would decrease the time burden faced by women and girls; and positively impact public health, income generating opportunities, education, environmental management, and gender equality.

Women in Energy Productivity in the DRC

- Researchers found that female farmers face far more barriers than their male counterparts in the DRC, which leads to greater food insecurity and poverty. Women farmers have limited income and, as a result, have less access to agricultural inputs and productive use technologies. Some of the barriers to productive use technologies come from gender norms relegating female farming to the informal sector and some come from issues across genders including weak transportation infrastructure, limited access to information systems about the market, and difficult climate trends.⁵⁸
- Men and women farmers in the DRC experience the negative impacts of climate change. Some researchers noted that women appear to be less adaptive to climate change than men due to resource constraints and less access to information. In one study, researchers found that women farmers in DRC were more likely to rely on indigenous knowledge of the local environment.⁵⁹

Women in Mobility and Logistics in DRC

⁵⁸ Open Journal of Social Sciences (2022) Challenges Faced by Congolese Women Farmers to Access Agricultural Productive Resources: A Review

⁵⁹ Climate Risk Management (2023) Understanding farmers' perception of climate change and adaptation practices in the marshlands of South Kivu, Democratic Republic of Congo



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- There is limited information on gendered aspects of mobility and logistics. Some researchers have noted that travel is not safe for women in DRC. Additionally, rural women are hindered by limited transportation infrastructure meaning that travel would be either cost prohibitive or overly burdensome. More research is needed on female engagement in the transportation sector.

Vulnerability to Climate change and needs of the beneficiaries

- While there is limited data on % of women in professional roles, 91.5% of women are reported to be self-employed while over 90% are in vulnerable employment indicating a lack of female penetration in most professional formal settings.
- Further, the disparity in the average wage/income (USD) between men and women remains high at \$8.6 and \$27.6 for women and men respectively, further entrenching adverse power dynamics for women in the country.
- Despite efforts towards electrification in the last decade (from 11% in 2009 to 19% in 2017), the DRC is the second country in Africa for the most people without grid electricity access (68 million people), after Nigeria. This is most striking in rural areas, where access to energy is estimated at 1%. Energy poverty is attributed to factors such as cost tariffs, poor utility performance and lack of financial viability, compounded by governance issues. (GOGLA Country Brief)
- The investment needs of the power sector exceed the government's fiscal capacity, and private capital is needed to meet the funding gap, especially after the COVID-19 pandemic. Furthermore, the high degree of the country's fragility – weak governance, conflict and security issues and poor transport infrastructure – continues to lead to underinvestment in the national grid and urgency of alternative decentralised solutions. Meanwhile, only 3% of the population has access to clean cooking solutions, meaning 115 million people lack access, representing another critical area for investment.

7. Uganda

- Uganda is a low-income country in East Africa with a total population of 45.7 million people, GDP per capita of \$817 and poverty rate of 42%. Uganda is included in KawiSafi's Country Archetype 1: Replicate proven energy access model, composed of frontier markets with strong development potential to leapfrog from fossil-fuel grids to clean economy-wide development. Archetype 1 countries fall behind the rest of Sub-Saharan Africa on key poverty and energy-related indicators. Energy access is only 27% in Uganda and is a key driver of economic growth and poverty reduction, without which countries will struggle to meet their development goals. There is a strong case to invest in basic clean energy solutions – such as off-grid solar and clean cooking stoves – that have proven success in neighbouring countries and could be replicated in the same fashion in these nascent markets.
- Uganda was ranked 99 out of 120 in the 2019 Social Institutions and Gender Index with a score of 0.451 and 61 out of 146 in the 2022 Global Gender Gap Index with a score of 0.724.
- Uganda is a signatory to various gender-related international conventions, including the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW) and the Beijing Declaration and Platform for Action. The Ugandan government has made efforts to integrate these conventions into national policy through the development of various policies and strategies, including the National Policy on Gender Equality and Women's Empowerment, the National Action Plan on Women, Peace and Security, and the Gender in Education Policy. These policies aim to address gender inequalities and discrimination in various sectors, including



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education, health, employment, and political participation. In addition, civil society organizations have played a crucial role in advocating for the implementation of these policies and in promoting gender equality in Uganda.⁶⁰

- There is currently no stand-alone legislation that addresses sexual harassment. Sexual harassment continues to be widely reported in schools, workplaces, hospitals and other public places (OECD Uganda SIGI, 2014). Article 7 of the Employment Act 2007 addresses sexual harassment in the workplace but as noted by the CEDAW in their 2010 Concluding Observations, the article is limited to an employer or an employer representative and only requires positive actions to be taken by an employer if there are more than 25 employees (CEDAW, 2010).

Country Statistics

 Uganda gender statistics		
Population	45.7M	
Poverty rate	42%	
Social Institutions and Gender Index (SIGI)	99	
Gender Inequality Index	0.530	
Maternal Mortality rate (deaths per 100,000 live births)	375	
Adolescent birth rate (births per 1,000 women ages 15–19)	107.9	
Infant mortality rate (deaths per 1,000 live births)	39	
	Female	Male
Adult literacy rate (population with secondary ed.)	29.3	36.3
Labour force participation rate (% ages 15 and older)	64.2	71.3
Political participation rate (% women holding share of seats in parliament)	33.8	66.2
Life expectancy	65	62.85

- Recorded incidents of gender-based violence (GBV) in Uganda are high. According to the UN Women Global Database on Violence against Women, 49.9% of women experienced lifetime physical and/or sexual intimate partner violence. 29.9% of women in Uganda experienced physical and/or sexual intimate partner violence in the last 12 months. That said, many researchers note that women under-report GBV incidents due to social pressures and gender norms.⁶¹

⁶⁰ Government of Uganda. (2007). National Policy on Gender Equality and Women's Empowerment. Retrieved from <http://www.gender.go.ug/documents/national-policy-gender-equality-and-womens-empowerment-2007>

Government of Uganda. (2010). National Action Plan on Women, Peace and Security. Retrieved from <http://www.wougnet.org/Docs/Uganda%20National%20Action%20Plan%20on%20Women%20Peace%20and%20Security.pdf>
Ministry of Education and Sports. (2007). Gender in Education Policy. Retrieved from http://www.unicef.org/uganda/Gender_Policy_English.pdf

⁶¹ UN Women Global Database on Violence against Women (2019) Uganda report, accessed [HERE](#).



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- Violence against women has recently taken new, more sophisticated forms. An increasing number of women are, for instance, reporting cyber-bullying and abuse through social media and smartphones.⁶²

Political participation

- In Uganda, women have the same rights to vote and stand for election as men, and the Constitution guarantees women's participation in political life by reserving one seat for women in each of the country's 39 electoral districts.
- Women parliamentarians are elected through separate women's elections in addition to the constituency MPs who are elected through a first past the post system. 34.9% (160 out of 459) members of Uganda's unicameral legislature are women, 93% of them were elected through reserved seats.

Labour force participation

- According to the World Bank, 49.3% of the labour force is female. Uganda is one of the poorest countries in the world, with a GDP of under \$30bn dollars, and one in five of its citizens still living in extreme poverty.
- 68% of adult women are employed (30th out of the 118 low and middle-income countries reporting data in 2019), and women make up 49.3% of the overall labour force. They are most likely to work in low-income, informal occupations. Women account for 75% of agricultural workers and nearly 42% of women in the workforce are unpaid family workers.

	Female
Labour force participation rate (% ages 15 and older)	64%
Employees, agriculture (% of female employment)	77%
Employees, industry (% of female employment)	3%
Employment in services (% of female employment)	20%
Self-employed (% of females employed)	83.3
Employers (% of female employment)	3.4%
Vulnerable employment (2000-2016) (% of female adult population)	80%
Employment rate in the informal economy (% of female adult population)	3.7%
Professional and technical workers (% of female total)*	15.0%
Proportion of firms with female top manager*	24%
Managers, professional and technicians (% female)*	37.5

Access to financial resources/knowledge and skills/other

- In Uganda, girls are particularly under-represented in science, technology, engineering and mathematics (STEM) education leading to lower capacity in these career fields including engineering. There is low enrolment, poor performance, and high numbers of dropouts. In 2014,

⁶² UN (2017) Uganda: Violence against women unabated despite laws and policies



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a government report revealed a severe drop between 2009 and 2014 in the percentage of girls passing biology and mathematics examinations specifically. This gender gap reduces the number of women who pursue STEM careers such as engineering. For instance, currently less than 30% of science researchers in Uganda are women. While the Ugandan Government has put measures in place in response to this gap, such as the 2018 Gender in Education Policy, the performance of girls and women in national STEM examinations continues to be poorer than that of boys and men.

- This has been attributed to gender bias amongst teachers which is a significant barrier to achieving gender equality as teachers play a pivotal role in setting classroom norms and attitudes. There is now a push in Uganda to provide continuous professional development for teachers to improve their teaching quality, gender responsiveness, and inclusiveness, especially related to girls and STEM subjects.⁶³
- On access to financial services, a study by FSD Uganda⁶⁴ highlights that there is hardly a gender gap between men and women accessing financial services in Uganda. However, women are shown to be more likely to be served by informal channels. While these provide savings and credit services; they are also likely to be more expensive than formal channels and their informal structures create opportunities for exploitation. Women excluded from formal financial services also tend to have less capacity to meet KYC requirements of formal channels than those who currently access financial services. They are also less likely to own a mobile phone or have access to the internet (only 12% of excluded women have a phone, and only 1% have internet access).

Women in energy in Uganda⁶⁵

- Adequate representation of females and males in the workplace is vital for achieving institutional gender equality norms. The Ministry of Energy in Uganda is male dominated, with only approximately 30% female staff, and working mostly in the lower echelons of the ministry's structures and administrative roles (EOC, 2018). However, women are making inroads into the management of the sector:
 - ✓ 2 of the 3 ministers are women (a minister and a minister of State).
 - ✓ 2 of the 3 directors are women.
 - ✓ 3 of the 10 department heads are women.
 - ✓ 4 of the 11 CEOs of affiliated agencies are women.
- Gender-disaggregated data from private companies in the energy sector is not readily available. Women's limited representation in the energy sector is partly attributed to the limited number of women engaging in STEM courses as highlighted above.

Women in Energy Productivity in Uganda

- The use of OGS for productive uses varies for women, men, youth and PLWD due to differences in opportunities, access and control over resources and decision-making power at individual, household and enterprise levels. There is low awareness of OGS for PUE, particularly in the rural

⁶³ UNESCO, 2021 report Accessed [here](#) in February 2023

⁶⁴ FinScope, 2018 Financial Sector Deepening Uganda. Accessed [here](#)

⁶⁵ Mpagi, J., Kooijman, A. (2020). Gender and energy country briefs – Uganda, ENERGIA



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areas, and among PLWD. Studies revealed that there are gender disparities in affordability of OGS for PUE between male and female owned businesses.⁶⁶

Women in Mobility and Logistics in Uganda

- Women generally have poor access to public transport, complex mobility patterns, less time so traffic congestion is more impactful, and less access to employment in urban transport and associated industries.
- Women have been intentionally included in the development of the transportation sector, road infrastructure, and travel in Uganda. Researchers at the UNDP recommend gender mainstreaming as an important component for future road and transportation work. Additionally, public and private sector transportation leaders need to better understand the needs and opportunities of female customers.⁶⁷

Vulnerability to Climate change and needs of beneficiaries.

- In terms of access to electricity, the national household surveys indicate that a slightly higher percentage of male-headed households (52.4%) than of female-headed ones (48.4%) have access to the grid or other sources of electricity, and that differences are more pronounced in rural households. More male-headed households (66%) can access the national grid than female-headed ones (58%).
- Data are lacking on women's participation in the energy value chain as entrepreneurs or as employees. However, throughout the country, women are involved in converting wood into charcoal and making briquettes from domestic and agricultural waste. The Uganda Energy Capitalization Credit Company encourages financial institutions to reserve 20% of the funds available for women clients.
- Key factors that account for the differences between women's and men's vulnerability to climate change risks include: gender-based differences in time use; access to assets and credit, treatment by formal institutions, which can constrain women's opportunities, limited access to policy discussions and decision making, and a lack of sex-disaggregated data for policy change.
- Half of Ugandan households (51%) access at least one form of electricity, with 24% having grid electricity (64% in urban areas). Slightly more (27%) rely on off-grid electricity (33% in rural areas).
- To increase energy access, the Uganda Government has set a target of achieving 100% access to clean energy by 2035 (Uganda Vision 2040). With increased solar usage, the use of kerosene lamps has declined from 58% to 28% between 2013 and 2017. Further, Uganda intends to reduce the share of biomass energy in cooking from 85% to 50% and, correspondingly, increase the proportion using clean energy for cooking from 15% to 50%. As part of this, Uganda is promoting the uptake of alternative and efficient cooking technologies including electric cooking, domestic and institutional biogas among others.
- Access to energy for productive uses Solar devices (35%) and grid electricity (33%) are the most common sources of electricity used by enterprises. 29% of businesses do not have access

⁶⁶ African Clean Energy (2021) Productive Use Potential and Sales of Off-Grid Solar to Women and Youth in Uganda, Accessed [HERE](#).

⁶⁷ UNDP (2016) Empowering Women and Youth through Road Infrastructure Development in Uganda, accessed [HERE](#).



to energy and the remainder use local grid and rechargeable batteries. However, affordability and power outages affect usage.⁶⁸

8. Nigeria

- Nigeria has the largest market in Africa with a population of over 206 million (2020). It is one of Africa's key oil producers, producing high-value, low-sulphur crude oil. The economy is heavily dependent on oil and has a GDP of USD 432.3B (2020). The country had an electrification rate of 55% (2020) and GHG emissions of 354.3MT in 2018. (World Bank). Nigeria's economy improved after the pandemic induced recession in 2020, but macroeconomic stability declined. Inflation is soaring and plunging millions of Nigerians into poverty because of global commodities shocks, the falling value of the currency, trade restrictions, and monetization of the deficit. Nigeria has also been unable to benefit from the rising oil prices since 2021 since oil output has reached historic lows and gasoline subsidies continue to eat up a growing portion of the country's gross oil revenues. 39% of Nigerians (83 million) in 2018 lived in poverty, and another 25% (53 million) were considered vulnerable. Between 2019 and 2024, there will be an additional 7.7 million Nigerians living in extreme poverty as population growth continues to exceed efforts to reduce poverty.
- Nigeria was ranked 101 out of 120 in the 2019 Social Institutions and Gender Index with a score of .460 and 123 out of 146 in the 2022 Global Gender Gap Index with a score of 0.639.
- Nigeria is a signatory to several gender-related international conventions, including the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW), the African Charter on Human and Peoples' Rights, the Protocol to the African Charter on Human and Peoples' Rights on the Rights of Women in Africa, and the Beijing Declaration and Platform for Action. These conventions have been integrated into national policies through the National Gender Policy of 2006 and the Violence Against Persons (Prohibition) Act of 2015, among others. The National Gender Policy seeks to promote gender equality and women's empowerment by mainstreaming gender considerations into all areas of national development, while the Violence Against Persons (Prohibition) Act criminalizes all forms of violence against persons, including physical, sexual, and psychological violence, and provides legal and institutional frameworks for combating such violence.
- Additionally, the Nigerian government has taken steps to integrate gender into its national development plans. For instance, the country's Vision 20:2020 plan includes gender-sensitive targets and indicators for poverty reduction, education, health, and political participation, while the National Economic Empowerment and Development Strategy (NEEDS) seeks to promote gender equality in economic and political spheres. The government has also established the National Gender Policy Implementation Committee and the National Gender-Based Violence Management Committee to oversee the implementation of gender-related policies and programs. However, despite these efforts, gender inequalities persist in Nigeria, particularly in terms of women's representation in leadership positions and access to education, health, and economic opportunities.
- At present, there is no law prohibiting sexual harassment, but state authorities may prosecute violent harassment under assault statutes (US Department of State, 2017). In Nigeria, sexual harassment is widespread where the practice of demanding sexual favours in exchange for

⁶⁸ Uganda Bureau of Statistics (UBOS) (2018). Energy for Rural Transformation (ERT III) Survey-Uganda Report



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employment or university grades was common practice (US Department of State, 2017; Centre for Reproductive Rights, 2016).

Country Statistics

Nigeria gender statistics		
Population	206M	
Poverty rate	39%	
Social Institutions and Gender Index (SIGI)	0.460	
Gender Inequality Index	0.680	
Maternal Mortality rate (deaths per 100,000 live births)	917	
Adolescent birth rate (births per 1,000 women ages 15–19)	101.7	
Infant mortality rate (deaths per 1,000 live births)	55	
	Female	Male
Adult literacy rate (population with secondary ed.)	40.4	55.3
Labour force participation rate (% ages 15 and older)	47.9	59.6
Political participation rate (% women holding share of seats in parliament)	4.5	95.5
Life expectancy	63	60

- Gender-based violence (GBV) is a pervasive problem in Nigeria and it is often underreported and impunity for perpetrators is high. A significant portion of women in Nigeria have experienced gender-based violence. Almost one in three (31%) women aged 15- 49 have experienced physical violence in Nigeria. Half of girl children who experienced sexual violence, experienced it at home. Root causes of GBV in Nigeria include gender inequality, harmful cultural practices, poverty, and weak legal frameworks. There have been efforts by the Nigerian government and civil society organizations to address GBV, including the adoption of the Violence Against Persons Prohibition (VAPP) Act in 2015, the establishment of sexual assault referral centers, and campaigns to raise awareness about the issue. However, implementation of these measures has been inadequate, and more needs to be done to prevent and respond to GBV in Nigeria.
- Gender-based violence occurs in both public and private spaces. 1 in 6 girls who are sexually abused experienced it at school. The 2nd most common location where girls report having experienced sexual abuse is the schools.⁶⁹

Political participation

- In Nigeria, women have the same rights to vote and stand for election as men, and the Constitution guarantees equal participation in political life (MCA's) are women.

⁶⁹ UNICEF, (2022), 16 Facts about Violence against Women and Girls in Nigeria; access [HERE](#).



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- Women remain poorly represented at the national level: 7.3% of senators (8 out of 109) are women, and just 3.6% of members of the House of Representatives (13 out of 358) are female. 7 out of 43 ministers in the national cabinet are women.

Labour force participation

- It has a middle-income, mixed economy, with high export earnings from oil and gas, but also a large, subsistence agricultural sector.
- 48% of adult women are employed (57th out of the 98 middle-income countries reporting data in 2019), and women make up 44.9% of the overall labour force.
- They are most likely to work in low-income, informal occupations. 24% of employed women work in agriculture, compared to 44% of all men.

	Female
Labour force participation rate (% ages 15 and older)	48%
Employees, agriculture (% of female employment)	24%
Employees, industry (% of female employment)	13%
Employment in services (% of female employment)	64%
Self-employed (% of females employed)	85.4%
Employers (% of female employment)	0.2%
Vulnerable employment (2000-2016) (% of female adult population)	85%
Employment rate in the informal economy (% of female adult population)	8.8%
Professional and technical workers (% of female total)*	14%
Proportion of firms with female top manager*	52%
Managers, professional and technicians (% female)*	917

Access to financial resources/knowledge and skills/other

- According to a study by the Gender Centre of Excellence,⁷⁰ formal financial inclusion remains low in Nigeria: ~3% percent of adult Nigerians have borrowed from formal sources, and 45% have a formal account at either a bank or microfinance institution (EFInA Access to Finance Survey 2020). The most common reasons for not having a formal account are negative perceptions of formal institutions, poor access to banks, or not having enough income for savings. This suggests that the broader ecosystem of formal financial services is not conducive toward inclusion—either through low demand or poor provision of the right financial products. However, despite low access levels across the board, it is estimated that 98% of Nigerian women are left out of formal credit markets, a statistic exacerbated by low education, limited decision-making power, and poor access, as with rural populations.
- As expected, gender norms and household dynamics can shape women's access to finance; and different segments (e.g., younger vs. older women) have unique financial preferences and

⁷⁰ Tanvi Jaluka (IPA), William Blackmon (IPA), Brian Mwesigwa (IPA), Jes Freemantle (CreditRegistry), and Jameelah Sharrieff-Ayedun (Credit Registry). Understanding Women's Access to Credit and Loans in Nigeria



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behaviours. For older women especially, more effort is required to instil trust in financial institutions, and require approaches that include face-to-face interactions, and services integrated within existing social networks.

Women in energy in Nigeria⁷¹

- The Nigerian distributed renewable energy (DRE) sector employed ~50,000 Nigerians in 2021, showing a fast recovery post-pandemic. The DRE sector is expected to continue its momentum; job growth is projected to be almost 25% per annum between 2021 and 2023, thereby recording nearly 75,000 jobs in 2023⁷². In addition, the number of direct DRE jobs is fast approaching that of the oil and gas sector, which is currently estimated at 65,000. The Solar home system (SHS) segment is the most dominant sector in terms of job creation, accounting for 95% of total direct employment in 2021.
- Various initiatives are emerging to support increased inclusion of women in the DRE sector. In Nigeria, Solar Sister recruits, trains and supports women to deliver clean energy directly to homes in rural communities. Over 86% of Solar Sister's staff consists of women energy managers, trainers, business coaches and technicians. Its business model is focused on building a women-driven last mile distribution network to bring energy access to underserved communities. It recruits, trains, and provides mentorship to African women to build sustainable businesses selling portable solar lamps, mobile phone chargers and clean cookstoves.
- These efforts are paying off, as it is reported that the participation rate of women in the DRE sector in Nigeria currently stands at 35%. This is a lower rate of women's participation than the overall economy in Nigeria, which currently stands at 44.2%. However, this percentage of women is higher than participation in oil and gas and is expected to grow to almost 40% by 2023.

Women in Energy Productivity in Nigeria

- Women smallholder farmers constitute 37% of the Nigerian labor force. They play a critical role in food and agricultural production as they account for much of the food produced for domestic consumption, and help drive food processing, marketing, and preservation. Much like many other KSVII markets, Nigerian women face similar agricultural constraints.
- USAID wrote in a report that if women had equitable access to finance, land, technology, and training as men that they can make meaningful contributions to eradicating poverty and hunger in Nigeria.
- Power Africa found that targeted marketing was needed to reach female farmers with productive use opportunities. Additional research from Power Africa also found that women disproportionately benefit from cold storage as they are involved in several important sectors for cold storage including fishing.⁷³

Women in Mobility and Logistics in Nigeria

- Women have had limited employment opportunities in the Nigerian transportation sector. Researchers have found that men discourage bus and truck owners from engaging their wives in transportation sectors. In addition, nursing mothers are not offered employment in the transportation sector. Most respondents agree that employers see women as inferior and do

⁷¹ Mpagi, J., Kooijman, A. (2020). Gender and energy country briefs – Uganda, ENERGIA

⁷² Power For All: Powering Jobs Census 2022 Nigeria

⁷³ Power Africa (2022) Nigeria Power Sector Program: Productive Use Cold Storage Systems in Nigeria, accessed [HERE](#).



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not fit in the transportation sector. Also, women are considered as not having the strength for an effective job. The low participation of women in the transport sector is a trend that has been gradually reversing around the world, thus, it is pertinent to address this gender bias experienced in Kogi state because its transportation sector has a high labor-absorption capacity.⁷⁴

Vulnerability to Climate change and needs of beneficiaries.

- Climate change has led to increased rainfall in southeast Nigeria, causing serious flooding. Women in the Amauzari community worked to channel floodwaters by building out drainage to combat gully erosion. They used sand-filling and landscaping to help reconstruct devastated farm roads, as well as reclaimed abandoned, eroded farmlands. Community members transformed impenetrable crust-lands into productive farmland by rebuilding the fertility of degraded soils through tree-planting, cover cropping, contour tillage, and cut-off drainage.
- More than 90 million Nigerians lack access to electricity. This figure represents 55% of the total population, placing Nigeria in the top three countries with the largest energy deficits in the world (along with Ethiopia and the Democratic Republic of Congo). In addition, close to 95 million people are fully reliant on traditional wood stoves for cooking. Energy infrastructure is unequally distributed throughout the country, following the typical urban-rural divide. While most power plants, transmission lines, and distribution lines are located around urban centres like Lagos, other parts of the country are isolated from the grid. As a result, less than 25% of Nigerians in rural areas have access to the grid. (Power for All).
- Despite strong grid coverage in urban areas, it is estimated that the majority of the Nigerian population with grid access suffer significant outages. According to the World Bank, Nigeria records the largest number and duration of grid power outages in Africa. This creates large constraints with those who can afford it turning to diesel back-up generators, which are costly and polluting.
- Women are the mainstream users and often producers of energy and also form the fastest growing cohort of entrepreneurs and business owners in the country. Women are therefore a key resource in the energy service delivery process though still underutilised. They are primarily viewed only as energy consumers even while it is the women that experience energy poverty much more severely than men. There is great opportunity for collaboration with women on both private sector and community energy projects that can contribute to ending energy poverty in the country.

9. Senegal

- Located in the westernmost part of the African continent, Senegal is bordered by Mauritania, Mali, Guinea, and Guinea-Bissau. Senegal enjoys a dry tropical climate and has a population of 16.7 million people (2020), a quarter of whom live in the Dakar area (0.3% of the territory), and with a total poverty rate of 32.9%. Senegal is one of the most stable countries in Africa, with three peaceful political transitions since independence in 1960. (World Bank)
- Senegal's GDP in 2020 stood at \$24.4 billion in current terms. Its per capita gross national income (GNI) was \$1,430 in 2020, making it a lower-middle-income country. Senegal's economy grew by more than 6% per year between 2014 and 2018. Real GDP growth stood at 0.87% in 2020, down from 4.4% in 2019, and 6.2% in 2018. (World Bank). The electricity access rate in Senegal is among the highest in Sub-Saharan Africa with a national access rate of 70%. There is however a great disparity between urban areas where 95% of households have electricity, and

⁷⁴ Okon (2017) Gender and Transport Sector Employment: Evidence from Kogi State, Nigeria



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rural areas where the access rate is just 53.2%. Attracted by the stable political environment, several notable local and international solar PV companies operate in Senegal, using cash sales, pay-as-you-go (PayGo), and partnerships with micro-finance institutions (MFIs). (GOGLA Country Brief)

- Senegal was ranked 87 out of 120 in the 2019 Social Institutions and Gender Index with a score of 0.370 and 112 out of 146 in the 2022 Global Gender Gap Index with a score of 0.668.
- Senegal's 2001 constitution guarantees equality between women and men in its article 7. Senegal is also a signatory to several gender-related international conventions, including the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW) and the African Charter on Human and Peoples' Rights. The country, in 2010, Senegal adopted the National Gender and Sustainable Development Policy, which aims to promote gender equality and the empowerment of women in all sectors. Additionally, in 2019, Senegal passed a law criminalizing rape and other forms of sexual violence, which had previously been difficult to prosecute due to legal loopholes and societal stigma. The country also ratified the Convention on the Elimination of All forms of Discrimination against Women (in 1985), and the Optional Protocol on violence against women (in 2000).
- Sexual harassment is covered under Art. 319 bis of the Criminal Code. The Criminal Code defines sexual harassment as the abusive use of authority to "harass a person through orders, threats, coercion, or any other means, in order to obtain sexual "favours" It is punishable of prison terms of six months to three years and a fine of 50,000 to 500,000 Francs CFA.

Country Statistics

 Senegal gender statistics		
Population	16.7	
Poverty rate	32.9%	
Social Institutions and Gender Index (SIGI)	0.370	
Gender Inequality Index	0.530	
Maternal Mortality rate (deaths per 100,000 live births)	315	
Adolescent birth rate (births per 1,000 women ages 15–19)	66.5	
Infant mortality rate (deaths per 1,000 live births)	28.9	
	Female	Male
Adult literacy rate (population with secondary ed.)	11.1	30.9
Labour force participation rate (% ages 15 and older)	33.5	56.7
Political participation rate (% women holding share of seats in parliament)	43.0	57.0
Life expectancy	70.1	66.8



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- According to Senegal's 2017 Demographic and Health Survey, 27% of women aged 15 to 49 had experienced physical violence from age 15 onwards – in 55% of cases, at the hands of a husband or partner. The survey showed Gender Based Violence (GBV) to be the most widespread yet least visible human rights violation: 68% of violence survivors aged 15 to 49 never spoke of it nor sought help.⁷⁵ Other abuses include forced marriages, and female genital mutilation/cutting (FGM/C), sexual harassment, rape, and human trafficking. LGBTQ individuals and sex workers also face high levels of violence and discrimination. International government entities have noted the lack of investigation of and accountability as a challenge.⁷⁶
- Violence against children, in particular sexual violence, continues to be a major challenge in Senegal, with an estimated number of about 15,000 girls aged 15–17 victims of sexual violence.⁷⁷

Political participation

- In Senegal, women have the same rights to vote and contest elections as men. According to the Law on Equality of Men and Women in Electoral Lists adopted in 2012, candidate lists put forth by parties are required to have gender parity and alternation, to be legally admissible. Consequently, 43% (71 out of 165) members of the legislature are women.
- Senegal has gained international recognition for its efforts towards political participation of women through the adoption of the Gender Parity Law (2010).

Labour force participation

- Senegal is a low income, mixed economy country that is driven by the service sector (tourism, construction) and commodity exports like fish, phosphates, and groundnuts. There is also a large, rainfed subsistence agriculture sector that is prone to frequent droughts. 36% of adult women are employed (ranks 100th out of the 118 low and middle-income countries reporting data in 2019), and women make up 40.4% of the overall labour force.
- Only 24% of employed women work in agriculture, compared to 33% of all men. Nearly 70% women work in the services sector, compared to 48% men. One in five management positions are held by women.
- There are no laws in Senegal mandating non-discrimination based on gender in hiring, nor laws penalising or preventing the dismissal of pregnant women. Further, although civil law mandates equal rights to inheritance, parallel customary and religious legal regimes do not always recognize the rights of women to own or inherit land and other assets.

	Female
Labour force participation rate (% ages 15 and older)	34%
Employees, agriculture (% of female employment)	25%
Employees, industry (% of female employment)	5%
Employment in services (% of female employment)	70%
Self-employed (% of females employed)	70.2

⁷⁵ World Health Organization (2022) Fighting gender-based violence at the grassroots in Senegal, Accessed [HERE](#).

⁷⁶ United States Department of State (2021) 2021 Country Reports on Human Rights Practices: Senegal

⁷⁷ Unicef (2022) Ending violence against children in Senegal, Accessed [HERE](#).



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Employers (% of female employment)	0.4%
Vulnerable employment (2000-2016) (% of female adult population)	70%
Employment rate in the informal economy (% of female adult population)	4.0%
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager*	n/a
Managers, professional and technicians (% female)*	n/a

Access to financial resources/knowledge and skills/other

- Women and girls in Senegal face barriers in the supply of and in their demand for financial products and services, the wider enabling environment as well as in their socio-cultural context. On the supply side, the sparse number of financial access points disproportionately impacts women. This is in a context where women and girls' mobility is constrained due to socio-cultural norms as women are expected to undertake the majority of unpaid care responsibilities in the household, and may face restrictions in leaving the house without a male relatives' permission. For instance, 40.6% of women aged 15 to 49 find it normal to be beaten by their husband if they leave the house without asking for permission. While mobile money could overcome these mobility and access point constraints, barriers remain related to access to a mobile phone and level of awareness of mobile money accounts and knowledge on usage. Further, low literacy rates among women hamper their ability to access mobile money.
- In terms of the enabling environment, social norms related to inheritance and land and property ownership result in the majority of women in Senegal at 85% (aged 15-49) not owning a house or land that could be used as collateral to access credit. For example, in the agricultural sector, women account for 70% of the labour force, but they hold only 3% of cultivated land. Consequently, women resort to informal mechanisms for credit access and savings, which lack any form of consumer protection.

Women in energy in Senegal

- The Government of Senegal has made energy sector development a key component of the Plan Sénégal Emergent, which aims to modernise the country's economy and achieve a wide number of ambitious socio-economic development objectives, as well as ensuring greater gender equality. Priorities include lowering the cost of energy by reducing dependence on imported liquid fuels and increasing electricity access-particularly in rural areas. Senegal has significant potential to develop solar and wind power, together with large offshore natural gas resources that will come onstream in 2023. The Senegalese authorities aim to achieve universal access by 2025 through a combination of on-and off-grid solutions.

Women in Energy Productivity in Senegal

- Lack of access to efficient electrical tools and appliances is a major barrier for women entrepreneurs seeking to improve their productivity in marginalised off-grid rural regions across sub-Saharan Africa. Such technologies offer critical advantages to women entrepreneurs in regions hit hard by the impacts of climate change. As rainfall becomes more erratic, solar irrigation reduces farmer dependence on rain-fed agriculture, enabling them to produce healthier crops with increased yields by using water from local rivers and lakes. Solar refrigeration allows



farmers to drastically reduce the typically high levels of on-farm wastage of produce which jeopardises local food security.⁷⁸

Women in Mobility and Logistics in Senegal

- Women are continually moving to urban areas of Senegal creating new transportation needs for women and girls. GGGI's report on Senegal's green energy transition noted the need for stronger public transportation planning so that public transportation is inclusive and gender responsive. Gender responsive climate programs have to take into consideration women's needs in transport such as their safety; affordability of the fares, schedule for the transport services fitting their needs. And ensuring that women and girls are central to the planning and development of the transport programs in urban development.⁷⁹

Vulnerability to Climate change and needs of beneficiaries.

- The primary effects of climate change in Senegal are desertification and land degradation. Desertification is a combination of droughts and erosion that result from insufficient rainfall, destruction of pastures and degradation of ecosystems. Land degradation is characterised by the salinization of agricultural land, water and wind erosion, soil infertility and reduction of agricultural diversity.
- The extreme disparities in weather conditions affect food security, livelihoods and job opportunities for rural communities, predominantly women. Women comprise 70 percent of the agricultural workforce in Senegal and are responsible for producing 80 percent of the agricultural yield. Considering their labour and income are dependent on the rains, women are vulnerable to the most extreme conditions of poverty because it limits access to food and water, increases job insecurity, makes self-sufficiency difficult and limits their ability to improve their socio-economic status.
- To adapt to the soil and land degradation, women have adopted practices that are intensive to make the most of the lacklustre rainfall, but those practices have proven to diminish the soils. Another deterrent to productivity beyond climate change is a lack of access to modern technology used for agriculture, which subjects women to tougher labour conditions. While climate change disproportionately affects women in Senegal, women are also the leaders in finding solutions to the effects of climate change with groups such as Regroupement des femmes de Popenguine pour la Protection de la Nature (RFPPN) who have taken charge of reforestation efforts in the Popenguine region of Southern Senegal.
- Successful policies have increased energy access in Senegal to almost 70% of the population. With full access expected to be achieved by 2025. While the electricity grid accounts for the majority of the population with access, decentralised solutions are still expected to be critical for the most remote populations.
- LPG is used for cooking by almost 30% of the population today, one of the highest shares in sub-Saharan Africa. It is expected to remain the main clean cooking fuel in 2030. However affordability challenges remain to expand this access to the 70% who currently rely on biomass for cooking.

⁷⁸ Energy 4 Impact (2023) Access to clean energy technologies set to boost livelihoods of women entrepreneurs in rural Senegal and Benin, Accessed [HERE](#).

⁷⁹ GGGI (2019) Senegal Social Review, accessed [HERE](#).

10. Côte d'Ivoire

- Côte d'Ivoire, the world's leading cocoa and cashew producer, is experiencing one of the fastest sustained economic growth rates in Sub-Saharan Africa in nearly a decade. With real GDP growth averaging 8.2% between 2012 and 2019, Côte d'Ivoire successfully contained the COVID-19 pandemic and maintained a 2% positive growth rate in 2020 (World Bank). The Ivorian economy achieved some recovery in 2021, growing at a rate of 7% in 2021, despite increasing inflation.
- Despite strong economic growth, work still needs to be done in Côte d'Ivoire to achieve gender equality. Only 50% of legal frameworks that promote, enforce and monitor gender equality under the SDG indicator, with a focus on violence against women, are in place. The country is ranked 159th out of 189 countries according to the 2022 United Nations Development Programme (UNDP) Human Development Index report. The country also ranks high in disparities in access to both physical and financial resources for women.

Country Statistics

 Côte d'Ivoire gender statistics		
Population	29M	
Poverty rate	39.5%	
Social Institutions and Gender Index (SIGI)	42.8	
Gender Inequality Index	0.613	
Maternal Mortality rate (deaths per 100,000 live births)	617	
Adolescent birth rate (births per 1,000 women ages 15–19)	105	
Infant mortality rate (deaths per 1,000 live births)	56	
	Female	Male
Adult literacy rate (population with secondary ed.)	23.9	32.2
Labour force participation rate (% ages 15 and older)	45.9	64.9
Political participation rate (% women holding share of seats in parliament)	15.6	84.4
Life expectancy	59.12	56.59

- Côte d'Ivoire is a signatory to the Convention on the Elimination of All Forms of Discrimination against Women (CEDAW) and the Beijing Platform for Action. These conventions have been integrated into Ivory Coast's national policy through the development of various strategies and plans, such as the National Gender Policy (2014-2023) and the National Action Plan on Gender-Based Violence (2016-2020). The National Gender Policy aims to promote gender equality and empower women in all sectors of the society, while the National Action Plan on Gender-Based Violence seeks to prevent and respond to gender-based violence through various measures.⁸⁰

⁸⁰ United Nations. (2018). Ivory Coast. Retrieved from <https://www.un.org/womenwatch/daw/csw/62sess-statements/Senegal.pdf>



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- Despite these efforts, domestic violence is widespread throughout Côte d'Ivoire, is particular sexual, psychological, and economic violence (ICCPR, 2015; MFFAS & UNFPA, 2008). However, it is considered an intimate problem and is therefore rarely reported (MFFAS & UNFPA, 2008).
- Victims mostly remain silent regarding gender-based violence and most cases are not reported to the authorities (MSFWC, 2014). Gender-based violence cases are often settled amicably through traditional justice systems, as those cases are often considered a private matter (MSFWC, 2014). Going to court is a public process and may mean for victims exposing themselves to stigma and exclusion from their families and communities (MSFWC, 2014).⁸¹
- Female-headed households face different economic and social constraints than other types of families in Côte d'Ivoire. With fewer male laborers than other households, female-headed households in agriculture have lower income and less access to the formal market.

Political participation

- In Côte d'Ivoire, women have the same rights to vote and contest elections as men. Côte d'Ivoire passed a law in 2019 that requires political parties to meet a female candidate quota of 30% for parliamentary elections, however this has not been achieved.
- It is reported that while election processes are held in all regions, women are not given priority when there is only one position available for them, which is the case in many regions making the 30% quota almost impossible to achieve in most local contexts. Political parties are heavily male dominated, with men making most of the decisions at national and divisional levels.

Labour force participation⁸²

- Agriculture is a significant economic driver in the Country and although they do not own large farms, women are an important workforce, especially in the production and marketing of food crops. They are present at 29.9% in the agricultural sector; 31.6% in industry; 59.5% in trade and 39.5% in services.
- While the % of labour participation for women (15 years and above) in Côte d'Ivoire is estimated at 46%, most of the employment is in the informal sector with less than 4% of women having formal jobs, compared to 8% for men. While the employment rate is observed to be higher for people with higher levels of education, it is observed that women are still more vulnerable to unemployment than men.
- Gender-related behaviours and practices in the labour market in Côte d'Ivoire are rooted in the traditional patriarchal system, which is unfavourable to the promotion of women's activities. The precarious and informal nature of women's work is mainly explained by the principles of separation and hierarchy in society. Thus, the man is considered the head of the family and must therefore work to meet the family's needs, while the role of the woman is essentially domestic. Consequently, it is easy to understand why, despite the existence of employment opportunities, women are excluded or reduced to precarious or marginal jobs.

	Female ⁸³
Labour force participation rate (% ages 15 and older)	48.3%

⁸¹ OECD (2019) Social Institutions and Gender Index Cote d'Ivoire, accessed [HERE](#).

⁸² Bediakon, K. , Croi, K. , Koko, K. and Boua, A. (2022) Wage Inequality between Men and Women in Côte D'Ivoire: An Oaxaca-Blinder Decomposition Method. *Theoretical Economics Letters*, 12, 52-75.

⁸³ [AfDB Gender Databook 2019](#);


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Employees, agriculture (% of female employment)	40.2%
Employees, industry (% of female employment)	3.7%
Employment in services (% of female employment)	56.3%
Self-employed (% of females employed)	85.8%
Employers (% of female employment)	1.2%
Vulnerable employment (2000-2016) (% of female adult population)	84.7%
Employment rate in informal economy (% of female adult population) 2016	93.9%
Professional and technical workers (% of female total)*	n/a
Proportion of firms with female top manager* (2017)	14.3
Managers, professional and technicians (% female)* (2017)	12.7

Access to financial resources/knowledge and skills/other

- According to research by CGAP⁸⁴ financial inclusion in Cote d'Ivoire is low with only 45% of the population having any access to formal financial service. However, this exclusion remains high and is not even. Women are 45% more likely to be excluded than men. The data shows that the most financially excluded segment is uneducated rural women, 91 percent of whom are financially excluded. Urban women fare better, but still not as well as men. Further, all the gains in financial inclusion made in the last five years have been purely driven by access to mobile money with only ~7% of the sampled population having access to traditional banks.
- A major barrier is that fewer Ivorian women own mobile phones, especially in rural areas. GSMA's assessment of Côte d'Ivoire in 2017 showed that 20 percent fewer women than men owned phones. This gap is estimated to be even higher in rural areas. Financial innumeracy is also a factor. The Financial Inclusion Insights survey shows that half the population of Côte d'Ivoire does not have financial numeracy skills or the ability to navigate a phone menu or send text messages. Innumeracy disproportionately affects women in Côte d'Ivoire, where only 46% of women are numerate versus 62% of men.
- While literacy levels are low across the board, it is expected that representation of women in traditionally male dominated fields is significantly low due to existing patriarchal structures and biases.

Women in energy in Cote d'Ivoire

- According to reports⁸⁵ women are largely excluded from policymaking in the energy sector in Côte d'Ivoire, as well as from employment opportunities, especially at professional/technical levels (engineers, electricians) in the key policymaking, oversight, and operational agencies. This mirrors the realities of women across other sectors and is not unique to energy.

Women in Energy Productivity in Cote d'Ivoire

- A 2016 African Development Bank report shared that women have limited access to productive use of energy products and would benefit from timesaving and business productivity increases

⁸⁴ CGAP, 2018: Financial Inclusion Insights Cote d'Ivoire. Accessed [here](#) in February 2023

⁸⁵ AfDB, 2016: Cote d'Ivoire Energy Sector Gender Brief. Accessed [here](#) in February 2023



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from these products. Reports have noted that the high cost of productive use products have been prohibitive for both men and women but is especially true for women with limited income.

- Moreover, electrification, cold storage, and other productive use of energy products could enable women to improve efficiencies, reduce redundancies, and gain time. Investing in productive use will also be valuable for improving outcomes and opportunities for women entrepreneurship.

Women in Mobility in Cote d'Ivoire⁸⁶

- Côte d'Ivoire is one of the most urbanized countries in Sub-Saharan Africa and the Greater Abidjan Area (GAA) is its engine of growth. More than half—56 percent—of Côte d'Ivoire's population lives in urban centers, with urbanization increasing at 5 percent yearly, albeit with high spatial disparity between the GAA and other cities. By 2050, the share of urban population will increase to two-thirds.
- Despite significant public investments in road infrastructure in recent years, GAA suffers from unreliable urban transport, high transport costs and growing congestion, which hinders its competitiveness. Urban mobility has become a major challenge: the population growth and the economic development of Abidjan have a significant influence on the demand for transport, and this pressure is reinforced by the weaknesses of the current public transport supply which is dominated by informality, lack of coordination, obsolescence, inadequacy and shortage of system management personnel.
- Women are under-represented in the transport sector worldwide and Côte d'Ivoire is no exception. Women represent only 8 percent of the SOTRA workforce (of about 4,000 employees) and are mostly employed in clerical jobs (only 10 women are drivers or work in bus maintenance). Few women (less than 20) are woroworo, taxi or Gbaka drivers in GAA, although it is believed that a slightly higher proportion of women own vehicles.

Vulnerability to Climate change and needs of the beneficiaries.

- Labour participation of women in the country is concentrated in agriculture. Agriculture is indicated as one of the sectors that will experience the highest impacts of climate change given changes in precipitation and weather patterns, this leads to the need for increased adaptation responses to address the potential impacts of climate change.
- ~86% of women are self-employed. This indicates a higher level of vulnerability to effects of climate change and overall lower adaptive capacity to climate events or impacts. Further, 85% of the female population in Cote d'Ivoire is indicated to be in vulnerable employment. This is critical as it indicates that most women in these countries are likely to be disproportionately affected by the impacts of climate change and have lower adaptive capacity to climate events or hazards. The wage gap and poor access to physical and knowledge resources also indicates lower resilience to potential effects of climate change for this population.
- Women are both providers and consumers of energy. The gender division of labour assigns the bulk of household (domestic) tasks to women. These include often spending considerable time (and energy) in provisioning their households with fuel for cooking and other purposes, which primarily involves fetching fuelwood. Since cooking is also primarily the responsibility of women, they are also likely to be the principal consumers of energy at the household level. The presence

⁸⁶ World Bank (2019) REPUBLIC OF CÔTE D'IVOIRE FOR THE ABIDJAN URBAN MOBILITY PROJECT



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or absence of different energy services at the household level, including electricity for lighting and other purposes, will therefore have a greater impact on women than on men.

- Men's and women's responsibilities and priorities also differ. Men's and women's different responsibilities in the economy and household mean that their needs for, and uses of, energy services also differ. Whereas men may prioritise access to TV, women are more likely to prioritise appliances such as refrigeration, and other productive use assets such as grinding mills and motive power, that reduce the time and drudgery of their domestic tasks.
- Fuel for cooking is one of the most critical energy needs. Biomass remains the predominant source of fuel for cooking. Estimates for uses of different fuels for cooking vary. Sources suggest that while the Government promotes use of butane gas for cooking, an estimated 62% of rural households still use fuelwood for cooking, while in Abidjan 40% use gas and 42% use charcoal.

Part III: Lessons learnt from KawiSafi Fund I

KawiSafi Fund II also derives insight from the experience with KawiSafi Fund I. The KawiSafi team conducted annual gender assessments for all portfolio companies.

- As of Dec 21, the KawiSafi portfolio had an average gender score of 6.05, indicating **above average performance**. The portfolio was aligned with the [2X Challenge](#) with 30% of companies meeting the direct criteria. However, key areas for improvement included representation of women in senior management and Board roles; availability of training for gender-specific safety and security issues; and representation of female-led companies in the funding pipeline.
- The KawiSafi I Technical Assistance Facility supports gender initiatives, including skill enhancement for low-income women, having trained 64 women during 2021; increased awareness on importance of clean energy products; and support for increased financial inclusion for women.
- The findings are highlighted below:
 - **Policies, Training and Targets:** All KawiSafi portfolio companies had general policies relating to 1) non-discrimination and harassment; 2) diversity and inclusion; 3) accommodation of persons with disabilities; this indicates general alignment to these issues. 50% of KawiSafi portfolio companies had policies specific to gender parity. However, less than 50% of these companies had any monitoring or targets related to any of the above issues (including gender); this was driven by a lack of resources by these companies and highlighted the need for TA support.
 - **Employment and Management:** 31% of total employed staff of the portfolio companies were women as of 31 Dec 21. This however varied significantly from 64% in one company (Opes Solutions - large manufacturing company) to 24% (InspiraFarms - small installer). Women's roles however remained junior and in more administrative and sales positions with little representation in senior management and engineering.
 - **Board membership:** 2 out of 10 of the Companies did not have a female Board member as of 31 Dec 2021. Specifically: InspiraFarms and Bboxx. This was despite this being one of the areas highlighted as part of the ESG action plan. KawiSafi however worked with 3 companies (Sistema.bio, Opes and Lendable) to appoint women to their Board.
 - **Consumers:** It is estimated that 32.4% and 31% of households in Kenya and Rwanda are headed by females respectively. Women are the primary users of energy in the household and are among the prime beneficiaries of access to modern energy services. Numerous

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studies have highlighted the benefits of modern energy for women: solar lanterns provide light for studying, reduce security risks, and displace dirty, harmful kerosene lanterns. In one study, women using kerosene lanterns were nine times as likely to contract tuberculosis. Clean, efficient cookstoves bring down the time that women and girls must spend gathering fuel, while also reducing household air pollution, a major public health risk that kills over 4 million people annually and disproportionately affects women and girls.

Part IV: Conclusion - KawiSafi Gender Mainstreaming Approach

The table below highlights the KawiSafi Fund II approach to each of the barriers identified across the two clusters of countries.

Barriers identified	Proposed Interventions	
	Cluster A Countries: <u>Rwanda, South Africa, Kenya, Ghana, and Zambia</u>	Cluster B Countries: <u>DRC, Uganda, Nigeria, Senegal and Côte d'Ivoire</u>
Barrier 1: Closing the Financing gap that exists in investing in women led/ founded enterprises	1.1 Ensure high representation of women in the executing entity team 1.2 Engage closely with female founders to ensure high representation in the KSV II Fund pipeline.	1.1 Ensure high representation of women in the executing entity team 1.2 Engage with incubators and accelerators in the country to support the development of a strong pipeline of female founders in the sectors of focus.
Barrier 2: Increasing participation and representation of women in renewable energy	2.1 Support collection of sex-disaggregated data on gender for companies. 2.2 Develop evidence and data that can support positive policy developments across the sector 2.3 Ensure portfolio companies have a gender action plan. 2.4 Drive positive gender policies, employment practices and female board representation in portfolio companies. 2.5 Increase access to education and training for women in the sector, especially in the new segments such as battery technology and e-mobility. Collect data on the number of women trained. 2.6 Share thought leadership, lessons learnt and insights in the renewable energy ecosystem to encourage best practice.	2.1 Support collection of sex-disaggregated data on gender for companies. 2.2 Develop evidence and data that can support positive policy developments across the sector. 2.3 Ensure portfolio companies are sensitised around the importance of gender equality, do not have discriminatory policies and have a gender action plan in place. 2.4 Ensure portfolio companies have policies in place to support recruitment and retention of women. 2.5 Drive positive gender policies, employment practices and female board representation in portfolio companies 2.6 Increase access to education and training for women in the sector. Ensure training is scheduled around women's childcare responsibilities and is sensitive to mobility constraints, security concerns and social restrictions that may prohibit women from participating. 2.7 Share thought leadership, lessons learnt and insights in the renewable energy ecosystem to encourage best practice. 2.8 Showcase women in the sector to begin changing cultural stereotypes and change perceptions.
Barrier 3: Increasing adaptive capacity of women to climate change across the countries of focus	3.1 Support collection of sex-disaggregated data on needs and adaptive capacity of beneficiaries 3.2 Develop evidence and data that can support positive policy developments across the sector 3.3 Support portfolio companies identify and innovate around financing gaps of consumers 3.4 Support portfolio companies recruit	3.1 Support collection of sex-disaggregated data on needs and adaptive capacity of beneficiaries 3.2 Increase awareness of benefits of clean products 3.3 Develop evidence and data that can support positive policy developments across the sector. 3.4 Support portfolio companies identify and innovate around financing gaps of consumers. Companies should ensure that existing limitations such as access to mobile money are considered in



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	women in the supply chain - including as distributors 3.5 Provide access to low carbon technologies that unlock additional income and livelihood opportunities.	the design of financing schemes targeting women. 3.5 Support portfolio companies recruit women in the supply chain - including as distributors, agents among others. 3.6 Provide access to low carbon technologies that unlock additional income and livelihood opportunities for women. Research should be conducted to ensure that these technologies benefit women specifically - such as climate-smart agriculture and clean cooking technologies.
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Part V: Gender Action Plan

KawiSafi Fund II: Gender Action Plan				
Impact statement: To drive integration, responsiveness, and participation of women in the African distributed energy, productivity, and electric mobility ecosystem. This includes, but not limited to, support for female led and owned businesses; increased representation through employment at Fund and portfolio company level; promotion of senior female leadership and increase in female access and participation across the distributed energy and clean mobility value chain.				
Outcome Statements: 1) Enhancement of economic activities, livelihoods, and empowerment of women by driving the development of decent jobs for women across the three industry segments KawiSafi Fund II intends to invest in across Africa. 2) Support increased access of venture capital funding to female led and owned businesses across Africa. 3) Enhance access to low carbon technologies for women through gender integrated product design and distribution. 4) Increase participation of women in the clean mobility industry 5) Reduce historical gender disparity in skills development across technical fields - including solar PV and other clean generation technologies; battery technology; electrical and mechanical engineering, among others.				
Output 1: Understand baseline performance of portfolio companies across outcome areas. ⁸⁷				
Output 2: Throughout the life of the program (i) partner with KawiSafi portfolio companies to drive employment of women across their organisations, including representation in senior leadership; (ii) Partner with ecosystem partners working on improving skills and capabilities of women across the segments of focus, to improve female employability.				
Output 3: Throughout the life of the program, support increased venture capital allocation to female owned/led businesses.				
Output 4: Throughout the life of the program, (i) directly engage KawiSafi portfolio companies to drive increased female access of low carbon technologies as well as support sale of products that disproportionately improve women's wellbeing and (ii) through partnership with both portfolio companies and industry associations, support improvement of quality of service offered to female consumers and users - including but not limited to, increased safety and comfort in e-mobility applications.				
	Indicators and Targets	Timeline	Responsibilities	

⁸⁷ Portfolio level activities will be measured against the Gender Action Plans that will be developed post-investment. Ecosystem Activities that will be implemented through the Technical Assistance Facility (TAF) will have no baseline.



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Fund Level Activities (Mgmt. fee funded)				Costs (\$000)
(1) Support employment of women at KawiSafi Fund level	(i) 50% of total employees of the KawiSafi Fund II management company should be/or identify as female.	To be maintained throughout the life of the Fund	Executing Entity	-
(2) Integration of gender-lens investing practices across the investment process	(ii) a minimum of 30% of KawiSafi Fund II pipeline companies to be female led or owned. To achieve this, the KawiSafi team will: 1. actively build relationships with female entrepreneurs, business groups, and organizations that support women in business; 2. Maintain a diverse team with female representation (as highlighted above); 3. The team will also conduct regular reviews to ensure the pipeline reflects this commitment. (iii) collection of sex-disaggregated data from portfolio companies; (iv) due diligence companies on their policies and procedures for a safe and equitable workplace including SEAH	To be maintained throughout the life of the Fund	Executing Entity	
(3) Development of Gender Action Plans for each portfolio company. The GAPs will be developed at the time of investment and will be monitored over the life of the investment. NOTE: The GAP will not be used as a screening tool but will be used as the baseline to support portfolio companies to improve their gender performance.	(i) One Gender Action Plan developed for each investee company	GAP to be developed within 90 days of investment	Executing Entity to develop the GAPs in collaboration with Portfolio Company. Executing entity to share annual performance as part of normal monitoring and evaluation.	300 (Assumes 15 portfolio companies)
Portfolio Level Activities (TAF Funded)	Indicators and Targets	Timeline	Responsibilities	Costs (\$000)
(1) Portfolio gender assessments	(i) 1 Initial KawiSafi portfolio assessment report completed; (ii) 1 Follow up KawiSafi portfolio assessment report completed;	by 2025 (3 years after TAF program start) by 2038 (6 years after TAF program start)	Executing Entity to be carried out as part of monitoring and evaluation activities.	60



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(2) Support increased reach of low carbon technologies to female consumers or female-led households across the KawiSafi portfolio companies. This will be achieved through working with portfolio companies to increase product affordability and suitability; awareness; and engagement with distribution channels that focus on the target groups.	(iii) 50% of households reached by KawiSafi portfolio companies' products to be female or consumers of products which disproportionately improve economic, social or health outcomes for women.	by 2034	Executing Entity and Portfolio Companies	-
(3) Support increased employment and skill development of women by KawiSafi portfolio companies. This will be achieved through increased education and training and ensuring a supportive policy environment at Company level and alignment at Board level.	(iv) 40% of total employees of KawiSafi portfolio Companies should be women. This will be measured at portfolio level and not on a company-by-company basis.	by 2034	Executing Entity and Portfolio Companies	-
	(v) At least 20,000 women receive training by Portfolio Companies ⁸⁸	by 2034	Executing Entity and Portfolio Companies	-
	(vi) Ensure that all Companies have one policy beyond the minimum legal requirements (based on jurisdiction) to improve recruitment, retention, and wellbeing of women in the workplace.	within one year of each Portfolio Company GAP	Executing Entity and Portfolio Companies	-
	(vii) Ensure that all KawiSafi Portfolio Companies are trained on annually SEAH, SEAH policies and procedures, and SEAH investigations that are gender-sensitive and survivor centred.	Annually	Executing Entity, Portfolio Companies, and Third-Party Trainer	
	(vii) All KawiSafi portfolio Companies to have 40% female representation at the Board of Directors level (including executive management in the Board).	by 2034	Executing Entity and Portfolio Companies	-
Ecosystem Activities (TAF Funded)	Indicators and Targets	Timeline	Responsibilities	Costs (\$000)
(1) Work with universities and vocational training institutions to improve/develop curriculum based on	(i) Female-targeted curriculum developed to meet the evolving needs of the energy transition, productivity, and e-mobility industries, as required	by 2024	Executing entity and educational institutions	100

⁸⁸ Training highlighted will relate to both technical and non-technical subjects that will be geared to improving employability and progression of women working in the renewable energy, productive use and mobility sectors. While the training can include both men and women, KawiSafi funding will particularly target women where the highest knowledge and skill inequality exists in the countries of focus. The target of 20,000 women trained is based on experience with KawiSafi Fund I portfolio scaled up.



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<i>industry standards and energy service provider requirements;</i>				
<i>(2) Provide technical training on sustainable energy technologies to low-income women across the continent</i>	<i>(ii) Over 500 low-income women gaining technical skills through the life of the program</i>	<i>by 2034</i>	<i>Executing entity and educational institutions</i>	<i>200</i>
<i>(4) Provide R&D grants to female engineers or entrepreneurs across the continent to conduct research on low carbon technology and deployment in Africa</i>	<i>(iii) Five female engineers or entrepreneurs supported with research grants on low carbon technologies</i>	<i>by 2034</i>	<i>Executing entity and research institutions/labs</i>	<i>100</i>
<i>(6) Roll out campaigns to improve suitability and safety of e-mobility services for women as both drivers and passengers.</i>	<i>(v) At least two campaigns run to improve safety of female drivers and passengers across Africa (vi) Baseline study of the number of female motorcycle drivers and subsequent increase in female drivers by 15% by end of the life of the program.</i>	<i>by 2026 by 2034</i>	<i>Executing entity and portfolio companies, and industry associations</i>	<i>50</i>
Total Budgeted Cost				810

NOTES

These are estimated costs over the life of the Fund. Assumes 15 portfolio companies. These are indicative and are expected to change during project implementation.